

Prudent (PRUDENT)

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PCASL/25/2022-23
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To, To,
The National Stock Exchange of India Ltd BSE Limited
Exchange Plaza, Phiroze Jeejeebhoy Towers,
Bandra – Kurla Complex, Dalal Street,
Bandra (E), Mumbai- 400 001
Mumbai – 400 051 SCRIPT CODE: 543527
NSE EQUITY SYMBOL: PRUDENT

ISIN: INE00F201020

Dear Sir/Madam,

Sub.: Transcript of the Earnings Conference Call for the Quarter ended 30th June, 2022

With reference to our earlier intimation No. PCASL/19/2022-23 dated July 26, 2022 and in terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of the Earnings Conference Call with Investors and analysts held on Tuesday, 2nd August, 2022 at 04.00 pm (IST) in respect of the Un-audited Financial Results for the Quarter ended 30th June, 2022.

The same will also be available on the website of the Company at www.prudentcorporate.com

This is for your information and record.

Thanking you,

Yours Faithfully,

For, Prudent Corporate Advisory Services Limited

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"Prudent Corporate Advisory Services Limited Q1 FY -
23 Results Conference Call"

August 02, 2022

MANAGEMENT : MR. SANJAY SHAH– CHAIRMAN AND MANAGING
DIRECTOR , PRUDENT CORPORATE ADVISORY
SERVICES LIMITED

MR. SHIRISH PATEL– CHIEF EXECUTIVE OFFICER AND
WHOLE TIME DIRECTOR , PRUDENT CORPORATE
ADVISORY SERVICES LIMITED

MR. CHIRAG SHAH– WHOLE TIME DIRECTOR ,
PRUDENT CORPORATE ADVISORY SERVICES LIMITED

MR. CHIRAG KOTHARI– CHIEF FINANCIAL OFFICER ,
PRUDENT CORPORATE ADVISORY SERVICES LIMITED

MR. PARTH PAREKH– INVESTOR RELATIONS ,
PRUDENT CORPORATE ADVISORY SERVICES LIMITED

MODERATOR : MR. ROHAN MANDORA – RESEARCH ANALYST ,
EQUIRUS SECURITIES PRIVATE LIMITED

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Moderator : Ladies and gentlemen , good day, and welcome to Q1 FY23 Results Conference Call of Prudent Corporate Advisory Services Limited hosted by Equirus Securities . As a reminder , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rohan Mandora from Equirus Securities . Thank you and over to you , sir.

Rohan Mandora : Thank you, Nirav. Good afternoon every one. Welcome to the Q1 FY23 earnings call of Prudent Corporate Advisory Services Limited to discuss the quarterly performance. To address queries , we have with us from the management, Mr . Sanjay Shah, Chairman and MD ; Mr. Shirish Patel, CEO and Whole Time Director ; Mr. Chirag Shah, Whole Time Director ; Mr. Chirag Kothari, CFO ; and Mr . Parth Parekh, Investor Relations.

We will begin with a brief management commentary followed by question and answers. Thank you and over to you , Mr. Sanjay Shah.

Sanjay Shah: Thank you , Rohan, and good afternoon to everybody. I would like to welcome all of you to the earning call of Prudent Corporate Advisory Services Limited for the first quarter of FY2 2-23.

So, I want to thank everyone for sparing your valuable time to join us today. I hope all of you must have looked at the presentation which has been uploaded by us on the exchange platform , and please, you are requested to keep that presentation handy because during the discussion we might give lot of references to the presentation which has already been provided .

So, before I start the presentation and I refer you to the various slides , I would just like to brief you about couple of important points which are relatively key performance parameters of Prudent as an organization. So, broadly, if I wanted to tell you , there are four business parameters on which we always look at our business, specifically the retail wealth management business, and more specifically, mutual fund distribution.

So, the first major pillar of our business has been the net sales for the equity assets. And historically we have always told that our net sales is more or like equivalent to our SIP book, which we have, and hence we gave the guidance of about Rs. 5,000 crores of expected net sales in FY2 2-23. So, if you look at the net sales number of first 3 months, which is April , May, June, we did Rs 1,475 crores , which is in line with our target guidance .

Second important parameter for us is the partner addition in our business because we are purely retail centric B2B2C platform where empanelment of new retail distributors on Prudent platform is very critical and if you look at the numbers, we moved from 23,763 ARN holders working

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with us in March 2022 to 24,853 in June 2022 . So, that's an addition of almost 1 ,090 new ARN holders to our kitty, which is a very strong number for us.

Third, very important point is the SIP book & entire industry is driven by that. Prudent is also driven by the same and SIP gives a lot of visibility to our business going forward. And if you look at this quarter , we increased our SIP book , which was Rs. 418 crores in March 2022 to Rs. 431 crores in June 2022 . And when I am talking to you now, it has already reached Rs. 447 crores . So, I think that shows that our number on the S IP side is growing consistently.

And fourth parameter or the pillar of our business has been the mark-to-market impact on the AUM , which is normally not in our hand. And all of you are aware that April, May,

June has

been little bit subdued as far as market sentiments are concerned.

So, sequentially AUM got impacted as there was a negative 8% impact on our equity AUM because of mark-to-market. However, most heartening point is in July alone , the AUM has recovered by more than 9% and when I am talking today , our AUM is in excess of Rs 51,000 crores .

So, these are the four important points which are driving our business. So, I just thought I will brief you about that . Now, I will take you straight to slide number 30 and 31 of the presentation. So, if you look at the slide number 30 of the presentation, it talks about our closing AUM , which has year-on-year gone up by 37%. It was Rs. 34,257 crores in June 2021 & has now moved to Rs. 46,859 crores . However, sequentially it is down by 5 % . One of the major reason for that fall is not the net sales but the mark -to-market impact of negative 8%.

So, if you see that slide #31 , I think it is very important , which explains the movement in our AUM . So, if you look at last 12 months , our net sales was Rs. 6,145 crores , which is almost 20% of our June '21 opening AUM . Last year we acquired Karvy assets, which has also had a positive impact on AUM . So, if you look at last 12 months, the entire AUM was driven by higher net sales & Karvy acquisition.

Sequentially, equity AUM was down 4.7% as Mark -to-market impact was a negative 8% and as I already explained that July has been reasonably good for us due to recovery in the markets .

So, that was about the slide #30 and #31.

If you look at slide #32, it is talking about the improvement in our market share, so just wanted to say that despite there being lot of noise around fintech players , our equity AUM market share (Ex-SIPs) has been steadily growing and it has improved by almost 37 basis point from 1.93% to 2.30% in June '22. Our monthly SIP flow also has been very robust as I explained it is now Rs. 431 crores compared to Rs. 270 crores a year ago. So, if you look at the growth in SIP book is almost 60%. This shows a very strong granularity of our business. And if you annualize Rs. 431 crores by 12, it shows you an annual input value of Rs. 5,171 crores , which is almost about 10.5%-11% of our current AUM . So, that basically gives us the strong growth leeway

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SIP mobilized during the quarter was at a historic high & we mobilized almost Rs. 1,274 crores through SIP and another important point is, whatever the gross sales, which we did in the reported quarter , every second rupee came because of SIP. So, SIP is a very strong force for us in case of a lean phase or the consolidation phase of the market.

And that is the reason I think we were able to sustain our momentum. So, that was mainly about the SIP . I would love to take you to slide #33 which talks about our insurance business. So, we would like to emphasize on our emerging segment which is insurance. It now forms almost 8% of our total revenue. This vertical grew by almost 24% year -on-year. Two -third of the revenue from this vertical comes from Life Insurance and the balance comes from general insurance. Our point of sales person (POSP) network is a strong 6,800 people and we are relying on this channel to bring scale to this business.

Sequentially insurance numbers were down by 41%. So, I just wanted to briefly explain about the insurance as a segment. So, I can tell you about Prudent as an organization we analyzed last 4-5 years data. And if you look at full year 's revenue in case of insurance business - first quarter normally contribute 15 % to 17% of the revenue.

Then after another two quarters, which is Q2 and Q3 combined contribute 50% and last quarter is always significantly better, which is about almost 35% and that is the reason , normally Q 1

of

the current year is lower than Q 4 of the previous year.

However, if I consider the growth of insurance compared to last year , it is positive by 25% . If I compare it with the last quarter , it is negative by 41%, but we are very , very confident insurance we will be able to surpass our internal target 's. If I just give an indication , the business of July alone is better than April, May, June combined. So, that shows that there is a strong visibility on

the insurance side also.

So, I will just take you now to the slide #34, which is basically talking about the consolidated financials. So, if you look at the financials, our total revenue has grown by 43% year-on-year, laid by strong growth in mutual fund business. Operating profit has grown by 54% mainly because of higher revenue and the advantage of operating leverage. And that is the reason our operating margin has improved by 1.8% year-on-year to 25.0%.

Our profit after tax grew by 25% year-on-year & has grown a bit slower than the operating profit as you all are aware, last year in the month of November we acquired Karvy assets and for that we paid Rs. 151 crores. So, there are two major impacts because of Karvy asset-One is that we are required to amortize the Rs. 151 crores over a period of 10 years. Rs. 15 crores every year & one-fourth of that will come every quarter as an amortizing cost in our balance sheet which is a non-cash item. And second is because the Rs. 151 crores has been utilized for acquiring Karvy, so our treasury book has depleted from the balance sheet.

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So, these are the two impacts. These two things have a significant impact on the bottom line..

So, in spite of that, if you look at our return on equity has been around 30%.

This is all about the consolidated numbers. I think the individual number has also been provided, but before I conclude the entire presentation, I would just like to highlight couple of important points.

So, I think first important point I would just wanted to highlight that, we are in a business where we generate significant cash. We utilized this cash for acquiring Karvy assets last fiscal. Same way, very recently on 27th of July we signed a term sheet for acquiring the mutual fund distribution assets of iFAST India Private Limited for their mutual fund distribution business. It is a term sheet which has been signed. Exact clarity of how much assets which will come to our kitty, we will come to know only probably in next one-and-a-half to two months time because due diligence is going on. So, that is number 1.

Number 2, I wanted to highlight about our MFD distribution network. So, because of this strong value proposition which we have been providing to our distributor, it is leading to a more and more partners joining our network. As on 31st of March, almost 20% of country's IFA were empanelled with us and mutual fund distributors are the backbone of our journey and we are aggressively focused in increasing this network. We are of the view that A MFI has very recently came out with a campaign called Mutual Fund Distribution Shuru Kare, so I think that campaign itself will create lot of visibility & we believe a lot of people will start joining this industry. And we feel we are going to be the direct beneficiary of increasing number of distributor joining with the industry.

And finally I just wanted to say something on the growth outlook. So, we are opening the month of July with an AUM of Rs. 48,000 crores, which is 21% higher than last year's full year average. So, even though there was a market-to-market shortfall of 8% still at Rs. 48,000 crores we are higher by 21% than full year average and up over and above that I think July has been a very strong month for us. Our annualized SIP book which is close to

Rs. 5,000 crores is 10% to 11%

of our opening AUM. So, these are the two pillars I am just saying that we are running our book at a 21% higher AUM & SIP flows are adding to the growth.

Almost 45% of our distributors have joined Prudent bandwagon in last two years and we feel that they will become very matured and seasoned over a period of time which will add significantly to our growth potential.

So, there are three important parameters and last but not least, we are into a business which generates a lot of free cash flows and historically we have used this to our advantage to acquire Karvy & the recent being iFAST. I believe that more and more door might open for us and the cash generating capacity will help us to do in-organic acquisitions.

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However, we feel that organic growth itself is very strong. So, probably we believe that all these leaves us with a good growth legacy going ahead.

So, with this, I will just end the presentations and the discussions and I will keep the floor open for Q & A. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Prateek from Nippon India Mutual Fund. Please go ahead.

Prateek Poddar: Sir, one small clarification to begin with. When you say gross SIP inflow, how much is the difference between gross and net, if at all?

Sanjay Shah: So, you see the number of Rs. 1,274 crores quoted for the quarter, we actually collected Rs.

1,274 crores by way of SIP in the quarter. So, I think Shirish will be able to tell you.

Shirish Patel : So, basically if you look at the numbers what Sanjay Bhai has spoken about. It's a net addition SIP. But your question was how much was the gross and how much is the net. So, in last four months, if I talk about almost we have added Rs. 64 crores of new gross SIP versus that the net addition is Rs. 35 crores.

So, gross addition of new SIP is Rs. 64 crores, maturity termination and everything you can see was around Rs. 29 crores. So, net addition is Rs. 35 crores.

Prateek Poddar: But just to take this forward, when you say Rs. 431 crores is your monthly SIP, this is what you will collect every month? Is that a correct understanding? And when I say collect, it is not hitting the bank account but actually getting the money from the client so that is my question, one would be hitting the bank accounts or sending a NACH or a request and the other is actually collection, right?

Shirish Patel: So, there are two parts. Unlike the industry wherein the difference between SIP numbers reported and the money hitting in the bank account, there's a huge variation. What we follow is that if consecutively 3 installments are not coming, we terminate the SIPs in our system so that is why when we say that what is our SIP number and the number which is recovered from the bank account, almost that number is similar because as we say that every three month the installment is not coming, we terminate the SIP in our system unlike the industry.

Prateek Poddar: If you can give us a trend, generally, what is your termination ratio in the sense out of this Rs. 431 crores which we are collecting how much is it which in your view, is it a very minuscule number which gets terminated and mostly there is a high repeat rate of this Rs. 431 crores sustaining, that is a fair understanding, sir?

Sanjay Shah: So, basically the numbers what we are talking about is live number after the termination number. If you look at the historical number of the industry versus Prudent, I think every year our ratio, Prudent Corporate Advisory Services Limited

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the net versus gross number is always better than the industry. So, that says that our termination is far lower than the industry termination

number. If I give you the exact number since start of this financial year, as I said that Rs. 64 crores was the gross new SIP added & Rs. 35 crores is the net new SIP number. So, almost Rs. 29 crores SIP either got matured or some of them I think also might have terminated.

So, this also includes the maturities and this also includes the termination. This also includes the missed SIP installment what I spoke to you, 3 consecutive installments. So, if you look at the termination ratio in new SIPs in this financial year is 40%.

Prateek Poddar: Sir, just from a just from my understanding, we've seen a sharp rise in employee cost. Obviously I'm assuming this is because of Karvy not being in the base on a YoY basis. That is a fair understanding?

Management : So, Prateek, I think the employee cost has gone up by 24% YoY. One important parameter is that our employee count increased in last one year. Second is that, 11% to 12% is the natural increment 's which came in. Also other reason for increase is that we made a little bit higher provisioning on the variable employee costs front because last year if you look at 4QFY22, we needed to provide for higher employee cost as we were a bit under-provisioned. So, keeping that thing in mind, we increase little bit higher provisioning for the current year.

Sanjay Shah: So, roughly, I think you can attribute 50% of the cost escalation to increase in the manpower & balance 50% is due to increments. We added 90 employees in last one year.

Prateek Poddar: And lastly sir, just on the new transaction where you have signed the term sheet. Is that again a B2B2C business which you would be acquiring?

Sanjay Shah: So, basically, yes, if you look at the iFAST business they are also into the B2B2C business. Almost 97%-98% of their AUM is B2B2C. So, the portfolio of iFAST and portfolio of Prudent is exactly the similar, so it was a good fit for us.

Prateek Poddar: Sir, is there a branch overlap also over here, which means there could be synergy benefits coming out of costs?

Shirish Patel: So, basically we are only acquiring the mutual fund AUM, we're not acquiring any manpower or branches. To all the places where iFAST was present, our branch is already there & we don't need to open any branches or add any manpower. It's simply the AUM acquisition without adding a single cost.

Prateek Poddar: And the MFDs come with that, right?

Shirish Patel : Yes. So, first iFAST has a good amount of MFDs. There will be some overlap between Prudent and iFAST, because many of the iFAST distributors might have joined Prudent earlier also, but Prudent Corporate Advisory Services Limited

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still there would be a few hundreds, I would say at least who were not working with Prudent.

So, obviously, I think that is an addition for Prudent.

Prateek Poddar: Got it and just sir, sorry just from a clarification perspective. On slide 18, is it that you have a individual insurance POS also?

Shirish Patel: If you talk about this particular slide, out of our total insurance POS of 6,800, almost 3,300 is the overlap with the ARN holders. So, now what happens that out of our ARN holders almost 3,300 guys have converted into the POS. As you would be aware that as per IRDA guideline, the person who's already holding the insurance license cannot become the POS.

So, those ARN holders who are already working with Prudent and they themselves are the insurance license holder, they cannot take the POS in their name. In those particular cases, most of the time they take the POS code in their family's name, their wife or their family member's name. So, normally we don't go out and acquire the POS. It is only the Prudent system distributors which are in approach, So, the remaining guys would be the family member of the ARN holders.

Prateek Po

ddar: Perfect, clearly helpful. And last question, sir, how should I think about mobilizing lump sum in close? I think this quarter also if I were to see there has been some mobilization of lump sum flows apart from SIP, any thoughts? How should we think about that?

Shirish Patel: So, basically, if you look at the gross flows of the industry in the first quarter was lesser compared to what it used to be in the Q4 of 2021-22. But at the same time, the redemptions are far lower in the industry and also for Prudent. If you look at the net sales to the gross sales ratio for this quarter was superior compared to what it used to be in the last year.

One reason you can attribute to the lower gross flows maybe due to the market sentiment or the lower returns in last one or two years. But some part also you can attribute to no NFOs during the last quarter. So, these two reasons I would say that you can attribute to the lower flows on the gross sale side.

But having said that, the net sales on the monthly run rate basis are superior to the last year's average net sales.

Moderator: Thank you. The next question is from the line of Ronak Chheda from Awriga Capital. Please go ahead.

Ronak Chheda: I have a basic question on the industry itself. We have seen the listed AMCs talk about the commissions in the industry going higher in the last two years. So, what, in your sense, is the status of the industry itself? Is it higher? First, and if yes, then where this number should settle at?

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Sanjay Shah: So, you are saying that the brokerage expenditures or commission payout of asset management company has been increasing. That is the question. If I understood that, if you look at entire industry has moved to a full trail model from April 2019 and before that the model was you pay a higher upfront and a lower trail over product's time.

And whenever the assets are getting churned, they are entering into a higher trail. And that is the reason I think this entire impact is happening on the AMC side.

By and large I believe, and I just looked at some data also, almost 67% of the industry assets is new post April 19 including mark-to-market. So I believe, a large part of impact has already happened at AMCs & incrementally the pressure should reduce.

Ronak Chheda: So, from a pricing point of view, it is not that the commissions have gone up, it is just because of the new model this is the impact right? So, for us, this commission which we are earning should sustain at these levels. Would that understanding be correct?

Sanjay Shah: Whatever we are earning, there are two parts. One is the new business which accrues to us at a newer rate that might be higher or lower based on the current AUM of the asset management company. As far as the current book of 50,000 is concerned, which you are looking at there will not be any change of payout's into that.

Ronak Chheda: Just my last question is that, as you mentioned because of the tier schemes some AMC can afford to pay higher commission and some cannot because of the scale. But in the last two years, we have seen some of the AMCs like Mirae, Axis have just scaled up in terms of AUM.

Sir, are you seeing any recalibration of commissions from those AMCs, which are anyway ended performing better?

Sanjay Shah: So, basically if I understood your question correctly, you are saying that the AMCs which are attracting AUM, their schemes have grown far higher and higher and their commissions are now reducing. Is my understanding right? That is what your question is?

Ronak Chheda: Their commissions were higher earlier and I am just asking, have that commission come down now because they are also had some Rs. 30,000 crores scales on large cap schemes, et cetera?

Shirish Patel: Yes, so obviously as

Sanjay Bhai has stated the commissions are decided when we log in the new transactions. Now whatever, would be the commission when we sourced the business earlier, our rates are locked-in and as you said that at that time the commissions were higher. So, obviously on our AUM, whatever business we would have done that time the commission rates are frozen. Now the scheme sizes are getting big, and so obviously on their new business they would have reduced their commission structure.

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So, when we do the new transaction in the same AMC, when the scheme sizes increases, the new transaction will come at a lower trail. But the business which is already locked in that still will continue at the previous rates. I hope I have addressed your question?

Ronak Chheda: Yes, sir.

Moderator: Thank you. The next question is from the line of Lalit Deo from Equirus Securities. Please go ahead.

Lalit Deo: I just wanted to understand on the commission side. So, despite the absence of NFOs in the last quarter, like there has been a sequential increase on the distribution of MFD yields. So, what would be the reasons for the same?

Shirish Patel: I think if anybody is assuming that because of NFOs distributors are entering in the industry, I think that perception may be wrong. We believe that more and more people would like to enter the mutual fund industry which will keep the growth of MFDs robust.

Second, the positioning of Prudent as a platform in the industry is becoming stronger and stronger, more and more MFDs who are currently working with the AMCs directly, they also have started feeling the importance of platform and that is where even we are also placed in a better way. So, there also we see the growth in the number of MFDs. So, our growth in distribution or the MFD reach is mainly because of Prudent positioning as a platform is becoming stronger and stronger and more and more people are entering in the industry. So, having an NFO is attracting more and more distributors, I think that perception may be wrong.

Lalit Deo: No sir. So, I wanted to understand on the yield different or yield side. So, like if we see the yields on the mutual fund distribution, so that was about 90 basis points in last quarter and this quarter it was about 93 basis points. So, wanted to understand the reasons for the same?

Sanjay Shah: Just wanted to highlight that there were some reversals of karvy income in preceding quarter to the tune of Rs 3.57 crores leading to a favorable base. Also, preceding quarter containing months of Jan, Feb, March is a 90-day quarter and revenues are earned for 90 days. So, if you normalize these two factors - yields were flat sequentially at 93-94 basis points.

Lalit Deo: And sir, like could you highlight the difference between the yields on the NFO as well in comparison to the existing close which comes to our business? And like how has that trend been in the last one year?

Shirish Shah: That depends on the expected mobilization of the fund. So, even between NFOs, the NFO which is expected to collect more money - there the gross yield is lower. At the same time, when the expected collection of the NFO is lower - there the gross yield is higher.

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Now obviously you also can understand that when the NFO is going to collect more and more money, the payout to the distributor would be low. So, that is the reason I said that it is a myth that average yield of a distributor would increase drastically by mobilizing huge amount of NFOs because where we are getting more brokerage, the gross collection of that NFO's would be low. Hence, the weighted average yield of the NFO is not significantly different compared to the open-ended ongoing schemes. But

yes, it helps to increase the gross yield a little bit, but the perception I think may not be exactly right.

Moderator: Thank you. Next question is from the line of Nidhesh Jain from Investec. Please go ahead.

Nidhesh Jain: Two, three questions. So, firstly on NFO. When we get our AUM and in the first year the yields are higher or whatever AUM we have acquired through NFO each are higher on that AUM till that agent will last in our book.

Shirish Patel: So, normally we work with the perpetual trail rate with all the AMCs. So, our yield in the first year and the third year and the fourth year remains the same.

Nidhesh Jain: Even the NFO?

Shirish Patel: Even in the NFO, yes. So, normally we always believe that we do not want to work simply looking at the first-year higher yield. Of course, I think there will be many distributors in the country who would prefer the first-year higher trail and then the step down trail commission. But in our business we always believe in the perpetuality rate, so it may happen that my first-year rate may be lower compared to a few distributors, but we always believe in the perpetual

similar rate.

Nidhesh Jain: Secondly, you mentioned the 67 % of industry AUM has now become new pricing ? What is that percentage for us?

Sanjay Shah : What is the 65%....

Nidhesh Jain: I think you mentioned that 67% to 70% of industry AUM now come at new pricing. Which is it's?

Sanjay Shah : I was trying to understand still is there impact left on the AMC business because that is the question people are asking time and again. So, I looked at what is the mark -to-market on the industry post April 2019 and what is the gross sale of the industry post 2019 and if I sum that I think almost 70% or 72% of the AUM has already come to a new price . So, I think there might be lot of assets which may not churn so incremental pain to AMC would be very low. However, as far as Prudent is concerned our pricing is already there whatever you are talking about 94 basis points of revenue yields will remain constant .

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Nidhesh Jain: Entire AUM has become to new pricing for Prudent ?

Sanjay Shah : I think in our case still there is a positive impact left on revenue yields because Karvy's entire assets are earning 65 basis point compared to our assets which are yielding 94 basis point. So, once assets churn, they will earn higher yields. Secondly, 20%- 22% of our assets are older assets and as and when they churn, we might get a better yield .

But I am just trying to say that a current yield should remain as it is because incrementally you might see some churning happening on the Karvy side and on our old assets . While, the new business might come at 1 or 2 basis point lower. So, we assume that our yield should remain steady for next one year or two year's.

Nidhesh Jain: Thirdly sir on the MFD what is the value proposition that we provide versus MFD tying up with AMCs directly what is the value proposition that we provide and in that sense how is the commission structure for our MFD, so is it same across both of these options but tying up through us or directly through AMC?

Shirish Patel : So, we have already given the benefits which we give to the MFD on the slide#16 . So if you refer slide#16 project it will tell about our offerings. But to sum it up, I will say as a MFD if I go to the AMC directly obviously there is a lot of time requirement to negotiate, to discuss and understand the offering for various AMCs. For any kind of service requirement the distribution might have to reach to different AMCs . However, when he comes to Prudent obviously it is a one stop shop for all the mutual funds. In addition to that multiple products are available in the single platform with Prudent . If the person deals with AMC directly obviously he will

I not be

able to offer all other product while in Prudent they are able to offer all the products. And most important benefit you talk about is the technology offering. We help the distributor to acquire a client, to service the client and grow the business by controlling or reducing the operating cost which probably you might not get from the AMCs. You might have to invest in the infrastructure and all these things if you are directly dealing with AMCs . So, at Prudent our value proposition is that we help in increase the productivity, we help in increase the wallet share, we help in reducing the operating cost and hence deliver a higher net revenue for the distributor . So that is our value proposition, but to get more details I would ask to refer slide# 16.

Nidhesh Jain: And from a commission standpoint he will be getting lower commission?

Shirish Patel : I think when any MFD joins us I think you always say that my commission may be lower by 5 basis point, 10 basis point when you compare with the industries or when you deal with AMCs directly, but look at the value proposition what we offer to them. So, obviously I think our commission maybe little lower compared to what they get from the AMCs directly.

Nidhesh Jain: And lastly on the POSP and in insurance, what I understand is that POSP does not make money for the distributor. So, definitely agents will make money, but distributors are passing all commissions to POSP?

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Shirish Patel: So, basically we are not in that game of growing the business at lesser revenue. So, the way we are working on the mutual fund vertical by maintaining our margins the similar philosophy we also have in the insurance business and that is the reason you would have seen that all our POSP we are only recruiting from our set of distributors who are working in the mutual fund either directly the ARN holder or their family members. So, we are not in a game of acquiring POSP by offering higher commission's. We try to give this particular rate by offering the better service and maintaining our margins. The same way we are doing in the mutual fund.

Nidhesh Jain: On net basis still we are making some commissions there?

Shirish Patel : So, we are making money in that business.

Moderator: Thank you. The next question is from the line of Alok Kumar from UT Asset Management. Please go ahead.

Alok Kumar: Just wanted to know the MF AUM that we will acquire from iFAST?

Sanjay Shah : How much AUM we will acquire that is the question?

Alok Kumar: Yes.

Sanjay Shah : That is the reason I just say at the beginning that as a process what iFAST has done is that they have kept the window open for the current mutual fund distributor if they want to go with Prudent or not. If somebody who does not want to go with Prudent they are going to issue NOC to those people. Once that window is over, whoever has agreed to come to Prudent, statutorily the letter will go to all the investor saying that iFAST is transferring the assets to Prudent's code ARN9992 -do you want to go or not? So, entire process I assume would be about more than a month or 45 days and after 45 days only we will come to know that what has finally come to our code. So, I think it is going to be speculative for us to give you any figure currently.

Alok Kumar: What is that existing AUM right now?

Sanjay Shah : iFAST.

Alok Kumar: Yes.

Sanjay Shah : So, currently iFAST is about 2,000 crore of AUM and MFDs having some Rs 800 -1,000 crore of AUM has already asked for NOC and residual amount probably now could come under our code. You can say 1,000 crore is available for the transfer to Prudent code in current situation.

Moderator: Thank you. The next question is from the line of Dipanjan Ghosh from Citi. Please go ahead.

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Dipanjan Ghosh : Sir, just a few questions from my side first is that if you can give some color on the yields coming on from the existing schemes versus the yields that are there on your book current, so for example, if the yields on existing schemes of around the AMC or let us say whatever basis point 80, 90 basis point on the new sales what will be the yields that you are getting and second question and most of our structural perspective over the period of time you are seeing that some of the larger distributors are becoming larger or their dominance is increasing, so to that extent how does Prudent fit into the overall picture and how does the bargaining power of the distributor with respect to the manufacturer change over a period of time and third more of a data keeping question you give the mix of your insurance business between life and non life, if you can also kind of break it down into the different product segment if not maybe number wise or maybe more from the understanding perspective and lastly on the MF business have you seen any change in the average duration or tenure of customers holding a particular mutual fund before kind of churning and is there any difference between the different customer cohorts based on new age customers or old age customers sort of out there those are my questions?

Shirish Patel : So, as Sanjay bhai already said that let us understand the total yield or the average yield on the current book has got three components. One is the AUM prior to April 2019 where the yield on the book would be lower, so any assets what we mobilize till March 2019, the yield on the portfolio would be lower. The yield on the portfolio after April 2019 to June 2022 - the portfolio yield definitely would be decent. Third component of our yield on the book is the Karvy's AUM.

So, Karvy's AUM is almost 20% of our AUM and the yield on that particular book is very less compared to our yield on the book. So, mix of all the three is given in the financials.

So, today if we look at our yield on the new business and the yield as a AUM is almost similar because as we say the bigger component of the three is the new business after 2019 to 2022 which is helping us to increase the yield, but at the same time certain portion of pre 2019 and some portion of Karvy's assets is bringing down our yield on the book, but when you look at the weighted average from the current AUM and when you look at the weighted average yield on the new business is almost similar. Rather than new business yield is little bit higher than the book in the current scenario, but that might not be the case after few years, but currently the new book yield is higher than the average book. So, that is the first question.

Second, you are saying that the bigger guys are becoming bigger and bigger and that is the trend which we are seeing. First we said that more and more people are coming to the mutual fund industry. Second, even we would say that recently AMFI is doing the campaign to bring in more and more MFDs by new initiative called MFD Karein Shuru so that also is going to help the industry to get more distributor and third importance of a platform amongst IFAs or MFDs will be increasing.

So, that also will bring existing distributor to Prudent platform and that kind of consolidation is expected to happen over a period of time and with volume the bargaining power obviously come.

So, that obviously has helped Prudent to increase the gross yield on the portfolio. Having said that, can we increase the yield because of the bargaining power over a period of time? I believe.

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industry is also at a peak level and we are also at a peak level. So, we do not see a great amount of improvement in the bargaining power incrementally.

Third question what you asked about a mix

between life and non life we would say that almost

two-third of revenue comes from insurance business & balance from general insurance. We are only and only into the retail products. Life insurance, we are mostly into term and the endowment plans. On the general insurance side, pre-dominant part of revenues revenue comes from retail health insurance

Last point you asked the average holding or the churning or the behavior of the investor. I would say that till 2019 or rather I would say that till recent period the industry churn was little higher because the commissions structures were higher first year, lower second year or third year. So, obviously major distributors were trying to churn the portfolio. Now we assume that it would be definitely in the advantage of the distributor to continue the investment for a longer term. Even the clients are also not interested to churn the portfolio so frequently. So, we believe that over a period of time the churn in the industry will come down drastically, but we have not seen this in the recent phenomenon, but in the medium to long term our understanding is that the churn in the industry will come down.

Dipankar Ghosh : Again I have just one follow up on your first question let us say today I am an investor who invests in one of the existing schemes of an incumbent AMC. On this new flow even certain yield side can be 80, 90, 100 basis points, now how often are these yields renegotiated with the manufacturers on a going concern basis and secondly if I just look at the second portion of your yield which is from April 2019 to let us say till March 31, 2022 if I compare that blended yield versus the yield on the equity assets that you are earning today, how would this to compare I think these are just the two follow up?

Shirish Patel : So, we used to look at these things in two perspectives. First you say that what frequency we negotiate the rate with the AMC. So, rate negotiable is never on the existing book. So rate negotiation is always on the new business. So, whatever our AMCs provide us on the new business today, thereafter there is no negotiation or the discussion on that commission forever. So, the rate negotiation does not happen regularly. Secondly it is always a broader understanding between we and the AMC so negotiation also does not happen so frequently. Third point on the new business the commissions are adjusted every month. So, if the AMCs scheme size is increasing let us say compared to last year -AUM is higher. So, obviously on the new business our commission would be lower. So, by default because it is sharing on the TER. So, obviously on the new business the yield will come down. So, to take it the same thing on the next question what you asked that what would be the blended yield after April 2019 to June 2022 On our existing book, the yield will remain constant. On the new book, the rate will depend on the AUM of the scheme & its TER So, on that basis you can say that the weighted average yield of the Prudent book only for the period April 2019 to June 2022 would be little higher compared to the new business yield in the month of July so that is logical answer, but one should note that Prudent is not in a B2C business. Prudent is in a B2B business. So, any drop in my gross yield obviously Prudent Corporate Advisory Services Limited

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proportionately we also are able to pass it on our distributors and hence we are able to maintain our net yields.

Moderator : Thank you. The next question is from the line of Harshit Toshniwal from [Inaudible 51:36]. Please go ahead.

Harshit Toshniwal : Sir my question is regarding the distribution sharing in some distributors now I wanted to understand that, for example, if a new person comes and he has a AUM base structure around 5 crore, 10 crore then what would be our sharing be, so currently I think if we get a 95

basis point

we pass around 56%, 57% of the overall income within, but as per example if that limit that AUM of the sub distributor is more than 50 crore then the sharing of that AUM distributor increases and what is the peak sharing with which we should assume. So, if there is a 150 crore sub distributor, what would be our sharing with him compared to in the earliest game?

Shirish Patel : One should understand that almost 10% of our AUM is direct AUM. On this AUM, we do not pay anything. So, if you ignore the direct AUM revenues, our sharing would be in the range of 67% to 68% Second is the sharing with smaller guys and the sharing with the bigger guys definitely would be different. In our system there are 10 different structures available based on the AUM. So, sharing would differ with a MFD having a one crore AUM & with those having a 5 crore, 10 crore, 50 crore, 100 crore & 200 crore AUM. The graded structure is helping us to

retain the distributor & to remain competitive versus the industry. At the same time one should also understand that on a ongoing basis we recruit 5,000 - 6,000 new distributors in our kitty. So, when the new distributor comes to Prudent his sharing is the least. So, as we grow in the business more and more people also joins us at the lower sharing ratio and that also helps us to keep our sharing ratio under control even if more distributors move to the higher AUM.

Harshit Toshniwal : The reason I asked this is because I clearly understand that there will be influx of new AUM which is the lower ticket size one which will help, but say when I look at FY21, 22, 23 the Q1 part so that number and I am taking a total number because you do not have that lead between B2C and the other way round that number has increased from so it has been increasing by 100 basis points every year, so which is why just directionally should we assume that at least that commission in fee expense line item that sharing should gradually increase to a number around 60%?

Sanjay Shah : No, sorry I think you look at basically we do not publish the AUM between B2B and B2C.

However, I can tell you the trend B2B has been steadily growing in our system. If I look at the share of B2C before four years it was almost about 22% which has now come down to below 10%. So, what Shirish explained that overall sharing ratio has remained more or less steady in the range of 68% to 70% of whatever we received to the B2B players. However, the sharing percentage is increasing because the B2C component is coming down.

Harshit Toshniwal : The second question sir I think obviously it is not something which is going to happen nearby, but SEBI has regularly been trying to push the RIA model and the way I mean the current form

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of business for most of the players are more into a grey area. If RIA comes distribution in models, so what are your thoughts on this I mean do you see this as a risk if at all and if we see then how do you think that we are going to manage it if SEBI becomes more tight, if SEBI tightens this part of the regulation?

Shirish Patel : So, I think if you look at the thought process of SEBI and AMFI's recent initiative of Mutual Fund Distribution Shuru Kare which aims at increasing the distributors on the ground. I think the importance of distributors who is earning the commission from AMC is definitely not undermined by the regulator nor by AMFI.

So, probably distributors are going to exist and probably that strength becomes more and more stronger from hereon. I think the RIAs specifically Fintech platform has been doing significant quality job of bringing lot of people to the industry. However, as you aware that they are not playing a role of RIA, their execution only platform and hence SEBI has already came out with new consultation paper of turning all of them

as an execution only player rather than RIAs. So, probably once that happens you will see this platform are going to play a role only of an aggregator wherein we believe that once somebody AUM reached to a certain size they will definitely need an advisor.

So, bottom line is role of advisor is something which is important in the matured market like you talk about US or any other developed market and people realize the importance of distributor and we believe that as more and more people join the industry the distributor become more and more critical. So, the point is everything will coexist, SEBI is probably trying to make the role of current Fintech platform more clearer by way of that consultation paper, but they did not want to force RIA on distribution.

Harshit Toshniwal : Just one thing I mean I clearly understand that point I am just seeing that for most of the individual distributors officially they are not RIAs, they all are distributors, but there is some or other form of advice in which happen. Now which is where I think I am talking more specifically to a business like us or MFD where we give some advice as to which mutual fund or which product is a better one, but still because of all the complications we will have to showcase ourselves as the distributor rather than RIA that part is something what is there which is why I am thinking that it becomes very stringent that there will be a separate RIA and separate distributors then how would our distributors work?

Sanjay Shah : If you look at the regulation as a distributor I am supposed to give incidental advice and within incidental advice I am supposed to do the risk profiling. I am supposed to assess suitability of the product and I need to accordingly advice. So, the role of MFDs & RIAs is not different. Only thing which is different between MFD and RIA is MFD should earn commission from the manufacturers, RIA should not give any product which has inbuilt revenue -he/she should only charge the customer.

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Moderator: Thank you . Next question is from the line of Abhijeet from Kodak Securities . Please go ahead.

Abhijeet: I have this one question . Little bit of an extension to Harshit's question . Do you maintain like a focus list or a recommendation list for your plan?

Sanjay Shah: So, we provide a broad list which is based on our internal parameters . We have some 10 to 12 parameters & based on that, we provide a broad list of 50-60-schemes . It is not like banking where in the list is of just three, four or five schemes . There is a broad list of 50 -60 schemes which we provide .

Abhijeet: And generally, let us say, if I exclude the NFO related flows, what is the general share of overall flows in these recommended funds? And if there is any other list outside of it while you try to balance out with, let us say, higher commission funds who are providing higher commissions?

Sanjay Shah: So, we basically give a focused list which is almost over 50 -60 funds and almost 70%-80% of the business must be coming into that only. However , please understand our role is to probably make our distributors significantly strong from the point of providing information, research and whatever is required which they can use for the purpose of advising his customer . However, our advisors are free to choose the schemes on their own, because at the end of the day, they are the one who chooses and who are advising the customer and they are answerable for that as far as advice is concerned .

Abhijeet: Could you mind disclosing the share of let's say top three AMCs for us in the business ?

Sanjay Shah: So, basically it is in the line with the industries market share. So, obviously I think top five or top three players in the industry is almost the same player with us as well.

Of course, the ranking might be different .

The number one player in the industry might be #2 ,

#3 in my system, or vice versa. But Yes, I think we are representative of the industry only.

Abhijeet: Okay, but you don't disclose the names of the industry?

Sanjay Shah: No, we don't disclose .

Moderator: Thank you . The next question is from the line of Vinod Chandra Agrawal , individual investor.

Please go ahead.

Vinod Chandra Agrawal: I have two questions . One is that we have shown like our pie chart for our revenue from the insurance and different like broking and mutual fund products. So, do we like, can you share that type of a pie chart for the profit related , like how much profit percentage of the profit comes from the stock broking and how much is from the insurance and how much from the mutual fund products ? Like, I just want to understand like how much is like contributing by the insurance
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product ? Like in the revenue terms you have shared but wanted to know about in terms of the profitability ?

Sanjay Shah: So, actually we are not doing this segment reporting so the segment wise profitability has not been provided. But I can tell you the bifurcation which is already provided by us in the consolidated numbers. If you look at out of Rs. 126 crores of revenue, Rs. 112 crores came from mutual funds. Rs. 7 crores or almost Rs. 8 core s came from insurance and about Rs. 4.2 crores came from broking and Rs. 2.7 crores came from all other products. What is published is only the segment wise revenue. However, I can just tell you , as far as all non mutual funds , so if you look at it from the point of setup , I think stock broking is a standalone entity where we have the separate manpower, separate branch, separate offices.

However, insurance is the business which is we have the significant overhead which is absorbed by the parent and hence, in case of insurance, whatever is our top line more or less, it goes to our bottle line rather than the employee cost. But segment reporting is not there.

Vinod Chandra Agrawal: And the second question is about like as you know, like , do we have any plan to become the AMC? Because like our competitors are also doing the same way like initially they have been the distributor and then moving into the AMC. So, do we have any plan to become the AMC?

Because distribution gives us a good opportunity to become the AMC as well ?

Sanjay Shah: So, as of now, we do not want to do any backward integration. I think probably with more and more people entering the manufacturing space, we believe we want to remain independent as far as distribution is concerned . So, at least for the near future we want to remain a pure distributor only.

Moderator: Thank you . I will now hand the conference over to the management for closing comments .

Sanjay Shah: Thank you very much , everybody . I hope we could be able to address all the queries. If you have any questions , you can reach out to either Equirus or to Parth and we will be able to happily address your questions. Thank you very much for your time . Thank you.

Moderator: Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Nov 2022

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Date:
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The National Stock Exchange of India Ltd

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Dear Sir/Madam,

Sub.:

Transcript of the
Earnings Conference Call

for the Quarter ended

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September

, 2022

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With reference to our

earlier intimation No.

PCASL/

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dated

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in terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015, we are enclosing herewith the transcript of the

Earnings Conference Call

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November
, 2022 at
11.00 am (IST)

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The same will also be available on the website of the Company at
www.prudentcorporate.com

Please take the same into your records and do the needful.

Thanking you,

Yours Faithfully,

For,
Prudent Corporate Advisory Services
Limited

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Company Secretary

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Encl: A/a

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"Prudent Corporate Advisory Services Limited
Q2 FY-23 Earnings Conference Call "

November 02 , 2022

MANAGEMENT : MR. SANJAY SHAH – CHAIRMAN & MD, PRUDENT CORPORATE ADVISORY SERVICES LIMITED
MR. SHIRISH PATEL – CEO & WHOLE -TIME DIRECTOR , PRUDENT CORPORATE ADVISORY SERVICES LIMITED
MR. CHIRAG SHAH – WHOLE -TIME DIRECTOR , PRUDENT CORPORATE ADVISORY SERVICES LIMITED
MR. CHIRAG KOTHARI – CFO, PRUDENT CORPORATE ADVISORY SERVICES LIMITED
MR. PARTH PAREKH – INVESTOR RELATIONS , PRUDENT CORPORATE ADVISORY SERVICES LIMITED

MODERATOR : MR. ROHAN MANDORA – EQUIRUS SECURITIES

Prudent Corporate Advisory Services Limited
November 02, 2022

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Moderator : Ladies and gentlemen , good day, and welcome to the Prudent Corporate Advisory Services Limited 2Q FY23 Results Conference Call hosted by Equirus Securities Limited. As a reminder , all participant lines will be in listen-only mode , and you can ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Rohan Mandora from Equirus. Thank you , and over to you , Mr. Rohan .

Rohan Mandora: Thank you , Mike. Good afternoon , everyone. Welcome to the Q 2 FY23 Earnings Call of Prudent Corporate Advisory Services Limited to discuss the quarterly performance. To address queries, we have with us from the management Mr. Sanjay Shah – Chairman and MD. Mr. Shirish Patel – CEO and Whole-Time Director , Mr. Chirag Shah – Whole-Time director . Mr. Chirag Kothari – CFO , and Mr. Parth Parekh – Investor Relations. We will begin with a brief management commentary followed by questions and answers. Thank you, and over to you, Mr. Sanjay Shah .

Sanjay Shah: Thank you , Rohan.. First, let me welcome everybody to the earning call of Prudent Corporate Advisory Services Limited for the second quarter of fiscal 2023.

This quarter has been really special for us because we crossed the landmark of 50 ,000 crores of assets under management which has been historical for us. Also, as per AMFI ranking , based on commission earned, we improved our position by one notch in ranking, and we've become the second largest non-banking mutual distributor in the country. All the efforts which we would have put in for the business have been reflected in last quarter's numbers wherein we recorded the highest revenue and highest profit in our existence. I hope you all will have the presentation copy handy with you , which was uploaded on the exchange yesterday. So probably in the discussions , I'll be giving references to the various slides of the presentation.

I'll request you move to slide #35.. So, if you look at slide #35, it's a slide that talks about our closing AUM . So, as you all are aware , Prudent being a prominent player in the mutual distribution , asset under management is a very significant number for us. Our closing AUM in the last quarter has increased 35% year-on-year to 52 ,770 crores. On a quarterly average basis , our AUM has grown by 41% on a year -on-year basis to 51 ,600 crores . And as you see in this slide , in fiscal '23, we are currently running at an average AUM , which is almost 30% higher than FY22 numbers , so FY23 is expected to remain very robust in terms of top-line & bottom -line growth.

Slide #36 talks about the variables which has helped move the equity AUM on a year -on-year basis as well as on a sequential basis . Our growth is comprised of two important parameters . One is the new business we bring from our investors through our channel partners and the second being market -to-market gains. So, these are two important parameters .

Equity AUM has grown by 41% year -on-year led by healthy growth in net sales & acquisition of Karvy.

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On a sequential basis, our equity AUM has grown by 14%, with a substantial movement being led by mark-to-market as far as last quarter is concerned.

However, on a trailing 12 months basis, if you look at the mark to market, it has been very muted, only 3%. So, one of the major parameters of our AUM growth on a trailing 12-month basis has been slightly subdued.

Net equity sales of the first half are almost 2,735 crores, and we are in line with our guidance to achieve

net sales of 5,000 crores. Rather we are of the view that if you simply annualize this, we probably will be in a position to surpass our target of 5,000 crores of net sales.

Now request you all to turn to page # 37; I would like to point out that despite all the noise around fintech, our market share in Equity AUM ex-ETF, normally we do not track ETF because if you look at ETF is mainly the segment which is looked at by the institutional investors and we strongly represent India's retail investor segment. So, if you look at our Equity AUM, ex-ETF, our market share has improved to 2.4% from 1.9% a year ago. Our equity mix has also improved significantly by 3.4 percentage points on a year-on-year basis to 94.1%.

Another important parameter if you look at our business is the SIP. And our monthly SIP flow for September month was very strong at 456 crores when we compared to 307 crores a year ago. So, almost close to 50% growth has come on our SIP book, which is a very strong pillar for us. So given the strong traction on SIP, we expect our gross flow from SIP to be close to 5,200 crores in FY23. The collection from SIPs will be around 13% of FY23 opening AUM, which is providing us very strong visibility of the organic growth.

The SIP mobilized during the quarter was at a historical high of around 1,324 crores in the last quarter. Every second rupee we collected through gross flows, came from SIP. So, 50% gross flow contribution has been from the SIP, representing our AUM's granularity.

Slide #38, emphasizes our emerging segment insurance, which formed around 9.5% of our total revenue for this quarter. This vertical has been growing at a faster pace year-on-year. Two-thirds of the revenue from this vertical comes from Life Insurance and the balance comes from General Insurance. Our POSP network is also becoming stronger day by day, and at the end of September, we had 6,992 POSP working with us and we are strongly relying on this channel to bring scale to this insurance business.

Slide #39; talks about our consolidated number. Our revenue has grown by almost 40% year-on-year, led by strong growth in AUM and a change in mix towards higher yield equity AUM.

Operating profit growth was 58%, higher than the revenue growth led by operating leverage. Our operating margin expanded by 3.22% or 322 basis points to 27.2%. Our profit after tax grew

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slightly slower than operating profit growth at 41%, mainly led by higher depreciations and lower income.

As you all know, last year, we paid 151 crores for acquiring Karvy assets, and the 151 crores we paid are required to be amortized for ten years equally. So, the 15 crores will come as a depreciation every year. So, two impacts come because of this - One is the treasury available with the company has been utilized for acquiring Karvy, so there is a dip in other income. And second, there is significantly higher provisioning on the depreciation side because of the amortization of Karvy assets. So, depreciation increased by three times, led by the amortization of Karvy assets, which we acquired in November '21.

Our annualized return on equity in the first half stood at 33.5%, which is very healthy. Another important parameter we want to highlight is the cash flow from operations. Cash flow from operations generated during the first half is almost 43 crores. We urge analyst to track our cash flow from operations because whatever we paid for acquiring Karvy will be amortized over a period of next ten years. But 15 crores is going to be additional cash which is available to us every year. So that's the important parameter. This is basically about the consolidated financials. In this process, I just wanted to highlight one point as a company that regularly

generates

significant cash, we are always looking for inorganic growth and in pursuit of our growth we acquired Karvy Mutual Fund assets aggregating to 8,100 crores in November '21. We also made another strategic acquisition in July. The company signed a term sheet on July 27 to acquire the mutual fund AUM of iFast Financial India Private Limited. Till last month, we got

approximately 500 crore s through this acquisition and based on the term sheet, we assume that we might be required to pay 2.65 crore s for this acquisition. Already 1 .63 crore s have been paid by us in advance. If you look at the cost we paid, it's hardly half a per cent , so it's a very good acquisition for us . Even though the amount is very small , it will add a large number of retail IFAs and retail assets. So , this is broadly about the numbers.

Before I open the question -answer session , I would like to briefly touch upon the growth outlook . There are four main growth drivers for us.

So, #1 would be the continuous addition of mutual fund distributors . As you know , we are a unique B2B2C platform in the country. As a business strategy , we are focusing aggressively on adding more and more mutual distributors who are the backbone of our business. As on March 31, we have 20.4% of the country's MFDs associated with us. So that shows how strongly mutual distributors are reposing trust in us. In the first half of '23, we added around 2 ,600 new MFDs. There is an increasing need for mutual fund distributors to collaborate with a tech -based platform to service their clients , and we are capitalizing on this opportunity. As more and more MFDs join the industry , we expect the incremental benefit to accrue to our company.

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Looking at the 2 ,600 people being added in the last six months , we believe that we could add a total of about 5 ,000 distributors to our kitty in the full year .

#2 of our growth drivers would be cross -selling other products using our strong network of mutual fund distributors . So, as you are aware , we are moving from a single -product distributor to a multi -product distributor. Our multi -product distribution platform has helped us to capitalize on our vast MFD network. Our multi -product platform has also acted as a great value proposition for our mutual fund distributors to join us. So far company has converted 6 ,992 existing mutual fund distributors or their family members as a point of sales persons who can also sell insurance products apart from other financial products. In this quarter , insurance revenue formed 9.5% of our total revenue.

Now third would be building a strong SIP book by encouraging and educating our mutual fund distributors to build granular flows. So, as I said , ours is a unique B2B2C positioned retail wealth management company , which has helped us build our granular flows through SIP. Our monthly SIP flow for September was 456 crore s. As I said, every second rupee of our gross equity flow came through SIP . Given the strong traction of SIP, we expect the gross flow from SIPs for the full year to be 5 ,200 crores , which is almost 13% of our opening AUM . So, SIP is strong organic growth driver.

And, finally , the cash we regularly generate in the business & effective utilization of cash for inorganic growth opportunities . We will always be ready to look at and explore the possibilities for inorganic acquisitions .

These are broadly about our levers which will help us to maintain our growth momentum going forward. Now I'll open the Q &A, so the moderator kindly opens the floor for the questions.

Thank you.

Moderator: We will now begin the question -and-answer session. We have the first question on the line of Prayesh Jain from Motilal Oswal .

Prayesh Jain: Few questions from my side. You mentioned

SIP being a core to your strategy for future growth.

Could you give us more details as to what has been the average ticket size for your book and what was the average ticket size for Karvy's book , and how has this been shaping up in the last 12 months? Whether the ticket sizes are increasing or declining , how's the trend there ? That would be my first question .

Sanjay Shah: If you look at currently , when I'm talking about the SIP book of 456 crores, we have almost close to 17 ,80,000 live running SIPs. The average is close to about Rs. 2,600-2,700 which we have , and gradually we have been able to increase our average SIP size in the last couple of years . The new SIP flows is coming at a higher average than the book . Karvy last year , when we acquired , we had about 3-3.5 lakh SIPs of Karvy . Of which, almost about 1 ,63,000 SIPs have been

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transferred to us , and the rest were discontinued during the process . So, there are two sets of SIPs in case of Karvy . One were direct SIPs with AMC , and another set where the mandate was in favour of Karvy . The mandate which was in favour of Karvy cannot be transferred. So that has not been transferred. But close to 1 ,60,000 SIP has been transferred in our code .

Prayesh Jain: Is Karvy's average ticket size similar to what we have today ?

Sanjay Shah: The average ticket price is more or less similar. I don't have the exact number as of now.

Prayesh Jain: Just trying to understand this more. When you say that only the direct SIPs have been transferred to you, would you earn anything on it?

Sanjay Shah: When I'm saying directly, you can start the SIP by giving your mandate in favour of AMC, wherein you will give money directly to the AMC in the regular plan. The second mode is that you issue a NACH mandate in favour of a platform like FundzBazar. Karvy also had its own platform. You issue a NACH mandate in favour of Karvy, and Karvy collects money through the payment gateway and gives it to the RTA. So, the second portion, which I am saying is where the mandate is in favour of Karvy, has not been transferred to us because, technically, it cannot happen.

Prayesh Jain: Secondly, do you think that of late, in the last three months, there has been increased pressure on redemption?

Shirish Patel: We have not seen any redemption pressure in our system in the last three months. Of course, we can say that the number of gross flows, the fresh money ex-SIP, has come down a little bit. At the same time, the redemption pressure has come down. If you look at our net sales number in this quarter when you compare it with the same quarter previous year, it is almost similar rather it is a little higher. In our system, we do not see redemption pressure. Rather we have always seen that when the market goes up continuously, you might see redemption pressure. I think let us say after a dull period of about two years, the market goes up that time historically, we have seen some redemption pressure, but otherwise, if there is a short-term correction in the market, people probably wait for the money to be recovered and then they redeem. So frankly, the redemption pressure is very less in the last quarter.

Prayesh Jain: Another question is about your life insurance book. What kind of product mix will you have in terms of protection, savings products and within that non-par and par?

Shirish Patel: Our major business is happening on the non-par products. Non-par products contribute the most, followed by term plans and followed by the par plans. ULIP business is zero.

Moderator: We have the next question from the line of Neha Sharma from Pearl Global Investment.

Neha Sharma: Can you please give some guidance on the yields going forward?

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Sanjay Shah: We believe that in the near term, we'll be able to maintain the current yield we have, mainly because if you look at last year, the Karvy assets which we acquired. I'm not giving you the exact number. If you look at it hypothetically, our current yield is in the range of 1%, while the Karvy assets which we acquired are in the range of 65 basis points. Historically we have seen that the average life of an asset is in the range of 3 to 3.5 years. Suppose you assume that your assets will get repriced every three years, 3.5 years, we'll be able to reprice this at a higher yield than what Karvy used to have. There is a gap of about 35 basis points. So that might help us, that is number one.

Number two is when we are talking about the yield. There are two parts. One is the current book of 53,000 crores, where the AMC already commits the yield, and we will continue to get the same earnings there. Incrementally, on new business there could be minor yield pressure. That pressure will come only if the money comes into a higher sized scheme AUM. As the scheme size increases gradually, our TER also reduces; as TER reduces, they will start transferring some kind of margin pressure to us. Let's say AUM of scheme moves from 25,000 crores to 30,000 crores bucket, and their expense ratio goes down by, let's say, 3-4 basis points, they might pressure us to reduce our earnings by 1 or 2 basis points.

First, we will ensure that it doesn't transfer to us. But if that is transferred to us significant part of that also can be transferred by us to our distributors. So more or less, some pressure might come gradually, but that will not be very significantly visible. So overall, there are two parts. One is incremental pressure, if at all it comes, would be very less, and the second we might have the support of Karvy assets being repriced over time, which will help us. We believe the next two years' significant visibility of margin pressure is not there.

Neha Sharma: One more question. I just want to understand whether our market share would come down at the cost of yields or any other strategy you would protect for a yield at the current rate.

Sanjay Shah: We track our market share in the equity AUM rather than the total AUM because we do not represent significantly debt side of the industry. Looking at our current asset mix, we have 94.1% of assets coming from equity assets, like your equity funds, balance advantage funds, hybrid funds, or FOFs. We look at our market share in equity segment ex-ETF. ETF is something in which we are not significantly present. In equity segment ex-ETF, I don't see there will be an impact on our market share, and we can demonstrate growth in our markets. If you look at my gross sales, 50% of the money comes through SIP, while in the industry, that number is only 28%. I have a very steady flow of SIP which always helped me in the dull time to rather improve

my market share . I believe gradually , we should be able to strengthen our position.

Moderator: We have the next question line of Silky Jain from Canara Robeco.

Silky Jain: My question pertains to the insurance business , so we saw that insurance is contributing almost 10% of the overall revenue s in this particular quarter . In your commentary , also you mentioned

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that cross -selling would be a key point to look for in terms of growth . How are we viewing this particular segment? What potential can it reach in the next two years , and how are we looking at the overall margins in this particular segment?

Shirish Patel: If you look at our life insurance or insurance business growth over three years , it almost contributed less than a percent ag

e three years back and now it is almost 8.5% -9% of our total revenue. One is the size of the life insurance revenue or the business compared to the mutual fund business is small . That also contributes to the higher growth. But at the same time , we started focusing on insurance as a cross -selling product in our system in the last 3-4 years , which is helping us. We strongly believe that over some time , the growth of the life insurance or the insurance business in our system will be higher than the mutual fund business. Of course, the mutual fund business is growing at a healthy pace , but at the same time , the insurance business will grow faster . Today we are around 8.5% -9%. What we look at , definitely over a few years , it might cross a double -digit number. Another important figure I would like to highlight is that almost 6 ,900 POSP are registered in our system. If you look at the overlapping of these POSP with our existing ARN holders , it's hardly around 3 ,500-4,000. So out of our 25 ,000 ARNs or 26,000 ARN holders , hardly 4 ,000 ARN holders are converted to POSP. If you look at the potential for us to cross -sell the insurance business in our existing system is huge. The fourth point is that the penetration of insurance , whether life insurance or health insurance , is very low in the country . Specifically, after Corona , I would say that the insurance business's acceptability has increased significantly. Also, we believe this will help us grow this particular business faster . Next few years , we will see very healthy growth in the insurance business.

Silky Jain: In terms of cost , there would not be any incremental cost in terms because the same ARN holders would be doing this business. It would be a very much higher margin accretive segment as well. What could be the delta in terms of margin as well if we look at it from the incremental people coming and selling like we get a cross -sell opportunity ? What could be the margin delta we will get from this segment ?

Shirish Patel: If you look at currently, we are leveraging the existing set of distributors . Of course , to manage the insurance business , we have a dedicated team in housed in our subsidiary that is the Gennext ..

To grow the business, we also might require to hire more and more people going forward in the Gennext as well . The second point is if you look at the contribution of POSP in the total insurance business is growing . Historically main business used to come from the team , our wealth team , or, you can say , online business . Incrementally , of course , more and more business is coming from the POSP side. From a margin point of view , we might not require to incur the corresponding cost as the revenue grows, but I think some kind of cost escalation could be there when we grow the business . The margin, in Gennext, probably might come down because , as I said that the POSP contribution is growing , but delta point of view , yes, if you look at the absolute premium or the kind of premium volume what we are doing there we see a significant growth even if you look at this particular quarter that is July to September quarter . In life insurance, we almost doubled the number compared to the first quarter , which is again the Prudent Corporate Advisory Services Limited
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highest in our history . I would say that is mainly and mainly contributed by more and more POSP contributing to the business. So, I think we are very gung -ho about this particular business .

Silky Jain: Any challenges we see in this particular segment in terms of distribution , or we are much more confident , and we feel that this can create much more growth . We don't have a lead because , overall , many other players are also entering this particular segment . So how do we see that particular area?

Shirish Patel : Of course, I think

many players entered this particular space last 3-4 years . They are bigger , stronger and growing very fast . We don't want to go out and acquire the POSP. Rather we try to leverage our existing distributors in the mutual fund s. So, we have sufficient growth available as I said , the numbers itself, I think 26,000 ARN holders that are also growing every year by

5,000 -6,000 and out of that only 4 ,000, we are able to convert into the POSP. We have a lot of cross -selling opportunities available here , so for at least the next 3-4 years , I think we are not worried that we need to go out right now.

Silky Jain: Again, checking on this , so almost from this 9 %-10%, does this segment has a potential to go to, say (+ 20%) kind of contribution to overall revenue?

Shirish Patel : That depends on two parts. What will be the percentage growth in the insurance business and what will be the percentage growth in the mutual fund business . We are confident that the mutual fund business will grow very fast . I don't see the next 3 -4 years, this will become 20% ..

Moderator : We have the next question from the line of Prakriti Banka from HSBC.

Prakriti Banka: You have just mentioned that the yields on the Karvy book have been lower at around 65 bps. What is the reason for that?

Sanjay Shah: If you look at all the Karvy assets are almost three years old or four years old . Before the industry moved to an all-trail model , the situation was that we used to earn higher upfront in the first year & then the trail was perpetual. I think most of the assets are of the old period , which is my understanding . I do not know exactly Karvy's pricing understanding which it had with AMC .

Prakriti Banka: You're saying most of this book right now is probably the end of what we have seen is the typical lifecycle of an investor , and you will see this repricing happen quite quickly?

Sanjay Shah: The average assets stay for about 3-3.5 years , and we see that 3-3.5 years getting completed. It may not happen in current year & get delayed by a year . But I believe these people will be addressed because what was happening in the last 2-2.5 years is that nobody serviced Karvy investors or Karvy's distributors . Now they are also becoming active in the business . They are meeting the customers. When you meet the customers, you might do the restructuring of the portfolio.

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Prakriti Banka: When you talk about cross -selling , and you are engaging these P OSPs etc. How does that work? A lot of MFD etc. , are also getting these licenses to distribute insurance , or how is the cross -selling happening?

Shirish Patel : Yes, if you look at the requirement for distributing the insurance business is that they need to get the P OSP license. Another requirement for these guys to get the P OSP license is that they should not be registered with any insurance companies. These are the two main requirements . Now those distributors who are already doing the insurance business with someone , let us say LIC or any insurance companies, cannot become the POSP . They cannot take the POSP license because they are already registered with their insurance company. So, they take the POSP license in the family member's name.

The benefit that you are getting with Prudent is that they can distribute products of all the insurance companies because we are the insurance broker. They want to distribute the insurance product with Prudent because everything is available at one place. So, the biggest advantage that we offer to the agents who are already doing the insurance business, they can distribute only one product there, but when they work with Gennext under POSP, they can distribute all life insurance, all health insurance, and all products. So that is the biggest USP, and second, I would say

, is the technology we offer, which could also be an interesting point for them.

Prakriti Banka: Then the people registering with you as POSP is probably already in the family involved in the insurance business in some way which is it's a very different ballgame, right? I mean , will it otherwise involve quite a steep learning curve and how you use insurance versus how to sell mutual funds ?

Shirish Patel : I believe most of the mutual fund distributors in the industry have come from the insurance industry. Suppose you look at our data out of the 26,000 ARN holders , our gut feeling is that I think more than two-thirds of these distributors are historically doing the life insurance business or the insurance business . They have migrated to the mutual fund business additionally . So, the experience of dealing in insurance is already there within the family . Learning for this kind of person would not be difficult because they have been selling insurance for years . I think mutual funds might have started in the last 5 -10 years , but insurance they might be dealing for the last 15-20 years within the family. More than two-thirds of our distributors are historically selling insurance products . For them , it is not that difficult.

Prakriti Banka: But when would you have been selling the insurance , wouldn't that have been largely more ULIP ? You mentioned that in your portfolio , you are doing no ULIP , right?

Shirish Patel : If you look at the majority of the distributors who are right now working with us are coming from LIC, and historically LIC is again either a non-par product or the par product. As is , the contribution in the ULIP is very less. We also would not like to offer ULIPs, which are almost similar products compared to mutual funds . That is our proposition.

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Prakriti Banka: These POSPs, as of now, are you taking some portion of the commission or is it right now the focus on just building mass in terms of more POSPs attached to your platform or are you taking something?

Shirish Patel: We never believe in growth with compromising on the margin. Even if you were to look at the mutual fund business to gain the market share, we would never compromise on our margin and similar strategy we are adopting in the insurance business.

Prakriti Banka: But is there scope for margins to improve or are you already at the optimal level?

Shirish Patel: Improving the margin in the insurance space, I don't think there is a possibility, and the same goes for the mutual fund.

Moderator: We have the next question from Ronak Chheda from Awriga Capital.

Ronak Chheda: My question is on MFD. If you were to see the 24,000-odd MFDs, more than 50% of them have joined us in the last two years, right? So, can you talk about your experience with these MFDs?

Can they scale up at what pace once they are past that two years -3 years into the business, and can they bring incremental momentum to the business for us?

Shirish Patel: If you look at the number, less than two years of distributors, as you said, is almost 50%. Their contribution to the AUM is around 12% to 13% currently. But if you look at their contribution to the new business is almost 25%. If you look at the mutual fund business, when any new person comes and joins the company or the platform, they start with a small -small business, SIPs or fresh purchases. Their contribution to the gross sales is much higher, but their contribution in the AUM terms is always lower. But when they gain some kind of maturity and become 3-4-5 years old in the system, they contribute a huge amount in revenue. Again, I'm repeating the same number you said: 50% of our MFDs are less than two years old. Their contribution to the AUM is around 12%-13%, and their contribution to the new business is around 25%-26%. That itself says the potential from the MFDs as they mature.

Ronak Chheda: So, are you experiencing an inflexion point of scaling up MFD base?

Shirish Patel: Inflection point of the MFD I think one I would say that look at the number in the industry; currently, almost 1.2 lakh MFDs are in the mutual fund industry. 23-24 lakhs insurance agents are there, so I think we strongly believe, and recently you would have seen that AMFI is also focusing on MFD 'Karein Shuru' as a campaign, and they also are targeting 5 lakh MFDs. So, one good thing is happening. We are sitting at the inflexion point where the number of MFDs in the industry is going to grow, so we strongly believe that more and more people will take the mutual fund business as a carrier. Second, as Sanjay Bhai has said in the beginning that almost 20% of the industry's ARN holders are currently associated with us, and we see our trend that more and more MFDs are interested in joining the platform to take advantage of technology and the multiple products and we are very well placed there. Two things are happening yes, more

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and more MFDs or distributors are joining the industry, more and more people are interested in joining the platform, and we are very much placed there, so you can say that yes, I think we are sitting on the inflexion point of number MFDs.

Ronak Chheda: My second question was about the yield you partly addressed. As industry AUM grows and as TERs contract, what is your sense? Is it on a percentage basis that we negotiate with the AMC, or is it on an absolute basis that our contracts or negotiations work? How does that relationship work? If you could throw some light?

Shishir Shah: It's a difficult question to answer because there is no standard mechanism of negotiations because every AMCs dealing would be different. Certain AMCs might be talking in percentage terms.

Certain AMCs might be talking in absolute terms. If you look at, as Sanjay Bhai also said in the beginning, and if you look at the historical data, gross sales, I think the rate would change only on the new business and not on the old business, so that is what is the most important thing for us to understand that whenever the size of any scheme increases, it is not going to impact whatever earnings we have on the existing business and if you look at historically our gross sales that is the new sales is almost you can say 20% to 25% of our AUM. If I go with that logic, you can probably say that my entire assets will come at the new price in 4 years. So whenever even there is one basis point, let us hypothetically assume that one basis point margin is impacted in this financial year. So that one basis point margin is impacted on the 25% of our AUM or the business or 20%-25% of our business of our AUM, you can probably say that my gross yield may come down by 0.25 basis points. So, as I said, it is not impacting the historical AUM, it is only and only impacting the new sales, and new sales are around 20% to 25% of the AUM, so

overnight, it is not going to change our yield and again coming to your point, there is no fixed formula. It is some AMC's with a sharing basis. Some AMC is an absolute negotiation.

Moderator: We have the next question from the line of Pawan from Renaissance Investments.

Pawan: I just had one clarification. So, 7,000 crores odd of Karvy book, what percentage of that is contributing to revenue as of now for us?

Sanjay Shah: The segment reporting has not been made by us. Monthly accretion to the bottom line would easily be close to about 1.5 to 2 crores.

Pawan: From that 7,000 crores AUM you are earning about 1-2 crores per month basis?

Sanjay Shah: 1.5 to 2 crores because there are a lot of payouts to the partners and also because it's a business

driven by the mutual fund distributors. So, there's a payout, so the net earning we have from Karvy assets would be close to probably 1.75 to 2 crores. We will not have the exact numbers, or it's not an audited number. I can give you approximately 1.75 crores of earnings which we have on a month-on-month basis.

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Pawan: Regarding the repricing of this book, what is the expectation in terms of timelines by which we think this entire book will get repriced?

Sanjay Shah: In the next 2 to 3 years, at least a significant part of these assets might get repriced, but it's going to be a gradual process because now the servicing of those customers, servicing to those distributors has started and once they'll come into a regular servicing to the client, I think you'll see the restructuring will be happening, I believe in next three years that entire assets which were actually if you look at today, it's almost about 16%-17% of my total AUM. 8,000 crores and 49,000 crores of my equity AUM - so almost 16%-17% of assets will likely be churned in the next three years. The possibility of adding 35 basis points is a significant change that will come.

Moderator: We have the next question from the line of Prayesh Jain from Motilal Oswal.

Prayesh Jain: Firstly, on the debt segment, our share in that 94% of the equity, 94%, while the rest of it is very less and primarily, I have understood that would be debt. But if we look at the industry, within the retail book around 70%-75% would be equity, and debt would be a good share. Are we strategizing anything about getting the incremental flows on the debt side because most of the customers elsewhere would also be putting money on fixed deposits or lying their money in some saving banks account? Are you planning to get a push and incremental AUM on the debt side?

Sanjay Shah: On strategy, let Shirish address that, but if I give you the industry number, the total AUM of the industry in September was close to 40 lakh crores. Out of that, almost 15 lakh crores were from non-equity AUM. Within that, the individual was only 4 lakh crores. Overall, out of 40 lakh crores, individuals investing in non-debt is only 10%, and our share is 6%. So, we are purely representing, so if you look at the composition of Prudent's AUM, almost 50% of AUM has been built up through SIP, and SIP is mainly into equity. You look at the granularity of the book. That is number one.

Number two industry represents 10% of retail AUM, which includes the HNIs, while we are pure-pure retail, and that's why I think if I talk about 6%, 6% fair share looking at the industry, number one. Number two, when I'm saying the debt, we may not be exposed to debt through mutual funds; otherwise, we have a very strong debt desk. We do secondary market and primary market bond dealing and distribute the fixed deposit. In terms of retail investors, they do not have a tax arbitrage. Hence, probably, a mutual fund may not be that lucrative, or what you call attractive for them to invest into a pure debt segment, and whatever assets we might have in debt also mean for probably short-term parking or a lot of money might be getting transferred to equity by the systematic transfer plans, this is broadly on that. Strategically let Shirish address that.

Shirish Patel: Sanjay, you have already covered that point. I think to give you more statistics. Out of the industry's total of almost 40 lakh crores AUM, individual investors' AUM is almost 22 lakhs;

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out of that, debt is around four lakhs. If you could take the percentage of the individual investor's debt, AUM is around 20%, but HNIs are included in

this mix. If you look at our average AUM per

PAN is around Rs. 3.5 lakhs. So practically, within individuals who are participating on debt front, I believe they are more and more on the HNI side. Our target segment, our clientele, is

more on the retail side. The number of retail clients having the investment in the industry in debt is really very less and, as Sanjay mentioned, is around 10%, we are around 6%. Second, we have got multiple products, as Sanjay Bhai said to offer to the debt & I think last 3-4 years debt component we are replacing rather I would say that with the hybrid category or BAF category funds. There is a conscious call which we have taken to target the bank deposit money or the debt money by way of hybrid funds or even the BAF category funds.

Prayesh Jain: Secondly, regarding commission payouts to your distributors, what would be the rough numbers for MF and insurance?

Shirish Patel: We don't have a proportionate sharing model, so we don't say that this is the percentage we share on our receivables. If you look at our historical payout ratio at the Prudent level, it ranges between around 60% to 62% of our gross receivables, as we have communicated earlier. Also, this is on a total receipt of Prudent, a total payout from Prudent.

Now roughly, if you look at Prudent's composition of the AUM, almost a 10% fee is contributed by our B2C channel, and our B2B channel contributes almost 90%. With 10% of our clientele scattered by our B2C channel, there is no payout, and so 90% of our AUM is where we pay the brokerage, which comes to around 60% to 62%, as I said. If you put the ballpark number roughly on the distribution side B2B channel, our gross payout is in the range of around 67%-68%, so that is what the rough payout is. It is not a standard practice. Again, I would say that we also have a tiered structure. The smaller the distributor, the lesser the sharing and the bigger the distributor, the higher the sharing, so roughly, you can say that our weighted average cost is around 67%-68% on the mutual fund side. On the insurance side, currently, in the POS, as you said industry, there are multiple things available, so there are base commissions and rewards. If you put it this way, the combined composition of our total sharing on the insurance side also remains almost similar.

Prayesh Jain: Regarding the POS fees, you all mentioned that you had converted them down at one point. You have some (+6,000) POSPs, including the family members, and on the other side, you mentioned 4,000 ARNs. Is it right to assume the remaining 2,000 family members from the existing ARNs?

Shirish Patel: Majority of them definitely, you can assume that way that the remaining 2,000 odd would be the family members, the majority because we don't target to go out in the market and acquire only POSP, so yes, you can say it is safe to assume that 2,000 would be a relative.

Prayesh Jain: Secondly, the IRDA might allow individual agents to also tie up with three Life, Health and General insurance companies. Would that kind of hamper the growth going ahead?

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Shirish Patel: I think I would say that time would only say whether it would impact the growth. The most important part today is the technology part. What is prudent business all about?? Prudent business is nothing but technology and product, and servicing. My point is our proposition of technology, service, people, product in one place. I think that proposition still lasts. I don't see that if IRDA comes up with this particular thing, it might impact our business, so I think we don't see that thing.

Moderator: We have the next question from line Rohan.

Rohan: I just wanted to understand the direct channel, which is currently 10% of the AUM

. How have

the new flows in that channel, and what is the average folio size in that channel right now?

Shirish Patel: We have not expanded that business in the last few years. Over a period of time, if you look at the percentage contribution of that particular channel is coming down. If I give you the number currently from that particular side, out of the total gross sales, almost 400 crores of gross sales have happened through the B2C channel, so even if you take the percentage, it is almost similar compared to what we have done this year.

Rohan: And the folio ticket size and the customer segments in this where we are getting the new customers?

Shirish Patel: We don't have a specific segregation of that thing, but on the B2C side, we don't cater to retail clients. We only cater to the HNI clients, so obviously, the folio average folio size would be higher than what we have at a Prudent level.

Rohan: Can you just share the insurance commission payout for the quarter and the first half for the POSPs?

Sanjay Shah: We don't have a segment reporting, yes, but what Shirish said is that a very small percentage of business currently comes through POSP and the POSP payout would be reasonably higher and that segment reporting is not provided.

Moderator: Thank you. As there are no further questions, I would like to hand the conference over to the management for closing comments.

Sanjay Shah: Thank you very much to everybody for participation, and yes, thank you, thank you.

Moderator: Thank you very much. On behalf of Equirus Securities, that concludes this conference. Thank

you for joining us , and you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Nov 2022

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ISIN:

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Dear Sir/Madam,

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Transcript of the
Earnings Conference Call

for the Quarter ended

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September

, 2022

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With reference to our

earlier intimation No.

PCASL/

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in terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015, we are enclosing herewith the transcript of the

Earnings Conference Call

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November
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11.00 am (IST)

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The same will also be available on the website of the Company at
www.prudentcorporate.com

Please take the same into your records and do the needful.

Thanking you,

Yours Faithfully,

For,
Prudent Corporate Advisory Services
Limited

Dhaval Ghetia

Company Secretary

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-
40209600

Email:

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Encl: A/a

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"Prudent Corporate Advisory Services Limited
Q2 FY-23 Earnings Conference Call "

November 02 , 2022

MANAGEMENT : MR. SANJAY SHAH – CHAIRMAN & MD, PRUDENT CORPORATE ADVISORY SERVICES LIMITED
MR. SHIRISH PATEL – CEO & WHOLE -TIME DIRECTOR , PRUDENT CORPORATE ADVISORY SERVICES LIMITED
MR. CHIRAG SHAH – WHOLE -TIME DIRECTOR , PRUDENT CORPORATE ADVISORY SERVICES LIMITED
MR. CHIRAG KOTHARI – CFO, PRUDENT CORPORATE ADVISORY SERVICES LIMITED
MR. PARTH PAREKH – INVESTOR RELATIONS , PRUDENT CORPORATE ADVISORY SERVICES LIMITED

MODERATOR : MR. ROHAN MANDORA – EQUIRUS SECURITIES

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November 02, 2022

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Moderator : Ladies and gentlemen , good day, and welcome to the Prudent Corporate Advisory Services Limited 2Q FY23 Results Conference Call hosted by Equirus Securities Limited. As a reminder , all participant lines will be in listen-only mode , and you can ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Rohan Mandora from Equirus. Thank you , and over to you , Mr. Rohan .

Rohan Mandora: Thank you , Mike. Good afternoon , everyone. Welcome to the Q 2 FY23 Earnings Call of Prudent Corporate Advisory Services Limited to discuss the quarterly performance. To address queries, we have with us from the management Mr. Sanjay Shah – Chairman and MD. Mr. Shirish Patel – CEO and Whole-Time Director , Mr. Chirag Shah – Whole-Time director . Mr. Chirag Kothari – CFO , and Mr. Parth Parekh – Investor Relations. We will begin with a brief management commentary followed by questions and answers. Thank you, and over to you, Mr. Sanjay Shah .

Sanjay Shah: Thank you , Rohan.. First, let me welcome everybody to the earning call of Prudent Corporate Advisory Services Limited for the second quarter of fiscal 2023.

This quarter has been really special for us because we crossed the landmark of 50 ,000 crores of assets under management which has been historical for us. Also, as per AMFI ranking , based on commission earned, we improved our position by one notch in ranking, and we've become the second largest non-banking mutual distributor in the country. All the efforts which we would have put in for the business have been reflected in last quarter's numbers wherein we recorded the highest revenue and highest profit in our existence. I hope you all will have the presentation copy handy with you , which was uploaded on the exchange yesterday. So probably in the discussions , I'll be giving references to the various slides of the presentation.

I'll request you move to slide #35.. So, if you look at slide #35, it's a slide that talks about our closing AUM . So, as you all are aware , Prudent being a prominent player in the mutual distribution , asset under management is a very significant number for us. Our closing AUM in the last quarter has increased 35% year-on-year to 52 ,770 crores. On a quarterly average basis , our AUM has grown by 41% on a year -on-year basis to 51 ,600 crores . And as you see in this slide , in fiscal '23, we are currently running at an average AUM , which is almost 30% higher than FY22 numbers , so FY23 is expected to remain very robust in terms of top-line & bottom -line growth.

Slide #36 talks about the variables which has helped move the equity AUM on a year -on-year basis as well as on a sequential basis . Our growth is comprised of two important parameters . One is the new business we bring from our investors through our channel partners and the second being market -to-market gains. So, these are two important parameters .

Equity AUM has grown by 41% year -on-year led by healthy growth in net sales & acquisition of Karvy.

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On a sequential basis, our equity AUM has grown by 14%, with a substantial movement being led by mark-to-market as far as last quarter is concerned.

However, on a trailing 12 months basis, if you look at the mark to market, it has been very muted, only 3%. So, one of the major parameters of our AUM growth on a trailing 12-month basis has been slightly subdued.

Net equity sales of the first half are almost 2,735 crores, and we are in line with our guidance to achieve

net sales of 5,000 crores. Rather we are of the view that if you simply annualize this, we probably will be in a position to surpass our target of 5,000 crores of net sales.

Now request you all to turn to page # 37; I would like to point out that despite all the noise around fintech, our market share in Equity AUM ex-ETF, normally we do not track ETF because if you look at ETF is mainly the segment which is looked at by the institutional investors and we strongly represent India's retail investor segment. So, if you look at our Equity AUM, ex-ETF, our market share has improved to 2.4% from 1.9% a year ago. Our equity mix has also improved significantly by 3.4 percentage points on a year-on-year basis to 94.1%.

Another important parameter if you look at our business is the SIP. And our monthly SIP flow for September month was very strong at 456 crores when we compared to 307 crores a year ago. So, almost close to 50% growth has come on our SIP book, which is a very strong pillar for us. So given the strong traction on SIP, we expect our gross flow from SIP to be close to 5,200 crores in FY23. The collection from SIPs will be around 13% of FY23 opening AUM, which is providing us very strong visibility of the organic growth.

The SIP mobilized during the quarter was at a historical high of around 1,324 crores in the last quarter. Every second rupee we collected through gross flows, came from SIP. So, 50% gross flow contribution has been from the SIP, representing our AUM's granularity.

Slide #38, emphasizes our emerging segment insurance, which formed around 9.5% of our total revenue for this quarter. This vertical has been growing at a faster pace year-on-year. Two-thirds of the revenue from this vertical comes from Life Insurance and the balance comes from General Insurance. Our POSP network is also becoming stronger day by day, and at the end of September, we had 6,992 POSP working with us and we are strongly relying on this channel to bring scale to this insurance business.

Slide #39; talks about our consolidated number. Our revenue has grown by almost 40% year-on-year, led by strong growth in AUM and a change in mix towards higher yield equity AUM.

Operating profit growth was 58%, higher than the revenue growth led by operating leverage. Our operating margin expanded by 3.22% or 322 basis points to 27.2%. Our profit after tax grew

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slightly slower than operating profit growth at 41%, mainly led by higher depreciations and lower income.

As you all know, last year, we paid 151 crores for acquiring Karvy assets, and the 151 crores we paid are required to be amortized for ten years equally. So, the 15 crores will come as a depreciation every year. So, two impacts come because of this - One is the treasury available with the company has been utilized for acquiring Karvy, so there is a dip in other income. And second, there is significantly higher provisioning on the depreciation side because of the amortization of Karvy assets. So, depreciation increased by three times, led by the amortization of Karvy assets, which we acquired in November '21.

Our annualized return on equity in the first half stood at 33.5%, which is very healthy. Another important parameter we want to highlight is the cash flow from operations. Cash flow from operations generated during the first half is almost 43 crores. We urge analyst to track our cash flow from operations because whatever we paid for acquiring Karvy will be amortized over a period of next ten years. But 15 crores is going to be additional cash which is available to us every year. So that's the important parameter. This is basically about the consolidated financials. In this process, I just wanted to highlight one point as a company that regularly

generates

significant cash, we are always looking for inorganic growth and in pursuit of our growth we acquired Karvy Mutual Fund assets aggregating to 8,100 crores in November '21. We also made another strategic acquisition in July. The company signed a term sheet on July 27 to acquire the mutual fund AUM of iFast Financial India Private Limited. Till last month, we got

approximately 500 crore s through this acquisition and based on the term sheet, we assume that we might be required to pay 2.65 crore s for this acquisition. Already 1 .63 crore s have been paid by us in advance. If you look at the cost we paid, it's hardly half a per cent , so it's a very good acquisition for us . Even though the amount is very small , it will add a large number of retail IFAs and retail assets. So , this is broadly about the numbers.

Before I open the question -answer session , I would like to briefly touch upon the growth outlook . There are four main growth drivers for us.

So, #1 would be the continuous addition of mutual fund distributors . As you know , we are a unique B2B2C platform in the country. As a business strategy , we are focusing aggressively on adding more and more mutual distributors who are the backbone of our business. As on March 31, we have 20.4% of the country's MFDs associated with us. So that shows how strongly mutual distributors are reposing trust in us. In the first half of '23, we added around 2 ,600 new MFDs. There is an increasing need for mutual fund distributors to collaborate with a tech -based platform to service their clients , and we are capitalizing on this opportunity. As more and more MFDs join the industry , we expect the incremental benefit to accrue to our company.

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Looking at the 2 ,600 people being added in the last six months , we believe that we could add a total of about 5 ,000 distributors to our kitty in the full year .

#2 of our growth drivers would be cross -selling other products using our strong network of mutual fund distributors . So, as you are aware , we are moving from a single -product distributor to a multi -product distributor. Our multi -product distribution platform has helped us to capitalize on our vast MFD network. Our multi -product platform has also acted as a great value proposition for our mutual fund distributors to join us. So far company has converted 6 ,992 existing mutual fund distributors or their family members as a point of sales persons who can also sell insurance products apart from other financial products. In this quarter , insurance revenue formed 9.5% of our total revenue.

Now third would be building a strong SIP book by encouraging and educating our mutual fund distributors to build granular flows. So, as I said , ours is a unique B2B2C positioned retail wealth management company , which has helped us build our granular flows through SIP. Our monthly SIP flow for September was 456 crore s. As I said, every second rupee of our gross equity flow came through SIP . Given the strong traction of SIP, we expect the gross flow from SIPs for the full year to be 5 ,200 crores , which is almost 13% of our opening AUM . So, SIP is strong organic growth driver.

And, finally , the cash we regularly generate in the business & effective utilization of cash for inorganic growth opportunities . We will always be ready to look at and explore the possibilities for inorganic acquisitions .

These are broadly about our levers which will help us to maintain our growth momentum going forward. Now I'll open the Q &A, so the moderator kindly opens the floor for the questions.

Thank you.

Moderator: We will now begin the question -and-answer session. We have the first question on the line of Prayesh Jain from Motilal Oswal .

Prayesh Jain: Few questions from my side. You mentioned

SIP being a core to your strategy for future growth.

Could you give us more details as to what has been the average ticket size for your book and what was the average ticket size for Karvy's book , and how has this been shaping up in the last 12 months? Whether the ticket sizes are increasing or declining , how's the trend there ? That would be my first question .

Sanjay Shah: If you look at currently , when I'm talking about the SIP book of 456 crores, we have almost close to 17 ,80,000 live running SIPs. The average is close to about Rs. 2,600-2,700 which we have , and gradually we have been able to increase our average SIP size in the last couple of years . The new SIP flows is coming at a higher average than the book . Karvy last year , when we acquired , we had about 3-3.5 lakh SIPs of Karvy . Of which, almost about 1 ,63,000 SIPs have been

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transferred to us , and the rest were discontinued during the process . So, there are two sets of SIPs in case of Karvy . One were direct SIPs with AMC , and another set where the mandate was in favour of Karvy . The mandate which was in favour of Karvy cannot be transferred. So that has not been transferred. But close to 1 ,60,000 SIP has been transferred in our code .

Prayesh Jain: Is Karvy's average ticket size similar to what we have today ?

Sanjay Shah: The average ticket price is more or less similar. I don't have the exact number as of now.

Prayesh Jain: Just trying to understand this more. When you say that only the direct SIPs have been transferred to you, would you earn anything on it?

Sanjay Shah: When I'm saying directly, you can start the SIP by giving your mandate in favour of AMC, wherein you will give money directly to the AMC in the regular plan. The second mode is that you issue a NACH mandate in favour of a platform like FundzBazar. Karvy also had its own platform. You issue a NACH mandate in favour of Karvy, and Karvy collects money through the payment gateway and gives it to the RTA. So, the second portion, which I am saying is where the mandate is in favour of Karvy, has not been transferred to us because, technically, it cannot happen.

Prayesh Jain: Secondly, do you think that of late, in the last three months, there has been increased pressure on redemption?

Shirish Patel: We have not seen any redemption pressure in our system in the last three months. Of course, we can say that the number of gross flows, the fresh money ex-SIP, has come down a little bit. At the same time, the redemption pressure has come down. If you look at our net sales number in this quarter when you compare it with the same quarter previous year, it is almost similar rather it is a little higher. In our system, we do not see redemption pressure. Rather we have always seen that when the market goes up continuously, you might see redemption pressure. I think let us say after a dull period of about two years, the market goes up that time historically, we have seen some redemption pressure, but otherwise, if there is a short-term correction in the market, people probably wait for the money to be recovered and then they redeem. So frankly, the redemption pressure is very less in the last quarter.

Prayesh Jain: Another question is about your life insurance book. What kind of product mix will you have in terms of protection, savings products and within that non-par and par?

Shirish Patel: Our major business is happening on the non-par products. Non-par products contribute the most, followed by term plans and followed by the par plans. ULIP business is zero.

Moderator: We have the next question from the line of Neha Sharma from Pearl Global Investment.

Neha Sharma: Can you please give some guidance on the yields going forward?

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Sanjay Shah: We believe that in the near term, we'll be able to maintain the current yield we have, mainly because if you look at last year, the Karvy assets which we acquired. I'm not giving you the exact number. If you look at it hypothetically, our current yield is in the range of 1%, while the Karvy assets which we acquired are in the range of 65 basis points. Historically we have seen that the average life of an asset is in the range of 3 to 3.5 years. Suppose you assume that your assets will get repriced every three years, 3.5 years, we'll be able to reprice this at a higher yield than what Karvy used to have. There is a gap of about 35 basis points. So that might help us, that is number one.

Number two is when we are talking about the yield. There are two parts. One is the current book of 53,000 crores, where the AMC already commits the yield, and we will continue to get the same earnings there. Incrementally, on new business there could be minor yield pressure. That pressure will come only if the money comes into a higher sized scheme AUM. As the scheme size increases gradually, our TER also reduces; as TER reduces, they will start transferring some kind of margin pressure to us. Let's say AUM of scheme moves from 25,000 crores to 30,000 crores bucket, and their expense ratio goes down by, let's say, 3-4 basis points, they might pressure us to reduce our earnings by 1 or 2 basis points.

First, we will ensure that it doesn't transfer to us. But if that is transferred to us significant part of that also can be transferred by us to our distributors. So more or less, some pressure might come gradually, but that will not be very significantly visible. So overall, there are two parts. One is incremental pressure, if at all it comes, would be very less, and the second we might have the support of Karvy assets being repriced over time, which will help us. We believe the next two years' significant visibility of margin pressure is not there.

Neha Sharma: One more question. I just want to understand whether our market share would come down at the cost of yields or any other strategy you would protect for a yield at the current rate.

Sanjay Shah: We track our market share in the equity AUM rather than the total AUM because we do not represent significantly debt side of the industry. Looking at our current asset mix, we have 94.1% of assets coming from equity assets, like your equity funds, balance advantage funds, hybrid funds, or FOFs. We look at our market share in equity segment ex-ETF. ETF is something in which we are not significantly present. In equity segment ex-ETF, I don't see there will be an impact on our market share, and we can demonstrate growth in our markets. If you look at my gross sales, 50% of the money comes through SIP, while in the industry, that number is only 28%. I have a very steady flow of SIP which always helped me in the dull time to rather improve

my market share . I believe gradually , we should be able to strengthen our position.

Moderator: We have the next question line of Silky Jain from Canara Robeco.

Silky Jain: My question pertains to the insurance business , so we saw that insurance is contributing almost 10% of the overall revenue s in this particular quarter . In your commentary , also you mentioned Prudent Corporate Advisory Services Limited

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that cross -selling would be a key point to look for in terms of growth . How are we viewing this particular segment? What potential can it reach in the next two years , and how are we looking at the overall margins in this particular segment?

Shirish Patel: If you look at our life insurance or insurance business growth over three years , it almost contributed less than a percent ag

e three years back and now it is almost 8.5% -9% of our total revenue. One is the size of the life insurance revenue or the business compared to the mutual fund business is small . That also contributes to the higher growth. But at the same time , we started focusing on insurance as a cross -selling product in our system in the last 3-4 years , which is helping us. We strongly believe that over some time , the growth of the life insurance or the insurance business in our system will be higher than the mutual fund business. Of course, the mutual fund business is growing at a healthy pace , but at the same time , the insurance business will grow faster . Today we are around 8.5% -9%. What we look at , definitely over a few years , it might cross a double -digit number. Another important figure I would like to highlight is that almost 6 ,900 POSP are registered in our system. If you look at the overlapping of these POSP with our existing ARN holders , it's hardly around 3 ,500-4,000. So out of our 25 ,000 ARNs or 26,000 ARN holders , hardly 4 ,000 ARN holders are converted to POSP. If you look at the potential for us to cross -sell the insurance business in our existing system is huge. The fourth point is that the penetration of insurance , whether life insurance or health insurance , is very low in the country . Specifically, after Corona , I would say that the insurance business's acceptability has increased significantly. Also, we believe this will help us grow this particular business faster . Next few years , we will see very healthy growth in the insurance business.

Silky Jain: In terms of cost , there would not be any incremental cost in terms because the same ARN holders would be doing this business. It would be a very much higher margin accretive segment as well. What could be the delta in terms of margin as well if we look at it from the incremental people coming and selling like we get a cross -sell opportunity ? What could be the margin delta we will get from this segment ?

Shirish Patel: If you look at currently, we are leveraging the existing set of distributors . Of course , to manage the insurance business , we have a dedicated team in housed in our subsidiary that is the Gennext ..

To grow the business, we also might require to hire more and more people going forward in the Gennext as well . The second point is if you look at the contribution of POSP in the total insurance business is growing . Historically main business used to come from the team , our wealth team , or, you can say , online business . Incrementally , of course , more and more business is coming from the POSP side. From a margin point of view , we might not require to incur the corresponding cost as the revenue grows, but I think some kind of cost escalation could be there when we grow the business . The margin, in Gennext, probably might come down because , as I said that the POSP contribution is growing , but delta point of view , yes, if you look at the absolute premium or the kind of premium volume what we are doing there we see a significant growth even if you look at this particular quarter that is July to September quarter . In life insurance, we almost doubled the number compared to the first quarter , which is again the Prudent Corporate Advisory Services Limited

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highest in our history . I would say that is mainly and mainly contributed by more and more POSP contributing to the business. So, I think we are very gung -ho about this particular business .

Silky Jain: Any challenges we see in this particular segment in terms of distribution , or we are much more confident , and we feel that this can create much more growth . We don't have a lead because , overall , many other players are also entering this particular segment . So how do we see that particular area?

Shirish Patel : Of course, I think

many players entered this particular space last 3-4 years . They are bigger , stronger and growing very fast . We don't want to go out and acquire the POSP. Rather we try to leverage our existing distributors in the mutual fund s. So, we have sufficient growth available as I said , the numbers itself, I think 26,000 ARN holders that are also growing every year by

5,000 -6,000 and out of that only 4 ,000, we are able to convert into the POSP. We have a lot of cross -selling opportunities available here , so for at least the next 3-4 years , I think we are not worried that we need to go out right now.

Silky Jain: Again, checking on this , so almost from this 9 %-10%, does this segment has a potential to go to, say (+ 20%) kind of contribution to overall revenue?

Shirish Patel : That depends on two parts. What will be the percentage growth in the insurance business and what will be the percentage growth in the mutual fund business . We are confident that the mutual fund business will grow very fast . I don't see the next 3 -4 years, this will become 20% ..

Moderator : We have the next question from the line of Prakriti Banka from HSBC.

Prakriti Banka: You have just mentioned that the yields on the Karvy book have been lower at around 65 bps. What is the reason for that?

Sanjay Shah: If you look at all the Karvy assets are almost three years old or four years old . Before the industry moved to an all-trail model , the situation was that we used to earn higher upfront in the first year & then the trail was perpetual. I think most of the assets are of the old period , which is my understanding . I do not know exactly Karvy's pricing understanding which it had with AMC .

Prakriti Banka: You're saying most of this book right now is probably the end of what we have seen is the typical lifecycle of an investor , and you will see this repricing happen quite quickly?

Sanjay Shah: The average assets stay for about 3-3.5 years , and we see that 3-3.5 years getting completed. It may not happen in current year & get delayed by a year . But I believe these people will be addressed because what was happening in the last 2-2.5 years is that nobody serviced Karvy investors or Karvy's distributors . Now they are also becoming active in the business . They are meeting the customers. When you meet the customers, you might do the restructuring of the portfolio.

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Prakriti Banka: When you talk about cross -selling , and you are engaging these P OSPs etc. How does that work? A lot of MFD etc. , are also getting these licenses to distribute insurance , or how is the cross -selling happening?

Shirish Patel : Yes, if you look at the requirement for distributing the insurance business is that they need to get the P OSP license. Another requirement for these guys to get the P OSP license is that they should not be registered with any insurance companies. These are the two main requirements . Now those distributors who are already doing the insurance business with someone , let us say LIC or any insurance companies, cannot become the POSP . They cannot take the POSP license because they are already registered with their insurance company. So, they take the POSP license in the family member's name.

The benefit that you are getting with Prudent is that they can distribute products of all the insurance companies because we are the insurance broker. They want to distribute the insurance product with Prudent because everything is available at one place. So, the biggest advantage that we offer to the agents who are already doing the insurance business, they can distribute only one product there, but when they work with Gennext under POSP, they can distribute all life insurance, all health insurance, and all products. So that is the biggest USP, and second, I would say

, is the technology we offer, which could also be an interesting point for them.

Prakriti Banka: Then the people registering with you as POSP is probably already in the family involved in the insurance business in some way which is it's a very different ballgame, right? I mean , will it otherwise involve quite a steep learning curve and how you use insurance versus how to sell mutual funds ?

Shirish Patel : I believe most of the mutual fund distributors in the industry have come from the insurance industry. Suppose you look at our data out of the 26,000 ARN holders , our gut feeling is that I think more than two-thirds of these distributors are historically doing the life insurance business or the insurance business . They have migrated to the mutual fund business additionally . So, the experience of dealing in insurance is already there within the family . Learning for this kind of person would not be difficult because they have been selling insurance for years . I think mutual funds might have started in the last 5 -10 years , but insurance they might be dealing for the last 15-20 years within the family. More than two-thirds of our distributors are historically selling insurance products . For them , it is not that difficult.

Prakriti Banka: But when would you have been selling the insurance , wouldn't that have been largely more ULIP ? You mentioned that in your portfolio , you are doing no ULIP , right?

Shirish Patel : If you look at the majority of the distributors who are right now working with us are coming from LIC, and historically LIC is again either a non-par product or the par product. As is , the contribution in the ULIP is very less. We also would not like to offer ULIPs, which are almost similar products compared to mutual funds . That is our proposition.

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Prakriti Banka: These POSPs, as of now, are you taking some portion of the commission or is it right now the focus on just building mass in terms of more POSPs attached to your platform or are you taking something?

Shirish Patel: We never believe in growth with compromising on the margin. Even if you were to look at the mutual fund business to gain the market share, we would never compromise on our margin and similar strategy we are adopting in the insurance business.

Prakriti Banka: But is there scope for margins to improve or are you already at the optimal level?

Shirish Patel: Improving the margin in the insurance space, I don't think there is a possibility, and the same goes for the mutual fund.

Moderator: We have the next question from Ronak Chheda from Awriga Capital.

Ronak Chheda: My question is on MFD. If you were to see the 24,000-odd MFDs, more than 50% of them have joined us in the last two years, right? So, can you talk about your experience with these MFDs?

Can they scale up at what pace once they are past that two years -3 years into the business, and can they bring incremental momentum to the business for us?

Shirish Patel: If you look at the number, less than two years of distributors, as you said, is almost 50%. Their contribution to the AUM is around 12% to 13% currently. But if you look at their contribution to the new business is almost 25%. If you look at the mutual fund business, when any new person comes and joins the company or the platform, they start with a small -small business, SIPs or fresh purchases. Their contribution to the gross sales is much higher, but their contribution in the AUM terms is always lower. But when they gain some kind of maturity and become 3-4-5 years old in the system, they contribute a huge amount in revenue. Again, I'm repeating the same number you said: 50% of our MFDs are less than two years old. Their contribution to the AUM is around 12%-13%, and their contribution to the new business is around 25%-26%. That itself says the potential from the MFDs as they mature.

Ronak Chheda: So, are you experiencing an inflexion point of scaling up MFD base?

Shirish Patel: Inflection point of the MFD I think one I would say that look at the number in the industry; currently, almost 1.2 lakh MFDs are in the mutual fund industry. 23-24 lakhs insurance agents are there, so I think we strongly believe, and recently you would have seen that AMFI is also focusing on MFD 'Karein Shuru' as a campaign, and they also are targeting 5 lakh MFDs. So, one good thing is happening. We are sitting at the inflexion point where the number of MFDs in the industry is going to grow, so we strongly believe that more and more people will take the mutual fund business as a carrier. Second, as Sanjay Bhai has said in the beginning that almost 20% of the industry's ARN holders are currently associated with us, and we see our trend that more and more MFDs are interested in joining the platform to take advantage of technology and the multiple products and we are very well placed there. Two things are happening yes, more

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and more MFDs or distributors are joining the industry, more and more people are interested in joining the platform, and we are very much placed there, so you can say that yes, I think we are sitting on the inflexion point of number MFDs.

Ronak Chheda: My second question was about the yield you partly addressed. As industry AUM grows and as TERs contract, what is your sense? Is it on a percentage basis that we negotiate with the AMC, or is it on an absolute basis that our contracts or negotiations work? How does that relationship work? If you could throw some light?

Shishir Shah: It's a difficult question to answer because there is no standard mechanism of negotiations because every AMCs dealing would be different. Certain AMCs might be talking in percentage terms.

Certain AMCs might be talking in absolute terms. If you look at, as Sanjay Bhai also said in the beginning, and if you look at the historical data, gross sales, I think the rate would change only on the new business and not on the old business, so that is what is the most important thing for us to understand that whenever the size of any scheme increases, it is not going to impact whatever earnings we have on the existing business and if you look at historically our gross sales that is the new sales is almost you can say 20% to 25% of our AUM. If I go with that logic, you can probably say that my entire assets will come at the new price in 4 years. So whenever even there is one basis point, let us hypothetically assume that one basis point margin is impacted in this financial year. So that one basis point margin is impacted on the 25% of our AUM or the business or 20%-25% of our business of our AUM, you can probably say that my gross yield may come down by 0.25 basis points. So, as I said, it is not impacting the historical AUM, it is only and only impacting the new sales, and new sales are around 20% to 25% of the AUM, so

overnight, it is not going to change our yield and again coming to your point, there is no fixed formula. It is some AMC's with a sharing basis. Some AMC is an absolute negotiation.

Moderator: We have the next question from the line of Pawan from Renaissance Investments.

Pawan: I just had one clarification. So, 7,000 crores odd of Karvy book, what percentage of that is contributing to revenue as of now for us?

Sanjay Shah: The segment reporting has not been made by us. Monthly accretion to the bottom line would easily be close to about 1.5 to 2 crores.

Pawan: From that 7,000 crores AUM you are earning about 1-2 crores per month basis?

Sanjay Shah: 1.5 to 2 crores because there are a lot of payouts to the partners and also because it's a business

driven by the mutual fund distributors. So, there's a payout, so the net earning we have from Karvy assets would be close to probably 1.75 to 2 crores. We will not have the exact numbers, or it's not an audited number. I can give you approximately 1.75 crores of earnings which we have on a month-on-month basis.

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Pawan: Regarding the repricing of this book, what is the expectation in terms of timelines by which we think this entire book will get repriced?

Sanjay Shah: In the next 2 to 3 years, at least a significant part of these assets might get repriced, but it's going to be a gradual process because now the servicing of those customers, servicing to those distributors has started and once they'll come into a regular servicing to the client, I think you'll see the restructuring will be happening, I believe in next three years that entire assets which were actually if you look at today, it's almost about 16%-17% of my total AUM. 8,000 crores and 49,000 crores of my equity AUM - so almost 16%-17% of assets will likely be churned in the next three years. The possibility of adding 35 basis points is a significant change that will come.

Moderator: We have the next question from the line of Prayesh Jain from Motilal Oswal.

Prayesh Jain: Firstly, on the debt segment, our share in that 94% of the equity, 94%, while the rest of it is very less and primarily, I have understood that would be debt. But if we look at the industry, within the retail book around 70%-75% would be equity, and debt would be a good share. Are we strategizing anything about getting the incremental flows on the debt side because most of the customers elsewhere would also be putting money on fixed deposits or lying their money in some saving banks account? Are you planning to get a push and incremental AUM on the debt side?

Sanjay Shah: On strategy, let Shirish address that, but if I give you the industry number, the total AUM of the industry in September was close to 40 lakh crores. Out of that, almost 15 lakh crores were from non-equity AUM. Within that, the individual was only 4 lakh crores. Overall, out of 40 lakh crores, individuals investing in non-debt is only 10%, and our share is 6%. So, we are purely representing, so if you look at the composition of Prudent's AUM, almost 50% of AUM has been built up through SIP, and SIP is mainly into equity. You look at the granularity of the book. That is number one.

Number two industry represents 10% of retail AUM, which includes the HNIs, while we are pure-pure retail, and that's why I think if I talk about 6%, 6% fair share looking at the industry, number one. Number two, when I'm saying the debt, we may not be exposed to debt through mutual funds; otherwise, we have a very strong debt desk. We do secondary market and primary market bond dealing and distribute the fixed deposit. In terms of retail investors, they do not have a tax arbitrage. Hence, probably, a mutual fund may not be that lucrative, or what you call attractive for them to invest into a pure debt segment, and whatever assets we might have in debt also mean for probably short-term parking or a lot of money might be getting transferred to equity by the systematic transfer plans, this is broadly on that. Strategically let Shirish address that.

Shirish Patel: Sanjay, you have already covered that point. I think to give you more statistics. Out of the industry's total of almost 40 lakh crores AUM, individual investors' AUM is almost 22 lakhs;

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out of that, debt is around four lakhs. If you could take the percentage of the individual investor's debt, AUM is around 20%, but HNIs are included in

this mix. If you look at our average AUM per

PAN is around Rs. 3.5 lakhs. So practically, within individuals who are participating on debt front, I believe they are more and more on the HNI side. Our target segment, our clientele, is

more on the retail side. The number of retail clients having the investment in the industry in debt is really very less and, as Sanjay mentioned, is around 10%, we are around 6%. Second, we have got multiple products, as Sanjay Bhai said to offer to the debt & I think last 3-4 years debt component we are replacing rather I would say that with the hybrid category or BAF category funds. There is a conscious call which we have taken to target the bank deposit money or the debt money by way of hybrid funds or even the BAF category funds.

Prayesh Jain: Secondly, regarding commission payouts to your distributors, what would be the rough numbers for MF and insurance?

Shirish Patel: We don't have a proportionate sharing model, so we don't say that this is the percentage we share on our receivables. If you look at our historical payout ratio at the Prudent level, it ranges between around 60% to 62% of our gross receivables, as we have communicated earlier. Also, this is on a total receipt of Prudent, a total payout from Prudent.

Now roughly, if you look at Prudent's composition of the AUM, almost a 10% fee is contributed by our B2C channel, and our B2B channel contributes almost 90%. With 10% of our clientele scattered by our B2C channel, there is no payout, and so 90% of our AUM is where we pay the brokerage, which comes to around 60% to 62%, as I said. If you put the ballpark number roughly on the distribution side B2B channel, our gross payout is in the range of around 67%-68%, so that is what the rough payout is. It is not a standard practice. Again, I would say that we also have a tiered structure. The smaller the distributor, the lesser the sharing and the bigger the distributor, the higher the sharing, so roughly, you can say that our weighted average cost is around 67%-68% on the mutual fund side. On the insurance side, currently, in the POS, as you said industry, there are multiple things available, so there are base commissions and rewards. If you put it this way, the combined composition of our total sharing on the insurance side also remains almost similar.

Prayesh Jain: Regarding the POS fees, you all mentioned that you had converted them down at one point. You have some (+6,000) POSPs, including the family members, and on the other side, you mentioned 4,000 ARNs. Is it right to assume the remaining 2,000 family members from the existing ARNs?

Shirish Patel: Majority of them definitely, you can assume that way that the remaining 2,000 odd would be the family members, the majority because we don't target to go out in the market and acquire only POSP, so yes, you can say it is safe to assume that 2,000 would be a relative.

Prayesh Jain: Secondly, the IRDA might allow individual agents to also tie up with three Life, Health and General insurance companies. Would that kind of hamper the growth going ahead?

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Shirish Patel: I think I would say that time would only say whether it would impact the growth. The most important part today is the technology part. What is prudent business all about?? Prudent business is nothing but technology and product, and servicing. My point is our proposition of technology, service, people, product in one place. I think that proposition still lasts. I don't see that if IRDA comes up with this particular thing, it might impact our business, so I think we don't see that thing.

Moderator: We have the next question from line Rohan.

Rohan: I just wanted to understand the direct channel, which is currently 10% of the AUM

. How have

the new flows in that channel, and what is the average folio size in that channel right now?

Shirish Patel: We have not expanded that business in the last few years. Over a period of time, if you look at the percentage contribution of that particular channel is coming down. If I give you the number currently from that particular side, out of the total gross sales, almost 400 crores of gross sales have happened through the B2C channel, so even if you take the percentage, it is almost similar compared to what we have done this year.

Rohan: And the folio ticket size and the customer segments in this where we are getting the new customers?

Shirish Patel: We don't have a specific segregation of that thing, but on the B2C side, we don't cater to retail clients. We only cater to the HNI clients, so obviously, the folio average folio size would be higher than what we have at a Prudent level.

Rohan: Can you just share the insurance commission payout for the quarter and the first half for the POSPs?

Sanjay Shah: We don't have a segment reporting, yes, but what Shirish said is that a very small percentage of business currently comes through POSP and the POSP payout would be reasonably higher and that segment reporting is not provided.

Moderator: Thank you. As there are no further questions, I would like to hand the conference over to the management for closing comments.

Sanjay Shah: Thank you very much to everybody for participation, and yes, thank you, thank you.

Moderator: Thank you very much. On behalf of Equirus Securities, that concludes this conference. Thank

you for joining us , and you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Jan 2023

PCASL/62/2022-23
Date: 31.01.2023

To, To,
The National Stock Exchange of India Ltd BSE Limited
Exchange Plaza, Phiroze Jeejeebhoy Towers,
Bandra – Kurla Complex, Dalal Street,
Bandra (E), Mumbai- 400 001
Mumbai – 400 051 SCRIPT CODE: 543527
NSE EQUITY SYMBOL: PRUDENT

ISIN: INE00F201020

Dear Sir/Madam,

Sub.: Transcript of the Earnings Conference Call for the Quarter ended December 31, 2022.

With reference to our earlier intimation No. PCASL/57/2022-23 dated January 18, 2023 and in terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of the Earnings Conference Call with analysts and investors held on Tuesday, January 24, 2023 at 2.00 pm (IST) in respect of the Un-audited Financial Results for the Quarter ended December 31, 2022.

The same will also be available on the website of the Company at
www.prudentcorporate.com
Please take the same into your records and do the needful.
Thanking you,

Yours Faithfully,

For, Prudent Corporate Advisory Services Limited

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Company Secretary
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Q3 FY23 Earnings Conference Call.
January 24, 2023, 2.00 pm (IST)

Nirav (00:00:00): Ladies and gentlemen, good day , and welcome to the Q3 FY 23 results conference

call of Prudent Corporate Advisory Services Limited hosted by Equirus Securities. As a reminder, all participant lines will be in listen-only mode, and you can ask questions after the presentation concludes. Should you need assistance during this conference call, please signal Nirav by pressing star, then zero on your touch tone phone. Please note that this conference is being recorded. I now have the conference over to Mr. Rohan Mandora from Equirus securities. Thank you, and over to you, Sir. Rohan Mandora: (00:00:44) Thank you, Nirav. Good afternoon everyone. Welcome to the Q3 FY 23 Earning call of Prudent Corporate Advisory Services Ltd. to discuss the quarterly performance. To give a brief update and address queries, we have with us from the management Mr. Sanjay Shah, Chairman and MD, Mr. Shirsh Patel, CEO and Whole-time director, Mr. Chirag Shah, Whole-time Director, Mr. Chirag Kothari, CFO, Mr. Parth Parekh, Investor Relations. We will begin with a brief management commentary followed by Q&A. Thank you, and over to you, Mr. Shah. Sanjay Shah(00:01:21) Thank you, Rohan. Thank you, and good afternoon everybody. First, let me welcome you all to the earning call of Prudent Corporate Advisory Services Ltd. for the 3rd quarter of fiscal 2023. So I thank you all for your valuable time joining us today. This fiscal is very special for us as we cross the landmark of INR 50,000 crore of assets under management. Also, as per the AMFI ranking, based on the commission received, we jumped our position by one notch in the ranking in FY22 to become country's second largest non-bank mutual fund distributor. So all these efforts were reflected in the quarter's number wherein we recorded the highest revenues & profit in our existence. I hope you have the investor presentation in front of you, which we already uploaded on the exchange yesterday. . So let me start with our AUM, a very

important parameter of our business for this quarter. So if you go to slide number 36 of the presentation, despite having Karvy in the base quarter, you are all aware that we acquired Karvy, and the entire assets of Karvy were transferred in our code on November 28, 2021. So despite having Karvy's AUM in base quarter, our closing AUM has grown by a healthy pace of 17% YoY to INR 56,138 crore from INR 48,197 crore in December 2021. Furthermore, our average quarterly AUM grew by almost 32%, much higher than the closing AUM growth. This has been mainly because, in Q3 of the current year, Karvy's impact was there for the entire three months, while it was only there for one month in the last quarter. Also, in fiscal 2023, we are currently running at an average AUM almost 39% higher than FY 22's full-year average AUM. Thus, we are expecting that we will close FY 23 with very robust growth in the top line as well as in the bottom line. So now I will take you to slide 37. If you see slide 37, we have given you the variable which moved the Equity AUM on a year-on-year basis & on a sequential basis. So AUM has grown by 18% year-on-year, mainly due to our decent growth in net sales, thanks to SIP flows. Net Equity sales during the 9 months of FY 23 have been INR 3,520 crore, and we are in line with our guidance to achieve net sales of INR 5,000 crore during the entire year. Prudent—Money through wisdom —

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On a sequential basis, if you look at Equity movement, it grew by almost 6%, aided by mark-to-market movement in the last quarter.

However, you look at the whole year mark-to-market movement is a bit muted. On a full year basis, mark-to-market benefits which accrued was only about 5.3%..

I will take you to slide number 38. So if you move to that slide, I would like to point out that despite all the noise around FinTech, our market share in Equity AUM without ETF has remained stable at 2.4%.

Our monthly equity SIP flow for December was very strong for us at INR 478 Crore. If you compare the same number one year before in December 21, it was INR 371 Crore. So we grew our SIP book by almost 29% on a year-on-year basis, which gives us a solid traction and visibility for the inflow. And we expect this monthly SIP book to close at INR 500 Crore within this fiscal period. The SIP mobilized during the quarter was also at a historical high of INR 1411 Crore, and every second Rupee we had mobilized in the gross-flow came from SIP. So that shows how granular our business is. SIP will continue to play a pivotal role in our growth going ahead.

I will take you to slide number 39, which is basically, we want to emphasize our emerging business segment insurance. It forms around 9% of our revenue in this quarter. This vertical grew at 52% year on year, and 80% of this vertical's revenue during the quarter came from life insurance and the rest from general insurance. Our point of sales person's POSP network is very strong at 7,524, and we are relying on this channel to bring scale.

I will take you to slide 40, the summary of our consolidated earnings for Q3. It contains the details of the consolidated number. So revenue from operations grew by 35% year on year in the first nine months, laid by solid growth in quarterly AUM aided by the acquisition of Karvy last year, as well as a change in mix towards higher yielding Equity segment. Our operating profit grew by 41%, higher than the revenue growth from operating leverage. Our operating margin expanded by 109 business points to 26.4%. Our profit after tax growth was a tad slower than the operating profit growth, which was at

31%, mainly because of the higher depreciation and the lower other income. Depreciation expense doubled led by the amortization of Karvy's assets. As you are aware, when we acquired Karvy, we paid INR 151 Crore for that, and we will amortize that amount over 10 years. And that's a non-cash expense

penditure on the profit & loss. So similarly, other income has also been reduced mainly because the Company utilized surplus liquidity of INR 151 Crores for acquiring Karvy assets. If you look at our annualized return on Equity in the first nine months, it stood at 41%.

So this is broadly about the numbers we have given, and it's part of our presentation. I will just try to touch base briefly on our growth outlook. So let me just tell you that there are a couple of drivers that are very strong and steady for our retail and wealth management business. And the number one of our growth drivers would be the continuation of addition of mutual fund distributors in our kitty. So as a business strategy, we are focusing aggressively on adding more and more mutual fund distributors, which are the backbone of our business. And as of March 2022, Prudent has a 20.4% share of the overall mutual fund distributors of the country and panel with us as a business partner.

In the current year's nine months, FY 23, we have added around 3,360 new mutual fund distributors.

So there is an increasing need for our mutual fund distributors to collaborate with a tech-based platform to service their clients, and we are capitalizing on these opportunities. We had a target of Prudent—Money through wisdom —

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adding close to 5,000 people in the current year, and I am sure we will be able to reach that number at least closely. As more and more mutual fund distributors join the industry, we expect that incremental benefits will accrue to our Company.

The second growth driver, would be cross-selling other products using our strong network of mutual fund distributors. We are moving from a single product distributor to a multi-product distribution platform, which has helped us to capitalize on our vast, mutual fund distribution network. Our multiple platforms have created a great value proposition for our mutual fund distributors who have joined us. So far, the company has converted 7524 existing distributors and their family members to the point of sales persons who can also sell insurance products through our group company, Gennext Insurance. So third number for our growth outlook would be the strong SIP book, which we always encourage our mutual distributors and educate them to build for granular flows. So ours is a unique B2B2C platform positioning in the retail wealth management segment. And it helped us to build the granular flows through SIPs. Our monthly equity SIP flow for December was INR 478 crore, and almost a second Rupee of our Equity new flow in the last quarter came through SIP. So, we believe SIP is a robust organic growth lever for us.

And finally, number four will be the effective utilization of cash flows for inorganic acquisition, which is another critical strategy for us. We generate significant cash flow from the operations and are always on the lookout if something lucrative comes our way. We generate substantial healthy cash flows also. And if you look at nine months of this year, the profit before tax and if you add the depreciation to that, the organization generates a significant amount of cash. During this quarter, we also acquired all the mutual fund assets of iFast. So in October, we merged the INR 517 Crore of iFast Mutual fund assets and paid INR 2.56 crore for acquiring these assets. So overall, these are the growth drivers, which I look at from the point of view of improvement. However, let me just tell you that overall, on the industry front also, we are very comfortable, and we feel that the entire wealth management industry is poised for significant growth. I was referring to one of the institutional desk research report on the mutual fund industry, and they have a view that active equity assets of the mutual fund industry will grow in the next 10 years from 19 trillion to INR 77 Lakh crore by FY 32. So that is about the next 9 to

10 years, representing a CAGR growth of 15%. If you look at the historical evolution of Prudent, where Prudent grew almost double the industry's growth. So I'm sure we will be able to ride on this wave, which is going to be there as retail wealth management is concerned and we are immensely going to be benefited by this trend. If you look at the US as a country, the US witnessed a rapid rise in retail mutual fund investing from 1980 to 2000, where the share of households owning mutual funds increased from 6% in 1980 to 45 to 46% in 2000. I think we will go through a similar trajectory in the next decade. And we are looking at the next decade as highly favourable for the industry and us. So with this, I will just end my discussion and open the floor for the Q&A. Thank you.

Nirav (00:12:18) Thank you very much. We will now begin the question and answer session. Anyone who wishes to ask the question may press star and one on the touchtone telephone. If you want to remove yourself from the question queue, you may press star and two. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. Participants press the star button to ask the question. The first question is from the line of Swarnab Mukherjee from B&K Securities. Please go ahead. Prudent—Money through wisdom —

Swarnab Mukherjee (00:13:00) Thank you for the opportunity, Sir, and congrats on a good set of numbers. So a couple of questions, one on the iFast acquisition. So if you could talk a little bit about, you know, how the yields of that business are because when I see you, the after consolidation, there is no discernible impact that we can see on the mutual fund business yields post this. So if you could talk about that. What could be any kind of impact that you would see going ahead and also in terms of the distribution partners of iFast what are we doing to ensure their stickiness, or is there a risk that they may move out of the system there? That would be my first question, Sir.

Sanjay Shah (00:13:54): So if you look at iFast, you will probably not see a significant change in revenue because iFast is less than 1% of my AUM. So if you look at the end of December, our total AUM was INR 56,000 crore and what we acquired from iFast was hardly about INR 517 crore. And then, assets got merged in by the end of October. So, November and December are two months where the assets have been merged, and revenue has been booked. Since there is no separate reporting for iFast, I can just give you a rough number. We will make an additional INR 11 – 12 Lakh every month post payout's by way of this acquisition. So it's going to be very remunerative for us because we paid INR 2.56 crore for acquiring iFast, and I believe the payback period would be less than probably two and a half or three years. So we can recover whatever we have paid for acquiring the iFast's assets. That was number one, but it is INR 11 – 12 Lakh a month, so you will not see a significant change in the revenue overnight.

Number two, iFast was significantly like Karvy, a business model also driven by B2B. And there were a couple of partners working with iFast who were also working with Prudent. So, all in all, we got about 250-odd partners who were new to us and have empanelled with us. There might be a few people who might still be in the process of empanelling. However, as far as the positioning of Prudent in B2B segment is concerned, I think we have very strong deliverables and value propositions for them. So anybody who will come from another platform to us would be more comfortable working with us. So, we believe we will be able to take care of them. And I haven't seen any slippages and slip pages in the form of whether he will continue to work for the additional business or not. But the business which

we acquired and is a part of our AUM, will definitely remain with us only.

Swarnabha Mukherjee (00:15:51): Okay, got it. We are now coming to the insurance side of the business. Sir, if you could give some colour on how the commission is shared between the distributors and us and is there a possibility that since we would have a higher scale, we can get a better commission structure out of the insurance companies and, again, the same question on the stickiness of the agents that since in insurance the upfront is significantly higher than what would be the trail income on the renewal of the policy, could there be the risk of an agent getting empanelled separately with the insurance company or can they by regulation at all if move out as an agent of an insurance company, can they still function as a POSP?

Shirish Patel (00:16:48) Yes. So I will answer the last question first. The agent who becomes a POSP must work only with one broker. So, the chances of leakage of the POSP are much fewer. If you want to move out of the Gennext system, they need the NOC from Gennext, and then we can get registered with another insurance broker. See, if hypothetically there is a possibility of people going out, there is a far high possibility of people coming in because currently, we have hardly 7,000 odd POSPs, whereas in many of the competitors would be a much, much higher number in terms of POSP. Prudent—Money through wisdom —

Second, we believe the attrition would be lower because our focus on recruiting POSPs is not on the broader market. Our focus is mainly to cross sell to existing mutual fund distributors. So they don't have only the insurance relationship with us; they ideally deal with multiple products with us, which is why the attrition level could be much lower compared to other brokers. So that is why I said I think the chances of people coming in could be higher than the chances of people moving out. So that is the last point.

The second question you asked is, is there a possibility of our gross yield moving up since our business is increasing? I believe that, yes, I think the insurance industry is very, very dynamic. With the volume increasing, there could be a possibility of increasing the gross yield. But in the last 3 - 4 years, with the kind of growth we have shown, obviously, we are almost near our peak negotiation, so we don't see that the gross yield improvement can be significant going forward. Yeah, there could be. I think a 1 or 2% improvement is possible, but we don't see substantial improvement in the gross yield. So that would be our second point.

Coming to your first question, the sharing, I think the sharing ratio continues at a similar level to what it used to be earlier. So again, I think it's a very dynamic thing. I would say it's volume linked. So, lower the POSP volume, the lower the sharing, and higher the volume of POSP, higher the sharing. So like in

mutual funds, we have got a tier ed structure. Similarly, I won't say exactly the tier structure, but the higher the volume, the higher the sharing kind of structure we have, but we have not seen a ny change in the sharing mix in the last few quarters. So that continues the same .

Swarnab Mukherjee (00:19:21) So, in an average sir, w hat would be the mechanism because , let's assume that, you know, last call, I think you mentioned that the largest portion of your business is coming from non-par. So assuming that you know the commission that an insurance company is giving is around 30% or so on the first-year premium, how much would a partner get?

Shirish Patel (00:19:49): So ultimately, I think a different product mix. If I talk about it on average, that rough sharing would be around 65 to 70 %. The sharing is also dependent on premium paying term & volumes a person gets. Average sharing is around about 65 - 70%.

Swarnab Mukherjee (00:20:11) okay. And Sir, the

ticket size for insurance that you have mentioned in

the presentation, average ticket size, I think, is around INR 35,000. So in LI mainly, ticket sizes can go up significantly. So what would be the kind of steps we are taking to improve the productivity of our POSP? If you can, give some qualitative com mentary on that.

Shirish Patel (00:20:38) So here I would say two things. One is productivity, and the second is the quantity of the POSP. As we already shared that the number of ARN holders is around 26,000. Of that, hardly 7,000 odd ARN holders are converted, either in their own way or the family members. So still, I would say that almost 18000 to 19000 mutual fund distributors are there, whom we can tap . In addition, we keep adding the mutual fund distributor and try to cross-sell them to become the P OSP.

So that is one parameter that we should always look at.

Second, many of the guys, who have trend for the insurance business to become the POSP, definitely our initial challenge was convincing them to start the insurance business, either in the insurance business altogether for the first time or with us because historically , we have been known for the mutual fund business. So most of those guys who are converted to the POSP don't have experience Prudent—Money through wisdom —

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dealing in insurance in the past. We actually have convinced them about the benefit of the crossing and everything. So over a period of time, yes, I think we are able to convince them. We are able to guide them on how to do the insurance business , and their productivity also increases.

Second point there was some, I wo uld say since we are mainly on the mutual fund side, those who were already dealing somewhere with the insura nce business, probably for them, I think the proven track record of Gennext was required that are you in a position to deliver the similar kind of service s on insurance side also, or not . Now I would say that with the distant volume, we have a track record of around 2 - 3 years. They have experience, and they have experienced the service standard of their colleagues also. So yeah, I think we don't see a challenge in improving productivity, but we would love to see their complete potential come out the way they are showing in the mutual fund. But yeah, I think as, and when we are getting convinced for the insurance business, we are very, very sure that the productivity for many of those guys who have started insurance for the first time will improve a lot. But I think otherwise . We don't see any great movement o r change in that.

Swarnab Mukherjee (00:22:50) okay. And the last one from my side. So among your top MFDs, say, if we look at the top 20 or 25% of your MFDs , some colour on, you know, what would be the number of delinquencies of top performing guys.

Shirish Patel (00:23:15) So today, we have already given you in the presentation that the top 10 of our distributors contribute hardly 2.5% of our AUM. Around the top 50, if I take it, almost 8.5 - 9% of our total AUM will be contributed by these guys s. Please understand, obviously , there could be some kind of leakage. Still, we have not seen the leakage on the guys who have already been. The reason is that most of the top distributors already doing mutual fund business with us their clients are there on FundzBazar. So practically, when most of the distributors are on the retail side, we hardl y have any distributor in the top segment who is HNI's focus. So the majority of our distributors are retail-focused, and almost all their businesses are happening through FundzBazar . So practically, we are saying that their 300-400 clients are utilizing t he FundzBazar services for the transac tion purpose, view purpose for the multiple product transaction , and the portfolio evaluation purpose. Even if my distributor hypothetically thinks of moving out, it would not be easier for him to take tha

t call in iso lation because

he has to think about 300-400clients' account opening somewhere else, how to move the transaction or how to move the portfolios of mutual fund to somewhere else. So it is not easy for any distributor to move out, even if we decide. Second point, I would say that this, I'm saying if he decides, it would not be easy, but my point again would be that why would he choose to move out As we spoke earlier, we also have a very, very good tier structure that, too, as and when the distributor becomes bigger and bigger, he gets the higher share of Prudent's revenue. Obviously, he is not losing on the compensation side.

Second, we have added many other products in the last three years, even assuming they are losing a few basis point commissions on the mutual fund product side. Still, they get to sell multiple products they otherwise would not have access to. The third most important part, I would say that the kind of platform that we offer FundzBazar. They probably also believe it is one of the best platforms. So obviously, they need not invest in the technology side. So they need not invest in the servicing of the client's side. So obviously, they also understand the cost-saving aspect while dealing with Prudent. So one aspect I covered is why they would not like to move out, and second, even if they decide to move out, it will not be that easy for them. Pnjdent—Money through wisdom —

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Swarnab Mukherjee (00:26:01) Yeah. Got it. Very helpful. Thank you so much. And all the best.

Shirish Patel (00:26:04): Than ks.

Nirav (00:26:06): Thank you. The next question is from the line of Prayesh Jain from Motilal Oswal . Please go ahead.

Prayesh Jain (00:26:13) Yeah, hi Sir, Congratulations. Firstly, if I look at your growth in SIP book from December last year to this year, you know last year's base will also have Karvy in December, Right? But your growth in the SIP book is higher than your growth in the overall Equity AUM. So is it that we have been able to extract more SIPs out of the Karvy assets and what more growth can we expect from them? That is my first question.

Nirav (00:26:50) Yes Sirish.

Sirish Patel (00:26:54) Basically, if you look at our SIP book as of last year, last year Karvy acquisition would have added around 30 to 33 crores of SIP book. In March 22 INR 30 crore to INR 33 crore kind of SIP book came from Karvy . So if I excluded that number from last year, we would probably add the net SIP book of almost INR 100+ crore. This year also, I think, as Sanjay Bhai said, we will be ending close to INR 500 crore plus monthly run rate for SIP book in this financial year. Obviously, we are hoping to get another INR 100 Crores of addition in this financial year from the SIP book. One point I would like to highlight here is that Prudent's termination ratio is much lower than the industry, which is helping us to increase our net SIP book. We explained that the AUM growth percentage is not as high due to M2M impact. I would say that is the reason our AUM growth was not there. But otherwise, in terms of Net Sales growth, I think we are almost on par with what we anticipated at the beginning of the year.

Prayesh Jain (00:28:26): Okay. And secondly, the commission paid through your distributors it has gone up sequentially this quarter. Anything to read into it ?

Sanjay Shah (00:28:39): So probably, you should not look at sequential data because quarter -on-quarter, you might see some amount of movement in the numbers. You might notice a 1% variation between last quarter and this quarter, mainly because as we move our partners from one category to another-. Let's say somebody has moved. from silver to gold, and linked to that, there is some payout, which we do as the incentive for moving to another category, which happens once in a year. And that cost was there in October, November, and December, which was not in the previous

quarter. So you

should probably look at the nine months' number for the purpose of a better comparison.

Prayesh Jain (00:29:36) Okay, great. The next question was on how are the kind of commission payouts coming on NFOs vis-à-vis what we had changed six months back or a year back when the payouts had really gone up and how are the NFOs Commission trending right now.

Sanjay Shah (00:30:16). Okay. So, typically, if you look, NFO has probably not been a significant contributor to the business. However, if you look at the point of B2B, in the case of NFO, the payout from the AMC side is usually higher than what they typically give as a brokerage. Our sharing is also usually a little bit higher than the regular business. Still, NFO may not be a significant part of our mobilization. And overall, there was a significant rush at the beginning of the year in the NFO, but it has now tapered down. So, the NFO collection is not very significantly larger. Pnjdent—Money through wisdom —

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Prayesh Jain (00:31:44): Sir, in the meantime, could you also throw some light on how you see the redemptions coming through? Obviously, your AUM has gone up, but is there a pressure on, I mean, coming through in specific segments of late, like the last couple of months, has there been some increasing redemptions overall?

Sanjay Shah (00:32:08): So, probably, if you look at the industry as a whole and for Prudent also, I think, the last quarter has been a little bit tepid on the net flows and even the lump sum money has also been reasonably slower than it used to be. So I don't want to read anything for this one quarter changing the number. So if you look at the net flow, I think the net flow is a bit lower. So, I think redemption is almost 55% to 60% for us for the last quarter. The industry is in the range of 75% to 80%, so the gross profit redemption ratio So that way we are reasonably better. If you look at my gross

flow, the gross flow has come down somewhat . Still, my SIP is helping us significantly because, as I told you in the presentation, every second Rupee that came in gross flows came through SIP , giving us strong inflow visibility . So, you are right. I think last quarter has been reasonably somewhat tepid as far as net flows are concerned, but I feel comfortable when the retail investors redeem at the high end of the market rather than redeeming at the lower end of the market. So, that's okay.

Nirav (00:33:26): Thank you. Prayesh, I request you to come back to the queue. Participants, please restrict to two questions per participant. If time permits, please come back to the question queue for a follow-up question. The next question is from the line of Nidhesh Jain from Investec Capital. Please go ahead.

Nidhesh Jain (00:33:47): Hi. Thanks for the opportunity. Sir, Can you talk about market share trends in terms of net flows, net Equity flows, and gross Equity flows?

Sanjay Shah (00:33:58): I think, we maintained our market share despite a lot of noise on the direct side. So, overall, if you look at it, Prudent market share is almost about 2.10 % on the gross sales side & we have maintained that share , and in SIP our market share has increased now to 3.4% . So these are the few important numbers from the point of view of participation in the SIP book and participation in the gross flows . Both are significantly steady.

Nidhesh Jain (00:34:29): Okay. Thank you. And secondly, Sir, if we think from a longer -term perspective, around five years, six years out, the trend towards direct mutual funds should continue to go up in INR view. And as time progresses, the difference between the regular and direct plans will become larger because of the compounding effect. So how are we preparing? First of all, do you agree with this view? If yes, how are we preparing ourselves for that eventuality?

Sanjay Shah (00:34:57): So I think there is a scope for di

rect to grow. There is a scope for active management also to grow significantly. There is scope for distribution to grow significantly because the industry is likely to move significantly in the next decade. So, I believe everybody will participate in this growth story. Direct is definitely a DIY kind of segment or the segment that the RIAs have advised, and they are charging fees to the customer. So people probably look at the difference in the cost structure of direct versus regular plans without considering the behavioral costs investors pay in the case of DIY or the RIA fees they pay to the Registered Investment Advisor. So if you take that into consideration, today I believe that India is not into that kind of expensive trail as far as distribution cost is concerned. But all said and done. I just wanted to communicate that we are definitely not a part of direct. Even if that segment grows, we will not be able to address that. However, we firmly believe there is a need for an advisor, and the advisory segment will grow significantly as far as India's retail wealth management story is concerned. And within that, probably, MFD has to align with some platform. There also we are going to play a huge role. Prudent—Money through wisdom —

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Nidhesh Jain (00:36:18): But internal advisory, you continue to have a model of manufacturer-paid led advisory, not a customer-paid advisory, where the customer pays for advisory?

Sanjay Shah (00:36:28): The only issue is because they understand. We have 15 lakh customers with INR 56,000 crore of AUM. So the average customer AUM is about INR 4 lakh. So it is very difficult. You cannot collect fees from 15 lakh people. You might easily collect fees from 2,000 - 3,000 families, but you cannot collect from 15 lakhs. So there are no very standardized, what you call, fee collection mechanisms set in the industry. If that happens, then we might probably give it a thought. Otherwise, you can't collect the fees from 15 lakh people in the current context .

Nidhesh Jain (00:37:01): Sure, Sir. Understood. Thank you, Sir. Thank you. That's it from my side.

Nirav (00:37:06): Thank you. The next question is from the line of Abhijeet from Kotak Securities.

Please go ahead.

Abhijeet (00:37:13): Hi. Good afternoon, Sir. Sir, the first one is a data question. What is the share of B-30 security assets in the AUM?

Shirish Patel (00:37:37): So the industry was around 23% , and Prudent was around 19%.

Abhijeet (00:37:48): Sir, the second one is that, when you onboard MFDs, is there a rework of commission payouts with mutual funds?

Sanjay Shah (00:38:31): So what Shirish is trying to say is that our negotiation with AMC would be on our strength of our reach and our distribution network. That is what we negotiate with them separately. So, somebody joining our platform will not have a significant change.

Another thing is when somebody merges his assets with us on that particular asset when he is merging, at a point in time, we share everything with him because he has already created assets on his efforts. So say, for example, tomorrow somebody comes with INR 5 crore and wants to merge his holdings with Prudent. What Prudent gets is there is a defined rule in AMFI that my trail rate or the incoming distributor's trail rate, whichever is lower , would be given to me , and whatever I will receive will give to him because that is the asset which he is already spent time and energy for acquiring. Then after his sharing will be or his rate will be applicable based on my prevailing rate for the structure.

Abhijeet (00:39:35): Okay. Understood. Got it, Sir. Thanks a lot.

Nirav (00:39:59): Thank you. The next question is from the line of Nilesh from Bank of India Mutual Funds. Please go ahead.

Nilesh (00:40:01): Yes. Hi. Good afternoon, and thanks for the opportunity. Sir, I have some clarification that I wanted. It is on Slide 37, when I see the n

et sales for the quarter, it says that INR

780 crore is the net sales for that particular quarter, but in the next slide, when I see the gross equity SIP flows, which comes out to be INR 1,411 crores, so the difference is the redemption during the particular quarter?

Sanjay Shah (00:40:29): Yes. You are true. That is absolutely true.

Nilesh (00:40:32): Sir, second question... Pnjdent—Money through wisdom —

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Sanjay Shah (00:40:33): So, last quarter, if you look at overall, there was 70% of the redemption. So if you look at the INR 780 crore of net sales and when I am saying that INR 1,411 crore came from SIPs, which was 51% of my gross flows. So gross flow must be INR 2,800 crores, and net flow is INR 780 crores, so INR 780 crores divided by INR 2,400 crores, that is the redemption.

Nilesh (00:40:56): Got it. Sir, my first question was broadly on the industry part. Say, a lot of data is coming out on SIP being closed. I just wanted to understand what trend we are observing at Prudent.

Sanjay Shah (00:41:42): Okay, so he is trying to say that we are also part of the industry at the end of the day. So overall, within the industry, our discontinuation rate would be much, much lower than the industry. But overall, if you look at the new SIP to the discontinuation ratio, it has definitely gone up. So if there is one discontinuation, we bring in two SIPs. That number will be better in the previous quarters.

Nilesh (00:42:14): Okay, got it. So broadly, from this point itself, to understand going ahead your run machine, which is adding more and more MFDs will have to grow at a much higher pace, so that is the closing of the SIPs, etc., should be taken care of. So this 5,000 number of annual addition, can we see an upgrade on that number considering SIP closure, etc., have started to inch up in the last few months?

Sanjay Shah (00:42:44): So despite there being a closure, as we discussed, we grew our SIP book by almost 29% year-on-year, which itself is a very, very healthy growth rate, and we believe that if you look at a couple of slides, the people who have joined our platform in last two years, there are almost 50% distributors who have joined our platform. So definitely, if you look at the critical parameters of our growth drivers, adding more and more mutual fund distributors is a part of our growth drivers and bringing more and more SIPs from them. So there is no dispute about that. These are the cyclicalities of the business. You wouldn't know that the trend will change because three months have gone by, and some redemption came in. I believe the SIP book will be very, very healthy in the next three to five years, and my personal view is that today's industry is mobilizing INR 13,000 crore a month. You will see that number going to INR 25,000 crore in the next three to four years. So, I think the growth rate will be very, very healthy. Within that, some amount of hiccups would come. Still, we will continue to focus on adding more and more distributors and educating and encouraging them to do maximum business through SIP. That would be a significant growth driver for us.

Nilesh (00:43:58): Okay. Sir, here is one follow-up on this. Last question from my side. So broadly, say, today we have X number of MFDs with us. And so, out of which, how many would be active? And the number of MFDs which would have been added in the last year, say one year before, say in FY 22, and in nine months FY 23, how many would be active?

Shirish Patel (00:44:20): So basically, if I give you that number, of the run rate we add, almost 60% to 70% of them becomes active. How we track our numbers on the basis of how many unique distributors have participated in a particular month. So, depending on the month, our number varies between 40% and 50%. That means if today we have got hypothetically 25,000 distributors and 10,000 distributors are active, they h

ave contributed a new business in this particular month, that means 40% of distributors are active in this particular month. So, practically, this number on the long-term average, if you see, I think, varies between 40% to 50%, so this 25,000 number becomes the 35,000 number. Obviously, our number of distributors participating in the business in any month will increase. So, how many of the new recruits were we able to activate? I think around 60% to 70% of the recruitment becomes activated. Pnjdent—Money through wisdom —

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Nilesh (00:45:23): So considering this trend, say, from a long-term perspective, say, from a two to three-year perspective, can I say our retentions can actually increase considering we have tier-based payout policy, where the smaller contributor would be shared less amount. So over two to three years,

is there a scope for improving the retention ratios?

Shirish Patel (00:45:43): So, retention ratios are good today, also. And, with added products, the retention ratio automatically improves when more distributors start distributing multiple products with us. Second, I would say that, as you said, in that tiered structure, the person becomes bigger, and his share revenue also increases, for there also, the retention ratio increases. Yes, you can say that the retention ratio improves with increased engagement with Prudent and our distributors.

Nilesh (00:46:17): Okay, got it. Yes, thank you so much for replying to the questions.

Nirav (00:46:23): Thank you, I request all the participants restrict your questions to two questions per participant. The next question is from the line of Saptarshee Chatterjee from Centrum Portfolio Management Service. Please go ahead.

Saptarshee Chatterjee (00:46:37): Good afternoon, Sir. Thank you for the opportunity. My question is again on the MFD side if you see quarter-on-quarter, there has been some reduction in MFDs. So can you please throw some light on which bucket we see attrition in? What explains this attrition? I would have expected that the MFD number should have been growing every quarter.

Sanjay Shah (00:46:59): Yes. Shirish, can you address this. Before that, I will just tell you one thing in the last quarter, some 928 ARN holders' numbers would have been reduced, mainly because they have not renewed their ARN with AMFI. And typically, after the deadline, let's say, March 31, we give them six months to renew their ARN. So after September, about 928 to 930 people have been terminated from the system, and they will again be reactivated once they renew their ARN. So that could be one reason. Otherwise, we added about 3,400 people in these nine months. So, looking at only number to number, you might see lower addition.

Shirish Patel (00:47:44): Yes, So, on the incremental side, definitely, our market share in terms of new recruits is much, much higher. Sanjay bhai initially said that around 20% of the ARN holders are registered with Prudent. But every month or every year, the new addition to the industry, I think that share, definitely would be much, much higher. Two reasons for us. I would say that we actively go out in the industry or the market. I would say we convince people to start a career in mutual fund distribution. So those who are currently not in the industry, we can meet them, we can convince them, or we get them into our fold. So that is the addition, and because of that, our ratio is better. Second is the existing mutual fund distributors already dealing with the AMCs directly, which is also market we try to capture. We go, tell them about our offering, and obviously, they join us if they find value in our offerings. So how many new ARN holders would the industry recruit? I think, frankly speaking, we don't look at that number.

We always try to set our numbers, and we follow that numbers in terms of addition. Irrespective of whether the industry would be neg

ative or positive on these parameters, we always believe we would be positive. We will keep adding the new ARN holders in the Prudent's kitty. To just give you the one potential numbers, I would say, currently, in the mutual fund industry, hardly 1.1 lakh, 1.2 lakh ARN holders are there, wherein in the insurance invested, 23 lakh agents are there. So, if you look at those selling insurance products, even 50% of those guys start selling mutual funds, then obviously I think the potential market could be around 5 lakhs, 10 lakhs distributors. Even AMFI set a huge number focusing on the 'MFD Kare Shuru' (Let's start MFD) campaign. So we also believe that because of this AMC's new MFDs recruitment initiative, we will be one of the biggest beneficiaries of that as well. So, Prudent—Money through wisdom —

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again, coming to this point, whether the industry adds the number or reduces the number, I think we are very, very sure that our distributor numbers will keep on increasing every month.

Saptarshee Chatterjee (00:49:49): Understood. Thank you. And secondly, in terms of our state-wise distribution, can you give us some exposure towards the top three or four states for us and what their contribution would be to the AUM?

Shirish Patel (00:50:02): Maharashtra is our number one contributor, followed by Gujarat. If we add only these two particular states, our market share would be around 70% and 72%. So these are the two main contributors main reason is that we originated from this side. Gujarat, we originated, and Maharashtra was the second state wherein we expanded. And that is where I think we would like to highlight the potential of this particular business. Many of the states we have just opened. I would say, I think, before a few months only. We have expanded our footprint in those states. So, 70% of our market share comes from Gujarat and Maharashtra, followed by North and East. South still, I think, we are growing.

Saptarshee Chatterjee (00:50:42): So 70% of the AUM mix you are saying comes from Maharashtra and Gujarat, right?

Shirish Patel (00:50:47): Yes.

Saptarshee Chatterjee (00:50:48): Okay. And, thirdly, the last question is, basically, if you can give some understanding in terms of your customer base or your mutual fund distributor base, if you can provide some number of data points in terms of traffic in your digital platforms, like the policy platform

or FundzBazar, how or what percentage of clients are using your digital platform and what percentage of mutual fund distributors are using your digital platform, so that you can give a fair bit of understanding on the usage of your digital platform?

Shirish Patel (00:51:20): Out of our mutual fund transactions, 78% of our transactions are happening through FundzBazar, our mutual fund platform. We have got two platforms. One is definitely for the mutual fund transactions from the customer's point of view, and the second, for the distributor, we have a separate login. I would say that more than 90% of our distributors are using our digital platforms. So, I think that is where, I would tell, the biggest USP of Prudent, and that is where the association with Prudent continues. As we said that 78% of the transactions are on FundzBazar, remaining 22, also I would say, keeps on growing, so the number every month, I would say, is inching up slowly and gradually. So adoption of technology, specifically post-COVID, has become very, very fast.

I think Policyworld is the platform wherein you can transact. Chirag, if you can give the exact percentage number, I think, to Policyworld, that would be better.

Chirag Kothari (00:52:38): Yeah. The percentage of total online transactions would be around 25% of the total. So two main reasons are that we keep adding integration with various insurance companies. Also, at the moment, many health insurance companies are undergoing version changes. So even

if

your client wants to do their online business, they must go through the insurer portal. But, currently, you can say 25% NOP, fresh NOPs that are being sold through our portal.

Saptarshee Chatterjee (00:53:16): Understood. This is very helpful. Just one last question, if I can squeeze in, your AMC count has come down from 44 to 42. What would be the reason for that?

Shirish Patel (00:53:26): Merger of AMCs, L&T has merged with HSBC. Prudent—Money through wisdom —

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Saptarshee Chatterjee (00:53:30) Understood

Shirish Patel (00:53:31): So it's a merger. No other reason.

Saptarshee Chatterjee (00:53:33): Understood. Thank you. Thank you so much, and all the best.

Nirav (00:53:37): Thank you. The next question is from the line of Shubham Bhatia from Shubham Investments. Please go-ahead.

Shubham Bhatia (00:55:01): So, let's say we empanel a mutual fund distributor, and let's say if we empanel 10 mutual fund distributors, out of them, how many were already distributing mutual funds, but have now empanelled with Prudent and have transferred their AUM versus how many people are the first-time mutual fund distributors. So if you could clarify that number?

Sanjay Shah (00:55:22): If we are adding around 5,000 distributors hypothetically in this financial year, I would say that that mix would be almost 50:50.

Shubham Bhatia (00:55:31): Okay.

Shirish Patel (00:55:31): So 50% of the distributors we would be adding for the first time to the industry and 50% maybe from the existing distributors, either active or inactive in the industry. In the second point, you said that when the ARN holders merge with Prudent hardly any of them transfer the AUM. A majority of them do new business with us. The merger becomes very, very rare. So they start doing new business, but not the merger. So if you are saying that when they come from the industry, the Prudent AUM doesn't increase because they will start contributing new business and don't transfer the existing AUM, to begin with.

Shubham Bhatia (00:56:08): Okay. Got it. And the next question was, we have two portals, two verticals, one for real estate and one for loans as well, but I haven't seen any robust contribution to the total revenue. So are we aggressive on those verticals, or how are we planning to increase those verticals?

Shirish Patel (00:56:28): Both products are limited to a few branches. So property right now, we are doing only and only to Mumbai and Ahmadabad. The revenue contribution of this business is really very, very minuscule. Loans, we actually are trying to establish the business. I think, last one and a half years, we started creating this Creditbasket portal. We are just experimenting with the beta version only in the Mumbai market, to begin with. I think once we believe that now we can take it forward to other cities. Obviously, we will take it. But, we believe that currently, there is no substantial plan to make it big immediately.

Nirav (00:57:03): Thank you. Shubham, I will request you to come back to the question queue for a follow-up question. A request to all the participants, please restrict to two questions per participant. The next question is from the line of Dipanjan Ghosh from Citi. Please go ahead.

Dipanjan Ghosh (00:57:19): Hi. Good afternoon. Just have two questions. The first is on your insurance business. Can you share what proportion of policies have a renewal revenue attached to them? The second question from my side is, with this industry, with the distribution industry from the mutual fund side gradually consolidating, you mentioned that your market share in incremental IFAs additions or net additions for the industry is higher than 20%. So from a medium to long-term perspective, how does the yield negotiation with the AMCs really swing? Is the balance shifting towards the larger

distributors as a whole? Those are my two questions. Prudent—Money through wisdom —

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Sanjay Shah (00:58:06): So, talking about the yield negotiations and incrementally more and more distributors joining Prudent, I don't see there is just great scope available with the AMCs to offer more. So, I would say, on the mutual fund side, the current yield that we are enjoying or the current percentage sharing of the tier that we are enjoying, we probably believe that this is the peak. So I don't see any major improvement on the yield side. So that is the yield. Your first question If you can repeat it, please?

Dipanjan Ghosh (00:58:38): Yes. The first question is, on your) insurance business, what proportion of the book or incremental policies has a renewal revenue? I understand that health insurance and some segments will have a renewal revenue attached to them, so what proportion of the book has a renewal revenue attached to it? And, in that case, is the renewal pass through to your POSP agent decided upfront, or is it renewed on a yearly or on a frequency basis?

Shirish Patel (00:59:06): Yes. So our average contribution between health and life is that almost 30% of our revenue comes from health , and 70% comes from life. Both the products have their renewal, but as you said, health products would have a higher renewal sharing renewal margin than the life insurance business. Our persistency is very, very high compared to the industry standard. If you just ask that, I think we also share the renewal with the POSP. Yes, we also share the renewal portion to the POSP, and there are two models in the industry in which we have seen that many brokers only share higher upfront and lower renewal. I think we have tried to purposefully keep the reasonable sharing on the first year as well as on the renewal side because we believe that if we keep on sharing the renewal with the POSP, their intention or their consistency in bringing the renewal would be much, much higher and that is visible in our persistency. So to give you the answer, yes, we also share the revenue on the renewal.

Dipanjan Ghosh (01:00:12): Sure. Sir, my question was more on , let's say, on retail health products, let's say it comes in for the next 20, 25 years, so the re newal commission paid through . I mean, passed through between the manufacturer to Prudent and then to the MFD, is that decid ed today at the time of policy origination, or is it decided, let's say, every year as and when the rates are renegotiated with the manufacturer also?

Shirish Patel (01:00:40): The majority of the component is pre -decided. Some part of the component is also dependent on the year -to-year negotiation, but, yes, the majority of the health insurance is decided on day one.

Dipanjan Ghosh (01:00:49): Got it, sir. Thank you, and all the best.

Nirav (01:01:31): The next question is from the line of Sahej Mittal from HDFC Securities. Please go ahead.

Sahej Mittal (01:01:49): Hi. Good afternoon. So, firstly, what is the risk of our IFAs moving to some of the larger distributors like NJs of the world ? Given that they are offering higher commissions, what drives the stickiness of these IFAs to Prudent? That is one. And so, I mean, I do understand that the existing IFAs will somehow stick to Prudent, but what is the added incentive for the new IFA to come to a Prudent and not to go to an NJ, maybe?

Shirish Patel (01:02:28): So, both are good platforms. So, obviously, for a new distributor, I a m sure both of us would be p itching in, and an almost similar number wo uld be going to their platform or our platform. The most significant point, I would say, is what we offer is the multi -product. Compared to our competition, our product basket is better. Second point, I would say that the kind of technology offering and the kind of features we offer to our distributors, we believe that our features and the Prudent—Money through wisdom —

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technology are superior to our com

petition. We are almost similar in terms of footprint, commission, sharing, and everything. So obviously, we both always tried to compete in terms of adding more features, more products, making our processes simpler and better, and trying to provide the best services. So, yes, I think we do approach all the distributors. I think many of them would join us, and many would join our competition. So, yes, I believe competition is also equally good.

Shirish Patel (01:03:28): As I said, product basket and technology, I think these two points I believe that I think we are superior to them. Footprints and everything , now, it's almost at par. Before three years, you can say that their footprint was much higher than Prudent's. But last three years, after our expansion, what we have done every year, the number of branches and sales manpower, these two parameters are almost similar. One parameter we... still they're bigger in terms of number of MFDs

working with them because they came in the industry before - I think seven or eight years before us in terms of B2B business. Because of that advantage, the number of distributors currently dealing is a little higher than Prudent, but there, on that parameter also, we are catching up very fast.

Sahej Mittal (01:04:15): Right. And on Slide 27, where you have shared your SIP book, SIP flow breakup, can you also give us the vintage of these books across age cohorts, across customer age cohorts?

Sanjay Shah (01:04:37): I think, if you look at page number 27, I think on the age also we have given you that. around 30% of the SIPs are from those aged 25 to 35. The larger AUM is with people who are above 45 years of age. And the SIP book is more with those in the age bracket of 25 to 35. So, new money is coming from those who will invest for an extended period. Otherwise, the bulk of the assets is with those closest to the retirement age.

Sahej Mittal (01:05:26): Right. So of these two age cohorts, 45 to 60 and more than 60, what proportion of these SIPs and Equity do you foresee that will lapse or mature in the next two to five years?

Sanjay Shah (01:05:47): So I can tell you if you look at the SIP, today more than 50% of our SIP book is perpetual in nature, and where there is a defined maturity given for the SIP, I think the average age itself is about 12 to 13 years. So, I think the stoppage of SIP before maturity is very difficult for you to predict, but I believe there is a significant amount of continuity that we can foresee. I don't see any major reason for an abruptly large number of SIP being closed.

Sahej Mittal (01:06:17): What I'm trying to understand is that, if the customer is already at the age of 65, I mean, the max he can contribute to your book is until he turns 70 or 75 tops, right. Beyond that, he will not be continuing with his SIPs, so from that point, I am trying to understand, given that 55% of our book is coming from customers who are more than 45 years of age, so in the next two to five years what proportion of this book do you anticipate will fade away?

Sanjay Shah (01:06:53): So I'm just saying to you the number of live SIP above 45 is about 30%, and those above 60 years are only 6.5%. Forget about the amount. What is important is the number of SIPs, right? So the number of SIPs of those above 60 years is about 6% of my book. So if you assume 20 lakh SIPs, there are 1 lakh SIPs of up more than 60 years older adults, which may or may not continue for more than five or six years. Otherwise, the rest all the SIP can be an average age of about 7 to 10 years. You can easily assume - that's my understanding. Because now SIP comes with a lot of comforts, which is the basis of investing, we don't see any abrupt changes in the investors' behaviour. Shirish, you can just cover that. Prudent—Money through wisdom —

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Shirish Patel (01:07:40): It's the same point that you already covered. I think those who

are up ward of

60 years, their contribution to our SIP book is 8.75%. Even if you assume that after a certain age, once his income is not there, if they stop renewing the SIP or they don't continue the SIP, the maximum risk you can look at is 8.75% of our SIP book.

Nirav (01:08:04): Thank you. Sahej, I will request you return to the question queue for a follow-up.

The next question is from the line of Varship Shah from Envision Capital. Please go ahead.

Varship Shah (01:08:15): Yes, Sir. Thank you for taking my questions. Have you seen any increasing investor interest or debt or fixed-income products? Can that mix change going forward?

Shirish Patel (01:08:31): Incrementally, yes. I think ours is a pure retail distribution model, wherein I think many of the clients are saving through SIPs, and then when they do SIPs, it is mainly on Equity, because they believe in wealth creation. Even if you look at the breakup of the industry on the debt side, the majority of the investors are non-individual or, rather, I would say, institutional. And within individuals, the share of HNI or the ultra HNIs is much higher in the total debt segment. The retail investors, whose net worth is an average AUM is INR 3 lakh, INR 4 lakh, and INR 5 lakh. Their share on the debt side is very minimal on the industry side because they believe there are so many other options available. If you exclude the tax arbitrage, retail investors are not looking at tax arbitrage in a big way, and that is where we believe that the share of Prudent on the debt side might not become that significant. But I would say last three or four years, many of the clients have been looking at stable returns and not the volatility of the Equity. The new category, I would say, the balance advantage category or the dynamic equity category, that is becoming popular. I would say that it is somewhere in between debt and Equity. And we try to replace the debt component with the Equity saving category or the balance advantage category. And that is where you would have seen that this category has got the maximum flows in last three, four years. Incrementally, also we believe that retail investors might go to these categories rather than the debt category. Yes. I think debt might remain as a short-term investment parking mechanism, but for investment purposes, they go to the best category on the debt component.

Varship Shah (01:10:33): Okay. Thank you. And my second question is, this growth in SIP book to INR 478 crores, I think sometime back, maybe a year back, the average ticket size for the investor was maybe INR 2,600, INR 2,700. Currently in this quarter this is maybe around INR 3,200. Is it happening

by increasing ticket size , or do we also have, like, live customer count is also increasing at the pace at which they increased before?

Shirish Patel (01:11:03): So, it's a great question. I would say both ways. I would say last six or seven months, there have been conscious efforts to increase the ticket size from the investor. Now, before a few years the sales pitch used to be that I think you should have the SIP.

Last, I would say that we changed the tone in last twelve months stating to invest decent amount through SIP. So there was a phase wherein we needed to go to the customer and convince them to start the SIP. And after I think five, six years of good experience, now I think rightfully we can go ahead and ask them to increase their SIP's value. Earlier I think, people used to start the SIP for any amount . Now I think there is a good trend of starting the SIPs based on some kind of bold planning or something. So that is where we see the improvement in the average ticket size as well , and still, we believe that it's a conscious effort on that industry side as well , and the Prudent side also we are focusing on that. And in addition to that, yes, I think because of the new addition of the SIPs or new additi

on of the clients as well. Prudent—Money through wisdom —

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Nirav (01:12:09): Thank you. Varship, I will request you to come back to the question queue for a follow-up question. The next question is from the line of Arpit Shah from Stallion Asset. Please go ahead.

Arpit Shah (01:12:40): Yes. I missed your net sales guidance for FY 23. What is the number that you are targeting for FY 24 for net sales?

Shirish Patel (01:12:48): It's a difficult question because I think if you have heard any of our regular communications, historically, we have been saying that in the long run , our observation is that our net sales are in line with our SIP sales. Depending on the market sentiment, there could be a plus or minus. In some years, it will be higher than the SIP sales; for a few years, it could be lower than the SIP sales. But if I will take the 10-year average, it is in line with our actual gross SIP sales plus/minus a few percentages. If I look at this year's YTD, we have done almost INR 3,400 crores, INR 3,500 crores of net sales. Our current run rate is around INR 300 crores, INR 350 crores, and INR 400 crores because we have seen a drop in net sales in the last two or three months . So, I think you can assume around INR 300 crores if these sentiments continue. INR 300 crore is the current run rate roughly. So you can see around INR 4,300 crores kind of number. Assuming there are some market corrections and some kind of people coming back to less redemption, this number can improve , and that can reach our guidance number at the beginning of the year was around INR 5,000 crore. Next year, since we have added the SIP book and we still will continue , the medium-term net sales number could be in the range of around our SIP book. So if my SIP book is hypothetically INR 500 crores, you can assume our net sales could be around INR 6,000 crores in FY24. But, as I said, in the short -term, it varies, and so many other parameters like sentiments in the market also play a very, very important thing.

Arpit Shah (01:14:22): Got it. And any data where you might have gained market share in the SIP book?

Sanjay Shah (01:14:30): So I would say two good parameters. I think this again derived number based on the industry's number. We are also gaining the market from the net sales side . So that means our redemptions are lesser than the industry. So, our number has improved if you compare last year's net sales ratio in the industry or the net sales market share and this year's net sales market share. Similarly, on the SIP side also, on the book side, when we look at the book side, if our market share is growing, that is nothing but the indirect way of saying that our redemptions ratios are less compared to the industry. So, we are also growing our market share on the net book side.

Nirav (01:15:12): Thank you, Arpit. The next question is from line Aahan from Trivantage Capital. Please go ahead.

Aahan (01:15:26): Yes. I noticed that your cash flow from the operation has been quite strong for the last three years, and you have a very strong balance sheet. And you mentioned that around 70% of your AUM comes from Maharashtra and Gujarat, where you are dominant. So I wanted to know if you have any plans for any acquisitions to expand your presence beyond these two states in the coming years.

Sanjay Shah (01:15:58): So, actually, if you look at today, we have 121 branches, and as Shirish said that even though our significant market share comes from Gujarat and Maharashtra, currently we cover almost 21 states, and the entire length and breadth of the country has been covered by physical footprint. So we probably believe that what Shirish was also trying to say is that today despite having full-scale business in the country, 70% of business comes from these two states. That means there is a huge potential for us to get the business from the rest of the country, and we be

lieve that gradually

there is a strong amount of traction and acceptance. People are also joining the platform, so that the growth will come from those places. Prudent—Money through wisdom —

Aahan (01:16:40): Okay. Thank you. I just had one more question. I wanted to know since your balance sheet is so strong, you have any plans to return cash to shareholders in the coming years. What your dividend policy was for the next two to three years ? If you have any plans for that?

Sanjay Shah (01:17:04): So the significant cash which we generated has been fully utilized by us for acquiring the Karvy last year. We continue to believe that the industry will see some solid consolidation, and we would love to preserve cash at least one and a half or two years. We would love to scout for the opportunity , and something will definitely come on way. If we cannot utilize this case significantly in the next two or three years, we'll go to the board for designing the dividend policy or something like that.

Aahan (01:17:41): Okay, that's very helpful. Thank you.

Nirav (01:17:46): Thank you very much. I now hand the conference over to the management for closing comments.

Sanjay Shah (01:17:51): Thank you very much. I think we could be able to address all the questions. If you have any queries, you can reach out to Mr. Parth, who's handling our investor relationships , or otherwise, you can reach out to Equirus also. They will be ready to address all your queries. Thank you. Yes, Go ahead.

Nirav (01:18:11): Thank you very much on behalf of Equirus securities. That concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you. (Audio ends)

Call: May 2023

PCASL/17
/2023
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Date: 30
.05.2023

To,

The National Stock Exchange of India Ltd,

Exchange Plaza,

Bandra

—

Kurla Complex,

Bandra (E),

Mumbai

—

400 051

NSE EQUITY SYMBOL:
PRUDENT

To,

BSE Limited,

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai

-

400 001

SCRIPT CODE:
543527

ISIN:
INE00F201020

Dear Sir/Madam,

Sub.:
Transcript of the Conference Call for
Audited Financial Results

for the
Quarter
and
Year ended March 31, 2023

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With reference to our earlier intimation No. PCASL/07/2023

-

24 dated May 19, 2023 and in terms
of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations,
2015, we are enclosing herewith the transcript of the Conference Call
with analysts and investors
held on May 25, 2023
in respect of the A
udited Financial Results for the Quarter
and Year
ended
March

31, 202

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The same will also be available on the website of the Company at
w
www.prudentcorporate.com

Please take the same into your records and do the needful.

Thanking you,

Yours Faithfully,

For, Prudent Corporate Advisory Services Limited

Dhaval Ghetia

Company Secretary

Tele No: 079

-

40209600

Email:

cs@prudentcorporate.com

Encl.: As Above

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"Prudent Corporate Advisory Services Limited
Q4 FY-23 Earnings Conference Call"

May 25, 2023

MANAGEMENT : MR. SANJAY SHAH – CHAIRMAN & MD, PRUDENT CORPORATE ADVISORY SERVICES LIMITED
MR. SHIRISH PATEL – CEO & WHOLE -TIME DIRECTOR , PRUDENT CORPORATE ADVISORY SERVICES LIMITED
MR. CHIRAG SHAH – WHOLE -TIME DIRECTOR , PRUDENT CORPORATE ADVISORY SERVICES LIMITED
MR. CHIRAG KOTHARI – CFO, PRUDENT CORPORATE ADVISORY SERVICES LIMITED
MR. PARTH PAREKH – INVESTOR RELATIONS , PRUDENT CORPORATE ADVISORY SERVICES LIMITED

MODERATOR : MR. ANSUMAN DEB – ICICI SECURITIES

Prudent Corporate Advisory Services Limited
May 25, 2023

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Moderator : Ladies and gentlemen , good day, and welcome to the Q4 FY23 Earnings Conference Call of Prudent Corporate Advisory Services Limited hosted by ICICI Securities .

As a reminder , all participant lines will be in listen-only mode , and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.

Please note that this conference is being recorded.

I now hand the conference over to Mr. Ansuman Deb from ICICI Securities . Thank you , and over to you , sir.

Ansuman Deb : Thanks , Michelle . Good morning , ladies and gentlemen. On behalf of ICICI Securities , we welcome you all to the Q4 and FY23 Results Call of Prudent Corporate Advisory Services .

The company is represented by Mr. Sanjay Shah – Chairman and Managing Director . Mr. Shrish Patel – CEO and Whole -time Director , Mr. Chirag Shah – Whole-time Director . Mr. Chirag Kothari – Chief Financial Officer , and Mr. Par th Parekh – Investor Relations.

I will now hand over the call to Mr. Sanj ay Shah for his opening remarks , post which we will open the floor for Q &A. Over to you , sir.

Sanjay Shah: Thank you very much, and I thank you all who have joined the call today for sparing your valuable time. I hope you all have access to the investor presentation, which has been uploaded on the exchanges. I hope it is handy for you because , during the discussions , I might give reference to slides.

So now , if I start talking about the fiscal year FY23 , we crossed three key important milestones. Number one is our mutual vertical crossed 500 crores in revenues for the first time. Secondly, our cash flow from operation 's exceeded 100 crores & it ended FY23 at 127 crores and thirdly, insurance which is a very important business for us , has crossed 10% in our overall consolidated revenue. So, for the stellar performance , I would like to extend my warm thanks and gratitude to our Prudent partners , who are our key pillars of strength in helping us to achieve these milestones.

As you are aware that in the case of Prudent , we continue to drive the mutual fund business through our granular systemic investment plan , and our SIP flow in month of March 2023 stood at 522 crores which was 27% higher than a year ago. So, despite being a very strong player on the SIP front , we believe there is much more ground for us to cover . For that matter , I would like to take you to Slide # 31. So, if you look at this slide of our investor base of 15.3 lakh clients , 50% of our investor base has not even started the SIP yet as of March '23. So, this is a considerable base out of our active investors who have just done lump sum , but have not done any SIP or they do not have any ongoing SIP. I would like to tell you there is one research from CAMS and CAMS services about (+2.4) crores investors , and in the CAMS data also , 57% of Prudent Corporate Advisory Services Limited

May 25, 2023

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investors of CAMS have not started SIP. So, this data of Prudent also coincide with the CAMS number. So, there is a good scope for us to grow our SIP base. Also , if you look at out of 7.5 lakh investors who have started SIP, 50% of that, so roughly 3.2 lakh investors , only have one SIP. So there , also, we feel that it is a good scope for us to increase the number of SIPs of these investors.

Another noteworthy data point from the same slide is the number of years of experience investors have had with Prudent. We consider the first transaction they made with Prudent as the starting point of their relationship. The chart on the right-hand side indicates that out of our total AUM, 68% belongs to investors who initiated their first transaction before March 2020. These investors

have experienced at least one market downturn during their investment journey. This data point instills confidence in our ability to increase our wallet share among existing customers. As mentioned, in March 2023, our monthly SIP flow amounted to 522 crores, with almost a second rupee in our gross flows coming from SIP.

Turning to Slide #23, which showcases the movement in assets under management (AUM) from March 2018 to March 2023. During this period, 52% of our AUM has been contributed by net sales, while the remaining 48% is attributed to mark-to-market gains. Barring the COVID-19 hit years, our net sales have been on par with or higher than our gross flow from SIP. This indicates a close correlation between net sales and gross SIP numbers.

In light of this context, if we annualize the monthly SIP flow of 522 crores in the month of March, we anticipate a gross flow from SIP of 6,200 crores in FY24, which represents approximately 11% of our FY23 closing AUM. So, we are confident in achieving a net sales growth of 10% to 11%, and we expect the remaining 10% to come from mark-to-market gains. This overall growth projection positions us to achieve an annualized growth rate of 20% over the long term. Our goal is to reach the milestone of 1 trillion AUM within the next 3-4 years. Additionally, given our investment book of 142 crores and the generation of healthy cash flows annually, we have been actively exploring inorganic opportunities in the industry. This provides us with the potential to achieve the 1 lakh crore mark even earlier through strategic acquisitions. We continue to be aggressive in diversifying our revenue stream, and on the revenue front, revenue from other products has grown by 114% year-on-year in FY23. This year in the distribution basket, we added Liquiloans, which is a P2P product, and we also started distributing the small case product on our FundzBazar platform.

Insurance as a vertical has performed exceptionally well in FY23, with revenue almost doubling, and it is now close to about 11% of our overall revenue. Our total premium grew by 78% during FY23, and commission grew at a much faster pace due to a higher share of remunerative life insurance policies in the fresh premium. We have around 7750 mutual fund distributors or their family members working as a point-of-sale insurance segment. Regarding insurance, as you all

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are aware that Jan-Feb-March quarter was very robust and exceptional because of taxation-related changes.

I'll take you through Slide # 46, which talks about our stand alone results. In FY23, our quarterly average AUM grew by about 33%, led by strong SIP flow, and as you all know that last year we acquired Karvy by about October-November. So, the full-year average of Karvy came in the current year, and that's the reason for growth as Karvy was not there in last year's base for about 9-10 months. So, because of that, our overall AUM has grown by about 33% on average. Consequently, revenue also grew by 33% and our net revenue yield has remained stable at 95 basis points. Operating profit grew at a faster pace than the revenue growth at 38%, mainly aided by the benefit of operating leverage and the margins expanded by 95 basis points to 22.8%. Our profit after tax grew by 26%, a tad lower than the operating profit, mainly because the amount we paid for acquiring Karvy has now been amortized. This is the year where full-year amortization has come. So, Depreciation has reduced our profit after tax. Our cash flow from the operation has been very steady and very healthy, and from our standalone operation of Prudent Corporate itself, we reached closer to 100 crore & we ended the year with 94 crores of cash flow from mutual fund distribution operations.

ations.

If you look at Slide # 41, the good part of this table is that our opening AUM for FY24 is at 56,189 crores which is almost 6.4% higher than the full-year average of last year, which was 52,864 crores. We also have a good head start not only on the average AUM but also if I'll just tell you about the current number, we have already surpassed 60,000 crores AUM which is about 13% or 14% higher than full-year average of FY23. So overall, I just wanted to communicate that the mutual fund vertical has a good head start for FY24.

Now, let's shift our focus to Slide #45, which presents our consolidated results. In FY23, our revenue from operations grew by 35.6%, primarily driven by the healthy growth in the mutual fund vertical and the outstanding performance of our insurance vertical. Our operating profit increased by 51% year-on-year, reaching 173 crores. This growth was facilitated by the benefits of operating leverage, coupled with the significant contribution of our insurance business to the

overall revenue composition. As a result, our profit after tax grew by 55% to 117 crores. Our cash flow from operations for the year amounted to 127 crores, and the ratio of cash flow from operations to net income stood at 104%, indicating a strong and healthy cash conversion. Summing up FY23, it was an exceptional year for us, and we anticipate that this momentum will carry forward into FY24.

However, there are certain challenges on the horizon for FY24, primarily driven by the SEBI consultation paper on Total Expense Ratio (TER), which is currently in the public domain. However, we are in the business of volume and we believe that volume does compensate for the margin compression in absolute basis points which we may witness going forward given that we are growing at almost twice the rate of the industry in the equity AUM front.

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I will now open the floor for questions and answers. Thank you.

Moderator: Thank you very much, sir. We will now begin the question-and-answer session. The first question is from the line of Rohan Mandora from Equirus Securities.

Rohan Mandora: I just wanted to understand, currently, within the SIP book, how it is split between pure equity, hybrid, and solution-oriented funds and similarly on AUM. Also, can you share similar stats on the equity AUM?

Sanjay Shah: Rohan, you can move to the next question. I'll just get the data and Parth will give the information.

Rohan Mandora: Second was that there are certain schemes that are of SIP plus SWP nature and where the SIP flows are for a relatively long period of time. So as a distributor & an investor also, how do they see this kind of a product, and are we more inclined to do these kinds of products because we get a longer tenure of flows on them? I just want to understand your view on this.

Sanjay Shah: I think there are SIPs-SWP combo products which are like, say, ICICI & SBI have. So, we do provide those products on our FundzBazar, and we have already onboarded them. You are absolutely right that this product gives you not only the longer duration money, but I think it takes care of the retirement requirement of the investors. Definitely, it's a very good product for us to focus.

Rohan Mandora: Here also, what would be the share in the SIP bucket of this product if you could share along with the data? Third was in terms of what will be your view on the recent discussion paper that has come out from SEBI. How do you read that in terms of the impact on Prudent?

Sanjay Shah: Rohan, I think it's very premature for us to say anything as of now because if you look at the consultation paper, which is open for public debate and I think everybody would give their suggestion and finally, what is going to be the actual change will come

from the regulator. So,

there are a lot of floating points. For example, SEBI has said that the TER should include not only the brokerage but incidental costs like STT also and which is probably very difficult for somebody to project because I don't know which particular fund has what kind of churning. So that cost is very floating. That is one point that is probably keeping everybody on tenterhook. Overall, I probably think about how the industry will react, how much they'll pass on to everybody in the entire value chain, and what are their views on passing to a retail IFAs as well as to us. There are a lot of things that will remain floating for us to come to a real conclusion about what is going to be the impact. But I can tell you the positive part of this would be that as the industry becomes more and more competitive, the need for people to align their interests with a larger platform, the quality platform would become very important, and we feel that is going to be an important thing for us over a period of time. And Rohan, in the SIP book, we have 93% equity and 6% in hybrid & less than 1% is probably debt or solution-oriented funds.

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Rohan Mandora: On that SIP plus SWP, how much would that be within the SIP book?

Sanjay Shah: We can probably get the number, and we'll communicate with you. It will not be significantly large. Because normally it will be a vanilla product which is sold very significantly, but it's a good product for us to do and we have been making lot of efforts. But if you look at the number, I think the number is not handy as of now.

Moderator: We have the next question from the line of Ashwani Kumar Agarwalla from Edelweiss Mutual Fund.

Ashwani Agarwalla: As you said that the margins might take a hit because of the new TER regulations. So, you must be in talks with various mutual funds. So, what is the glide path the mutual funds have given to you in terms of the brokerage revenue or the commission revenue which you get in terms of percentage?

Shirish Patel: So basically, we have already spoken to multiple AMCs. As of now, we believe that most of the

AMC are actually calculating the total impact . None of the AMCs have yet decided or rather initiated , and they are not yet clear what would be the exact impact on every scheme and what would be the pass on to the distribution and to the other stakeholders . I think when we spoke to your AMC also , we could not get the exact answer. We believe that it would still take some more time to get clarity from the AMC to the industry on what will be the cut share between various stakeholders . It's very early for us to comment.

Ashwani Agarwalla: We have seen the TER cut in the last two instances in 2014 -2018. So how much of that TER cut was passed on to us and across various mutual funds ? Do larger mutual funds pass on more , or do smaller mutual funds pass on more or where we have bargaining power ?

Shirish Patel: If you look at the last two TER cuts, the majority of the AMCs have passed on fully to distributors . Specifically, the bigger ones have passed on the full TER cut to the distributors.

Smaller AMC, yes, I think they did not pass on 100%. But if you look at it in totality , probably , the pass-on was almost 95% . This time the situation would be a little different. This time around, the impact on TER is led by inclusions of broker age & GST. So frankly , it's too early for us to tell. But yes, historically , I think more than 95% of the TER was passed on to the distributor, but we strongly believe that this time it won't be the same .

Moderator: The next question is from the line of Lalit Deo from Equirus Securities.

Lalit Deo: I was asking in the AUM bucketing , which we have given that data shows that about 40% of the

AUM comes before April 2017. Is it like the AUM , or is it just the investors who have been associated with Prudent prior to April 2017?

Sanjay Shah: See, what we did is that your AUM might be recent , but we looked at what was the relationship of that customer with Prudent . Let us assume , for example , I would have invested out of my one Prudent Corporate Advisory Services Limited

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crore portfolio 90 lakhs would have been invested in the probably last two years. But my first transaction might go back to probably 2015 -2016. So, I just wanted to communicate that 67% of the AUM that we have today are the people who started relationships with Prudent before the COVID period , and they would have seen at least one or two cycles. So, these are the mature investors. I just wanted to communicate that 67% of the AUM belongs to those people who are reasonably mature and they have seen the volatility - that was the message.

Lalit Deo: Secondly, on the insurance fees . Right now, this quarter , we have seen strong growth. So currently , what will be the mix between the origination, between the in-house employees , and the POSP model , and how do we see it increasing over the next two or three years?

Shirish Patel: If you look historically , the majority of the business used to come from three channels , that is , the online, wealth channel , and other direct channels. POSP , as we said in the prior calls also that POSP was a new channel introduced before few years and incrementally , the contribution coming from the POSP channel is very -very high. If you look at every quarter , the contribution of the POSP channel is increasing , and in the last year , whatever growth we have seen, of course , is because of the taxation changes in the industry. But at the same time , the POSP contribution to our total overall business is also increasing . As Sanjay bhai said that currently almost (+ 7500) POSPs are now registered with us , and more and more POSPs are getting active now . Roughly if you can see , the business contributed by POSP was almost 50% in the last quarter , to be precise , I would say .

Lalit Deo: Your voice got muffled in the last part of the sentence . Could you please repeat it?

Shirish Patel: I had said that the POSP contribution in the insurance business is increasing quarter after quarter , specifically last quarter when we did the highest -ever business . The business contribution is mainly because of the two parts , I would say . One is the taxation changes , and secondly , the POSP contribution in the last quarter has increased. So, in the insurance business , last quarter , POSP's contribution towards the business would be around 50%.

Lalit Deo: The last question was on this TER regulation. So, like hypothetically , if there is some passing also, which is done to all the other distributors and us so, then what will be our intent in passing on these TER cuts to our channel partners? How do we see this whole scenario panning out for us in terms of net yields?

Shirish Patel: If you look at the history , I think two TER cuts we could pass on the majority, or rather , I would say that almost everything that was cut by AMCs for us because there are two parts I think that is very, very important for us to decide and how much we will be able to pass it on to our distributors . One is , of course , how much AMCs are cutting to us , and the second very important parameter is how much AMCs are cutting to their IFA. As I think you can see indirectly, we also cater to the IFA segment of the industry. So, two important variables will decide how much we will be able to pass it on for this forthcoming TER cuts. But historical reference , if you want to

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look at it, I think I would say that we could pass on a

Almost everything that was cut by AMCs to us.

Moderator: The next question is from the line of Prayesh Jain from Motilal Oswal Financial Services.

Prayesh Jain: Firstly, just continuing on these new TER regulations, whatever the calculations we've done suggest that the smaller AMCs are actually benefiting from this move, and they might have some room to distribute or give better commissions to distributors. So, in that kind of a scenario where the larger ones will market kind of that they are the lowest cost ones. On the other hand, you will have distributors kind of wanting to sell more of the smaller ones where commissions would be better. How would this kind eventually, in your sense, how will this kind of play out for the industry?

Shirish Patel: If you look at currently too, there is a gap between TER, I would say the bigger schemes of bigger AMCs, the TERs are lower than the smaller AMCs TER. If TER cut or the TER is the only, I would say, information that investors are looking at, then probably there would not be any shift towards the smaller schemes. But if you see in the last few years, the smaller AMC's market share incrementally is increasing in the industry. Now obviously, there are multiple factors affecting why smaller AMCs' market share is increasing in the industry. One definitely is performance consistency. Obviously, I think a few of the AMCs have shown the performance track record now. Yes, as you said, bigger AMCs will try to communicate that their expenses are lower, and the smaller AMCs will try to go to the distributor saying that your commissions are higher. Distributors also don't go only by way of commission. Obviously, I think there is merit in the smaller AMCs also & there would be merit in the bigger AMCs also. So, as the distributor, we always try to give the balance to our clients based on the client's requirements. Simply, we will not go with the lower TER or, the higher commission. Obviously, the way distributors were functioning till now, I'm sure, I think they will continue to function similarly.

Prayesh Jain: And do you think that this move which may eventually turn out to be into regulations, will expedite your conversion of existing distributors to insurance distributors as well and scale up the non-MF business at a much faster pace within your set of partners?

Shirish Patel: First question. I couldn't understand the first part of your question.

Prayesh Jain: So basically, what I'm asking is, will this move that turns out into the regulation later, will it help you to kind of expedite or fasten the process of converting your just MF distributors into more insurance distributors and also some other products that can help you scale up the non-MF distribution business?

Shirish Patel: Obviously, I think I will give the answer in two parts. As you said for the existing distributor, because of this TER that would help to penetrate more into the non-mutual fund products, I think whenever the revenue is reduced in any product, distributors might look at other products more seriously to compensate for the loss in one particular product. The same would apply to us also.

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Yes, I think because of the revenue cut to the distributors going forward, they always try to find out additional products when they can compare them so that they can increase the wallet shares of the client. To a certain extent, yes, there could be some little shift from MF to the other products. Having said that, whether the focus for mutual fund distribution goes down from Prudent's point of view, I think probably the answer would definitely be no. But yes, the share of revenue from other products would definitely increase. But still, I would like to add one more point here. Because of the TER cut, as I said, the

the mutual fund revenue for the distributors would

come down. So, the distributor community, who are not currently associated with the platforms like ours, obviously would like to go to the platforms to get multiple products in a single place, as well as they would like to reduce their operating cost. So, those distributors or those IFA or MFD still currently not dealing with the platforms might look at platforms to compensate for the shortfall in revenue. So, I think that way, we believe that more and more MFDs would move to the platforms to offer multiple products.

Moderator: We have the next question from the line Srinath V from Bellwether Capital.

Srinath V: I wanted to understand the top 3 asset management companies with over 10% market share rate put out their disclosures on payouts and if you see the payouts for all of them have been far exceeding equity asset growth. So, one of the asset management companies has significantly higher equity asset growth. So is it fair to assume that the front book or the new close payouts have drastically gone up? Could you, in our book, tell us about the new assets we originated this year, what would be a payout, or what would be our revenue versus what it was last year from a yield perspective. What we will be getting a blended yield, if you can disaggregate it and help us understand? And also want to understand what drove them. Is it platforms like ours that

have been able to aggregate and bargain and get that significantly higher payout from large asset management companies?

Shirish Patel: Giving an answer to your first question last few years, you have seen that the share of commission in the AMC is much higher than the equity yield growth. One main reason I would say is that historically when the transactions, every transaction distributor used to get an upfront commission, the trail commissions were lower. Last few years, specifically after 2019, everything has moved to the trail, so obviously, while the investment for the transactions is moving on the trail, the trail commissions are higher. So, in the AUM mix of any distributor or any AMC for that matter, there are prior assets of 2019, which were at a lower trail, so in 2019 and 2023, 4 years, much of these assets would have been churned. If you look at the industry, the average life of any equity is around 3-3.5 years. It is safely we can assume that the majority of the assets would belong to 2019, and we can say that by now, it would have been churned so incrementally we don't see there would be a huge difference between the equity AUM growth and the commission payout growth for the AMC. This is the first point. The second point I would say is that if you asked about bargaining power, quite clearly, I think it already happens that the higher the business the bargaining power increases. But in the past also, we have already communicated that now going forward, I think we don't see a great improvement in the bargaining power with the AMC because we believe that we have touched that particular ceiling, Prudent Corporate Advisory Services Limited
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So, incrementally bargaining power from the AMCs probably we might not be able to enjoy. But again, I would say that, as you said, AMC commissions have increased in comparison with the equity real growth. I believe that going forward, that should not be the case.

Srinath V: So, for us, I wanted to understand would assets originated in the current financial year have a higher yield than assets that originated in the last financial year. Is that a fair assumption to make, or after 2019 or this year last year were all the similar payouts, only the prior book has that kind of lower payout?

Shirish Patel: If you simply are asking or comparing the average yield on the transactions of '22-23 and '21-22, not everyone, including

every distributor, I would say that '22-23 transactions will have fetched lower yields if we compared to '21-22, for everyone. Because as I think you understand that when the AUM increases, by default the commission payout decreases. Now today AMCs are maintaining whatever percentage share to the various channels. The percentage remains static. So, when the TER goes down for the AMC, obviously, the net yield or the gross yield to the distributors also comes down. If you are simply comparing '21-22 and '22-23, so '22-23, the yield would be lower than '21-22.

Srinath V: But that's what I'm very confused about because if you look like, I said, a couple of AMCs, you look at the numbers, they're actually at payout growth of 40% YOY, an asset growth will be 15%-16%-17%?

Shirish Patel: That is the reason I'm saying because of the historical asset churning, but when you are simply asking about the new transactions of '21-22 and '22-23, yields have dropped.

Srinath V: And in the backdrop of the last 2 years of commission payouts growing and especially this year growing significantly faster than asset growth, do you see the larger AMCs coming down and saying that we want a full pass-through of whatever cuts we are taking given that they have had very enhanced payouts over the last 18 months? In that context, do you feel it will be very difficult for us to push back, saying you guys have to take 30%-40% of the hit & we'll take 60%? Now how is this whole thing going to transpire, especially in the context that they've all had 40%-50% payout growth for FY23?

Shirish Patel: I couldn't hear it properly. Historically in 2018 and 2019, in both, the TER cuts, the majority of the AMCs have cut 100% of the TER to the industry, almost 100%, I would say. This time as I said sometime back, I think the scenario may be different. AMCs might not be able to pass on the 100% cut to the distributors. As I said, I think it's too early for us to comment on this because none of the AMCs have made their stand clear. It will take a little more time for us to understand what AMCs are thinking.

Srinath V: And whatever cuts we get, we will pass on 100% of that down, or we would be taking some proportional hit on our unit economics? How will it work for us now as a platform?

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Shirish Patel: Again, that depends on what AMCs are doing for the MFD doing business with them directly. If AMC is treating everyone the same, obviously, we also have to treat our distributors the same. As I said, it is not a standalone decision right now. That, again, depends on how AMCs are cutting the TER or passing on the TER cuts to their MFD pool. I think giving any indicating

number, it's too early for us.

Moderator: The next question is from the line of Varship Shah from Envision Capital.

Varship Shah: If we see the commission and fee or expense as a percentage of revenue, that has fallen significantly this year by almost 3 percentage points. Has there been any change in our sharing with MFDs, or is it has a mix change, like are we selling more direct from our own employees?

Sanjay Shah: I think probably for the purpose of commission expenses, you should look at the standalone number of mutual fund distribution business wherein the growth in commission payout and the growth in top line is more or less in line with that. So, giving answer to your question is there any change in payout metrics? No, it has been steady, absolutely rock steady.

Moderator: The next question is from the line of Ashutosh Garud from Ambit PMS.

Ashutosh Garud: So, in the initial remarks, you mentioned the contribution of Karvy's position for this particular quarter. Can you quantify what kind of a top line and bottom line contributed from that particular business in

this quarter compared to the previous one?

Sanjay Shah: Karvy we do not report the separate number. However, in the first 3 months when we acquired, we analyzed the earning from Karvy which was close to about 2-2.5 crores a month. And if I look at last 12 months there has not been any slippage from the Karvy assets. So, I believe I think Karvy would have contributed close to about 20-25 crores in our profit before tax. So, I think when we acquired, when we did the calculation of payback period which was close to about 5 years, I think probably it remains the same.

Moderator: The next question is from the line of Ajox Frederick from Sundaram Mutual Fund.

Ajox Frederick: My question is on the insurance side, where we get to see a strong inflow for the quarter. So, what proportion of this is because of the one-time tax benefit out of these 105 crores?

Shirish Patel: I couldn't understand your question completely, but I understand what percentage of the growth will be contributed because of the one-time benefit of taxation. If that is the case, roughly, I would say that last year's life insurance business, almost you can say around 18% to 20% kind of business would have been contributed because of that one-time gain of the taxation.

Ajox Frederick: The second question is on the distribution again insurance 50% is coming from POSP. So, what is our take rate? How does the model work in POSP?

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Shirish Patel: As mentioned earlier, the share of POSP (Point of Sales Person) has been steadily increasing on a monthly and quarterly basis. During our previous earnings calls, we communicated our belief that the future growth of our business would largely come from POSP. The take rate, or the percentage share, varies depending on the contribution of each product. On average, a similar approach is adopted as with mutual funds, where a two-thirds to one-third split is often used as a benchmark.

Ajox Frederick: I'm just trying to understand if it is very much different from the other distribution channels like a bank or online channel through POSP?

Shirish Patel: I think you are talking about sharing with the POSP. Private selling banks?

Ajox Frederick: Yes, correct.

Shirish Patel: Bank would not be doing any kind of sharing with their POSP because the bank is a B2C model. We are a B2B model, so obviously, we have to pass it on to our POSP.

Moderator: We have the next question from the line of Nilesch Jethani from BOI Mutual Fund.

Nilesch Jethani: My first question would be can you help me understand what would be our share of AUM from the top five mutual funds?

Sanjay Shah: The top five AMC contributes 50% of the AUM.

Nilesch Jethani: My second question would be on redemption. So, for the last two quarters, can you help me understand how the redemption trend gone up in Q4? It seems like we were able to arrest it, and the net flow seemed to be a little better. Can you help me understand how are the redemptions currently for Prudent and how you expect this trajectory going forward?

Shirish Patel: If you look at the Q4, redemptions were definitely lower than what they were in Q3. Currently, if you look at our run rate, we talk about which is somewhere in between Q3 to Q4. So, we won't say that it's similar to Q4, but we won't say that it is as bad as Q3 so that you can say somewhere in between Q3 and Q4, kind of sentiment on the redemptions front.

Nilesch Jethani: And the third piece of the question was on the SIP. So today, with 510 or 520 crore odd monthly SIP books just wanted to understand if I see one interesting slide which you have given on page #32 where there is no live SIP for approximately 50% of your investors. So, I wanted to understand from the current bucket of investors we have at Prudent, can we improve this number,

number,

and what growth do you anticipate in this SIP book per month inching up to over the course of FY24?

Sanjay Shah: I just wanted to say that the number which we took is about there are 50% of people who have

no SIP, that number I can explain. I just wanted to explain to you that these are the number in Prudent Corporate Advisory Services Limited
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line with the industry number also. So, CAMS number also says that 57% out of the 2.4 crores investor has no SIP. The same is the case with Prudent also. Out of 15.5 lakh customers, almost 50% have no SIP. So definitely, there is a scope for us to improve, and that is the reason we have given this data. Another 50% has already SIP with us, and out of that, 50% of people have only one SIP. So there also we can definitely make a lot of effort. So now I'll probably just tell Shirish to take it forward.

Shirish Patel: When considering the SIP numbers, the trend over the past 2-3 years shows an average net addition of around 100 to 120 crores in terms of value. It's important to note that net additions are influenced by market sentiment. In favorable years, the additions tend to be higher, while in challenging years, they may be lower. There was a time when the industry experienced negative net additions. However, based on the current run rate and the recent trend observed in the past couple of months, there is no reason to doubt that we can surpass the previous year's addition. The growing acceptance of SIPs, the investor's interest in SIPs, and the collective media campaigns conducted by the industry lead us to believe that SIP flows will increase incrementally. We aim to achieve much higher additions than in the previous years. Nonetheless, it's important to remember that the final numbers are still sentiment-driven.

Nilesh Jethani: So, I asked this question because when I see our MFD addition, they are slightly slowed down in FY23 versus what hypergrowth we saw in FY22. So, it was always a thought process that a Prudent with higher MFD growth would drive a higher SIP book number. So, any color on that? Where are you seeing MFD, and also, what is the number of active MFD today versus this 23,000-odd number of total MFDs?

Shirish Patel: So, regarding the comparison between the addition of MFDs (Mutual Fund Distributors) in '22-'23 and '21-'22, there are a few factors to consider. Firstly, the Karvy acquisition played a significant role in the addition of approximately 1200 distributors during '21-'22. This was a one-time event that contributed to the higher number of additions during that period. Secondly, the addition of MFDs is influenced by market returns. When the market performs well, more individuals express interest in joining the industry. In the current financial year, '22-'23, the rate of MFD additions has slightly slowed down. Regarding the link between SIP (Systematic Investment Plan) growth and new MFD additions at Prudent, I don't fully agree with the notion that SIP growth is solely dependent on new MFD additions. While new distributor additions do play a role, there are multiple factors contributing to SIP growth. Prudent has added nearly 50% of the MFDs over the past 2-2.5 years. It's important to note that the growth rate for newly recruited distributors may be initially slower as they familiarize themselves with the products and systems. However, over time, their growth rate improves. We can anticipate growth from three categories of distributors: those recently recruited, those who have been with us for 3-4-5 years or more, and those who have demonstrated stability and increased productivity. Substantial growth is expected from the distributors recruited in the last 2-2.5 years. Our focus on adding new distributors remains strong, and we are actively seeking to expand our network. Sanjay Bhai has presented data showcasing

our increasing share in the SIP numbers year-on-year, and we aim to continue increasing our share in the industry.

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Nilesh Jethani: And my last question from my side, you said you passed the initial comment, but you said that as of now, there had been 14% growth in AUM versus the FY23 average. Out of this 14%, what would you attribute to M2M and what to the net flows?

Sanjay Shah: So, the current year, if you look at the growth which has come, I think the net sales have been reasonably okay. Nothing has changed significantly. However, mark-to-market gain has been significant. So, as you are aware that we ended the year at roughly 56,700 crores in March, and today we have crossed 60,000 crores. The mark-to-market growth has been very robust in these two months. So just wanted to communicate that at the start of the year, we are already having a positive opening balance, and our opening balance is Rs. 106 versus the last full year's average of 100. So that was already built into the opening balance, and then from opening to current, we are again up by about roughly about 7-8 percent. So, I think that put together, we are saying that the mutual fund is starting with a healthy base of about 14% positive.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions from the participants, I would now like to hand the conference over to Mr. Sanjay Shah, Managing Director, Prudent Corporate Advisory Services Limited, for closing comments. Over to you, sir.

Sanjay Shah: Thank you. Thank you, everybody, for joining this call, and we hope that FY23-24 also turns

out to be a very good year for us based on the strong tailwind . Thank you, everybody, for joining.
Thank you.

Moderator : Thank you very much , sir. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us , and you may now disconnect your lines. Thank you.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy

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Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we

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The same will also be available on the website of the Company at

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www.prudentcorporate.com

Thanking you,

Yours Faithfully,

For, Prudent Corporate Advisory Services Limited

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Encl.: As Above

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Q1 FY '24 Earnings Conference Call"
July 26, 2023

MANAGEMENT : MR. SANJAY SHAH – CHAIRMAN AND MANAGING
DIRECTOR – PRUDENT CORPORATE ADVISORY
SERVICES LIMITED

MR. SHIRISH PATEL – CHIEF EXECUTIVE OFFICER
AND WHOLE TIME DIRECTOR – PRUDENT CORPORATE
ADVISORY SERVICES LIMITED

MR. CHIRAG SHAH – WHOLE TIME DIRECTOR –
PRUDENT CORPORATE ADVISORY SERVICES LIMITED

MR. CHIRAG KOTHARI – CHIEF FINANCIAL OFFICER –
PRUDENT CORPORATE ADVISORY SERVICES LIMITED

MR. PARTH PAREKH – INVESTOR RELATIONS –
PRUDENT CORPORATE ADVISORY SERVICES LIMITED

MODERATOR : MR. RUSHAD KAPADIA – ICICI SECURITIES LIMITED

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Moderator: Good morning, ladies and gentlemen. Welcome to the Prudent Corporate Advisory Services Limited Q1 F Y '24 Earnings Conference Call, hosted by ICICI Securities.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rushad Kapadia from ICICI Securities. Thank

you, and over to you, sir.

Rushad Kapadia: Thank you. Good morning, ladies and gentlemen, and welcome to the Q1 FY '24 Results Conference Call for Prudent Corporate Advisory Services. We have with us from the management Mr. Sanjay Shah, Chairman and Managing Director; Mr. Shirish Patel, CEO and Whole-Time Director; Mr. Chirag Shah, Whole-time Director; Mr. Chirag Kothari, Chief Financial Officer; and Mr. Parth Parekh, Investor Relations.

So without further delay, I would now like to hand over the call to the management for their opening comments. Thank you, and over to you sir.

Sanjay Shah: Thank you, dear, and let me welcome all of you to the earning call of Prudent's first quarter of FY '24. Thank you very much to all of you for sparing your valuable time. I'm sure you all would be having the investors' presentation handy with you, because we have uploaded that presentation to the exchange yesterday. And while I'll be giving my opening speech, there'll be lot of references to those slides, which are part of our investor presentation.

So to start with the overall business numbers, I would go to slide number 42. So there's a slide which talks about the details of our average AUM. So we have shared the details of quarterly average AUM, as well as closing AUM. And if you see the charts on the right

hand side, our quarterly average AUM has grown by almost 22% on year-on-year basis and 5% on a sequential basis to almost INR59,000 crores. On standalone operations, we are starting Q2 with a very good tailwind. As you see on the chart on the left side, our closing AUM on 30 June is almost 7% higher when compared to the quarterly average AUM of Q1 of FY '24. Hence the large part of flow-through of this really will happen in the second quarter, so we have started the second quarter also with a very good tailwind on the mutual fund front.

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Now I'll move to slide number 43. So that's a slide which talks about Equity AUM movement. So, we have shared the details on what moved our equity AUM on a year-on-year basis and on a sequential basis. So till last quarter, mark-to-market movement was very subdued. However, scenario has completely changed in the current quarter. As seen in the left-hand chart, equity AUM has moved higher by 36% year-on-year to around INR59,200 crores, with almost 70% of movement being contributed by mark-to-market movement. Same way, if you look at on the sequential basis, equity AUM has moved higher by 13% with 90% of the movement being led by the mark-to-market gains.

Now I would move to slide number 44. So slide 44, on the bottom left, we have given the data on monthly SIP flows and our market share in the SIP. Our monthly SIP flow has grown by 26% year-on-year to INR542 crores in the month of June, and we added almost more than INR100 crores in the SIP flows in last one year.

Our market share in overall SIP flows stood at 3.7% for the month of June, but if you look at our market share in SIPs in regular plan, then our market share is almost touching 5%, suggesting our strong focus on this product to drive the growth of the company.

Average value of new SIP is also outpacing the existing book on an average by about 17% to 18%, suggesting the rising confidence among retail investors to allocate more and more towards SIP. So despite we being strong on the SIP front, we strongly believe there is a significant legroom to grow here, as 50% of our own investors base has yet not embraced SIPs. We have covered this data in Slide 32, under the title How Many Investors in Prudent do SIP. This untapped segment holds substantial promises for expansion in next 3 years. Prudent as an organization, we aim to achieve an AUM target of INR1 lakh crores, and we also foresee that our monthly SIP flow will cross INR1,000 crores. So these are the two very strong data points, which we are having as an internal target.

Moving to slide number 47 which talks about our standalone financials. In our mutual fund our numbers are much much better. Thanks to the mark-to-market gain and the increase in SIP book, standalone numbers are strong on a Y-o-Y and Q-o-Q basis, wherein our top line grew by 25% Y-o-Y and 5.1% on Q-o-Q, while the profit before tax grew by almost 46.8% on Y-o-Y and 16.6% on a Q-o-Q basis.

Now, please look at the slide number 46 which talks about our consolidated numbers. Now turn to slide 46, you have our consolidated numbers there. As you all are aware and as you would have seen in the Life Insurance Company's number as well, Q4 '23 Prudent Corporate Advisory Services Limited

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was exceptional quarter on non-par policy front, due to new taxation changes which are going to set in from the current year, and sequentially there is a dip. However, on a year-on-year basis, we continued our growth momentum with revenue and profit growing by 29% and 45% respectively.

. So now, I'll just open the floor for Q&A. Thank you.

Moderator: Thank you. The first question is from the line of Swarnabh Mukherjee from B&K Securities.

Swarnabh Mukherjee: Sir, I have around 3, 4 questions. So first one is related to

our growth in AUM. So

what I can see that we have -- this quarter we have grown in line with the industry. Wanted to understand, going ahead, what would be the levers that you would have at hand, which could push this up, so that we gain market share in terms of the AUM for overall industry? That is the first one. And the second one is, I think, the net sales for this quarter has -- had a significant share of the SIP flow that has come through, which was not the case in the last quarter. So what are you seeing in terms of, say, the lumpsum sales that is happening, so that there is any trend there which you can highlight, and your thoughts on how these numbers can be? So these are the 2 questions on the business. Post your answer, and then, maybe I'll ask a couple of questions on the financials. So, sir, for industry, I think the last quarter versus this quarter sequentially the AUM growth has been around 6%, the quarter-on-quarter growth. Compared to that we have also grown on similar lines. So wanted to understand, going forward, what is our plan, how we can grow maybe much faster than industry, whether we will be onboarding new partners, or how do you plan to achieve that?

Sanjay Shah: So I think if you look at the average AUM growth of Prudent, the number which I'm talking about, 5% is the average versus last quarter to this quarter. However, if you look at point to point, we have grown by almost about 12% to 13% on the equity front. So I think that is in line with the industry.

But, we believe that because of our SIP base, which is growing faster, I think we'll be able to continue the momentum. And we are talking about the growth of Prudent on overall basis, which includes the direct plan, regular plan, your index fund everything. So we are talking about the total AUM, and within total AUM, we actually represent the distributor plan, that is also non-ETF. So I think our growth, if you look at -- on totality, I think we are growing at a healthy pace. And frankly, I think this is really supported by the SIP.

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As you probably knew that first quarter has been reasonably subdued on the lumpsum side, and that is the reason on the gross flow, our SIP contribution has surpassed 50%, which usually remains below 50%. So if you look at first quarter of FY '23, which was Y-on-Y, and fourth quarter of last year, in both the quarters, our SIP contribution was below 50%, which has moved to 52.4% in this quarter. It shows the reason that the lumpsum amount has been reasonably low. So retail participation has been reasonably subdued on the lump-sum side.

Even the net sales is also very, very low in the first quarter, because the retail has been very, very wise and as market has been going up, probably people are booking some profits. So that is what we understand, to address your -- both questions together, why net sales has dipped, some amount of profit booking by the investors. As market stabilizes, probably retail investors will start coming back on the lumpsum front.

Even if the lumpsum remains reasonably lower, I think for us what is important would be the SIP book, and SIP book is growing at a very, very fast pace. So if you look at March, we were close to about INR515 crores, we are now at INR555 crores. So SIP book is growing month-on-month and there has not been any dip in that numbers.

Swarnabh Mukherjee: Understood, sir. Is this also a function of us pushing SIPs more consciously or is there any kind of particular reason why this quarter for the industry also, on the lumpsum side, the growth remains tepid? Any reason you can ascribe for this?

Sanjay Shah: So I think there is a conscious effort at our side to bring more and more money through SIP. That's definitely a very conscious effort, because in case of retail, it is always an easier thing to advocate for i

investing small amount, but for a long period of time. So if you look at current composition of my AUM also, close to 43%, 44% of my AUM is built up through SIP. So that's also a very conscious effort that, if you bring business through SIP, you are avoiding market timing, emotional thing, everything is out of decision-making process. And that's a better way of collecting money.

Swarnabh Mukherjee: Okay, sir. Understood. Also a couple of questions on the financial side. So I see that this quarter, the sequential growth in fees and commission expense is much higher than our fees and commission income. But if I look at it in terms of revenue, as a percentage of revenue, this is quite steady apart from 4Q, where there was a drop. So if you could just maybe pencil around the reasons why this has happened or what was
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the different thing that happened in 4Q because of which at that point of time, it did not grow?

Sanjay Shah: Yes, we are unable to get you properly, but I think if you are saying that versus last quarter to this quarter our expenses percentage growth is higher, right? That is the question? Then, let me tell you, if you look at between last quarter and this quarter, there are 2 businesses which are important for us. If you look at Prudent, predominantly, we are the mutual fund distributors, right. And in last couple of years, we started adding insurance as a significant revenue line for us. And last quarter, which was March quarter, the insurance business was significantly larger in our kitty, and that's a high-margin business.

What has happened that the last quarter, there was lot of money which came because of the taxation changes which were likely to come, and that's the reason, I think if you look at overall also, there is a dip in the revenue between last quarter to first quarter by 6% and that 6% dip came only in the insurance segment where the margin was very high.

So now, separate -- look at two things separately. Mutual fund distribution AUM as well as revenue has gone up, and there our sharing is roughly about 65%. So whatever is the additional revenue gain, we shared 65% with our partner, while the high margin business of insurance has gone down. That's the reason you might be seeing the impact on the percentage terms on the commission. However, commission expenditure on mutual fund distribution and all of the financial products has been very steady.

Swarnabh Mukherjee: Understood. And in terms of other expenses, also if you could highlight the...

Moderator: Mr. Mukherjee, may we request you to use the handset while speaking?

Swarnabh Mukherjee: Yes. So sir, the last question is regarding other expenses. So there has been an increase this time. So if you can highlight what is the reason for that?

Sanjay Shah: So if you look at in the insurance segment, I think current year revenue has improved significantly for us, really because of changes on the EOM guidelines, the insurance company has started paying better to us. And keeping that thing in mind, as insurance is a high revenue margin business for us, I think it's a conscious call at the management level to spend some money on marketing and branding and awareness for that business, and that's the reason we are seeing an uptick in the other expenses.

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That is number 1. Number 2 is every year we run a full-year program called Prudent Loyalty Club Program, where all the qualified partners on the mutual fund side and the insurance side have been -- in domestic event we do that, and where we facilitate them. So last year, full year expenses has been equally distributed in 4 quarters. There is some higher provision in with PLC, sir. So these are the 2 things which have been the main reason for increase in the other expenses.

es.

Swarnabh Mukherjee: Got it sir. Sir, the insurance the higher payout that you mentioned, are you seeing it in terms of both life insurance and health insurance, or is it specific to one category?

Sanjay Shah: Yes, yes. I think the percentage improvement is visible in GI. I think LI has not that much improvement is visible. So I think LI also, if you look at, we used to earn, on an average, about 14%, gone to about 18%, 19% while in case of GI, our rate was about 14%, 15%, close to double. You can say both, I think it would have gone to about 27%, 28%.

Moderator: Thank you. The next question is from the line of Harsh Shah from HSBC Mutual Fund.

Harsh Shah: Thank you very much and congratulations to the team for such a good result.

Moderator: Mr. Shah, can you use the handset mode while speaking, and not the speaker phone?

Harsh Shah: Sanjay bhai, just few questions. In your initial commentary you mentioned that initial plan is to cross INR1 lakh crore s of AUM. By when do you plan to cross it, I missed that?

Sanjay Shah: So I think we are probably -- we are at now INR65,000 crores , INR66,000 crores , Harsh. And we believe that by the end of 3 years, we should be able to reach that.

And for that the most important target would be INR1,000 crores SIP book also. So INR1 lakh crores and INR1,000 crores SIP book, both should go hand in hand.

Harsh Shah: And secondly, when you mentioned your flows data on a quarter -on-quarter ba sis, slide 43. So we have a net sales of INR682 crores on a quarter -on-quarter basis in equity AUM, that predominantly has to be SIP right? Your SIP is almost INR542 crores ?

Sanjay Shah: Yes. So you're right. So I think if you look at, there is another chart which says that in the gross s ales, 52% contribution came from SIP. So the first quarter lumpsum business has been somewhat subdued. However, if you look at, last quarter, we collected INR1,512 crores . This quarter, we collected INR1,578 crores. So actually, Prudent Corporate Advisory Services Limited
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the absolute amount on the gross sales is higher, but the contribution of SIP has increased more because the SIP book has also increased significantly. So both things are happening. Even though overall collection is higher, SIP contribution is becoming more visible now.

Harsh Shah: Understood. And just one other thing on SIP Sanjay bhai, is in terms of efforts from Prudent perspective, has there -- has anything changed since last 2 or 3 quarters? I'm asking this, your SIP book has been growing very handsomely. So just wanted to under stand in terms of internal efforts, has there been any change or any push that you are doing internally?

Sanjay Shah: So, let me bring Shirish to address this. Shirish?

Shirish Patel: Yes. So I won't say that there is specific change here in terms of strat egy for SIPs. I think we keep on pushing SIPs and as well as the gross flows throughout last many years. Depending on the market situation, obviously, I think last few quarters, you can see that the gross flows have come down. There is no change in the str ategy, but one thing you can see, the way Sanjay bhai would have told you in the commentary, that our average SIP value has gone up.

So if you look at our current book, I think we are almost INR2,700 per SIP, if you look at the total book versus number of SIP. On book, it is INR2,700. On the new SIPs in probably last few quarters, it is in the range of INR3,400. So, more and more people are participating in SIP with a higher value, that is where it is more visible in terms of SIP book or the SIP value. So o therwise, there is no specific change in the strategy.

Harsh Shah: Understood. That was very helpful. Just 2 more questions from me. In terms of MFDs, what is the change -- means, what is the addition that we have done in this quarter?

Shirish Patel: So th is quarter we would have added arou

nd 750, 800 kind of distributors.

Historically, we have seen that the addition of the distributors in the first quarter is little lower, and the second quarter onwards it can catch up.

Harsh Shah: Understood. And just la st question is in terms of capital deployment strategy, we have seen that the company is generating very healthy cash and you have utilized the cash also in couple of acquisitions. So going forward also, probably in this year or maybe next year, is there a ny plan of any inorganic growth, because last time you had mentioned in mutual fund, you do not have any such major plans, but probably in Prudent Corporate Advisory Services Limited
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insurance or other businesses you may think of doing something. So is there anything on that?

Sanjay Shah: So yes, Ha rsh, I think we are open for that and definitely we will utilize the cash at an opportune time. Only thing we're waiting for absolute clarity to emerge from the regulatory side on the TER, which is likely to happen very, very soon. So once we get clarity, then probably we'll start putting our serious efforts. I don't know how fast we'll be able to look at that, but I believe for us, we are looking at more towards B2B,

and that's the reason we have some limitations on acquisitions. But still, I think there'll be something which is visible on the B2B side.

On the insurance side, post this regulatory changes, we have started looking at some acquisitions. So that is also -- we are open for that, yes.

Moderator: Thank you. The next question is from the line of Nilesh Jethani from BOI Mutual Fund.

Nilesh Jethani: Yes. My first question is on the other expenses, please. Can you please help me understand what is the steady run rate on the other expenses, and the 2 one-offs that you mentioned on the previous participation question? Can you help me understand the quantum of that amount, and how to look at it going forward?

Sanjay Shah: So if you look at, the other expenses has gone up by about INR6 crores, wherein roughly about INR1 crores, INR1.5 crores would have been contributed by provisioning on account of PLC expenses, which we expect the yearly cost would be about -- somewhere in the range of INR6 crores, INR7 crores, and the marketing costs would be in the range of about INR3 crores, INR4 crores.

Nilesh Jethani: Got it. That was helpful. Sir, second question is on the take rate. When I compare your non-life take rate vis-a-vis the previous quarter number available, it comes out to around 29% versus 14% to 16% historically. So anything that is changing on the non-life piece?

Sanjay Shah: So as I told you that, because of the EOM guideline which has been released by the regulator, I think the rate has increased in the GI definitely, the rate has improved, including the renewal book, as well as the current book, I think, we are getting better rates there. You're right, rate has increased by almost about 27%, 28%. So it moved from 14% to 28%, you are right.

Nilesh Jethani: Got it, sir. So this is the new normal now?

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Sanjay Shah: Yes. We think so, because it's at the end of the day, it is the insurance company who decides, but we believe, I think, this is sustainable right now.

Nilesh Jethani: Got it. Sir, third question was on the B30 incentives. Can you help me understand, during this quarter we saw any impact because of that?

Sanjay Shah: So I think, we were just doing back of the envelope calculation, there is about 2 basis point impact on the overall revenue side. So yes, 2 basis point dip in the earnings. However, the B30 impact will be visible over a period of time. So roughly, B30 was 10% of our total revenue. And as you are aware, that B30 was paid by AMC for the first year over a 12-month period, which has stopped from March. So now, March, April, May, Ju

ne, 4 months has gone, still 8 months, you will see gradual impact. So in first 4 months, I think, there is 2 basis point impact on the top line.

But the GP impact would be very, very less because in case of B30, our payout was also very, very high, because you need to be very, very competitive on the B30 side. So roughly about 85%-89% was our payout in the, what you call, the B30 segment. So GP impact would be very, very less, but top line, definitely there is an impact of about 2 basis point on our yield.

Nilesh Jethani: Okay, got it. And one last question, sir, was on the redemption piece. When I see your redemptions on the opening AUM, it comes out to around 80-90%. So on the one side, we are doing a good job with regards to SIP book et cetera. But how do we curtail this redemption? I understand, one is the industry-level redemption, but at Prudent level, what are we doing, how are we basically trying to connect with the MFDs and their clients to address this redemption? So what are we doing on that side? And in general, your sense on experience over the industry in the last 7, 8, 10 years, how can redemption shape out for industry, despite markets moving on one side?

Sanjay Shah: Shirish?

Shirish Patel: So if you talk about how -- what kind of efforts we are making to reduce the redemptions, I think we only can say that we make investors and the distributors aware about the market fundamentals, why they should continue long term, and this we have been doing for very, very long time and this market also is no different, we are doing the same thing. The only difference would be, we definitely would increase the efforts in this kind of period, wherein we can stop the redemptions.

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Having said that, if you ask -- the way you ask that last 10 year of experience, how the investors would behave. Whenever we have seen that there is the spurt in the market, initial phase, there would be huge redemption. If you see last few months, we have seen the market going up and investors have also followed the similar way, that more and more people have redeemed, because when they see more returns on their portfolio, they come out and they redeem the investments. And this time also it is no different.

The net sales, I think, I still would say that redemptions have increased, but at the same time, the fresh gross flows have come down. Again, this is nothing, but market behaviour. I think the initial phase of the market growth, the fresh gross flows comes down. But once the market stabilizes, either at this level or if we see some kind of correction, again it comes back.

So we don't see any behavioural change -- big behavioural change in the investors' behaviour. And for us also, with the kind of efforts what we are making, it's the same. I won't say that we are doing something different compared to what we used to do earlier.

Moderator: Thank you. The next question is from the line of Satyam Shubham from Immobile.

Satyam Shubham: Yes. So sir, my question is around the direct flows. So as you have said that Prudent is mostly about direct flows in the mutual fund industry, from what I think is that, as and when the digitization picks up in the industry and younger folks come in and invest in the mutual funds, do you think this will have a negative impact on the direct side of the industry, as those folks might want to invest -- sorry, you are on the regular side, sorry -- on the regular side, and it might go from regular to direct. Do you think that could happen?

Sanjay Shah: Shirish?

Shirish Patel: Yes. So as you said that the younger population goes to the direct, that is very, very right and that is the reason you would have seen that the growth of the direct plan is much higher than the regular plan. Having said that, whether it is impacting our business or the regular plan

business, I think I would say no. If you look at the distributors' growth, or the regular plan AUM growth in the industry, that is also a sizable growth in that AUM as well versus that Prudent growth is far, far superior. Point is, whether all these Fintech platforms are eating our investors, our clients, probably the answer is no. Obviously, there could be few clients might have gone to Prudent Corporate Advisory Services Limited
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the direct plan to save that expense or the brokerage costs, but majority of the investors acquired by all these Fintechs are first-time investors. So we rather, I think we believe that this is more and more positive for us.

Here if you look at, more and more clients are acquired by Fintechs, they start with Fintechs' direct plan. When they need some kind of advisory, some kind of handholding, obviously, some percentage of these clients might come back to the regular plan or the regular distribution.

So here, yes, I think we strongly believe that the industry on the direct AUM will grow faster than the regular plan, but at the same time, we don't see any problem in the near foreseeable future, to Prudent and within regular plan, we are increasing our market share. But as such, we are not worried, and rather it is helping us to acquire more and more clients.

Satyam Shubham: Okay. So have you seen folks switching from regular -- sorry, direct to regular in your experience in the past few years?

Shirish Patel: So, many, many incidences wherein we have seen that the clients coming from the direct plan to the regular plan, and specifically when market correction comes. I think in this kind of market, we might not see that kind of trend, but when we see the market is corrected, I think, hypothetically, if today some investors are investing in the direct plan and after a few months or the quarters, if we see sizable redemption or sizable pressure in the market, market coming down, that kind of time, definitely we have seen more and more people coming to regular plan from the direct. And in past also we have seen and in future also we are confident that this kind of trend will continue.

Moderator: Thank you. The next question is from the line of Prayesh Jain from Motilal Oswal.

Prayesh Jain: Firstly, when we talk about INR1 lakh crores AUM in the next three years, how much of that growth are you looking from, say, getting into new geographies and/or scaling up in the geographies where the current share would be very less? So that would be my first question. And what is the kind of experience in the lower-tier cities

when you look at average ticket size or lumpsum investments, how do you see the customer behaviour in those areas?

Sanjay Shah: Shirish?

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Shirish Patel: So if you see, there are two set of assumptions in this INR1 lakh crores AUM growth.

One is the net sales and second is the mark -to-market. When you say that how is the experience from the Tier 2, Tier 3 locations, and as we communicated to you earlier, that in the last 3, 4 years Prudent expansion in the B30 market is very, very high, and the behaviour of the smaller locations is that normally they start with SIPs, once they get the confidence, they start with the lumpsum money. So in this year -- in these cities, if you see the contribution from SIP is much higher in terms of percentage share.

Now with sizable SIP book & sizable experience -- reasonable experience is there to the investors, and more and more branches, what we opened in last few years, those branches also will contribute -- have started contributing in our business. All 3 factors combined, we strongly believe that the Tier 2, Tier 3 cities' contribution to our kitty will be much, much higher compared to what it is currently.

Prayesh Jain: Okay. And how much of your SI

P would be coming from B30?

Shirish Patel: Currently, I don't have the numbers handy, but probably around 23%, 24% kind of number comes from the B30 numbers. Still we need to re-check this number exactly.

Prayesh Jain: Another clarification, possibly can you give on this insurance thing? So the yields have actually gone up and the profitability in that sense is actually -- will be higher on the insurance. It's not -- because some insurance companies' kind of cited that this is more of a reclassification between what expenses they were paying earlier and commissions. So is this just a reclassification or the yields -- overall yields have gone up for you?

Shirish Patel: On the insurance side, I can tell you the revenue has increased for us. We used to earn about 14% in GI, now the revenue is almost about 28%, 29%.. On the expenses side, because it's a high -margin business now, and we have a huge scope for us to expand insurance in our system, we started doing branding awareness in marketing through various financial professionals and our own POSP agents for creating more and more awareness for the insurance .

Prayesh Jain: Okay. Got that. And lastly, in the past there has been discussions around creating a separate team or targeting certain -- a very small set of HNI customers for alternate assets. Where are we with respect to that, and what is the kind of future outlook that you would like to give for that particular thing? I understand that your base is primarily retail, but even a few HNI customers with each of your advisors or each of

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your partners, can actually provide you a big opportunity in terms of distribution of these alternate assets as well. So that understanding would be helpful.

Sanjay Shah: Yes, Shirish?

Shirish Patel: Yes. So the last few years, as we communicated, we have increased our focus on the alternate channel -- alternate products. And if you see our current AUM, in the range of around INR470 crores, INR480 crores from this AIF, PMS segment, which used to be probably, you can say, INR30 crores, INR40 crores before few years.

Incrementally, we have seen that more and more clients are participating in the PMS AIF side. If you see last year's business in 3 months, it's been growing very, very fast. The B2B channel also, many of our distributors have started adopting this particular product now, taking this particular product to their HNI. So we believe that this product is helping us two ways; one is increasing the productivity from our distributors. And secondly, all these products have got higher margin compared with the mutual funds. Both the way it is helping. And yes, I think the growth is reasonably good, rather I think far better than the expectations.

Prayesh Jain: Got that. Thank you so much...

Sanjay Shah: And additionally, this is also helping us to, I think, position ourselves as a multiple financial product distributor, rather than a mutual fund distributor alone; because probably now for somebody who is looking at acquiring the higher ticket customers, he should go and talk about availability of all the product in his basket rather than

only mutual funds. So that is helping us in acquiring the quality distributors also, and if they look at joining the platform. I think, because of availability of multiple products in our kitty, I think they give a preference to Prudent.

Moderator: The next question is from the line of Saptarshee Chatterjee from Groww AMC.

Saptarshee Chatterjee: Sir, my question is, if you can talk about what is approximately our wallet share of the clients? Like I know the average ticket size is INR4 lakh. But what would be our wallet share of the clients? And the second part is, as our clients mature and move towards higher ticket size, do we also have plans to have -- like more towards wealth management, because

as the clients mature, they will be taken away by the wealth management clients?

Sanjay Shah: Shirish?

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Shirish Patel: Yes. So as you said that our average ticket size is around INR4 lakh per client, knowing the exact wallet share, because we strongly believe that no client will or majority of the clients will not tell you 100% of their wealth. Obviously, I think as a B2B channel, knowing what percentage of the clients have given the wealth to us, I think it's very, very difficult. So, probably, I think whatever number we will tell you, I think it is anybody's guess on that particular side.

Second, as and when client becomes bigger and bigger, as you said, they definitely would want to have the product diversification apart from the mutual funds, and that is where we already have diversified into multiple products in last 3, 4 years, and today you see that Prudent offers almost all the products which is available in the financial distribution industry side.

So yes, knowing the requirement of the clients for future, as and when they become bigger, all the products which is available in the wealth management basket should be available, and that we have made already available to our distributors. So, Yes, I think we are seriously focusing on these products as well in the last few years.

Saptarshee Chatterjee: Understood, sir. And secondly, if you can help us with your attrition percentage in clients, and if you can maybe bifurcate and give some colours, like where that is high or low in the -- like, higher ticket size clients as well as lower age group clients, whether it is higher on these 2 groups?

Shirish Patel: So, incrementally, more and more clients are coming from the younger generation. If you look at our AUM mix and the new SIP mix, the clients' AUM in the age bracket of less than 25 or 25 to 35, the AUM contribution of these clients would be much, much lesser compared to the contribution in the SIP. Theoretically, or logically, I would say that most of the new clients coming to the industry by way of SIP, then the same thing is applicable to us as well. So, yes, more clients are coming through the smaller ticket size in SIP.

Sanjay Shah: So there is one slide, number 33, which talks about composition of our customers and their AUMs. If you look at people less than 35 years, contribute about -- so they are almost about 25% of our customer base. Their AUM share is 15% but their SIP share is almost about 35%. So what we say is that the guy below 35 years has 35% of our SIP book, who is continuously going to be an investor for us -- with us for next 35 years. So, that is basically a very cream segment.

Saptarshee Chatterjee: Yes. Got it, sir. Actually, my question was more on the attrition, side whether attrition is high on the lower age group or higher ticket size clients?

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Sanjay Shah: So attrition, it's very difficult for us to know about the attrition. Attrition you might define, when somebody redeems entire AUM from you and move to somewhere else, normally, that doesn't happen, because if you would have started something at one distributor, it might continue and he can find some other good adviser or good distributor -- he might start giving new business to them.

However, if you look at -- because we service the bottom of the pyramid through our distributors. All probability that they will remain hooked to our financial advisors, because they not only do a distribution of mutual funds, but they are also involved in many other products. So more or less, we believe that attrition would be very, very low. Unless somebody moves away from the market or somebody goes somewhere else, that numbers are very, very less may not be there probably.

Saptarshee Chatterjee:

Understood. Sir, broadly -- but approximately the number would be around maybe 10% or something like that for attrition?

Sanjay Shah: I don't think. I don't think, because you are talking about -- 10% is a very large number. What I can tell you is that how many number of investors we are adding incrementally that number I always have. So if you look at last year, we added close to about 190,000 customers. I think the run rate is adding almost about 15,000, 20,000 people a month, and that run rate is still steady.

So when we look at the addition of the customers, we only look at those customers who have AUM with me. So last month, there were, let's say, 17 lakh customers with AUM. This month, there is 17,15,000 customers with AUM, that way we just look at. So we have not looked at somebody who has become zero. So we can work on that to identify the data.

Saptarshree Chatterjee: Understood, sir. Very helpful. Just last question from my side is, like, for a long period of time, we are providing our recommendation list to the mutual fund distribution, which is a value addition to them, apart from our platform. Can you give us some data or quantify data in terms of how our recommendations have been outperforming the benchmarks?

Sanjay Shah: So, I think roughly, if you look at, when you look at the recommendation, it's not recommendation, we provide the focus list about all the mutual funds which are available. We provide the list of curated schemes, like, let's say there'll be 5 schemes in large cap, 5 schemes in mid cap, 5 in small, so that way our list is almost about 50, 55 funds, and definitely their performance is much, much better than the industry, Prudent Corporate Advisory Services Limited

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because yes, so it's a very broad list. It's not a list of 5, 6, 7 funds, it's a list of 55, 60 funds.

So what we wanted to look at would be that among the, let's say, there are 500 funds available, for our advisor, it is essential that we provide them the list, from them they have to choose. And that list is also based on almost about 15, 16 quantitative parameters, based on which we select the funds, and management also keeps some 5 basis points to look at that so that the good fund manager, because of track record being not good should not be missed out. So it's a very defined process and there is no structured data, but I can provide you that data, the performance of these 50, 55 funds is definitely better than the crowd.

Moderator: Thank you. The next question is from the line of Viraj Sanghavi from Banyan Tree Advisors.

Viraj Sanghavi: Yes, my question was regarding the yields. So if you see the mutual fund yields, so I think for this quarter it's around 94 basis points, and same last year same quarter it was around 93 basis points. So while in the same last year, we had two other quarters where it was around 96 basis point as well. So just wanted to know that there is some positivity coming from the repricing of the acquired assets, right, while our original yield would be experiencing a little bit of pressure? So that is how it's working. And what do you think -- how will the yields pan out going ahead?

Sanjay Shah: So I think the probably Shirish has also addressed, but I think more or less yield is flat. Another thing is that the new business, which we are logging in, would be probably reasonable -- I think might be little bit higher yield than the current book, because current book comprises of our Karvy AUM. Current book comprises of our old assets, which probably has a better chance of repricing. So Karvy and old book together, which is roughly about 30%, 35% of my current AUM. That's the reason, I believe, the new business might be at a somewhat higher yield than the current yield. Let Shirish address.

Shirish Patel: Again, it's a mix of multiple parameters. Sanjay Bhai said that out of my total book

, there would be certain assets which are very, very old, and the yield on that particular asset would be less. Second component, the acquired assets, whether Karvy and iFAST, there also the yield would be lesser. Third component, what we would have acquired in last 3, 4 years, that is the third component on the asset side.

Whenever the older money gets churned, definitely our yield increases. Whenever the Karvy money gets churned, our yield is increasing. At the same time, the new Prudent Corporate Advisory Services Limited

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business yield, definitely because of the size of the AMC, because of the TER guidelines, the new business yield would be little lower than what we would have got

in last few years. My money in last 2, 3 years ago, what we would have invested, if that goes out and goes in the current yield, obviously there is a drop in the yield. So to say that what would the exact impact going forward, money moving out of the historical assets will benefit, money moving out of the Karvy assets will benefit. It's a mix of these things.

So we believe that our yield will be maintained for the next few quarters. But in the long run, we might see some pressure in the yield. I think it will not be sizable pressure in the yield. But yes, I think there could be some basis point pressure in the yield, because of the TER guidelines, new business, and longer term, we will earn lower brokerage compared to what we used to get before few years.

Moderator: The next question is from the line of Abhijeet Sakhare from Kotak Securities.

Abhijeet Sakhare: So first one is on the mutual fund side. Given the positive changes on the insurance front, are you seeing any sort of a substitution on the ground, given better incentives to replace mutual fund with a ULIP product?

Sanjay Shah: We strongly believe that mutual funds are more remunerative than the ULIPs. So there is no point for us to focus on the ULIP side to increase the yield. Unlike few other players in the market, we always believed in the long term trend. And as I said, I think we still strongly believe that mutual fund is a more remunerative product for the distributor.

Abhijeet Sakhare: Even the MFDs are not seeing any change in behaviour as of now?

Sanjay Shah: No, we have not seen any change in the behaviour moving from mutual fund to ULIPs. That trend we have not seen yet.

Abhijeet Sakhare: Got it. Sir, second one on the mutual fund side, generally between SIP and lumpsum flows, if you can give some colour on what is the level of concentration of AMCs, without giving names like top 3, top 5 on the lump-sum side, vis-a-vis on the SIP side.

Sanjay Shah: So basically, if you see, I think we are a retail player in that particular case, when you look at our share in the industry, it definitely would follow what the industry AUM or the gross flows would be. See if I give you some perspective, the gross flows of my top 5 AMCs would be in the range of around 45% to 50% in terms of gross flows.

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And when you look at the SIP flows also, it almost would be the similar. And if you look at the industry numbers also on this side, probably it will be the similar. I think the AMC would vary in my particular case compared to the industry. In industry, X AMC would be number one. In my system, I think somebody else would be number one. But in totality, if you look at the percentage share of SIP and where is the gross sales, I think top 5 AMCs would be in the range of 45% to 50%.

Abhijeet Sakhare: Got it. And sir, last one, our commission structure is evenly spread out, right, like there is no higher commission in the first year, sort of, a thing?

Shirish Patel: No. So it's a perpetual thing in almost all AMCs.

Moderator: The next question is from the line of Lalit Deo from Equirus Securities.

Lalit Deo: So, sir, just two questions. So sir, firstly, like you mentioned about the Karvy book.

So like in the Karvy book, what is the extent of the repricing which we have done, of the INR 800 Crore which you have acquired?

Shirish Patel: Sir, your voice was not clear.

Sanjay Shah: I don't think Karvy -- we've not seeing significant redemptions. I think the AUM is steady and there are two pieces of Karvy assets, one is the Karvy assets which was mobilized by erstwhile Karvy distributors who became partners with Prudent. So once they became partner with Prudent, they might had some AUM with us and their AUM has been merged with them.. So it's very difficult to identify which AUM remain and which has not within the distribution and with the partners.

And other piece which was -- the direct piece, which was not assigned to any advisors, we are still in the process of transferring the lead. I think there we have been seeing the business is steady. No new money is coming in, no significant redemption is there. So more or less book steady. So I don't think significant repricing we would have done in the Karvy side.

Lalit Deo: Sure sir. And sir, second one was that, so like you mentioned in the insurance business that we have seen some increase in the marketing and business expense. So like -- will this expense will be structural in nature, and this will be a recurring expenditure in the going sense or it's just a one-off kind of an expenditure?

Sanjay Shah: No, Lalit, I think marketing has to be a longer-term exercise, because one quarter's effort cannot lead you to any result. So I think it's going to be a longer-term exercise

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of spending on branding and promotion, because we believe insurance has a lot of scope for us to grow in our system.

Lalit Deo: Sure sir. And sir, just last question, like -- so while we are waiting for the newer TER guidelines, but -- are we seeing any pressure in the newer MFD additions in the industry because of these anticipated changes in -- like over the last 3 to 4 months?

Sanjay Shah: Shirish?

Shirish Patel: You can say there are some pressure or some confusion amongst distribution community in last 3, 4 months. Historically, in this particular period -- because if you look at MFDs, many of them come from the insurance industry and most of the insurance industry was busy till March and then I think some part of April. So historically, April, May, June, the flows of the distribution addition will be less. But otherwise because of the TER guidelines, there will be a big drop in the acquisition or the addition, I think, I don't see the problem as of now.

Moderator: The next question is from the line of Ajox Frederick from Sundaram Mutual Fund.

Ajox Frederick: No, what is our take rate? Because for mutual funds is 65% is given out right? In insurance, what is that?

Sanjay Shah: So if you look at the insurance business, I think we have been working seriously for increasing our business through POSP and that segment is growing very, very fast.

But still I think the contribution of POSP is still muted. So overall, I don't think the expenditure on the POSP side or the commission side will not be very, very high.

Ajox Frederick: So all this INR16 crores which came in the quarter has been through direct -- I mean, through your employees. That's what...

Sanjay Shah: Yes, employees, as well as POSP -- so BQP and POSP combined.

Ajox Frederick: But POSP will be very small in that share, as of now?

Sanjay Shah: Yes.

Ajox Frederick: Okay, okay. And this marketing spends which you mentioned, is it for the whole company or that is insurance specific in other expenses?

Sanjay Shah: No, that is insurance -specific because it has been done by the insurance vertical, not by the holding company. It's by the insurance company for promotion

of insurance

business only as of now.

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Ajox Frederick: So technically, going forward, is it right to assume that the insurance income minus this is what your net income is? Is that how it works, because I'm just comparing your last quarter versus this quarter AUM -- without EOM and with EOM ?

Sanjay Shah: Ideally, you should not link the income to the expenditure, because that's not the way this is going to be done. However, the expenditure on the business promotion side would be consistent in nature.

Ajox Frederick: And that's a proportion of the insurance business, right? It's not fixed, it will vary in case insurance income goes up, right?

Sanjay Shah: So that we'll probably -- quarter -on-quarter we will review our strategy.

Moderator: The next question is from the line of Bhuvnesh Garg from Investec Capital.

Bhuvnesh Garg: Congratulations for a good set of numbers. Sir, just one question from my side, I just want to understand our commission arrangement with AMCs. Is it linked to TER?

For example, as a 50% of TER, or is it a fixed commission, say, 50 bps, 60 bps or something? And what's the reset frequency of this arrangement?

Shirish Patel: For all AMCs, it is based on the percentage commission, not on the TER. It is not repricing on the book. So every month, on the new business, the percentage is discussed or negotiated, not on the book.

Bhuvnesh Garg: Okay. Discussed every month, you are saying?

Shirish Patel: Yes. It is on the new business. Nothing on our old business.

Bhuvnesh Garg: Got it. Got it. About what would be the arrangement with MFDs?

Shirish Patel: MFDs also, we follow the similar model. So whatever we communicate as a percentage commission on the new business we keep on paying in a similar way. So whatever we would have committed 2 years back, we still will continue paying that, because the AMC also will continue paying us that.

Moderator: Thank you. Ladies and gentlemen, that was the last question. I now hand the conference over to the management for the closing comments.

Sanjay Shah: Thank you very much for the detailed conversations. And if you have any queries,

any questions related to financials, you may reach out to Parth, who will be happy to answer and address all your queries. Thank you very much. Thank you.

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Moderator: Thank you, members of the management team. Ladies and gentlemen, on behalf of ICICI Securities Ltd., that concludes this conference call. We thank you for joining us. And you may now disconnect your lines. Thank you.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy .

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www.prudentcorporate.com

Thanking you,

Yours Faithfully,

For, Prudent Corporate Advisory Services L
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Encl.: As Above

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"Prudent Corporate Advisory Services Q2FY'24
Earnings Conference Call "

October 27, 2023

MANAGEMENT : MR. SANJAY SHAH – CHAIRMAN & MANAGING
DIRECTOR
MR. SHIRISH PATEL – CEO & WHOLE -TIME
DIRECTOR
MR. CHIRAG SHAH – WHOL E-TIME DIRECTOR
MR. CHIRAG KOTHARI – CFO
MR. PARTH PAREKH – INVESTOR RELATIONS
MODERATOR : MR. LALIT DEO – EQUIRUS SECURITIES PRIVATE
LIMITED .

Prudent Corporate Advisory Services Limited

October 27, 2023

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Moderator : Ladies and gentlemen , good day and wel come to Prudent Corporate Advisory Services Q2FY'24
Earnings Conference Call Hosted by Equirus Securities .

As a reminder, all participant lines will be in the listen -only mode and there will be an
opportunity for you to ask questions after the presentation conclud es. Should you need assistance
during th e conference call, please signal an operator by pressing '*' then '0' on your touchtone
phone. Please note that this conference is being recorded.

This conference call may contain forward -looking statements about the company which are
based on the beliefs, opinions and expectations of the company as on date of this call. These
statements are not the guarantees of future performance and involve risks and uncertainties that
are difficult to predict.

I now hand over the conference call over to Lalit Deo from Equirus Securities. Thank you, and
over to you.

Lalit Deo : Good afternoon, everyone and thanks for joining the call. To give a brief u pdate on the 2QFY24
Results and address investor questions we have with us from the Management of Prudent

Corporate Advisory Services Limited, represented by Mr. Sanjay Shah - Chairman & Managing Director; Mr. Shishir Patel - CEO & Wholtime Director; Mr. Chirag Shah - Wholtime Director; Mr. Chirag Kothari - CFO and Mr. Parth Parekh from Investor Relations .

Now, we would request the management to start with the opening comments post which we can open the floor for Q&A. Thank you and overview to you sir.

Sanjay Shah : Thank you very much. And we welcome all of you to this second quarter of FY 24 Earning Call of Prudent Corporate Advisory Services Limited. I thank you for sparing your valuable time to join us today. I hope you all have gotten access to the Investor Presentation which we uploaded on the exchanges yesterday, because when I will be talking about the initial commentary I will be giving lot of references to the slide which has already been provided.

Before I move to the financial and the KPI numbers, let me cover a couple of new slides which we have added in this presentation. So, kindly move to Slide #23, so it's a slide wherein we have provided the data on how Prudent has performed vis-à-vis all the major peers in the last decade. That is from FY2013 to FY2023 in terms of commission earned as well as on account of AUM . And these are the data based on the information provided by AMFI in their yearly commission disclosure. So , if you look at, in the last decade, Prudent has moved from , if you look at in FY13, we were somewhere closer to about 20th on commission numbers & now we moved to a 4th rank in commission income in last financial year. So, that was important data, we thought we will just cover that.

So, kindly now move to Slide #29 . Now there is also another data which we tried to capture , so it's an important slide which explains that Mutual Fund Distributors which is the core business Prudent Corporate Advisory Services Limited
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for us , a lot of distributors who work with us and that's the core segment of our business. So, for us the mutual fund distributor becomes mature in our system. And once they cross a certain threshold of AUM, let us say, for example, Rs. 10 crores then productivity of those distributors on all counts like whether you talk about the gross sales or the average AUM per client or the average SIP amount, they fare much better compared to others. So, this is very vital and important information which we have provided.

And if I tell you about the numbers, as on September 2023 Prudent had 1265 mutual fund distributors whose AUM was more than Rs. 10 crores . And if I tell you about the same number before, let's say in 2019 that number was only about 340 . So, just wanted

to highlight that these

are the people who are going to be more and more productive so it's a very important landmark for these distributors in their career once they go past certain numbers, they become very productive. Among all these 1265 distributors would be very core -- productivity is concerned . So, these are two new data which we have added.

Now, I will take you through our business numbers and the KPIs. So, let us straightaway go to Slide #44. Now if you look at Slide #44 we have shared the details of our quarterly average AUM and the closing AUM . So, if you see the chart on the right-hand side, our quarterly average AUM has grown by almost 29% on a year-on-year basis and 13% on a sequential basis to almost Rs. 66,590 crores . On standalone operations, we are starting our Q3 of current year with a very good tailwind because as you see on the chart on the left-hand side our closing AUM as on 30th September is almost 4% higher when compared to the quarterly average AUM of second quarter 2024.

Now moving to Slide #45 . So, this slide talks about how our equity AUM has moved on year-on-year basis & on sequential basis. So, as seen on the left-hand side chart, equity AUM has moved higher by 32% on year-on-year to around Rs. 65,600 crores where almost 70% plus movement in the AUM has been contributed by market-to-market gains. The same way if you look at on the sequential basis, our AUM has moved higher by about 11 % wherein close to about 8.4% has accrued because of market-to-market gain. However, if you look at net sales numbers, which are provided for the quarter-on-quarter basis, so, net sales is picked up sharply in second quarter. As seen in the chart we have ended Q2 with an equity net sales in excess of Rs. 1400 crores which is almost double than the first quarter current year which is April/May/June. So, if you look at the current quarter it has been led by a good growth in gross sales as well as lower redemptions.

Now, moving to our Slide #46 which is a very important slide from the point of view of SIP.

So, on Slide #46, if you look at the bottom left, we have given the data for monthly SIP flow and our market share in the SIP. Currently our monthly SIP flow has surpassed Rs. 600 crores when I am talking to you As of September end our monthly SIP flow has grown by almost 30% year-on-year to Rs. 595 crores . And we added almost Rs. 140 crores in our SIP book in the last one year.

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Our market share in our overall S IP flows stood at 3.7% as on September end. However, if you look at we assume that approximately 25% of current S IP book is coming from Direct plan. So, if I adjust and look at our market share in the regular plan then we are touching almost 5% in the regular segment, which shows that our focus continuously remain very strong on driving the S IP for the growth of the company .

Another important point I wanted to highlight was the average value of new S IPs in the September month , which is almost Rs. 3400 which has outpaced our existing average of Rs. 2700 which suggests the rising confidence of our investors by allocating more and more towards SIP. In the sense I am saying that the new S IP ticket size is also increasing rapidly.

So, despite we being strong in the S IP, we believe there is a significant leg room for us to grow , because if you look at one of the slide which we have provided in the presentation we here still 50% of Prudent investor are yet to start the S IP or they do not have a live S IP. So, looking to this, we feel that still there is huge scope for us to grow SIP in our segments. So, that untapped segment holds substantial promise for our expansion . By March '26 as we aim to achieve the aim of Rs. 1 lakh crores we also foresee that our monthly S IP book will be crossing the landmark number of Rs.

1000 crores .

Standalone Numbers

So, now let me turn to the current financials. So, before I address the consolidated financials number, let me address the standalone number first. So, please move to Slide #49, which is the last slide of our presentation, which talks about the standalone number. Now an important point why I am going to stand alone because let me first of all address the mutual fund which is the significant business for us on the revenue side, which is the Mutual Fund Distribution business . So, look at the revenue from operations in this segment, which has grown by almost 24% on a year-on-year basis. And this is mainly because of the robust growth of our average AUM s by about 29%.

Now, I wanted to highlight one important point which is , here if you look at and you observe that our revenue has grown by slightly lower than the average AUM growth of 29%, resulting in the drop in our overall book yield. Now, I just wanted to explain the rationale for our yield which has come down. I am sure a lot of guys will be aware about the SEBI's decision in last March 2023 where in they have kept the incentives which they used to give for the business mobilize from B -30 cities Beyond -30 cities. So, SEBI has put that entire revenue structure in abeyance . So, this decision of SEBI to keep the B -30 incentive structure in abeyance from 1st March has impacted our revenue .

I will give you the number also, if you look at my last year FY23 number Prudent earned close to Rs. 501 crores from mutual fund distribution business wherein almost Rs. 40 crores has come because of B-30 businesses. So, that Rs. 40 crores were almost 8% of my revenue and from 1st March 2023 gradually that amount is becoming lower and lower because whatever business Prudent Corporate Advisory Services Limited
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which we have booked till March 23, I think from March 23 to next 12 months will accrue the revenue B-30. But any business which has been booked new after that particular month, we will not get the B-30. So, actually, B -30 revenue will not appear in our books from March 2024 . Now, look at the impact of this in the basis point . So, last year on the total revenue front Prudent's revenue was roughly in the range of 95 basis points where in the 8 basis point was because of B-30 businesses. Now, let's say I will tell you the current quarter which is the July/August /September quarter, in this quarter, if we remove this B-30 additional incentive, our yield on regular trail on the entire book has been at 87 basis points. The same was the case for last year also. Last year, my entire book was at 95 basis points wherein 8 basis points was because of B-30. So, last year 's yield was 87 basis points . Current year whatever small amount which we have received , because of B-30 if I remove that, then again, my yield comes to 87 basis points. So, I just wanted to highlight that my trail income which is a regular income linked to my entire book that is very constant.

So, now let us look at the other way around , if in this quarter too of B -30 incentives our regular yields stood at 87 basis point. So, let's say last year my yield was 8 basis points which came down and it has dropped to 3 basis points in the current quarter so in the first six months, we came down from 8 basis points to 3 basis points. Now, let us assume that if this B-30 revenue had continued as it is then our revenue would have been higher by Rs. 7.5 crores in the Q 2 alone, which is almost 5% of my top -line. So, that's why now I am just trying to give you the explanation , even though my average AUM has grown by 29 % and my revenue growth only 24% right. If I add this B -30 of another 5% then I am able to justify that the growth and the revenue would have been in line. So, that is the reason I am just trying to explain the prime

reason behind the lag you

are seeing between the revenue and the quarterly AUM growth.

Also, please know that this 3-basis point of B-30 incentive which we have earned in this quarter, this is going to be lower in coming two quarters and it will be completely nil from March 2024.

So, in FY25 assuming everything constant our regular yield will be in the range of 87 to 88 basis point which means in current year we will absorb an impact of 8% of total revenue due to B-30 changes. So, try and understand this is a big change, because if the AUM had not increased this change would have been glaringly visible, but the AUM growth was reasonably better, this 8% drop in revenue yield is not visible in the absolute numbers.

So, probably next year will be very critical because in the current year still we are getting gradual revenue but come March 2024 or April 2024 there will be a nil revenue in full year next year.

So, if you look at out of 8 basis points, 5 basis point impact is already absorbed by us in first six months which is almost 60% to 70% and in next six months we are going to still absorb another 3-basis point. So, that was the one point I wanted to highlight as far as financials are concerned.

Another important one I want to talk about if you look at the expenses on the commission and fee expenses. I think the overall commission fee expense on a percentage term has also gone up.

So, if you look at in percentage terms my expenses on the commission and fee is almost 62%,

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which is higher by about 1.59% on a year-on-year basis. Now this is mainly because of our change in the Indirect and Direct mix. So, in the last year, I am telling about

July/August/September 2022 to July/August/September 2023 the share of Indirect in the total AUM has gone up by 2.7 percentage or 270 basis point. As you all are aware that in case of Indirect business, we share roughly in the range of 65% of our revenue with our mutual fund distributor partners. So, our share in the total AUM from Indirect has gone up by 2.7%. Roughly, I think the 1.5% to 1.6% cost has increased on the commission and brokerage side. So, that is also another important point I wanted to highlight that this is the new normal now, if your expenditure was 61% of our top-line as a brokerage expenditure which is now settled at 62% and this will be a new normal because the share of Indirect has settled at 2.7% higher. So, there was the second point I have addressed.

There is another point also on the other expenses front as far as stand alone balance sheet is concerned. So, I don't know I think all of you must be aware about the one event which we do every year called Prudent Loyalty Coin Program or Prudent Loyalty Club, wherein we select our valued partners based on their business performance every year. In the current year management has decided to make this program broad based and get more participation from our mutual fund distributors. And we started giving some weightage to the existing AUM also.

So, based on this change we assume that selection of partners and the cost on account of Prudent Loyalty Coin Program will almost double in the current year. So, if I will tell you about the cost on the balance sheet or the P&L of Prudent last year was roughly in the range of Rs. 5.5 crores to Rs. 6 crores this year we are assuming that this cost might go to Rs. 11 crores or Rs. 12 crores. So, that is the reason if you look at on the stand alone balance sheet, my provisioning because of PLC has gone up by almost Rs. 3.5 crores to Rs. 5 crores that is the reason I think the cost on the other expenses is also significantly higher.

So, I think there are a lot of changes which have happened in the P&L in the current year.

So, just wanted to highlight that in spite of there being a lot of headwinds which came from

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withdrawal of B-30, increased share of Indirect in the overall AUM and increase in other expenses our operating profit has grown by about 14.7% on a year-on-year basis. Our stand alone profit has grown by 26% year-on-year led by a higher other income because of our treasury books, which has started now growing, because as you are aware that before one and a half year or two years when we acquired Karvy our treasury book went to zero and now again we have got a very strong treasury book.

Consolidated Numbers

So, now please move to Slide #48 which is I think the previous page slide which talks about the consolidated number. So, on the stand alone number I addressed the mutual fund related matters which are required to address. Now on the insurance also, let me address something which is very critical, because as you all are aware that in insurance, specifically in the life, one of our main products which we always concentrated is the non-participating saving products.

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So, given the bumper sales of the non-PAR saving product in last year of Q4, due to the taxation

changes we are witnessing a consolidation in this business in the current year, and which I think I have been trying, I have been maintaining the stance from first quarter itself that it will be a year of consolidation when it comes to our insurance concern.

So, the fresh premium in Q2 in the L I has gone up by 68 % on a sequential basis. However, it is down to almost 21 % on a year-on-year basis. Please keep in mind that industry as a whole on the non-PAR scheme is also, I think doing the business lower than the last year, because they are also probably, I don't know the exact number, but that number is not positive, they are also probably having the downward pressure on their business. So, that was one part on the business front.

Same way on the revenue side, I wanted to highlight that post-regulatory changes on the EOM front entire insurance industry is still trying to adjust and absorb these changes. So, regarding revenue for the insurance vertical in absence of absolute clarity revenue is provided by us in the books only when there is an absolute clarity and confirmation from the insurance companies. So, this is another point I wanted to highlight as far as your insurance vertical is concerned.

On the General Insurance front, we have been doing significantly better as you all are aware that the GI predominantly focuses on the health insurance business and that business is doing very well for us. And we grew by almost 61% quarter-on-quarter in the fresh premium and 44% on year-on-year basis. On the GI front our total book now has crossed Rs. 100 crores, which is a very positive number for us, because as you all are aware that health even though it grows slowly and steadily, but it's a very strong renewal premium business for us and Rs. 100 crores is a landmark number which we have achieved in the current quarter. So, overall, if I just tell about the revenue from insurance we grew almost by 79% year-on-year basis.

Now, coming to the Broking segment also, while Broking as a business has done fairly well for us and its revenue has grown by 30 % YoY basis, consequently our consolidated revenue has gone up by 29% on a year-on-year basis.

Now, coming to the other expenses on the consolidated level, you might have noticed that it is on a higher side, mainly because of one factor related to PLC which I explained you, because it was the management call to revise the PLC. Same way, in case of insurance in the current year management has taken a call to spend a lot of money on branding, awareness for the insurance vertical. So, that's the reason I think you might see somewhat elevated level of expense on the other expense side.

So, finally, coming to the overall numbers, in case of Broking also,

there was one of the item

which was there as an impairment of -- meaning there was revenue of Rs. 2 crores last year which was because of reversal of impairment on account of IL&FS, which had an income of Rs. 2 crores. So, if I assume that that income would not have been there last year then overall, I think

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on the consolidated basis our profit has gone up by 28% on a half yearly basis, and 11.6% on a quarter-on-quarter basis.

So, lastly, I think I will just conclude my discussion on the financials saying that we are getting closer to Rs. 1 lakh crores AUM by March 2026 as targeted by us. And we briefly touched Rs. 70,000 crores AUM during this month. We have generated a consolidated cash flow from operations of almost about Rs. 72 crores in the first half of 24 which is helping us to build strong treasury book for the inorganic acquisitions.

Despite multiple adverse issues in the quarter, we are able to maintain profitability growth and to be able to generate first half growth of almost 24%. And we expect to build on this momentum going ahead. So, thank you and with this I will open the floor for Q&A.

Moderator : Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Dhaval from DSP. Please go ahead.

Dhaval : I just had two questions. One was, so you explained about the Direct Indirect impact on the commission expense. So, post the adjustment for B-30 and this Direct Indirect impact, is it safe to assume that the net yields for the standalone business should be around 32 to 32.5 bps kind of level on a steady state basis?

And second is this Prudent Loyalty Club, I remember last quarter also there was some increase.

So, overall, what's the sort of rationale of doing it? Is it related to just better engagement or competitive pressure etc.? And do you see this to be a recurring event every time?

Sanjay Shah : So, I about the margin you can say that now we assume that trail income would settle in the range of 87 to 88 basis points when the B-30 is out of the picture. And I think the overall brokerage expenditures should settle at 62% of the book. So, probably you can say that 38% of 88 basis points would be the new norm on the margin how much that is?

Dhaval : That comes to about 33.4. Roughly, if you take 87, it's about 33 odd bps 33 or 33.4.

Sanjay Shah : So, this what is going to be the new normal Dhaval. So, I think probably because I don't see a

significant uptick as far as the mutual fund yield is concerned without assuming any reprising of old assets so Karvy asset, let us assume that it doesn't happen then the current yield of 87 to 88 basis points should be steady.

And I think the Indirect Direct mix is now probably, I believe that there will not be a significant incremental change 1 or 1.5 basis point here or there would be okay. So, I think you can say that 62% should be the normal expenditure now, that was one part.

On the PLC, because as you knew that PLC has become a really very well sought out event for our mutual fund distributor partners and that brings a lot of energy in them. So, we thought that Prudent Corporate Advisory Services Limited

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to activate the entire system we should make it a little bit broad based and to make it broad based, we started giving some points to their existing AUM and because of that, we assume that the current year costs will go up. And once you change this probably it has to be a perpetual in nature. So, we assume this Rs. 11 crores to Rs. 12 crores cost would be constant. So, both the things, I think 62% of total brokerage expenses, and Rs. 10 crores to Rs. 12 crores because of PLC I think that has to be considered as regular expenses.

Dhaval : And therefore, the margin that we see in the

current quarter for the standalone business by and

large that should be assumed as a steady state margin, would that be fair?

Sanjay Shah: Yes, because I think the only thing would be that in the first six months, I think because now B - 30 impact is also to a large extent absorbed. So, the new margin system will be the same. On the standalone, I assume that it will be steady now.

Dhaval : And just last question on the insurance bit, so Sanjay if you could just explain on a steady state basis what kind of margin that this business should operate? So, as you explained, there is some slowdown that we have seen in the first half, the momentum. Just overall what's your expectation for a steady state margin from this Insurance business?

Sanjay Shah : Dhaval it's very difficult to answer that question, because a lot of clarity is required from the manufacturers. And they are also trying to absorb the EoM but you can say that very difficult to say about the margin. Actually, if you look at the brokerage costs on account of POS which is the, at the GP level is very less. So, I think my cost on -- is hardly about Rs. 3.5 crores. And we require to spend lot of money for business expansion purposes on the email, business expansion, business support activities everything so margin would be very difficult to say.

On the business front overall, I think we have done reasonably well from Q1 to Q2. I think you might see some slowdown only because of exception business which happened last year.

Otherwise, I think growth is good. And GI is doing very well as I told you we have crossed Rs. 100 crores mark on the GI book which is a very healthy sign for us.

Shirish Patel : Yes, basically I would say that the percentage payout is continued the same the way we were doing last year. At the beginning of the year only we anticipated that there would be a drop in the Life Insurance business, because last year, specifically because of the taxation we got bumper business in the last quarter. So, comparatively last year, this year beginning of the year in the anticipation of the business was less. And third point I would say that because of the EoM and the clarity could not come till the month of I would say August/September. The final clarity hardly has come in the month of August and September so that is the reason assuming the exact percentage payout margin whether it will continue or not, as of now it will be difficult, but we are hoping that by this quarter, that is October to December quarter the complete clarity on the EoM would be there. So, hopefully we will be able to give you a better idea.

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And fourth point, I would say that incrementally you would have seen that the business done by the POS is also increasing though it's a small business currently if you compare the last quarter and this quarter in the absolute term the POS business is a small number, but the growth from the business of POS is increasing drastically. So, as and when more and more business come from the POS I think you might see the changes in the percentage EBITDA margin also. So, these are the points I would like to add.

Moderator : Thank you very much. The next question is from the line of Paresh Jain from Motilal Oswal. Please go ahead.

Paresh Jain : Just a few questions from my side, firstly, on the Insurance business, you had mentioned earlier that you have seen an increase in commission rates. Now you are saying that there is some clarity yet to be expected. Do we see that these rates that you have reported in the first half are not sustainable or how should we think about it?

Sanjay Shah : You know its other way around rather, that's why I say that whatever we have provided in the books of account is absolutely after getting the clear clarity from the insurance companies. So, I

am not s

aying that in the coming quarters whatever the yield which we have reported would drop. I think yield would probably remain steady rather there is a possibility of it getting improved. So, there is no confusion, the amount that we have reported that is EoM related clarity also from the insurance and the same clarity --; clear amount we have reported. So, there is no chance of it getting dropped.

Paresh Jain : Secondly on your SIP business we see that your market share is very steady at around 3.7%. Any strategies that you are implementing with your partners to increase the thrust on the SIPs? Are you doing specific things on a sustained basis ? Something specific that you want to highlight that you would be pushing to increase the SIP share.

Shirish Patel : Yes so first of all I would say that the focus for SIP based is there in Prudent for the last many years. Last two and a half years, they increased the focus for the SIP is there, but the ground level dedicated focus is given to the SIP that is one. Second, I think this is also related to the PLC cost escalation question also. So, if you see I think the major weightage also in the PLC qualification is also towards the SIP additions. If you look at our SIP addition in this year in the last 6, 6 and a half months, I would say almost 80% of what we added last year, that itself says that in first 6 and a half months we have added almost 80% of our SIP net addition what we did in the entire year. That itself says that the focus for SIP has increased. And indirectly obviously in the PLC cost, because of that also has increased a little bit.

Paresh Jain : What will be the cost of PLC in the first half?

Shirish Patel : Ultimately it is proportioned to the assumed cost, so I think basically if you look at, normally we provide the cost based on the business expectations. So, there are two parameters which has done very well in this quarter one is if you look at our net sales number compared to last quarter, Prudent Corporate Advisory Services Limited

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this quarter it has increased, that is one. Second, even if you look at the SIP flows compared to last quarter, it has increased drastically in the second quarter that also has increased the PLC cost in this quarter. Third, as Sanjay said that we started making it broad based, we have got a little aggressive because we wanted to get the focus on a multiple product so that also has escalated the PLC cost. So, that is the reason there is some hike in the cost in this quarter.

Paresh Jain : Lastly, if I look at your other financial and non-financial products which is now at you know at a quarterly run -rate of around Rs. 5.7 crores have been flattish on a sequential basis. We have been adding more products; I think Loan has also got activated, right loan distribution. AIF and PMS industry has been growing at an exponential pace. So, why is that so flattish in this quarter on a sequential basis? And what are your thoughts as to whether stock broking and other financial products together what kind of share you will have from these products say three years down the line?

Shirish Patel : So, if you look at Stock Broking business, it's a conscious focus to move from Prudent Broking which a subsidiary business to the Prudent Corporate through FundzBazar platform. So, specifically from January 2023 when we launched stock broking on our FundzBazar platform since then we are pushing very aggressively stock broking business on the FundzBazar platform. So, as of now we are in the mode of account opening, so as you know that earlier Prudent used to do the business as a subsidiary Prudent Broking traditional way of doing the business, now the entire focus is on getting all those clients on the FundzBazar wherein they are doing the mutual fund and other product transactions, we ask them to open the accounts of stock broking. So, there is a c

lear cut focus for stock broking. We are very confident that over a period of time the broking revenue growth definitely would be far better compared to what we are seeing right now on the Prudent side.

Coming to the other products, I think we yield in multiple products. As you said that it is flattish compared to the last quarter, basically certain business like HDFC Fixed Deposit which used to contribute some revenue to us in the first quarter, which is not there now, that could be one reason. Second is the property business, I think revenue realization, it's very small revenues but yes I think the revenue realization this quarter is little lesser, but the two main contributor or three main contributor to the other product revenue all the three products are growing very fast I would say PMS AIF which is one of the bigger contributor to the other product revenue, it is growing very fast, the Liqui Loan that is P2P platform that also has grown significantly. And third business I would say that the Secondary Bond, so these are the three main products which contribute to the other products, and all the three businesses are doing great.

Paresh Jain : What is the PMS and AIF AUM today ? And how many clients would have subscribed to it ?

Shirish Patel : We have recently crossed around Rs. 600 crores of AUM and the number of clients would be around 800.

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Moderator : Thank you very much. The next question is from the line of Pallavi Deshpande from Sameeksha Capital. Please go ahead.

Pallavi Deshpande : Just wanted to understand on the POSP addition what is the plan going forward? How many do we plan to add? And also, I think you mentioned that the marketing costs on the insurance side that will be a perpetual cost, so why is it suddenly become more necessary is it the competitive pressure?

Shirish Patel: So, basically if you look at our constant focus is to add the POS P number s and also to increase their productivity . Out of our 27 ,000 to 28,000 A RN Holders, if you see currently almost 9 ,000 odd people are converted to the POS P. So, the number is increasing drastically ; if you see our last year's number and this year, you will see the growth of almost 3 5% to 40% in six months. So, right now, the clear -cut focus is getting them certified for the POS P. Simultaneously we are focusing , to activate them . Now today if you look at the activation ratio of the POS P number is very less . I think even if you look at the industry number also the POSP , the entire industry also the participation ratio is less . So, our constant efforts are there to increase the POS P participation or the activation . To make them active and to get more and more POS P, yes, that is a reason we keep on spending on the marketing side.

As you said there is competition pressure, I definitely would say that, yes, I think we have got the scale , the way we have got the ranking in the Mutual Fund business. Obviously, we are aspired to get similar kinds of volume or similar kinds of ranking in the insurance industry as well. Obviously, our primary focus always would remain to get more and more POS P and to get more and more business from them. So, yes, I think to get that aspiration we have

Pallavi Deshpande : So, the addition will continue at the same pace , 30% to 40% year -on-year growth ?

Shirish Patel : The addition definitely would continue but as I said this year, you will see a drop in the Life Insurance business because of the extra bumper business what we had last year in the LI business, that adjustment would be there. Otherwise, if you look at our Health Insurance business that has had significant growth in this year and that definitely is going to continue. Life Insurance this year there could be a consolidation. But otherwise, I think the growth of that 30% to 40% that expected

expectations always will be there --

Pallavi Deshpande : And the marketing that's a perpetual cost now?

Shirish Patel : For the foreseeable future, you can say at least , as I said we want to focus on POSP recruitment and the activation and creating the brand of Prudent & Gennext . So, I think, at least for the foreseeable future we are seeing it . We will see we will revise the strategy ; as of now this is the strategy , I think we may review this after a year or so.

Pallavi Deshpande : How much would that marketing cost do you think Rs. 3 crores ?

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Shirish Patel : See the percentage I think it is not going to increase drastically from here, whatever we have spent in this particular quarter I think more or less it would continue a little bit as I said that again depends on the volume, we are able to generate. So, we will see, as I said, as of now, this is the plan --

Pallavi Deshpande : And so how much was the marketing spent this quarter or this first half?

Shirish Patel : It is a part of the other expenses

Moderator : Thank you very much. The next question is from Rohan who is an individual investor . Please go ahead.

Rohan : On the Direct Indirect mix that you indicated on the mutual fund side, if you can quantify that how it has moved in last one year? And also secondly was on the POS P contribution on the insurance business , how is it tracking around right now?

Sanjay Shah : So, the first part I will just tell you about the Direct Indirect mix so actually Rohan, Indirect share now see when I am talking about Direct what we have done is this for the sake of understanding in case of Karvy there are two sets of business , one is Karvy Partner Business which we already transferred to once somebody has become a Prudent partner we transfer business under which is already mapped to Indirect as a segment that is number one . Number two, there are still almost about Rs. 4,000 crores of AUM of Karvy which is kept as a lead for partners where we are not paying anything which is considered as a part of my Direct business, but it is not a Direct business , it is going to virtually go to a partner. So, July/August /September FY23 I am telling you the average, last year the Indirect pure Indirect was 84 % , the Karvy was roughly about Rs. 4,200 crores so it was 8.2% and pure Direct which is my RM business was about Rs. 4,000 crores so 7.87% .

Now, this 83 .92% is now at 86.63% and that is the reason I explained that my share of Indirect ex-Karvy ex-Direct has moved to 86 .63%, which is 2.7% uptick and 65% of that is roughly about

1.7% impact should be there on the payout right.

Participant : Just wanted a clarification in the other expenses for this quarter how much of that was due to the increased marketing expense for insurance?

Shirish Patel : Rs. 8 crores is the additional cost on account of marketing in the Insurance segment for this quarter on the consol yes Rs. 8 crores .

Participant : And since the Insurance business is relatively more seasonal where we see a pickup happening in H2, especially in Q4, do we expect the number also to start ballooning in H2 ?

Sanjay Shah : ly. So, I think for that you need to look at couple of commentary which has been given by the insurance companies also. So, last year the insurance company used to spend money for

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marketing and branding now that responsibility has been transferred to us. So, probably that would be sufficient for me to give you the explanation that yes, because if you don't spend, you won't generate the branding and you won't generate the business.

Participant : Just wanted to understand that when we say that the insurance company is asking us to spend on marketing. So, are we supposed to run the on group

and activities to create awareness and we would be doing this specifically for different insurance companies?

Sanjay Shah : No it's for our policy world , it's for people to become POS P workers for the different segments of insurance like a Term Plan, Savings Plan. So, it may not be for the particular insurance company but the general awareness about the insurances as a segment and for the Prudent Gennext as a subsidiary & policy world as a platform.

Moderator : Thank you very much. The next question is from the line of Ajox Frederick from Sundaram Mutual Fund. Please go ahead.

Ajox Frederick : Just a repetition of the earlier question , you were telling the Indirect mix proportion. Can you please repeat that for this quarter and last quarter?

Shirish Patel : So, the last quarter number I haven't kept ready , but I am talking about the YoY. So, if you look at January so I am talking about YoY, in the second quarter FY'23 Indirect was 83.92% in total AUM which is now 86.63%. So, this share of Indirect has gone up by 2.7%. Now, I think previously whenever we discussed with the people, we said that Indirect was already above 90% so that number has been , there is some distortion when I am talking about --. So, when I am talking about the Indirect , I am excluding Karvy , which is not yet given to my partners , otherwise that business is for partner. So, I am talking about the Indirect ex-Karvy ex -Direct and that is the reason that share has gone from 83.92% to 86.63% in last quarter, this is the daily average I am talking about . And that is the reason the brokerage cost pressure came at 1.5% to 1.6% . I think now probably we might feel that this might gradually get settled in this range.

Ajox Frederick : No if it shifts by 1% then the commission payout will increase by 0.65% of the revenue.

Sanjay Shah : Perfect.

Ajox Frederick : So, if that is the case, this is like about 0.6x2 right, like 1.3 % , 1.5% of the current revenue is the impact. Is that right?

Sanjay Shah : You can say to that extent, this is roughly about , so the revenue would have gone up by say 2.7% into 85 basis point which is my earning, right. So, roughly I would have earned more -- so 1.59% is the impact actually I am just saying the 1.59% extra payout on account of brokerage expenditure is happening this quarter versus last year YoY.

Shirish Patel : If my revenue was Rs. 150 crores , my expenditure has gone up by Rs. 2.25 crores .

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Moderator : Thank you very much. The next question is from the line of Nilesh Jethani from BOI Mutual Funds. Please go ahead.

Nilesh Jethani : My first question was on the Insurance piece say if Rs. 100 is our take rate in percentage terms. What typically we pass out to the partners and what we retain ?

Shirish Patel : So, basically if you look at our pass out -- let me like mutual fund and insurance, I think almost two third , one -third is the normal ratio you can say.

Nilesh Jethani : So, we keep one-third and 66% --

Shirish Patel : This is a normal ratio in both the products .

Nilesh Jethani : And just wanted to understand from the distribution income when I see on the mutual fund side, earlier we were keeping 65 % and now the number seems to be 67 % or 68%. So, wanted to understand Direct ionally what impact was because of B-30 and what is the other impact on this , why this percentage of 65% of giving out is increased to 68% now?

Shirish Patel : No the payout ratio still remains the same as I said even if you look at our previous quarter also it would be 60, two third, one-third, the same ratio continues. So, there is no change in the percentage payout to our distributors. As Sanjay has explained earlier, there is a drop of around

2.25% to 2.5% share in the Direct and Indirect composition, when I say Direct means B2C. Now the composition

in our total AUM mix is now more skewed towards our retail that is a B2B business, it is up by around 2.25% to 2.5%. So, earlier on these 2% share or 2.4% to 2.5% AUM share the payout was zero, obviously as the share of Indirect or the B2B business has increased that is where you are seeing that the percentage payout has increased, but technically, there is no change in the percentage cost paid to the distributor.

Nilesh Jethani : And one last question on these other expenses that you highlighted that we want to broaden this and now Rs. 10 crores to Rs. 11 crores is going to be an estimated expense. Just wanted to understand from an annual perspective going ahead what is the kind of number we are intending to look at or any percentage of revenue or this Rs. 11 crores can increase going forward if we plan to adopt more and more people into this program? So, how should one look into this piece?

Shirish Patel : So, PLC cost is the output of the business, normally I am not saying 100% is linked to the business done in the year. But yes, I think you can generate some kind of estimation based on the business number done during the year. There are multiple parameters as Sanjay said that one component is the AUM. So, as and when the AUM increases some costs towards that AUM increase also adds the cost to the PLC. Additionally, as I say if you look at our net SIP addition numbers obviously, we have added almost 75% to 80% just in first six months. So, obviously we are comparing the annual cost of last year to the SIP composition cost, the PLC also has one component of SIP addition. As I said, I think 75% to 80% of the SIP business is done in last six months, so obviously that also has added the cost.

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Third point I would say that the multiproduct, earlier the focus on the multiple other products was not there, this year to promote a new product launched by Prudent we also have given the weightage in the qualification criteria, because of that also some cost has escalated so on an average giving the understanding, yes, I think that is linked to the business but not 100% as some part is also linked to the AUM. To get the guidance more or less I think the growth in the cost would be similar to business growth.

Nilesh Jethani : And on a very broader perspective on the partners business wanted to understand today say we have X number of IFAs who are linked to us for mutual fund distribution, out of which what number would be also doing insurance. And on the insurance piece on the POSP piece just wanted to understand whom are we targeting going ahead, is this people who are involved with other insurance are trying to target them or it is more and more people who sell MF, you want to target them to start selling insurance? What is the thought process on that?

Shirish Patel : 70% to 80% of our distributors who are registered with us for mutual funds do sell insurance whether with Prudent or somewhere else because originally they came from the LIC or Life Insurance Company and then they started doing mutual funds. So, technically I would say that 70% to 80% of these distributors of Prudent are doing insurance. Now our main target instead of going out, focus on our distributors. So, if you look at around 9000 plus POSP we have already empaneled out of this our 27,000 distributors, activation is hardly 3500 to 4000. So, in a year around 4000 distributors or the POSPs are activated as of now. So, instead of me going out in the market and getting new POSP our primary focus is adding POSP from our existing mutual fund distributor and making them active, these are the main target as of now at least.

Nilesh Jethani : So, just a follow up, so out of say you said 70% to 80% of mutual fund distributors with you guys are also doing insurance. So, these people are

contributing what percentage to the overall premium or overall commissions?

Shirish Patel : They don't do business with us. As I said, most of these guys were doing Life Insurance business earlier. Like today also they will be doing a LIC business. Our business model is that attracting people from insurance industry to mutual fund industry, the guy continues doing business with LIC but at the same time since we have taught him mutual fund, he does mutual fund business with us. He is not doing LIC business today with us all these 70%, 80% guys are not doing insurance business with us. So, that is what our goal is making them work for insurance with us.

Nilesh Jethani : So, what is the percentage of people who do both for us and that actively contribute to the commissions or the premium?

Shirish Patel : That's what I said 3500 to 4000 POSPs are active as of now, out of these 9000.

Moderator : Thank you very much. The next question is from the line of Prateek Poddar from Nippon India Mutual Funds. Please go ahead.

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Prateek Poddar : Just on a small question , maybe you can clarify or help me understand that this year which is FY'24 there is a sliding scale for B-30 revenues being booked. Why is that so?

Shirish Patel : Pardon, you said B30 revenue for the current year is.

Prateek Poddar : You are booking it on a sliding basis, right, in Q1, Q2, Q3 and Q4. And obviously Q4 as you said it will be minimalistic so just trying to understand why is that so?

Shirish Patel : So, if you look at B-30 was the trail revenue up to 2% for the business which you book from Beyond -30 cities. So, the regulator has stopped giving you B -30 from 1st of March 2023 . So, in the last year till February you had done whatever business in that you will get 2% in form of trail until you complete first year . That 's the reason I am saying that all the business which are done in last for example the business done in March 2022 then I will get in 2023 it is that way . That is the reason I think gradually amount is reducing and virtually it will be zero in March 2024.

Prateek Poddar : I was just asking you that 8 basis point has been entirely passed on to the MFDs , right?

Sanjay Shah : I think to a large extent not entirely. So, our earnings in B-30 was not as high as our regular business where as Shirish said we share two-third , one -third, here selling was a bit on a higher side, but the impact on top -line was visible right . On the bottom line where I am talking about the costs, I am just considering the Indirect mix change , but you are right the margin was there not 35%, but must be in the range of 20 % to 25%.

Prateek Poddar : And hence we are seeing a low dilution in our net yields which we make.

Sanjay Shah : So, net yield which I make would be now that's why I am saying if I am earning Rs. 100 my payout would now settle at 62%. So, I will continue to a t 38%. So, now probably you need to consider only 87 to 88 basis points as the trail revenue consider 38% of that . B-30 is now out of , if there is any small earning of my, then also --. See actually the B-30 impact on a YoY basis would be very profound next quarter compared to YoY because first quarter I earned let's say about six paisa, in second quarter I earned about three paisa, in third quarter it will hardly be about 1.5 paisa, and fourth quarter it would be zero , but in the last year YoY I used to earn 8 paisa full. So, when I go to next quarter , you will see 1.5% instead of 8% so there will be a profound impact which will be on a YoY not on a quarter -on-quarter.

Prateek Poddar : But your net yields are not changing, right , that was the question because the payouts are at a percentage of the 87 to 88 basis point so essentially your net yields don't change a lot , relative to your top-line.

Shirish Patel : So, y

ou are right, net yields won't change definitely obviously 8% receivables , brokerage received was B-30 that will become zero so practically, if you look at the revenue , revenue drop in the last quarter would be 8%. At the same time, the majority of that receipt was passed on to the distributors so that our percentage margin impact would be very minimum.

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Moderator : Thank you very much. The next question is from the line of Ajox Frederick from Sundaram Mutual Fund. Please go ahead.

Ajox Frederick : Just a follow up, you mentioned that this payout is higher in B-30 what we passed to the distributors, is it 75% or 80% can you quantify that number? Like normally you will pass 65% in B-30 that is what 75% or 80%?

Shirish Patel: In total payouts till March, there were two components one is the normal commission which is a perpetual trail or the long-term trail and second was the B -30 and the B -30 payout was only restricted to 1 year. So, whatever business you do the B -30 receivable used to be only for one year. So, both the components were different. So, what historically we have been telling you that 1/3rd is the perpetual or the long-term trail and that is what our sharing ratio on the B2B business level, when it comes to the B -30 payout historically we normally used to keep a very closed track on what the AMC's are paying to their distributors in the smaller locations. And that is whereas Sanjay said that the retention was around 20% to 25% in the B -30 business. But that was not stable because that also dependent on the AMC's strategy on the I FA level but having said that now I think this financial year, every new business from 1st of March 2023 that revenue on the new business has become zero. Whatever business we did till February 2023 on a residual period, I think total payout would be for 12 months, for the residual period it would be available so that revenue pool will keep on shrinking till February 2028 and 1st of March it will become zero. So, the net revenue generated in this quarter from B -30 business will be hardly anything and next quarter it will become practically zero. The payout range is higher on the B -30 business because of that strategy used to be linked with the AMC strategy.

Ajox Frederick : And this delta of the yield drop is purely because of mix shift that which we are getting nothing else right, only these two parameters?

Shirish Patel : Yield drop as Sanjay has already communicated one biggest thing is AUM mix between B2C and B2B business 2.5% toward the retail that is B2B business obviously because on that business you payout so one major reason is that.

Moderator : Thank you very much. We will take this as the last question. I would now like to hand the

conference over to Mr. Sanjay Shah for the closing comments.

Sanjay Shah : Thank you everybody for patiently listening to our commentary. So, if you have any query further I think Parth and the management is available to clarify on any of the matter which you require to be --. Thank you very much. Thank you.

Moderator : On behalf of Equirus Securities Private Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Feb 2024

To,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai- 400 001
SCRIPT CODE: 543527

PCASL/74/2023-24

Date: 02.02.2024

To,
The National Stock Exchange of India
Ltd,
Exchange Plaza,
Bandra – Kurla Complex,
Bandra (E),
Mumbai – 400 051
NSE EQUITY SYMBOL: PRUDENT
ISIN: INE00F201020
Sub.:

Transcript of Q3FY23-24 Results Conference Call on Un-Audited Financial Results
for the Quarter ended December 31, 2023 .

With reference to our earlier intimation No.

PCASL/66/2023-24 dated January 19, 2024 and in terms
of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015,
we are enclosing herewith the Transcript of Q3FY23-24 Results Conference Call held on January
29, 2024 on Un-Audited Financial Results for the Quarter ended December 31, 2023.

The same will also be available on the website of the Company at www.prudentcorporate.com

Thanking you,

Yours Faithfully,

For, Prudent Corporate Advisory Services Limited

Kunal A. Chauhan
Company Secretary & Compliance Officer
Tele No: 079-40209600
Email: cs@prudentcorporate.com
Encl.: As Above

"Prudent Corporate Advisory Services Limited
Q3 FY2024 Conference Call"

January 29, 2024

ANALYST M: R. SWARNABHA MUKHERJEE – BATLIVALA &
KARANI SECURITIES INDIA PRIVATE LIMITED

MANAGEMENT : MR. SANJAY SHAH– CHAIRMAN AND MANAGING
DIRECTOR – PRUDENT CORPORATE ADVISORY
SERVICES LIMITED
MR. SHIRISH PATEL – CHIEF EXECUTIVE OFFICER
AND WHOLE TIME DIRECTOR – PRUDENT
CORPORATE ADVISORY SERVICES LIMITED
MR. CHIRAG SHAH – WHOLE TIME DIRECTOR
–PRUDENT CORPORATE ADVISORY
SERVICES LIMITED
MR. CHIRAG KOTHARI – CHIEF
FINANCIAL OFFICER – PRUDENT CORPORATE
ADVISORY SERVICES LIMITED
MR.
PARTH PAREKH – INVESTOR RELATIONS –
PRUDENT CORPORATE ADVISORY SERVICES
LIMITED
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January 29, 2024

Moderator: Ladies and gentlemen, good day and welcome to the Prudent Corporate Advisory Q3 FY2024 Earnings Conference Call hosted by Batlivala & Karani Securities India Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Swarnabha Mukherjee from Batlivala & Karani Securities India Private Limited. Thank you and over to you Sir!

Swarnabha Mukherjee: To give a brief update on the 3Q FY2024 results and address investor questions we have with us from the management of Prudent Corporate Advisory Services Limited Mr. Sanjay Shah, Chairman and Managing Director, Mr. Shirish Patel, CEO and Whole Time Director, Mr. Chirag Shah, Whole Time Director, Mr. Chirag Kothari, CFO, and Mr. Parth Parekh, Investor Relations. Now we would request the management to start with their opening comments post which we can open the floor for Q&A. Thank and over to you Sir!
Sanjay Shah :

Thank you Swarnabha and let me welcome all of you to this Q3 FY2024 earnings call. I thank you all for sparing your valuable time to join us today. I hope you all have got the access to investor presentation which has been already uploaded by us on the exchanges. While I will be discussing about the numbers, I will be giving reference to various slides. So before moving to company's results let me take you through slide #19. So there is a slide

which deals with overall asset management business and how the year has been currently and December has been a really historic month for the entire industry where we cross 50 Lakh Crores of AUM. Wh

en equity and ETF/FOF contribution is almost 69% totally so it is very heartening. It is a big landmark with total unique investors has crossed 4.21 Crores in December 2023 and industry added almost 54 lakh investor in last 12 months against that Prudent has also added roughly about 2,15,000 new investors and which represent our market share in retail which is roughly about 4%. I thought that is very important milestone about the industry and I congratulate the entire industry, regulators all the participants for the significant efforts which they have put in for bringing industry together. Now let me take you to the regular business slide so please move to slide #44. So if you look at the slide, we have given the details of our closing AUM as well as quarterly average AUM so we began this fiscal that is April 2023 with an opening AUM of 56,200 Crores and we ended December with a closing AUM of 77,800 Crores. It is an addition of about 21,500 Crores of AUM in first nine months which is almost 38.4% growth. As you are aware that market has given a significant broad based rally in this last 12 months so mark to market growth has been very very, robust in this entire growth. If you see the chart on the right hand side our quarterly average AUM has grown by 30% year on year basis and 8% on quarter on quarter basis to almost 72,000 Crores. On standalone operations we have starting

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Page 3 of 21 January 2024 with a very good tailwind. As you see on the chart on the left hand side closing AUM as on 31st December is almost 8% higher compared to our quarterly average AUM of December quarter so we have started fourth quarter with a very good tailwind on the mutual fund front. So now please move to slide# 45. If you look at the slide we have provided you the details of what has moved our equity AUM on a year on year and quarter on quarter basis so as seen in the left hand chart equity AUM has moved by almost 42% Y-o-Y to around 74,450 Crores wherein almost 3/4 movement has been contributed by mark to market gain. Even on sequential basis if you look at our equity AUM has moved almost by 14% wherein 10.8% is contributed by mark to market gain. The strong momentum of Q2 in the net sales has also contributed in December quarter. We did net sales of about 1795 Crores in the quarter while the same number for Q1 was about 682 Crores and Q2 was about 1400 Crores so all in all for 9 month we did a net sales of almost about 3886 Crores in the equity funds. Now please move to slide #46. So this is a slide which provides details of our market share in overall equity AUM and the SIP data. Our market share in equity AUM ex ETF has improved from 2.50% in December 2022 to 2.52% in December 2023. On the bottom left we have given the data on monthly SIP flows as well as our market share in the SIP so during our quarter our monthly SIP book has crossed 6 billion mark and our monthly SIP flow as of December end has touched close to 650 Crores. We have added 166 Crores to our SIP book during last 12 months so it is a growth of 34%. In the same period industry SIP book has also moved significantly from 13,500 Crores to 17,600 Crores so industry also grew at a very healthy pace of 30% when against it we grew at 34%. The average value of new SIP in December was at 3400 which is much much better than our existing average SIP book which suggest that the retail investors now are able to contribute more towards SIP and their input value per SIP is increasing which shows the confident to the investment vehicle of SIP as a long term wealth creation. Given our strong focus on SIP we believe by March 2026 as we are aiming for 1 lakh Crores of AUM. We also foresee that our SIP book will cross 1,000 Crores by March 2026. From this

quarter if you look on

the same slide at the bottom we have given one line which talks about STP value as on December 2023 stood at 79 Crores which is not including in the above number. This numbers is reported on the actual realization so I think I wanted to highlight that from this quarter we have started providing our systematic transfer numbers. In the month of December we collected 79 Crores through systematic transfer route and this number is reported by us on the actual realization basis. As we are able to collect and properly formalize the data we will give more numbers in the STP book but if you look at I think couple of AMC do provide the data of SIP, STP combined and on that ground if you look at our SIP book was 651 Crores, my STP book was 80 Crores so that both put together also gives you a very healthy recurring money which can move to what you call the equity as an asset class, so as we believe STP are good data point and gradually will start providing you with more and more granular numbers. So I think this is more or less about the KPI now I

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Page 4 of 21 will take you to the financial numbers. When I start talking about the financials please move to slide #49 which is the last slide of my presentation this talks about the standalone numbers pertaining to our mutual distribution vertical.. So as stated in the last quarter's call that revenue growth has not kept pace with the quarterly average AUM mainly on back of SEBI's decision to keep the B-30 incentive in abeyance from 1st March 2023. So if you look at revenue from operation of our mutual fund distribution business has grown by 25% year on year basis, lower than our quarterly average AUM growth of 30%. In FY2023 the previous year our yield on overall book through this B-30 commission was around 8 basis points roughly about 40 Crores from B-30 cities where our total income from mutual fund distribution was 501 Crores in last year. So if you remove this B-30 additional incentive our yield was 87 to 88 basis points in FY2023. In this quarter also ex of B-30 incentive our yield has remained stable. But 8 basis points yield on B-30 incentive in FY2023 has now dropped to two basis point in this quarter. If the impact of B-30 would not have been there our revenue would have been higher by almost 11 Crores in this quarter leading to an additional growth of 7% so if you combine current growth of 25% plus 7% I think the growth would out play our average AUM of about 30% so this explains reason for lower revenue growth compared to an average AUM growth. This two basis points of B-30 additional incentive which we have earned in this quarter will be very, very marginal in the last quarter and it will completely go away from March 2024 onwards. So in FY2025 assuming everything is constant, our yield should ideally move towards 87 to 88 basis points kind of range so this is the prime reason behind the lag you see between the revenue and average AUM growth. Our operating profit grew by 21.3% year on year basis. As stated in second quarter call we have started providing for the higher cost for our flagship Prudent Loyalty Coin Program in FY2023 and that is the reason it has been reflected higher in the operating expense. However if you look at it, you might see a higher cost on year on year basis. On quarter on quarter basis now last quarter also had a significantly higher base so quarter on quarter basis growth is not there significantly higher. Our standalone profit after tax grew by 32% Y-o-Y basis led by higher average income as our treasury book is now growing in size and treasury book is now close to 200 Crores so despite challenges coming from B-30 additional incentive and changing AUM mix to indirect leading to a higher commission payout ratio, we are extremely happy to report that in the first 9 months of our fiscal our pr

ofit after tax grew at a healthy pace of 34%. Now please move to slide #48, which talks about our consolidated number. So let me address about the insurance business. On the general insurance front which is predominantly a health business and that is also a retail health business for us, it is picking up really well and our fresh premium in first 9 month for the current fiscal has grown at healthy pace of 35%. On the GI front our total book has crossed 116 Crores which will give us a very good renewal premium for a longer period of time. In case of life one of our main products we sell on the life is non participating saving product. Given the bumper sales we had in Q4 of last year due to taxes
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Page 5 of 21 and change we are witnessing a consolidation in this business and we have maintained the stance since the beginning of this year that FY2024 is going to be a consolidation year on the insurance front.. Also post regulatory changes on the EOM front, life insurance industry is still trying to adjust and absorb the changes. On account of this fresh premium in first 9 months of current year fiscal is lower by 17%. This drop will significant in fourth quarter on account of higher base. However the base of insurance will be normalized in FY2024 and we expect to move forward on our growth trajectory from FY2025 onwards. Our strategy to become a multiple distributor is well reflected in the numbers with revenue from product other than mutual fund is growing at a healthy pace on a Y-o-Y basis. During the quarter growth in non mutual product was almost 85% year on year basis and mix wise non-MF revenue is accounting for almost 21% of our overall consolidated commission & fee income. Our consolidated revenue is up 33% year on year basis. Other expenses also on a consolidated level are higher mainly as we explain you in the previous quarter is because of our spends in marketing branding and awareness for the insurance as a vertical So consequently our consolidated profit has grown at 25% year on year basis. So lastly as I conclude my opening remark we are getting very closer to hit our 1 lakh Crores AUM by March 2026 as targeted and we have touched 80000 Crores of AUM during this month. The ability of mutual funds to deliver inflation between returns is well understood by retail and this product will eat into the share of bank deposits slowly but surely.. There are about 4.21 Crores unique investors in mutual fund industry and this number is expected to grow by leaps and bounds in the phase of Amrit Kaal where in per capita income is also likely to grow by almost 10x in next 25 years so we are aptly placed in

this growing industry and we are sure we will be able to reap the benefit in years to come.

Thank you very much I will just open the floor for question and answer now.

Moderator : Thank you very much. We will now begin the question and answer session. The first question is from the line of Rohan Mandora from Equirus Securities. Please go ahead.

Rohan Mandora : Good morning Sir and thanks for the opportunity and congrats on good set of numbers. Sir, on this MF yields like you explained there was an impact of B-30, but if you look at on Q-on-Q basis there is still an improvement from 91.3 to 91.9 so just want to understand the reasons for the same?

Sanjay Shah : There is no specific reason for, we were also trying to look at what is the reason for roughly about half-basis point will be going up, it might be a normal only. I do not think there is any specific reason for that, but we can assume that it will be in the range of 91.3 to 91.5, the total yield you are talking about right with B-30 right?

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Page 6 of 21 Rohan Mandora : Yes with B-30.

Sanjay Shah : Yes. So, there is no specific rea

son for yield improvement about half basis point.

Rohan Mandora : Second sir, if you look at the insurance business other opex to revenues while every quarter there is some volatility, but going into FY2025 if you look at Q1 it was around 43%, Q2

was 49%, Q3 was 45%, other opex to revenue in insurance business, so going into FY2025

what kind of a normalized level should we expect in this opex line item given that you have been spending on marketing and other activities here?

Sanjay Shah : You are talking about the operating expenditure as well as the brokerage payout combined right? You are looking from that angle?

Rohan Mandora : The other opex in the insurance basis, the non-employee expenses total?

Sanjay Shah : Roughly both one should be in the range of about 64%, 65%. You can say that non-employee cost, non-appreciation cost on the insurance vertical should generally be in the range of 60% to 65% probably 64%, 65%.

Rohan Mandora : So it will be higher than the current levels that means?

Sanjay Shah : Yes.

Rohan Mandora : Currently, it is around 45% to 49% in the last two quarters, other opex by revenues on the insurance part?

Sanjay Shah : Ideally it should sit in the region of 64%, 65%.

Rohan Mandora : Okay, sure and Sir thirdly on slide #29 where we are giving MFD productivity, if you were to look at it from the new to MFD clients. Is there any productivity difference in that case

between a less than Rs.10 Crores and a greater than Rs.10 Crores MFD, because I assume

for greater than Rs.10 Crores it could be that some of these new accounts or folio's are getting open from the existing clients and that is where the ticket size is higher? So just to get some color around that?

Shirish Patel : MFD, when he starts in the industry, initially majority of the business come's through SIP, the client acquisition also becomes with the smaller or the midsize clients. When he becomes bigger and bigger in the industry, he starts getting the bigger reference, bigger clients and that is how his business grows. Even if you consider the average AUM, if you split the AUM and the business mix between the smaller MFD versus the bigger MFDs in

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Page 7 of 21 terms of AUM you always can say that the bigger MFDs might have a bigger share, but when you look at the SIP share, the smaller SIPs percentage share would be higher, so that reflects that the smaller SIPs are able to establish themselves with the newer relationship with the client with a smaller ticket size, with the SIP as a business and as they become mature at the more and more clients and more and more higher and higher amount comes with them. So I do not think the smaller MFDs' productivity would be lesser than the bigger ones, but this is a normal trend and this is how the business happens in the industry.

Rohan Mandora : Sure and Sir lastly with respect to FY2026 we were expecting roughly One Lakh Crores worth of AUM and we are already at Rs.80,000 Crores, so any revision in guidance there?

Shirish Patel : Basically again if you look at historically what we are trying to say that our net sales is equal to the SIP sales. Now today we are already at around Rs.650 Crores of SIP book. We

are hoping to touch let us see hopefully we may be around 700 odd kind of SIP book by March 2024, so the way we see that our SIP gross sales would be the net sales that way you can see around Rs.7000 Crores, Rs.8000 Crores by way of SIP sales and remaining could be a mark to market. So historically if you see all the communication we are trying to say that in a medium to long term we assume that 10%, 12% kind of growth can come by way of SIP or net sales and 10%, 12% kind of growth can come by mark to market. All depends on the mark to market from here to March 2026, so that depends on the mark to market but in

terms of the numbers what we believe that what we

have delivered in the net sales it is in line with our expectations for the beginning of the year.

Rohan Mandora : Sure Sir. Thank you.

Moderator : Thank you very much. The next question is from the line of Hardik Doshi from White Whale Partners. Please go ahead.

Hardik Doshi : Thanks for taking my question. Over the last one year or so there has been a pretty sharp growth from a lot of these digital platforms like Groww and even Angel One in terms of the SIP number of accounts and the flow that they are getting, can you maybe talk a bit about the overlap between their target customer base and the customer base that we target because it sounds like they also getting a lot of their flows from the smaller town, smaller city not really urban phenomena either, so how are you viewing them from a competitive share perspective?

Shirish Patel : If you see the growth of all these Fintech definitely they are growing faster than the industry in terms of new SIP sales, but having said that if you see our market share in terms of SIP still either we are flat or I think still we are able to grow our market share.. One thing which Prudent Corporate Advisory Services Ltd
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Page 8 of 21 definitely would like to say that today what we are seeing around 4.2 Crores of unique investors in the industry and almost 50-plus lakh new investors coming into the industry. I would say that majority of these clients, new to industry clients would have been acquired by many of these Fintech so one way, yes you can say that in the long run these kind of platforms may play as a competition to the platform companies like us, but at the same time we strongly believe that the kind of new client acquisition work these Fintech are doing, it definitely is going to help the distributors or the companies like us. Because as a sub-broker or B2B platform we might not be able to reach to smallest of the town with our business model. Obviously, the Fintech are able to reach to the smallest of the town, they will acquire the client, but we strongly believe that when there is some consolidation in the market, when the size of the client becomes little bigger. Obviously, they might need some kind of advisory and that time they might come back to us. So net-net we strongly believe that the Fintech platforms might grow or definitely will grow or the markets also might increase, but in the regular plan we strongly believe that we are still in a position to maintain and grow our market share. I do not think that it is competition to us as of now that way.

Hardik Doshi : Okay. Who do you think they taking market share from then because we are maintaining our market share?

Shirish Patel : I do not think that they are taking market share. One, I would say that they are creating the market share that is the first point I would like to say. Second is, any distributor who is not bullish or rather I would say that who is not optimistic about this particular business and direct client acquisition or the growth in the client acquisition is slowed down probably you can say that they are hitting into their client to certain extent and additionally they are creating the newer client so you can see in the industry who is growing and who is not growing you can assume on that perspective that they are eating some market share from those who are not growing and secondly they are creating their own market.

Hardik Doshi : Okay and just related to that a lot of the sales they are doing are direct plan so that then kind of instill the culture of direct plan within the retail as well and is that then a threat to our revenue model?

Shirish Patel : My belief and I do not know whether there is a study or not, but my strong belief is that 70%, 80% of the clients who are transacting through all these Fintech platform might not be aware about direct or the regular plan. They are going to these Fintech n

ot to save that the

distribution cost, but they are going there because all these Fintech have explained about the SIP concept and everything. Obviously, there are clients who know about the difference in the regular plan and the direct plan, but most important part is incrementally the more and Prudent Corporate Advisory Services Ltd
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Page 9 of 21 more clients will also understand the importance of distributor or an advisor. So obviously you can say that from the cost perspective there is some benefit while going to the direct platforms but at the same time they do not get the advisory or the distribution thing. There are studies which says that distributors can add the alpha, so as and when the realization to all these even HNIs clients also would come who has already gone to the direct platforms I believe many of them might come back.

Hardik Doshi : Okay, got it. Thank you.

Moderator : Thank you very much. The next question is from the line of Harsh Shah from HSBC Asset Management. Please go ahead.

Harsh Shah : Thank you for the opportunity and congratulations to the team for a good set of numbers. Firstly circling back to the first participant's question on yield, when we were in last quarter that is Q2 of FY2024 at that time we had said that we will again take around two to three basis point hit per quarter till Q4 and we should on a gross commission we should settle somewhere around 87, 88-basis point? Versus that 87, 88-basis point we are at 92-basis point close now, so can you just help us bridge the gap between the earlier guided 87, 88-basis point on a constant basis minus B-30 to now around 91.9-basis point in this quarter? Is there a higher TR scheme where there was more flows in this quarter or is there some other reasons for that?

Sanjay Shah : Probably if you look at 91-basis point yield which you are talking about is inclusive of B-30, so I think B-30 would be roughly in the range of two to two-and-a-half basis point. If you take out that two, two-and-a-half basis point, this quarter our yield is looking reasonably higher by about half basis point, not more than that. So let me just tell you last year totally was roughly about if you take out that 8-basis point of B30 FY2023 last year 87, 88-basis points was our regular yield, this year in first nine month if you look at. First nine months we are probably in the same 87, 88-basis points only thing is in last quarter of October, November, December some half basis point extra yield is visible could be because there are a couple of cases of KYC revalidation this if you remember, for some there was some KYC hold and there was serious efforts of people putting into revalidate the KYC because there is some deadline, so some accumulated KYC but we are unable to identify that half basis point real impact. Coming to the answer to your question, we assume next year, our yield should be in the range of 88-basis point you can say. FY2025 April when your B-30 would be totally out, our yield should settle in the range of 87, 88 or 89 roughly in the range of 88 probably you can say.

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Page 10 of 21 Harsh Shah : So let us assume 88-basis point for calculation purpose and on a commission expense outgo basis we are constant at around 63-basis point? So this quarter we reported net commission of 29-basis point, should it go down to 25-basis point?

Sanjay Shah : So first of all expenses should be 62% because then the B-30 cost will also be out right, so you can look at 62% on the console basis which is inclusive of direct and indirect mix, so 62% cost of that is cost, if I am earning Rs.100, Rs.62 is the brokerage cost. So you can say, 62% of the 88-basis point is the cost of my brokerage..

Harsh Shah : So that is around 55-basis point, so 33 should be a net commission?

Sanjay Shah :

You are right.

Harsh Shah : Right now at 29-basis point this quarter, is it correct?

Sanjay Shah : No, I think Parth can take you through separately on this entire part, because when I am talking about the 62% is the payout on the consolidated basis including direct and indirect, that number is steady.

Harsh Shah : Correct, okay. Let me take this offline. Second question I had you explained nicely in terms of your expenditure going forward also, but from revenue perspective how big is the scope for the insurance product considering Q4 of last year was heavy for you at Rs.35 Crores of revenue because of high one-off sale of non-par high ticket size entering this Q4 of FY2024 you think you can do a better Q4 FY2024 versus Q4 FY2023?

Sanjay Shah : Q4 of last year versus this year definitely because there was a one off revenue, if you look at last March itself in terms of fresh premium's in life was about Rs.98-100 Crores so I do not think it is going to be repeated but

what we are trying to say that whatever is going to be the dip in the insurance the current year versus last year is going to settle the trend and then you will be into a growth trajectory. Shirish can give you more idea what is our target for the current quarter what we are projecting.

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Page 11 of 21 Shirish Patel : Comparing straight away last year versus this year's Q4 definitely there would be a huge dip in terms of the premium, so last year whatever we had collected almost Rs.190 Crores of premium out of this almost Rs.100 Crores was collected in the last quarter. You can say that more than 50% was collected in the last quarter of the financial year which is not going to be the case in this quarter. So, one of course because of the taxation changes, there was a

huge pull in the insurance premium. Second I would say that there was some kind of preponement of the purchase also so that is the reason last quarter of the last financial year was a bumper year. If you currently look at our premium collection in the life insurance business in Q3 FY2024 almost around Rs.30 Crores obviously if you compare our growth in this financial year quarter-on-quarter we are growing, obviously historically as we see that Q4 number ideally is better than the previous quarter number that surely it will grow compared to this quarter, but if you are comparing last year's Q4 it will be drastically down compared to the last year.

Harsh Shah : Understood just last question before I join back in the queue. From M&A perspective right now any mind share which areas should the company focus, are there good targets right now evaluated at a fair value or are they coming very expensive?

Sanjay Shah : We have not reached to that valuation stage still in any of the cases, but we have been definitely exploring regularly, but nothing is getting materialized because unable to identify something which is very, very close to our DNA, but we are open. We are definitely open and we are regularly trying to explore.

Harsh Shah : Understood. That was very helpful. Thank you and all the best. I will come back in the queue.

Moderator : Thank you very much. The next question is from the line of Srinath from Bellwether Capital. Please go ahead.

Srinath: Sir, one quick question. So if you see this quarter, mark-to-market, all asset management companies have been very large and many of the large schemes have kind of moved to a different TER bucket, how does this impact us from a payout perspective or from our revenue perspective both in new SIP and flows and backbook which was originated say 18 months to two years back? Thank you.

Sanjay Shah : If you look at as far as back book is concerned or the current book is concerned which is already built up with the margin which we have stated. So, probably there is one important message that with the increasing s

ize my book which is already collected by, it not going to have any impact. So what yield which you are looking at right 87, 88-basis point which you
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Page 12 of 21 are talking about is something which is fixed. Incrementally because particular schemes AUM has increased and now they are going to let us say they are charging 5 basis points less as an expense ratio on the TER front and if they pay me also less by two, three-basis points see my payout will also get adjusted. Say for example if my earning is 100-basis point my payout is 62% if my earning is 90-basis point my payout also would be 62%, so that is why we are trying to talk about the payout in the percentage terms, two important message, book is not going to be repriced, it is static and there is a very solid clarity of revenue which you can always keep in mind incrementally whatever new business which we book would be definitely at a newer rate.

Srinath: Thanks a lot Sir for the clear answer. I will get back into the question queue.

Moderator : Thank you very much. The next question is from the line of Pallavi Deshpande from Sameeksha Capital. Please go ahead.

Sameeksha Capital : Thank you for taking my question. Sir, just wanted to understand on the insurance side of the business, the take rate has increased to 22% this quarter from 20% and I just wanted to understand I am just looking at quarter-on-quarter the increase 20% than the previous, what would be the sustainable number going ahead and what is driving this increase?

Sanjay Shah : Pallavi, I think the insurance is still going through the adjustment process in the full year and that is the reason if you remember last time we said in the call that we are providing for revenue in your books of accounts only when there is a clear visibility and on the basis of confirmation. So in the current quarter you have seen that there is some improvement in the yield, it might be because some amount of confirmation might have come from the insurance company and there could have been the spillover of revenue of previous quarters and that is the reason our yield has improved from 20 to 22. =. From April, May, June of 2024 we will see a very clear visibility on the margins and then only I will be able to communicate what is going to be the real margin because by that time the entire insurance company board will approve everything which is going to be a part of system and it will start getting reflected.

Sameeksha Capital : Second question would be on this marketing expense, which was disclosed in the previous quarter from insurance, how much would that be this quarter?

Sanjay Shah : This quarter that cost is roughly about Rs.9.5 Crores.

Sameeksha Capital : Thank you Sir. That is all.

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Page 13 of 21 Moderator : Thank you very much. The next question is from the line of Viraj Sanghavi from Banyan Tree Advisors. Please go ahead.

Viraj Sanghavi : On your slide #10 in the presentation where you have given the AUM for investors will be around 4.8 lakhs right? And when you go to slide #35 again you see a table wherein we have the last column AUM for investor wherein for none of the age ranges maybe amount of more than 4.8 lakhs so I just wanted to see how those two data get matched?

Sanjay Shah : This is very important observation. Number one, the bifurcation which we have provided is for the total AUM and you will be just capturing the mark-to-market gain which has come from March 2023 to now that could be the reason, but so you are saying that my average AUM per investor is 4.2 lakhs here none of the number is showing 4.2 lakhs. So I think I need to go through that it is a very important observation. Need to go through that and probably there is some error in the data, we will try and rectify but

I think Parth will definitely come back to you on this. You can probably talk to parth directly and we might provide the additional information in one week time.

Viraj Sanghavi : We have seen quite a lot of operating leverage in the business and most of it this is contributed from the employee cost since last two, three years so I just wanted to know how the line item of employee cost will move going ahead?

Sanjay Shah : So if you look at overall in this business where lot of back office cost is there by way of employees. If you look at probably the non-sales functions and the IT, customer care, Fundzbazar team, compliance, operations, research- I do not think this number is going to grow significantly and that is the reason in last two, three years what has happened that volume has grown significantly while the employee cost has not commensurately increased in the same way; however, the people who are facing the advisers or the IFAs or the branch expansion that cost might continue to grow. So overall you are right the growth in employee would not be in line with growth of the topline I also assume however in the lean period that again start outpacing because I assume that if the topline is continuously going to grow at 20%, 22% then definitely employee cost will be the biggest beneficiary as far as you are operating leverage is concerned.

Viraj Sanghavi : Got it and if you see a pure mutual fund yield, so they have improved a little, so one of the reason to my mind that comes is the equity mix has improved in your mix, so that will be the sole reason?

Sanjay Shah : That could be possible you are right. That could be the reason, so there is the improvement is visible between quarter-on-quarter, so Q2 to Q3, there is improvement about half-a-basis
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Page 14 of 21 point and then the mix has not changed significantly, so that could be one of the reason on a Y-o-Y basis, but not on quarter-on-quarter basis, so I think this half-a-basis point something which I think we tried to look at but we are unable to get any concrete reason for that.

Viraj Sanghavi : Okay and with the Karvy and iFAST assets, so those are getting rebranded to Prudent name right, so do we have a track of that like how much of that AUM has been rebranded?

Sanjay Shah : There are two part to this. One is, the assets which is, for example in case of iFAST and Karvy, a lot of business was coming through the mutual fund distributors who were empaneled with them. Once they became mutual fund distributors with Prudent and once we have transferred that asset to their code they are merged with the organizations indirect business so which is not tracked then independently that IFA is tracked, the Karvy business is not tracked, so that is number one. Number two is wherever the iFAST this is fully distributed nothing has been left out. In case of Karvy still there are about 3000 or roughly about 4000 Crores of the asset which has been given as a lead to IFAs but it is still not mapped to anybody that number we are tracking and that number is not growing, roughly I can say that in last 12 months we would have degrew that business by about 10%, again the mark to market growth about 30%, but that asset is still not addressed by anybody.

Viraj Sanghavi : Got it.

Sanjay Shah : Am I able to answer your question.

Viraj Sanghavi : Yes and last question, so this other expense that has gone up that is because of two reasons right. One is increasing marketing expense in the insurance vertical and the other is the Prudent loyalty program, so can you provide a split of the two like how much has been invested?

Sanjay Shah : Marketing expenditure is significantly higher, but on the Prudent Corporate balance sheet, the Prudent loyalty program expenditure last year was roughly about Rs.6 Crores, we are assuming that cost would be in the range of Rs.

12 Crores in the current year, so there is additional cost of Rs.6 Crores on the balance sheet of Prudent Corporate. Marketing expenditure as I explained roughly about Rs.9.9 Crores in this quarter which is emanating

from the insurance that is the additional cost.

Viraj Sanghavi : Okay so you said Rs.12 Crores for the whole year right for the loyalty program cost?

Sanjay Shah : Yes, which under the Prudent Corporate, in case of insurance vertical also there is a Prudent Loyalty Coin Program cost that is separate cost, there I do not see huge escalation.

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Page 15 of 21 Viraj Sanghavi : Okay. Got it. Thank you.

Moderator : Thank you very much. The next question is from the line of Lakshmi Narayana from Tunga Investments. Please go ahead.

Lakshmi Narayana : Total distributable TER right which the mutual funds have for every scheme, so on a blended basis how much of the total TER of any mutual fund you actually take and how that number has actually changed in the last three, four years has it moved up or down?

Shirish Patel : You already know that our blended yield is around 91-basis point, our distributable TER every schemes, every AMC distributable TER is available in the industry, so you can definitely consider what percentage on a book basis or the AUM basis we are getting. Giving any ballpark number specifically on a percentage receipt from any AMC or on a blended probably every AMC would be having a different understanding with Prudent and various distributor definitely we would not be open on that particular front but if you see the yield as you said how it has moved in last three, four years, one definitely I would say that in the industry, there were assets prior to 2018-2019 wherein the upfront regime was there and the trail was less. So obviously whenever these money got churned and has come in the new regime that is I would say post 2019, overall the yield definitely has gone up on a book level, so last three, four years definitely the yield on a book has inched up slowly and gradually mainly as I said because the historical assets got churned with new assets, but now onwards we believe that now majority of the assets are post 2019, improving the yield as we said earlier also there is some money available for Karvy and iFAST with a lower yield. There is a potential to reprise those assets at the same time with the increasing TER there could be some downward revision in the yield on the new business, not on the old business. So, what we believe is that next few years we will not see the huge gap in the yield going up or going down probably we will be able to maintain this kind of yield for next few years.

Lakshmi Narayana : If you look at the total AUM, do you also do things like balance advantage fund, conservative hybrid fund or you are mostly focused on the pure equity growth oriented schemes?

Shirish Patel : When you say equity, it is not only equity, it is equity and hybrid both put together, so out of our total equity AUM almost 20% plus is contributed by the hybrid categories. So yes we do sell balance advantage, we do sell conservative hybrid and lately if you see the industry is also selling the multi-asset that also we do sell aggressively.

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Page 16 of 21 Lakshmi Narayana : Got it. Is our AUM reflecting broadly the industry or are we skewed towards midcap or small cap, because midcap and small cap has actually contributed to most of the flows, do you think that as a risk and what is our mix because we give an overall mix but in terms of midcap, small cap how is it, is it reflective of the industry or we are little skewed towards a particular category of funds?

Shirish Patel : Basically if you see definitely our mix is well diversified I would not say that we are completely

skewed towards mid and small cap on the AUM basis but yes you can say that incrementally, the new business in this financial year, it was little skewed towards mid and small basis and that is the trend in the industry. But when you look at the total AUM, it is not that much skewed, it is in line with the industry.

Lakshmi Narayana : Got it and third on the net sales, how are we doing from a market point of view of the net sales as a percentage of the net sales of the industry, are we increasing as a market share?

Shirish Patel : Basically if I say, my net sales market share is higher than the AUM market share, so that say that on a net sale basis we are doing far better than the industry.

Lakshmi Narayana : Got it and one last question regarding your retention, so how much as a percentage of the redemptions and how much is our sales if you just look at it?

Shirish Patel : I could not understand your question. Please can you repeat again?

Lakshmi Narayana : If you look at our sales in a quarter and there is also people who would actually redeeming okay. So what is our retention ratio? How is it moved?

Shirish Patel : Basically if you see our gross sales for the quarter and if you see the net sales for the quarter, gross sale would be having two parts. One is the regular SIP part and second is I would say that the additional lump-sum purchase what we do. If you roughly see the last quarter you can say the retention ratio or the way it is almost 40%. If you look at the gross

sale for the quarter in totality and what is my net sales you can say almost 40%, around 40% is the net sales.

Lakshmi Narayana : And how is it trending Sir over the last three, four years our retention ratio going up or directionally?

Shirish Patel : There are multiple parameters, you can consider in this particular ratio obviously market sentiment plays a very, very important role, but all said irrespective of the market condition you can say that my net sales ratio in all years you can say historically last four, five years or more than that my net sales market share is always higher than the AUM market share so

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Page 17 of 21 that says that irrespective of the market condition, Prudent has delivered better net sales market share compared to the AUM.

Lakshmi Narayana : Thank you so much. I will get back in queue.

Moderator : Thank you very much. The next question is from the line of Sudhesh from Geojit Financial Services Limited. Please go ahead.

Sudhesh: Thank you for the opportunity. Regarding SIP book, now we have Rs.650 Crores what is the average SIP size per client?

Shirish Patel : On a book basis if you see my number of SIPs and the current SIP book, average SIP value is around 2800, but if you see the incremental SIPs what we are doing in this financial year is almost 3400 that way you can see that incrementally my new SIP average is higher than the book.

Sudhesh: So this is SIP ticket size?

Shirish Patel : Ticket size, average SIP.

Sudhesh: Just I wanted to know that what is the average SIP per client whether it is available in our PPT or presentation?

Shirish Patel : I am not getting you, average?

Sudhesh: SIP per client for example 650 from how many clients?

Shirish Patel : We have got 20 lakh SIPs roughly, but number of clients let me put it this way, we have got almost 16 lakh clients out of that almost 50% client has got the SIPs you can say that 8 lakh clients..

Sanjay Shah : Roughly about live SIPs you are right, roughly 50% people have started SIP, so you can say that 24 lakh SIP coming from 8 lakh average SIP per customer would be about three and which is probably industry number is also. Industry number is also about 2.5 average SIP per investor.

Sudhesh: Okay. My next question and last question LI premium for the quarter is Rs.30 Crores and total commission Rs.29.8 Crores whether we have any

split of what is the commission from the fresh premium, fresh life insurance premium?

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Page 18 of 21 Sanjay Shah : That number is not separately provided. We do not have that handy also right. You are talking about out of Rs.29 Crores how much we earn by way of fresh premium and how much just came by way of renewal right?

Sudhesh: Yes, correct.

Sanjay Shah : That number is not handily available and there are some provisioning also which is on the overall book so that is the reason. I have been just trying to maintain that that in the current phase bifurcating overall revenue required or the income required from the insurance company between two would be difficult also, but still that exact number is not available.

Sudhesh: Because recently there is a change in the commission structure whether this have any impact in the total commission?

Sanjay Shah : Sorry, you are saying in the current year, there is a change in the commission structure and if you look at overall...sorry I am not able to hear you properly.

Sudhesh: My question is whether any change in the commission structure of life insurance in recent quarter, the last quarter?

Shirish Patel : Basically if you talk about both the insurance is what we normally talk about health and life insurance. In health insurance as such there is no change compared to what it was earlier and what it is now. When it comes to the life insurance as we said in the last call also there are certain clarities many of the insurance companies had given somewhere the second quarter end obviously certain payouts are linked to the various parameters now. If you look at the commercial structure given by the life insurance for the first year business, few of the percentages, few of the commissions are linked to certain parameters. As Sanjay bhai said that we came to and one question was why the yield has gone up, so one reason definitely would say that when we qualify for certain parameters, definitely we become eligible for that commercial in this particular quarter based on the last quarter's business. So in this

quarter when we do the business, we are not sure that whether we are going to be eligible for this parameter or not after the business is over then and then only we will be able to get the clarity about the exact commercial. So if you consider that way yes, you can say that compared to the first quarter or the second quarter, this quarter's yield has gone up but net-net looking at our historical number, looking at the quality of the business what we see in the long run we do not see there is a change in the commercial, but yes, compared to the first two quarters you are seeing the change in this quarter mainly because we became eligible based on those parameters and which insurance companies, we will communicate after the quarter is over. I hope this address is your question.

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Page 19 of 21 Sudhesh: Thank you very much.

Moderator : Thank you very much. The next question is from the line of Gaurav Nigam from Tunga Investments. Please go ahead.

Gaurav Nigam : Thank you Sir for taking my question. Just one question on the insurance business, can you explain how do we sell this insurance and as you explained right 62% of the commission received goes in the mutual fund business, how is that economic takes place in insurance business?

Shirish Patel : Basically if you see the insurance business is the mix of three parts. One is of course the POS business, second is our in-house team and third is the online business. When we talk about the average payout to our POS, yes you can say that that is in line, the sharing ratio is almost the similar like mutual funds, but yes that varies, because that varies based on the mix of the product what we sell. Now every quart

er you will see that the product mix in the life insurance business would change. In certain product mix because we have to be aligned with the market reality, certain product mix the margin would be higher, certain product mix market margin would be lower, we will not be able to generalize that like mutual fund you can say that 62% is my cost, we will not be able to generalize for that particular number, but yes you can say that we are aligned to that number when we decide our pricing strategy.

Gaurav Nigam : Sorry sir I could not hear you said there are three channels one is own employee, second is online and third one is POS is that correct?

Shirish Patel : Yes, so incrementally POS is becoming bigger and bigger, so yes currently three channels.

Gaurav Nigam : Can you just broadly tell which one is the dominant channel like out of the three?

Shirish Patel : Historically, POS was the smaller one, incrementally POS is becoming stronger and stronger and we visualized that POS will become very, very strong. As you see our number of POS, last year it was around 6500, currently we are more than 10,000. Number of POS, registered POS is increasing and second is more and more POS are becoming productive with us. We strongly believe that over the period of time, POS contribution will become bigger and bigger that we overtake the remaining two channel.

Gaurav Nigam : Understood. So, in case of non-POS channel, there is no cost, it is absorbed in the employee cost, is that the way to understand?

Shirish Patel : Yes, you can say that perfect.

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Page 20 of 21 Gaurav Nigam : One more question on the P&L, console P&L, we have one revenue line item called interest income, what is that sir?

Sanjay Shah : Interest income mainly comes from specifically it is linked to a broking business, because many deposits which is lying with the exchanges and the DPC which come from the delayed payment charges, it is provided into interest income.

Gaurav Nigam : Last one question, SEBI started the campaign for mutual fund, what is the status of that and what progress has happened on that front?

Sanjay Shah : MFD Shuru Kare campaign is already there right, because they have been spending in between it was stopped probably, Shirish if you have any idea on that?

Shirish Patel : Definitely at the MFD level, they had a goal of around 5 lakh MFDs for the distribution community and keeping that thing in mind and Amfi had started this campaign, MFD Shuru Kare, yes, there is a big focus for at AMFI level or the SEBI level to increase the depth of this particular business or the number of MFDs, still they are continuing the campaign. If you see the outcome, overnight you might not see the response to this kind of campaign, but one good thing I would say about all these campaigns, because they are targeting mutual fund distribution as a good profession, they are trying to give the respect to this particular profession, we surely believe that in the medium to long term we will be able to see the result out of that, but immediately if you see has it increase the number of distributors in the industry, I would say no, but yes, incrementally it will become better and better.

Gaurav Nigam : Thank you for answering my questions.

Moderator : Thank you very much. The next question is from the line of Pallavi Deshpande from Sameeksha Capital. Please go ahead.

Sameeksha Capital : I just wanted to understand on the POS what will be the contribution to the business.

Sanjay Shah : Lion's share comes from POS, you need to understand ours is a pure B2B business, so technically significant business comes from them and then we also have our in-house team business, but exact percentage may not be available with me currently, but the POS is a lion's contribution in our total business.

Sameeksha Capital : Thank you.

Moderator : Thank yo

u very much. As there are no further questions I now hand the conference over to the management for closing comments.

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Page 21 of 21 Sanjay Shah : Thank you very much for listening to us patiently and if still there are any query which could not be answered management as well as Parth Parekh our Investor Relations would be readily available to address any of your query. Thank you.

Moderator : On behalf of Batlivala & Karani Securities that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: May 2024

Date: 13.05.2024

To,
The National Stock Exchange of India
Limited
Exchange Plaza,
Bandra – Kurla Complex,
Bandra (E),
Mumbai – 400 051
NSE EQUITY SYMBOL: PRUDENT To,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai- 400 001
SCRIPT CODE: 543527

ISIN: INE00F201020

Dear Sir / Ma'am,

Sub.: Transcript of the Conference Call for Audited Financial Results for the Quarter and Year ended March 31, 2024.

With reference to our earlier intimation dated April 29, 2024 and in terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of the Conference Call with analysts and investors held on May 07, 2024 in respect of the Audited Financial Results for the Quarter and Year ended March 31, 2024.

The same will also be available on the website of the Company at www.prudentcorporate.com

Please take the same into your records and do the needful.

Thanking you,
Yours Faithfully,

For, Prudent Corporate Advisory Services Limited

Kunal Chauhan
Company Secretary
Membership Number: ACS- 60163
Email: cs@prudentcorporate.com

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"Prudent Corporate Advisory Services
Q4 FY '24 Earnings Conference Call"
May 07, 2024

MANAGEMENT : MR. SANJAY SHAH - CHAIRMAN AND MANAGING
DIRECTOR - PRUDENT CORPORATE ADVISORY
SERVICES
M R. SHIRISH PATEL – CHIEF EXECUTIVE OFFICER
AND WHOLE-TIME DIRECTOR – PRUDENT CORPORATE

ADVISORY SERVICES

M R. CHIRAG SHAH - WHOLE-TIME DIRECTOR –
PRUDENT CORPORATE ADVISORY SERVICES
M R. CHIRAG KOTHARI – CHIEF FINANCIAL OFFICER –
PRUDENT CORPORATE ADVISORY SERVICES
M R. PARTH PAREKH - INVESTOR RELATIONS –
PRUDENT CORPORATE ADVISORY SERVICES

MODERATOR : MR. LALIT DEO -- EQUIRUS SECURITIES

Prudent Corporate Advisory Services
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Moderator: Ladies and gentlemen, good day, and welcome to Prudent Corporate Advisory Services Q4 FY '24 Earnings Conference Call hosted by Equirus Securities. As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

This conference may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

And I'll now hand the conference over to Mr. Lalit Deo from Equirus Securities. Thank you.
And over to you, sir.

Lalit Deo: Thank you, Neha. So good afternoon, everyone, and thanks for joining the call. To give a brief update on the 4Q FY '24 as well as FY '24 results and address the investor questions, we have the management of Prudent Corporate Advisory Services Limited, represented by Mr. Sanjay Shah, Chairman and Managing Director, Mr. Shirish Patel, CEO and Whole-Time Director, Mr. Chirag-Shah, Whole-Time Director, Mr. Chirag Kothari, CFO, and Mr. Parth Parekh from Investor Relations. Now we would request the management to start with the opening comments, post which we can open the floor for Q&A. Thank you, and over to you sir.

Sanjay Shah: Thank you, Lalit, and good morning, everybody. Let me welcome all of you to the earning call of Prudent for the Q4 FY '24 as well as for the full year FY '24. So I thank you all for sparing your valuable time to join us. I hope you all would have got an access to the investor presentation, which has been uploaded by us on the exchanges yesterday because when I'll be discussing, I'll be giving a lot of references to the slides of that particular presentation.

So before I move to Prudent's financial numbers, I would like to take you through the Slide number 15, which contains broad macro data and talking about the future of mutual fund industry. So if you look at on the chart, left-hand side of the chart -- of the slide, we have shown that how the nominal GDP of India has grown in the last decade and how it is expected to grow until FY '30.

So in last decade, nominal GDP has grown at a CAGR of 10.6%. And over the next seven years, we expect that GDP will grow at a CAGR of about 11%. So this 11% CAGR implies that we will double our GDP and we'll touch the INR566 lakh crores of GDP by FY '30. Now if you see the chart on the right-hand side, it shows the data of gross household financial savings and the proportion of those savings as a percentage of GDP. In last decade, our gross household financial savings has almost tripled. And in next seven years, too, this number is expected to double at the similar pace like we have been projecting a growth in GDP.

So chart on the bottom left shows that proportion of bank deposit plus currency and mutual fund and equity in overall gross hold savings how it has been changing. So proportion of bank FD and currency in overall savings is trending downwards. If GDP moves as estimated, equity as Prudent Corporate Advisory Services

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an asset class should do well.. And this ratio should skew more and more towards the equity and mutual funds. So all these factors make us to believe that industry should ideally touch INR100 lakh crores and double from the current level by FY '30. And Prudent being a strong retail dominant player, we will definitely grow faster than the industry over next decade.

Let me take you to Slide 16. So this Slide 16 talks about the fruit of shift to mutual fund industry, which has a

already been visible in the numbers. So wherein if you look at mutual fund AUM to GDP has grown from 7% to 18% in last decade. Unique investors has also grown almost by 2.5x in last six years to INR4.46 crores. And SIP flow has also grown at a rapid 25% CAGR. But we believe, the picture is not yet left, we understand that the picture has not started, and that is what we believe that is going to be growth story. We feel that we are very, very lucky to be present in this growing industry, and we will reap the benefit in the years to come.

Now let me take you to the Slide number 20, wherein we have tried to highlight the Prudent growth story in last decade. So if you look at these slides talks about the growth of Prudent's number of partners and number of customers in the last decade, which grew almost 10 to 11x. Our equity AUM grew by almost 39x in the last 10 years, and SIP book also grew by about 29x in the last 10 years. So I think these are the numbers which are important, which I just wanted to communicate that in last decade, Prudent has created a significant base. And in next decade, we'll have a significant benefit of the base, which we have created. So I just wanted to communicate something on the overall industry growth potential and how Prudent has done in last decade.

So now let me take you to the Slide number 42, which is talking about the business numbers. Yes, so if you look at the Slide number 42, this chart on the left-hand side indicates the huge tailwind for the growth in mutual fund business for the Prudent in FY '25. In FY '24, we earned our revenue based on the daily average AUM of INR69,000 crores. We are beginning with current fiscal with an AUM of INR83,400 crores, which implies there is a 19.2% higher head start compared to full year average of FY '24.

So even if our AUM stays stable at INR83,400 crores for the entire FY '25, our revenue growth in current fiscal will be around 17% considering there will be no B30 revenue in FY '25. Please keep in mind, in FY '24 out of total revenue of INR100, INR2.40 or 2.4% was the revenue that came from B30. So if you take out that, we are expecting that 17% is going to be the overall top line growth based on the current AUM. So that's a massive tailwind with which we are beginning the current fiscal. As far as current quarter is concerned, quarterly AUM in March quarter has grown by 44% Y-o-Y and 12% sequentially.

Now let us move to Slide number 43. So Slide 43, we have shared the details of what has moved our AUM on a year-on-year as well as on a quarter-on-quarter basis. As seen in the left hand chart, Equity AUM has moved by almost 53% year-on-year to around INR80,000 crores from INR52,525 crores. So that's a 53% growth; however, in this particular growth, almost 3/4 or about 78% growth came because of mark-to-market movement. I'll just explain the significance of this mark-to-market movement number. So in the current year, we got the mark-to-market Prudent Corporate Advisory Services
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movement of INR21,541 crores. I'll tell you that on May 30, 2020, total AUM of Prudent was INR21,000 crores.

So mainly last year alone, we got a mark-to-market gain of more than AUM, which was there before four years. Now this strong momentum in equity, it has also resulted into a significant growth in our net sales also and that the same thing is reflecting over March quarter. During the full year, our net equity sales stood at INR6,164 crores, which is higher by 25% compared to INR4,915 crores of net sales in FY '23.

Now let me take you to Slide number 44. So it's a slide which talks about overall market share of Prudent in the Equity AUM as well as SIP return. So our market share in the Equity AUM ex ETF has improved from 2.46% in March 2023 to 2.52% in March 2024. On the bottom left, we have given you the data on monthly SIP flow and our market share in SIP.
During the quarter, our monthly SI

P book has crossed 7 billion mark and our monthly SIP as of March end has touched INR726 crores. We have added almost INR200 crores towards SIP book during last 12 months, it's a growth of massive 40%. In the same period, industry SIP book has also moved from INR14,000 crores to INR19,000 crores, which is also a growth of about 34%, 35%.

Given our strong focus on SIP, we foresee our monthly SIP flow crossing the mark of INR1,000 crores by March '26, which we have been giving as a guidance since a couple of quarters. Please note that from last quarter, we also started providing the STP numbers. In the month of March, we collected INR95 crores through systematic transfer plants. This number is reported by us on the actual realization basis. The average value of each STP is INR6,800, which is higher compared to the SIPs. Please note, STP value of INR95 crores is not included in the SIP number of INR726 crores.

Now I am coming to the financials, and I will take you to last slide of the presentation, which is Slide number 47, which talks about the standalone financials of Prudent Corporate Advisory Services Limited. So look at the Slide number 47, which talks about the standalone numbers. So I'll discuss the full year number as far as the standalone numbers are concerned. So most positive

part for us in FY '24 is standalone profitability of Prudent Corporate, which is profit after tax has grown above INR100 crores, which is a significant milestone for us.

Revenue has grown at a slower pace compared to yearly average AUM growth. While our full year average AUM grew by 32%, revenue from mutual fund grew by 27%. This is mainly as we have been pointing out in earlier calls also, is mainly because of the withdrawal of B30 incentives, which has implemented from February '23, last year. So if we look at the impact of B30, if let us assume B30 impact would not have come, I had got revenue of B30 then in the whole year we would have earned INR36 crores by way of an additional revenue, which is roughly about 6% to 7% of my topline. So if I add that 6% in the 27% then probably this will be -- I'll be able to explain you why my revenue has not grown in line with growth in the average AUM.

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So in the overall year in FY '23, our B30 yield was around 8 paise. If we remove that 8 basis points, then in FY '23, our normal revenue, which was regular revenue by way of trail was about 87, 88 basis points. In FY '24 also, on the full year, we earned about 91 basis points as a trail, which includes about 2.4 basis points, roughly 2.2 basis points, which is attributable to B30. If I remove that because in the FY '25 our revenue will not come from B30, it will be practically zero. So ex B30, we are also expecting that the revenue, regular revenue will be similarly in the line about 88, 89 basis points.

So finally, despite a lot of challenges on the top line due to withdrawal of B30 incentives, as we've been explaining about the increasing share of indirect channel in total leading to higher payouts, additional PLC costs, which was a change in the current year, we are still able to grow our operating profit by 28%, which is in line with our top line growth.

Now however, in spite of there being a lot of challenges, we are starting the FY '25 with a strong tailwind of 19% in the AUM, as we discussed in the previous discussions. And we believe that operating leverage is going to play out in the current year, mainly because post current year performance. And another important thing we wanted to highlight that in the current year, once we complete the review of our team, our total employee cost is going to rise about 15.67%. We assume that PLC and administration costs will probably rise in tandem with growth or probably about 8%, 10%. So assuming if our AUM stays at INR80,000 crores or INR83,000 crores, what is the opening AUM, I think, we e

xpect that the operating leverage will definitely play out in our favour in the current year. Overall, on the standalone profitability, we grew at 42% to INR105 crores on a year-on-year basis.

Let me tell you to -- take you to the final slide, which is Slide number 46, which talks about our consolidated figures. On the consolidated front also, it gives me immense satisfaction to see that our consolidated top line has crossed INR800 crores, and we reported a growth of 32% of the top line. On the insurance front, our total premium, including renewal, grew by 23% in FY '24 to INR556 crores, and our top line the insurance stood at INR111 crores in the full year.

So another important thing on the GI front, where predominantly, we do a business on the -- in the retail health business. I think that business has been picking up very well for us. And the fresh business sourced by us in GI in FY '24 grew by almost 37%, and our total book of GI has reached to INR120 crores. Please keep in mind, GI is predominantly a renewable premium kind of a business, renewal business for us. So you can compare that roughly to a business like your mutual fund where there is a significant revenue comes by of trail.

In case of life, one of the main products, which we sell on life front is the saving products. Given the bumper sale, which we had in fourth quarter of last year due to taxation changes, we witnessed a consolidation in the LI vertical. We have been maintaining this trend since the beginning of this fiscal, that last quarter will face headwinds on account of a very high base. Fresh premium in FY '24 in LI is lower by 41%; however, number of fresh policies sourced in LI is down by just 5%. So the large drag came from the average premium per policy, which is lower by 37%. Hence, given a realistic base, which has been set now by us in FY '24, we are confident of a reasonable growth in LI vertical also in the current year.

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So overall, on a consolidated front, operating expenditure grew at a higher than the revenue, mainly on back of higher expenses -- higher other expenses as explained in earlier calls in the current fiscal or from current fiscal. We have taken a call to spend on marketing, branding and awareness for the insurance vertical; however, we believe that in the current fiscal, the spend

will grow proportionate to the insurance revenue and consolidated operating margin should be better compared to FY '24. Overall consolidated profits have grown at 19% Y-o-Y to INR138.7 crores. Cash flow from operations stood at INR150 crores. Cash flow from operation to profit after tax stood at 108%, and return on equity stood at 28.8% for FY '24. So this is the summary of FY '24.

All in all, when we are entering FY '25, we find FY '25 looks very, very promising to us. On a standalone business, we have faced headwinds in form of B30 additional incentive, which has been withdrawn; payout pressure on account of mix changes and elevated PLC costs. Now we believe that these all things will normalize when we are entering into FY '25.

On the insurance business also, as I told you, that we are now -- we have set a good base in FY '24, and we are starting with that good base. So we are assuming that FY '25 is going to be much, much better as far as your insurance vertical is also concerned. So we are very, very confident when we are moving into FY '25 because a lot of headwind is now becoming a part of our base. Lastly, we are getting closer to hitting INR1 lakhs crores AUM, which we have been targeting to actually by March '26. As when I'm talking to you, in the current month, we have almost touched INR87,000 crores AUM. Our treasury book has reached INR350 crores, which is giving us a war-chest to grow inorganically. So we believe Amrit Kaal for the mutual fund industry has already begun, and we are aptly placed in this growing industry a

nd will reap the benefits in the

years to come. So with this, I'll just say thank you, everybody, for listening to me patiently, and we'll open the floor for question and answers. Thank you.

Moderator: The first question is from the line of Ajox from Sundaram Mutual Funds.

Ajox: Congrats on a very good set of numbers. Sir, my first question is on the payout and the mutual fund. You mentioned that the indirect share has gone up, so how much has it gone up on a Q-o-Q basis and that should have driven the commission increase as well, right, the share to distributors?

Sanjay Shah: Yes. So I think you're absolutely right. If you look at on a Q-on-Q basis versus, let's say, October, November, December to January, February, March, I think share of indirect has gone up by about some 70 basis points. So the AUM in favour of indirect has increased by 70 basis points. If you look at the 60% or 65% payout of that, so $7 \times 6 = 42$. I think in the current quarter, there is a GP competition of about some 50 basis points and the 40, 45 basis points is explained because of this. So you're right.

Ajox: Understood, sir. So can you give me the number, like what proportion of that -- like increase, I understand. Absolute percentage indirect proportion.

Sanjay Shah: Currently, we are around 90% indirect and 10% is in B2C.

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Ajox: Sorry, I didn't get that. Sorry, can you repeat?

Sanjay Shah: 90% and 10%...

Ajox: Okay. Okay. Understood, sir. Understood. And sir, secondly, you mentioned about the increase in employee costs. Sorry, I didn't get that. What was the increase expected this year?

Sanjay Shah: I was just trying to explain why operating leverage should play out in the current year, so we already completed the review of entire team for FY '23-'24. And I'm talking about the April '24 salary bill will have a revision of 15.6% to our March salary bill. That I was explaining. So I was saying that my top line is likely to grow beyond 17%, 18%, while the major expenditure for us is salary, which is about 15.6% growth. I will not get much growth in other places. So the operating leverage should be much, much better for us in the current year.

Ajox: Understood, sir. That is very helpful. And my next question is on insurance. So insurance, the commission we receive, for non-life, has it come off on a sequential basis? Because I was seeing some 30% odd, now it's dropped 22%, the commission to premium.

Shirish Patel: Yes, so basically, I think, as we spoke earlier during the call that after this EOM guidelines, the commercials are linked to many of the parameters. So certain parameters are easily -- you can say that x commercial doing some kind of business and x percentage based on certain persistency parameter. Certain commercials, we actually come to know post quarter ending. Whatever is guaranteed receivable or received for that particular quarter is already accrued in the last financial year. Whatever is available based on persistency data and every other data, that we'll come to know in the next probably in a week or so.

If we simply assume that number, the percentage receivable has not come down. So mainly you can say that unidentified amount, which is not yet finalized with the insurance company, the difference is mainly because of that. Because first three quarters, data has already come in the month -- in the last financial year. Last quarter data is yet to be finalized. If we had that number, I think what I'm what is this number would be similar like what we saw. In actual terms, there is no difference in the receivable in the first year.

Ajox: Perfect, sir. Just a final question, if I can squeeze in. Other expenses usually gets tied to some portion of insurance also, right? Because earlier, it was separately given as marketing spend. Now it will get at the top end instead of with the other expense level, so what is that expense? Do y

ou give that separately?

Shirish Patel: So I think we never provide you with the separate number for marketing expenditure. But you are right, the -- if you'll see the elevated number on other expenditure has two complements. One is, as we explained in previous calls also, that from the current year, we started spending a lot of money on creating branding, awareness, and marketing for the insurance vertical as well as there was a change in our Prudent PLC program, where we started providing some points to the existing AUM also to be partners. So these two component has gone for a change, that is probably giving you a higher expenditure on the other expenditure front. But important thing is that these are the change, which has been implemented in the last year. And now this is part of P&L, so you'll not see a significant change going forward.

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Moderator: The next question is from the line of Swarnabh Mukherjee from B&K Securities.

Swarnabh Mukherjee: Congrats on a very good set of numbers. So two, three questions. First, I wanted to understand in the mutual fund business, the PLC that you were running, how is the weightage between, say, the fresh flows that will be coming in vis-a-vis the existing AUM? So just what I'm trying to understand is that if somebody is able to maintain the existing AUM, but not to be able to increase the flows very significantly vis-a-vis someone else who is doing very well on the flow basis. Will the person who is doing very well on the flow basis get better R&R kind of a thing?

Shirish Patel: I have not understood your questions properly. But what I understand is that commercials are communicated while doing the transaction. Someone has done the transaction two years back and whatever commercial was communicated that time, he is getting the same rate. Or someone, I think, who is doing the business today, whatever the business is commercially, we communicate on a new business today, it is applicable to everybody the same. Yes, there is one difference that is based on the total AUM with us.

So there are different slabs available based on the total assets with us. But there is no difference in the commercial payout to a guy who is doing a fresh business or who is not doing a fresh business. It is, as I said, the commercials are communicated while doing the transaction. The only difference is based on the current assets, depending on the slab in which they are falling in, the rates are similar for everybody. I hope I think this is what you asked.

Swarnabh Mukherjee: So I just wanted to understand more not from the commission that you pass on, but from the PLC side. So is there any commercial benefits from the PLC point of view to a distributor, if he does better flow? My whole focus is to understand that if there is a strong flow generation in the coming year, how should we think about the PLC costs? So that is what I wanted to ask.

Sanjay Shah: Let me address this, Shirish. So I think let us first of all tell you, PLC doesn't provide any commercial benefit. It is mainly the participation in the learning conclave, where probably we will recognize the person based on various parameters. And one of the parameter is AUM, which was not there in previous year. In the last year, we started giving some points on the AUM; however, there are various parameters. So if you talk about the gross sales, net-sales, SIP, net SIP, so there are various parameters.

And based on the various parameters, somebody would be eligible to participate or qualify probably for the PLC. So overall, if you are saying that, is there a commercial benefit? I think the commercial benefit will be that he'll be just able to participate in the learning conclave to understand about. And then it's a motivation for you to meet the people, exchange and probably -- that's just mainly from the point of motivation and driv

ing the businesses.

Swarnabh Mukherjee: Okay, sir. So if I understand correctly, then maybe whatever you are budgeting for PLC at the start of the year, there might not be a very significant expansion even if, say, the business does really well over the year. Would that be a correct understanding?

Sanjay Shah: Normally, budgeting, we will do based on the previous year. So let's say, for example, in the current year, my total expenditure is, hypothetically, INR10 crores. Now I'll assume that INR10 crores 10 to 12 based on the -- so there are two things. Compared to '22-'23, '23 4k in the '23-'24

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my expense increased because there was change in formula. That change in formula is not there

now. And because of that, now let us assume last year my expenses are INR10 crores, I think we can just assume normal growth, which will happen in line with the business. And that is what we'll provide also every quarter, that is what is happening in the current year also.

We have an expenditure of PLC at the end of the year, but full year provisioning has been reasonably okay. there is not much difference, I think we could be able to forecast properly and if you look at the cost provisioning also, it's not a very erratic. I think it has been very, very smooth every quarter-on-quarter.

Swarnabh Mukherjee: Right. Okay. Understood. So I mean -- so at a base case, maybe a 10%, 12% growth is what we can work with at this point of time on the PLC?

Sanjay Shah: Sir, I'm hypothetically telling you. If, let us say, everything remain constant then the cost might remain the same.

Swarnabh Mukherjee: Understood. Very helpful, sir. Secondly, in terms of the gross profit margin for this quarter. If you could give us a number with which we can work with for the coming year, given that right now, there would be slight differences that has come because of maybe until January you were paying out the B30 commissions, etcetera. So how -- what number can we work with going ahead for FY '25?

Sanjay Shah: So the top line, you can assume about 88 to 89 basis points as the earnings. That is what I have told you because in the full year, we earned 91 basis points on average AUM of INR70,000 crores. I think we are starting the year with INR83,000 crores. So on INR83,000 crores, you can forecast about 89, 90 -- 89 basis points as a regular trail, That is number1, which is we are expecting about 17%, too. So plain-plain, you can say that if my AUM remain at the opening level, if there is no change in 365 days, then at least 17% top line growth is something which is visible.

Now you come to a -- so let us assume 17% is top line growth, 17% is the expenditure growth also. Let us assume, on the commission side, commission might be a little bit higher because in the full year, your average has gone skewed towards the indirect. So my assumption is that in the whole year your commission will be INR100, maybe that year it will be INR101 because virtually, from first quarter to last quarter, your ratio has a little bit skewed towards the indirect. So at least you can expect 0.5% more on the commission expenditure, right? Then rest all the thing is probably we are expecting other than salary I've already gave you indication that salary costs will rise by about 15.6% on the March bill. Rest all should be inflation-driven.

Swarnabh Mukherjee: Okay. Understood. And also in terms of your internal targets submitted to, say, the SIP book, etcetera. So you had earlier told that you aspired to reach around INR700 crores by fourth quarter, you have exceeded that. So how should we think about that playing out in FY '25? What would be your internal targets?

Sanjay Shah: So I think we have been very vocal saying that we want to reach INR1,000 crores by March '26. So otherwise, normally, we do not give any forward guidance. There are two numbers, which Prudent Corporate Adv

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we have been telling consistently. We want to reach by March '26 INR1 lakhs crores of AUM and INR1,000 crores of SIP. Otherwise, we do not provide forward guidance.

Swarnabh Mukherjee: Okay. Okay. Got it, sir. And lastly, one question on the insurance premium per policy number, which you have given in your presentation. So I mean, since in the life insurance side, you generally focus on traditional products. So I just wanted to understand, I mean, what is the average premium per policy there? And what would be the average premium per policy on the GI book, if you can give some color?

Chiragkumar Kothari: Currently, we don't have the number in hand. So I think we can ask Parth to forward that number to him.

Moderator: The next question is from the line of Nilesh Jethani from BOI Mutual Funds.

Nilesh Jethani: Congrats on a great set of numbers. My first question was on the insurance take rate. Just wanted to understand if the mix in this quarter for the renewable has slightly increased vis-a-vis the new premium, is that impacting the take rates and we assume the increased take rates announced at the start of the year would continue going forward also?

Sanjay Shah: Per se, our commercial arrangement with the insurance company has not changed. Whatever was there in '23, '24 has continued in '24, '25. Commercial arrangement remains the same. But what you are saying is absolutely right. The composition specifically, if we talk about the Health Insurance segment or even the Life Insurance segment.

As and when my renewal book becomes bigger and bigger in percentage terms of the total collection of the premium, gross yield on the total book might come down because renewals are paid lesser compared to the fresh premium. So what you are saying is absolute right. But otherwise, in terms of commercial arrangement with the insurance companies for the fresh rates and the renewal rates, there's no change between '24, '25 and '23, '24.

Nilesh Jethani: Got it, sir. Sir, second question was on the operating expense side. I was just doing some calculation with regards to the consol minus standalone for both employee as well as other expense. So I see on the subsidiary, which is a net outcome that is consol minus the parent, there has been a INR46 crores odd increase in the expenses. Sir, wanted to understand from INR5.4 crores in FY '23, the difference number is looking like a INR51 crores, INR52 crores in FY '24. So can you help me understand the reason for a sharp jump in this number and how to look at these expenses going forward?

Shirish Patel: So I think probably we have been explaining this consistently that in case of insurance vertical, we have started spending a lot of money on marketing and branding for the purpose of generating a lot of awareness and doing the business on the insurance front. And that is what is probably bringing us the increase in the cost. So that is the -- if you look at the ex-mutual fund distribution, or ex-standalone, I think the major contribution or the major expenditure is coming mainly because of your overall marketing costs on and branding costs, that is number one.

Number two, there is some amount of cost on the PLC also, right? Because there are a lot of partners who would have qualified and would have -- somebody who will be participating in the Prudent Corporate Advisory Services

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PLC. There is some components coming by of PLC also; however, one thing I want to tell you as a matter of clarity that whatever is the cost in the current year, you are true, the overall other expenditures are at INR51 crores in FY '24. We are assuming that these INR51 crores is becoming a base and now that number will grow in line with the growth in the business.

Nilesh Jethani: Okay. So why you think this number will become a base. So marketing expense, you think we are doing now at a full potent

ial? Is that the understanding?

Shirish Patel: So we'll continue to spend on creating awareness and marketing because we believe that previously, that amount used to be spent by the insurance company. We believe the insurance is a business where you need to spend a lot of money on creating the awareness. It's not a push product like -- pull product like your mutual funds. Here, we need to create the awareness in branding and that is where we need to continue to spend.

Nilesh Jethani: Okay. Got it. That's -- so this number would be -- growth would be largely in line with whatever the revenues we are earning from the insurance business, growth in the number?

Shirish Patel: Perfect.

Nilesh Jethani: Okay. And one last question from my side. Similarly, we also do an exercise where fees and commission are deducted consol -- apparent from the consol. And I'm assuming the payout numbers, which was approximately 14% in FY '23, say INR10 crores is a differential on INR70.6 crores we made on insurance. This year, the number is INR24 crores fees and commission on the INR110 crores we made on the insurance business. So that number has increased from 14% to 22%. So the take rates where they are. But are we giving a higher proportion as a pass back to the partners? Is that the understanding?

Sanjay Shah: I think overall number of people who has been working in the POSP has increased and probably more and more people are -- POSP qualified people are doing more and more POSP qualified business, and that is the reason your payout has increased from INR9 crores to INR24 crores.

So you are right. I think the non-MF cost on commission side, which was INR9 crores in FY '23, INR24 crores in FY '24. That's mainly because of one component is broking. In broking also somewhat, I think the share of indirect a little bit has increased, but that's not very significant. Mainly it is because of the more and more POSP, people qualifying and giving us the business.

Nilesh Jethani: Got it. So assumption is, largely, this number may see a little inch up, but the other expenses will limit the growth from FY '25 onwards. That's the understanding broadly for the insurance piece?

Sanjay Shah: So overall, I believe that insurance, you need to assume that the costs should be in line with top line growth. I think that last year was an exception where everything was setting as a base. Now probably you can look at the entire balance sheet growing in tandem with the growth.

Moderator: The next question is from the line of Saptarshee Chatterjee from Groww AMC.

Saptarshee Chatterjee: Congratulations on the good set of results, sir. My 2 questions, sir, both on the flows. First is on the Slide 23, where you have pointed out our flows through SIP as well as equity net inflows.

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But when I see this, it seems that the SIP, although we say that SIP is more like a stable book that we've done and, therefore, it should be coming on. But our net inflow is very volatile if I compare with the SIP book. So how -- I wanted to know your thoughts, how do you see this?

Because ultimately, the net inflows, if that remains volatile, then what would be the relevance of the SIP book?

Sanjay Shah: I didn't get your question. But Shirish, if you understood, can you -- he is saying that when -- your question is why netflow is volatile, right?

Saptarshee Chatterjee: Yes. So although we have a good SIP book that is growing, but our net inflow is very volatile. So then every year, then our net inflow should be volatile or we can have over a period of time, it should converge.

Shirish Patel: Basically, there are two parts of the gross business. Let us first understand, gross business, one contributed to SIP and second component is the gross business contributed by the lumpsum sales.

Historically, on a normal year, if you look at, lumpsum and SIP is almost 50%, 50%, almost on an average.

ge. Even if you look at the longer-term average in the net sales, whatever would be the gross sales by way of SIP input, that remains as a net inflows. So if you see the 10-year base, my net sales would be equivalent the SIP sales, so whatever has contributed to the SIP that is net sales.

But as you said, yes, net sales is very, very volatile. If you see, that also depends on the market sentiments, market behaviour, mutual fund retention and so many other parameters. Last few years, on the net sales front, it was really good, but if you see 2020 or beyond, obviously, I think net sales were not that great. But as I said, in the medium to long term that settles at around the flows as the SIP. The second point, what you said that if the SIP flows are stable, it should be stable, then why the net sales should be volatile.

Many a times, the client continues the SIP on the future side, but sometimes based on the market sentiment, they also redeem the money. So that is where we are saying that it depends on the sentiment because it depends on the market behaviour. But the net sales would be equivalent to the SIP sales in the medium to long term. I hope I think I addressed your question because I have not understood it correctly.

Saptarshee Chatterjee: Right, right, I understood. And secondly, on Slide number 27 and 28, where if your count of mutual fund distributors, in last two years, the growth of MFDs has slightly come down. And we have already gained a good amount of market share in this space about 1.4 lakh MFD. Is it that here onwards, the growth of MFDs will be low and it will be more like a productivity gain? And the second part of the question is, yes, it is thank you for the data that they have shown the flows from more than INR10 crores of MFDs. What is the portion or proportion of these MFDs in this -- in our total AUM or SIP flows?

Shirish Patel: First question, as you said that distributors recruited in this year, that is '24 is reduced compared to what it used to be in year. The first point is there is a big jump in the number of distribution in FY '21, '22. One reason was the Karvy acquisition. That was one reason. Second, post-Prudent Corporate Advisory Services
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COVID, the examination was easy and I would say completely online. Sitting in any location, the prospective distributor was able to appear for an exam, so that was another reason.

These are the two reasons. I think FY '21, '22, we saw a big jump in terms of adding new distributors. Now the examination is to be given on specific centers only, outskirts locations or the villages or towns guys cannot go to the destination for the examination. So that is why that intake has come down. That is one.

Second is this financial year, we have not opened any branch. Unlike other years, you can see that we normally open eight to 10 new branches every year. In FY '23, '24, we have opened only one branch. So one reason also for the lesser contribution is when the new branch addition happens on that locations, the new addition become faster. So new branch addition has not happened in last year. That is one another reason.

And third, consciously, we have moved from the count to the productivity of distribution. So specifically, the KRA of the team also has changed in last year from the number of new recruitment to the number of productive recruitment. So I think because of that also, the count has come down.

Saptarshee Chatterjee: And what is our proportion of more than INR10 crores MFD?

Shirish Patel: As of now, I think that number is anyways given, right? I think top percent of the distribution community or the top 10 partners contribute around 2.73%. Yes, and if you see top50%, I think they contribute almost 9% of our AUM.

Chiragkumar Kothari: Just -- and the people who are about INR10 crores, their number is about 1,565 people in our system. I don't have the exact contribution of theirs

in the AUM. I can provide you the data. But

the number of people who are above INR10 crores is about 1,565.

Saptarshee Chatterjee: Understood. So this is very helpful. Just one thing and to confirm that the -- if I see similarly the

growth in the number of investors, that has also come down. So here onwards, the focus will be also getting more wallet share from the client than the client growth? Is it the current thinking?

Shirish Patel: What the focus, I think, client growth focus is also there as well as the wallet share growth -- wallet share focus is also there. So we can't say that I think our focus is only the wallet share and not the clients. We are trying to tap both the things.

Moderator: The next question is from the line of Rohan Advant from Prad Capital.

Rohan Advant: Sir, my first question was that we understand that in our MF distribution business, we get a better rate from the MFs versus what a distributor would get on its own. Is that true in the insurance business as well?

Shirish Patel: First of all, the point is that the IFA or the MFD we get better rates from like Prudent than the AMC, that is not right. So we are not saying that the one reason for distributors to join Prudent is they are getting higher commercial. Rather, I think commercial, obviously, it is competitive but not higher. So that is one part.

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Secondly, the same logic doesn't prevail for the insurance business. Also MFDs don't work only for commercial, higher commercial with us. One reason for them to work with us is the -- one is all products is available under one basket. Educated person supporting in the growth of the business and the technology. These are the main reasons why these guys who work with us not only on the commercial side.

Rohan Advant: Got it. Sir, secondly, recently, you have started FD distribution also on the FundzBazar platform. So could you just elaborate on it and what are your expectations from this in the near term?

Shirish Patel: Basically, we were not focusing on the fixed deposit business until the FY '23. Last year was the first year, midyear, we started focusing on the fixed deposit business aggressively, the first year. And specifically, we started focusing after the debt mutual fund taxation change. Last year, the expectation, the experience was good. This year, I think, we are very, very hopeful that the volume in fixed deposit business will improve. This is not a great margin business. But yes, I think the FD business focus helps us in acquiring more distributor. And second, it helps us giving one more product to our existing set of distributors so that we can help them improve their revenue.

Rohan Advant: Okay. And sir, lastly, there was a regulation change with regards to the commission that they'll continue post a six month cool off versus them not being there earlier. So any positive impact or negative impact you're seeing? Are more and more RMs looking at Prudent as an alternative post this change, RMs working in investment firms or banks, etcetera. Any comment on that would be helpful.

Shirish Patel: Yes, theoretically, it is very right that any RM working in a bank wanted to start on his own, this is a good start point for anybody. When they start the business, obviously, they need some platform where they get the product, they get the research and they get the technology. So we at Prudent is one of the candidate for them to join. Yes, this is very, very positive for us.

Rohan Advant: Okay. But sir, have you seen any traction because of this already?

Shirish Patel: I think it's hardly one or two months for this particular thing. Yes, we already started seeing some kind of traction. But as a momentum, if you see, I think it started not yet. But yes, we are hopeful that during the year or after a few months, I think great amount of traction will start.

Moderator: The next question is from

the line of Prayesh Jain from Motilal Oswal.

Prayesh Jain: Sir, just firstly, the insurance bit again. So your -- you said that the Q4 number is not something, which we should look at because the data is still not out. So you'll possibly -- would it be fair to take a number for FY '25 to be as a number, which will be there for the full year of FY '24 in terms of commission to premium ratio, adjusting for some increase in the renewal to new ratio. Would that be the right way to think on both life and general?

Shirish Patel: Yes, basically, as the commercial arrangement, which the insurance company has not changed between '23-'24 and '24-'25. Yes, I think we said that last quarter, certain people are yet to be confirmed, so that is where there could be a drop in the growth, if you can, the last quarter. But

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yes, I think yearly, if you take this thing, then yes, I think, what you are saying is right, subject to the adjustment of the composition of renewal and the fresh revenue.

Prayesh Jain: So if there is any upward revision, then it would benefit in 1Q, right?

Sanjay Shah: Let me just add something what Shirish has said. Let us say in case of insurance, I think we have been telling in a couple of previous quarters also that we recognize the revenue only once we

get a very clear clarity from the insurance company, then only it is going to be provided in the books. That is number one. Number two is if there is some spillover of current quarter to next year, there might be a possibility that in the beginning of the year also, it would have happened that last year, some spill over would have come in the current year. So probably let us understand, let us assume this number as the number of current year only, right?

So some kind of variability would always persist and, hence, probably look at this as a standalone number and probably what Shirish is again trying to tell you that overall, there has not been any change as far as commercials are concerned. But if you see one or two basis points here and there, there might be some reasoning because of the reconciliation issues, which might be pending in the insurance stage.

So far, you understand, as far as the insurance is concerned, even revenue also arises after 15 days of free look period post the policy gets logged in. There is some time line also goes there. So there is some differences. It's not like straightforward mutual fund, where based on the average AUM on 31st March, there will be a very clear cut clarity that you will earn this much. Because there is a free look period also, there might be cancellation of the policy afterwards. So I think, the spillover here. So look at FY '23, '24 number as standalone clear number. '24, '25 because if the spillover of this year comes next year, then the spillover of the end of that year can also be done next day.

So I think we need to look at the standalone number. But I'm just trying to explain what Shirish is trying to tell, there is no difference in rate.. So there is another thing also, if you are trying to understand the overall earning on the total book, you need to understand the composition change also, right?

Because let us assume that in the current year, if my book in GI moved to INR120 crores, the first year and the renewal have a difference. In LI, there is a big difference in the first year and renewal. So when you look at the overall earning only on first year, then it's a different thing. But if you look at the first year and renewal combined, then also that composition will have an impact on the overall rate.

Prayesh Jain: Got that. Sir, and secondly, on the life insurance side, is our mix changing in some -- compared to what we would have done last year in FY '24 in terms of the product mix?

Shirish Patel: Definitely, I think the percentage contribution from the endowment plan or the guaranteed or

non-par plan was much higher in the last financial year. This year, there is a significant drop in the endowment or the non-par plans post the taxation chain. Obviously, the percentage has moved in favour of term, annuity and the ULIPs.

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Prayesh Jain: Okay. And does that impact your commission ratios also? No, no?

Shirish Patel: Compared to annuity, compared to the endowment plan, ULIP might have little lesser commission, but this time also the contribution from ULIP is not that high, so we can say that the reason of drop is because of the composition mix.

Prayesh Jain: Okay. Okay. Got it. Sir, with respect to PMS and AIF products, is there any quantum that you would have -- you can mention about how much we would have done in FY '24? And what is the vision for this AIF and PMS possibly, by say, in the next four or five years, what is the kind of scale that you want to achieve?

Shirish Patel: We would not like to give you any guidance. But as we said the last two, three years, there is an aggressive focus on the PMS AIF business. If you see the current AUM of -- this PMS AIF combined, we are already to INR800 plus crores of AUM, 100% growth in last 1 year. But I think that says that incrementally, we are very, very bullish on this particular product.

Acceptability of -- because when we started, I think PMS always was considered as the wealth product. We started pushing this particular product in the platform side. Now I think the team and my distributors also have accepted that they also have their HNIs wherein they can choose this particular product. We are very, very hopeful. We are very optimistic in terms of PMS AIF business would be higher than the mutual fund AUM business.

Prayesh Jain: And what would be a gross realization of AIF PMS?

Shirish Patel: Percentage, we would not like to give exactly the number. But yes, I think it is 30%, 40% higher than the mutual fund rate.

Prayesh Jain: Means sharing is similar with the...

Shirish Patel: Yes, the percentage sharing maybe the similar.

Prayesh Jain: Will be similar. Got that. And sir, last question, in terms of pin codes penetration with respect to reach of Prudent MFDs, where we are and how do we want to scale this up, deeper penetration into the country geographically, whether any further expenses would be needed to go deeper into the country?

Shirish Patel: Many things can be done on the penetration side. I think India is very, very vast. And still, you

would say that Prudent can penetrate in many cities or towns as well. Last year, we just wanted to consolidate, and that is the reason last year we have added just one branch.. This year, we are planning to add 16 branches, but mainly very near to the locations where our strength is there. So this year, we are opening 16 branches, which is again the highest ever. But all the branches where we are opening is near to our strong base.

Prayesh Jain: So that would incur some additional costs, right?

Shirish Patel: The cost expense and the capital cost in our branch opening is hardly anything because we don't have lavish offices. The manpower cost at the ground level is not that costly. Obviously, that will add some costs, but it is not -- the capital expenditure is not that high.

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Prayesh Jain: Sir, can I just slip in one more question. Sir, we have a gamut of products now. You have mutual funds, insurance, fixed income products, AIF, PMS. Are we looking to kind of start off with a wealth management kind of a product, where our offering to our customers or MFDs where they can become wealth managers rather than just distributors?

Shirish Patel: Specifically, we are offering all set of products. I don't think that any products towards the wealth manager or the banking wealth managers are selling, we are not selling. So practically on a prod

uct suite wise just we do offer all the products what the wealth manager offer. The only difference is the focus. Yes, as I said that last few years, I think we started focus on the wealth product as well. And that is where we could attract many of the clients.

Moderator: The next question is from the line of Nidhesh from Investec.

Nidhesh: Can you just share some trend how the churn of MFD happens today? What is the stickiness of MFDs? And what is the number of MFDs which are having more than INR50 crores of AUM with us, to understand if their AUM grows, whether they remain with the platform or they move out of the platform?

Shirish Patel: I think earlier calls also we have said that any MFD, when he becomes bigger, it becomes very, very difficult for them to move out because most of them -- when if any MFD -- and what are the reasons for any MFD to move out? One reason could be the commercial difference. There is some disturbance. Repeatedly, we have communicated that we also have the tiered structure when the MFD becomes bigger, we also shared the higher commercial, so there is no big gap between what he gets from Prudent and what he might get from AMC.

So there is no commercial aspect. Technology-wise, yes, we keep on focusing on improving the technology. And I think we are very, very proud to say that in technology terms, I think, we are probably the best or at least not the best, at least we are at par with the industry. So I don't think that there is other reason for them to move out. Third, here, they are getting all products from one platform. If they go to the AMC, obviously, they have to go and discuss and negotiate for every product with a different manufacturer.

So that is again a positive aspect for any distributor to work with. And hence, I think the attrition ratio in the MFD segment is very, very less. Third, I would say that, anyways, even if somebody wants to move out, it is possible mainly on the new clients or the new business. But otherwise, existing clients, it's very, very difficult for them to move out. And hence, the attrition is very well balanced.

Nidhesh: Sure, sir. Can you share the number of MFDs with more than INR50 crores of AUM?

Shirish Patel: Currently, yes, so we have got, I think, around 230 or 240 partners are above INR50 crores.

Moderator: As there are no further questions, I would now like to hand the conference over to the management for closing comments.

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Sanjay Shah: Thank you very much. I think we could be able to try and address all the queries; however, if anybody has any query left to be answered, you can definitely reach out to Parth, who will be able to provide you all the necessary explanation. Thank you very much.

Moderator: On behalf of Equirus Securities Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy

Call: Aug 2024

Date: 13.08.2024

To,
The National Stock Exchange of India Ltd,
Exchange Plaza,
Bandra – Kurla Complex,
Bandra (E),
Mumbai – 400 051
NSE EQUITY SYMBOL: PRUDENT To,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai- 400 001
SCRIPT CODE: 543527

ISIN: INE00F201020

Dear Sir/Madam,

Sub.: Transcript of the Conference Call for Un-Audited Financial Results for the Quarter ended June 30, 2024

With reference to our earlier intimation dated August 05, 2024 and in terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of the Conference Call with analysts and investors held on August 09, 2024 in respect of the Un-Audited Financial Results for the Quarter ended June 30, 2024.

The same will also be available on the website of the Company at www.prudentcorporate.com.

Please take the same into your records and do the needful.

Thanking you,

Yours Faithfully,

For, Prudent Corporate Advisory Services Limited

Kunal Chauhan
Company Secretary
Membership Number: ACS- 60163
Email: cs@prudentcorporate.com
Encl.: As Above

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"Prudent Corporate Advisory Services Limited Q1
FY'25 Earnings Conference Call"

August 09, 2024

MANAGEMENT : MR. SANJAY SHAH – CHAIRMAN AND MANAGING
DIRECTOR, PRUDENT CORPORATE ADVISORY
SERVICES

MR. SHIRISH PATEL – CHIEF EXECUTIVE OFFICER
AND WHOLE-TIME DIRECTOR, , PRUDENT CORPORATE
ADVISORY SERVICES

MR. CHIRAG SHAH – WHOLE-TIME DIRECTOR,
PRUDENT CORPORATE ADVISORY SERVICES

MR. CHIRAG KOTHARI – CHIEF FINANCIAL OFFICER,
PRUDENT CORPORATE ADVISORY SERVICES

MR. PARTH PAREKH – INVESTOR RELATIONS ,
PRUDENT CORPORATE ADVISORY SERVICES

MODERATOR : MR. LALIT DEO – EQUIRUS SECURITIES

Prudent Corporate Advisory Services Limited
August 09, 2024

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Moderator: Ladies and gentlemen, good day and welcome to Prudent Corporate Advisory Services Q1 FY'25 Earnings Conference Call, hosted by Equirus Securities.

As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during the conference call, please signal an operator by pressing "*", then "0" on a touchstone phone. Please note that this conference is being recorded.

This conference may contain forward-looking statements about the company which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Mr. Lalit Deo from Equirus Securities. Thank you and over to you, sir.

Lalit Deo: Yes, thank you, Sumit. So, good morning, everyone and thanks for joining the call. To give a brief update on the 1Q FY'25 Results and address Investor Related questions, we have the Management of Prudent Corporate Advisory Limited represented by Mr. Sanjay Shah – Chairman and Managing Director; Mr. Shirish Patel – CEO and Whole-Time Director; Mr. Chirag Shah – Whole-Time Director; Mr. Chirag Kothari – CFO; and Mr. Parth Parekh from Investor Relations.

Now we would request the management to start with the opening comments, post which we can open the floor for Q&A. Thank you and over to you, sir.

Sanjay Shah: Thank you, Lalit. And good morning to everyone. I whole heartedly welcome all of you to Prudent's 1st Quarter Earnings Call. Thank you all for taking the time to join us today. I trust you have the Investor Presentation which we uploaded on the Exchanges yesterday, as we will be referring to it during our discussion.

So, before diving into the quarterly numbers, I am thrilled to share a significant milestone which we achieved at the end of July. Our AUM has crossed Rs. 1 lakh crores on 26th of July 2024, nearly one and a half year ahead of our guidance. This remarkable achievement was primarily driven by substantial mark-to-market movements. To put this in perspective, it took us almost 18 years to build an AUM of Rs. 20,000 crores, and last Rs. 20,000 crores were added in just six months. This milestone also underscores the immense value mutual fund distributors find in partnering with Prudent thanks to our advanced technology offerings and the robust physical on-ground support. Definitely, our next target is to reach the SIP book of Rs. 1,000 crores by March 2025, and we are confident in our trajectory.

So, now I move to numbers, so please refer to Slide #41:

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The left-hand side of the chart shows a strong tailwind for our growth in the mutual fund business in FY'25, which we mentioned in our last con-call also. In FY'24 our revenue was based on a yearly average AUM of Rs. 69,950 crores. We began the current fiscal with an

AUM of Rs. 83,400 crores, making a 19.2% increase over FY'24. This sets a solid fundamental and the foundations for the current financial year. Our current AUM is even higher than the Rs. 83,400 crores due to strong mark-to-market gains and net sales, indicating robust growth for FY'25. For this quarter, our quarterly average AUM in June grew by 52% year-on-year and 10% sequentially to Rs. 89,300 crores.

Please move to Slide #42. Here we have provided the details of movement in our equity AUM, both year-on-year and quarter-on-quarter. As seen in left hand chart, our closing equity AUM has increased by 57% Y-o-Y to around Rs. 93,150 crores, with nearly three-fourth of these growth driven by mark-to-market gains. The mark-to-market gain for the trailing 12 months stood at a strong

Rs. 26,000 crores.

On the right-hand side, which shows the movement in equity AUM sequentially, our equity AUM grew by 16%. Our net equity sales of Rs. 2,500 crores for this quarter were very robust, and it is accounting for almost 40% of our total net equity sales in FY'24.

Now let us move to Slide #43 where we discuss our market share in overall equity AUM and the SIP data. Our market share in equity AUM excluding ETF improved from 2.46% in June 2023 to 2.52% in June 2024. In the bottom left you will see data on monthly SIP flows and our markets share in SIPs. At the end of the month, our monthly SIP book reached Rs. 7.8 billion. We added Rs. 238 crores to our SIP book over the past 12 months and are on track to reach Rs. 1,000 crores by March '25. From last few quarters, we have also been providing you the data on our systematic transfer plan numbers. In June 2024, we collected Rs. 98 crores in STP, reported on an actual realization basis. The average value of STP is Rs. 6,650, which is much higher compared to the SIPs. And please note that the STP value of Rs. 98 crores is not included in the SIP number which I talked about.

Now let us move to Slide #46, which is about the current financials, and these are the data on standalone basis. So, before I start the explanation on the Slide #46, let me just tell you we received the approval for merger of Prudent Broking Services which is our wholly owned subsidiary with Prudent Corporate Advisory Services from RDS, Regional Directors of Roc, hence our standalone numbers are combined for mutual fund and the broking businesses, and it has been restated for all the reported period. So, wherever you look at this standalone number, please note that this standalone number has been revised and we have added the broking revenue also, because the merger has been becoming effective from 1st April 2023.

Now coming to the numbers, this quarter has been extremely satisfying with revenue and profit both growing by 50% and 57%, respectively. You may have noticed that our revenue yield from distributing the mutual fund product has improved by almost 2 basis points sequentially to 92 basis points. This improvement is due to the release of withheld brokerage following the Prudent Corporate Advisory Services Limited August 09, 2024

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relaxation of KYC norms. Please note, we have received the Rs. 4.41 crores of withheld brokerage which was for the period of FY'23-'24. So, that means it was belonging to a previous year period.

Let me just give you the explanation also. Since July '23, brokerage was withheld if Permanent Account Number and the Aadhaar of an investor is not linked by them. Additionally, a circular was issued by regulator in October 2023 requiring the verification of both contact details, e-mail and mobile if KYC of an investor is done using the Aadhaar. If either of the thing is not validated, then your brokerage will go in the withheld situation. This entire, both the circulars have been relaxed in May 2024 in the current year, leading to receipt of withheld brokerage of about Rs. 4.41 crores which is approximately 2 basis points. So, if you exclude this, then again our yield comes back to about 89 to 90 basis points, which is flat compared to our last full year revenue excluding the B30 revenue. So, if you adjust this additional revenue which we have received, our adjusted revenue in the current quarter grew by 10.3% while over quarterly average AUM grew by 10.4%, that explains our top line as well as growth in AUM.

Now coming to another important parameter related to payout ratio. If you look at our payout ratio has also increased sequentially by 0.6% to 62.2%. It is mainly due to changes in the indirect mix in our total AUM. The AUM of indirect channel, which is the business contributed by our channel partners, has increased by 0.8% to 88.8%, balance 11.2% comes from our direct channel, and the Karvy Asset which w

e acquired which has not been assigned

to any channel partner. So, that 11.2% do not have the payout cost. Now we assume the pass out of around 65%, then 65% of 0.8% change explains our change in the payout ratio.

Let me also address one another important point related to employee cost. You will notice that employee cost has increased by 16.2% sequentially, mainly due to increment of 15.6% as

mentioned by us in the last call, coupled with opening of 16 new branches in the 1st Quarter of this year between April, May and June. The net addition of employees during the current quarter is about 78 people, primarily due to our branch expansion. Since most of our new employees have been hired in June, the current quarter employee costs do not fully reflect the actual increase in expenses. So, if you look at the full year, we expect that the cost, which we have been seeing at 16.2% growth, we assume full year rise will be in the range of 17.5% to 18.5%. After considering all these things, if you look at, our profit after tax grew by 10.1% sequentially, and 57% year-on-year to Rs. 38 crores, which has been a very, very healthy and robust number.

Now, let me take you to the consolidated numbers:

So, now in the case of consolidated numbers, as you all are aware that typically Q4 is very strong for us in the insurance business. So, normally it is not appropriate for us to compare the consolidated numbers of Q4 versus Q1, mainly because of significant changes which you normally see in the insurance business. Hence, on the insurance front, if you look at, our insurance revenue grew by 60% year-on-year to Rs. 26 crores and in the general insurance Prudent Corporate Advisory Services Limited
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front, predominantly health insurance business for us, health business grew significantly by 45%, taking our total health book to about Rs. 105 crores, which is significantly renewal revenue in nature for us.

So, when I am talking about the consolidated numbers, I am talking about Y-o-Y only for the sake of comparison properly. So, if you look at the consolidated numbers, our operating expenses growth was in line with revenue growth and operating profit increased by about 51% Y-o-Y. Consolidated profit also grew by 77% Y-o-Y to Rs. 44 crores. In summary, FY'25 looks very, very promising as both mutual funds and insurance segments are set for the robust growth.

Let me touch upon our treasury book:

Additionally, our treasury book currently has reached Rs. 300 crores, providing us the substantial war chest to pursue inorganic growth opportunity. So, to conclude, in this phase of Amrit Kaal, the mutual fund industry is poised for robust growth. We anticipate a significant increase in per capita income during this period, which will definitely drive greater investments in mutual funds. The favorable economic conditions and supportive regulatory environment will provide substantial growth opportunities.

With this, I would like to thank everyone for your kind attention, and I will open the floor for Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is on the line of Swarnabh Mukherjee from B&K Securities. Please go ahead.

Swarnabh Mukherjee: I have three-four questions. Sir, first I wanted to ask that you were given the explanation about the realization increase, but adjusting for that also since we are around 90 basis points, and you had previously guided around 88-89 basis points, so how should we think about this going forward given that our share of equity assets in the mix is also increasing slightly? So, 90 basis points is the number that we should work with going ahead? And also, if you could give some color on how we should think about the debt category, because there the assets have seen some degrowth, if I am not wrong. So, would it remain in this range, or should we also expect some kind of tra

ction there? That is the first one.

Secondly sir, wanted to understand that while we are growing our SIP book fairly strongly, it seems that our lump sum net flow seems to be stuck in a range, while for the industry it has seen some significant improvement with NFOs, etc. coming in. So, just wanted to know about our incentivization towards the sales force now primarily, and we should only see SIP driven growth, or should we expect that the lump sum flows should also start seeing some action there?

And also, if you could highlight, what is the strategy of our sales team in terms of our sales team in the sense that has been happening at a fairly, the pace has kind of reduced on, of Prudent Corporate Advisory Services Limited
August 09, 2024

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course, the book has increased when the pace is kind of reduced. So that is on the mutual fund distribution business. And as we found on the life insurance side, if you could tell me, given that despite the base benefit your growth is fairly subdued in the life insurance business in terms of premium growth. So, which products are we selling right now? Does it still continue

or are we picking up big product as well? Those will be my questions, sir. Thank you.

Sanjay Shah: Thank you, Swarnabh. So, probably I will address one or two questions and then I will call Shirish also to join in. So, you are talking about the guidance on the margin. So, as you are rightly saying that 2 basis points which we have received were belonging to the previous year. So, if you take out that 2 basis point I think we are fairly confident that in the full year you can definitely consider the top line revenue in the range of 89 basis points, 89, 89.5 basis points, that's something which is a reasonable fare guidance I can give you, keeping the current situation in mind. That is number one.

Number two is, I think that Prudent has been very, very strong on the equity side since long. So, if you look at my debt to AUM in total is hardly about 3%, 3.5%. And if you look at the number which we have given, our equity and equity related products, which is the full fee products, our AUM share is about 96.3%. So, I think for us, because we do not represent significantly a debt component, I think some amount of redemptions or money moving out. Or even if there is a good momentum of money coming in, I think you are neither a beneficiary nor the losers as far as your non-equity segment is concerned. So, that is our first question. I think the second question which you are talking about is, lump sum versus the SIP money in our gross flows. So, actually if you look at this particular year, especially I am talking about the April, May, June, our lump sum is 62.5% or 62% of my gross flow, which is highest ever. So, probably I can tell you I think the number on all fronts, I think the gross flow is much, much better, supported by the new money or the lump sum money which we have collected. Definitely in April, May, June NFO has also supported us and the industry. So, if you look at our collection from all NFOs, in the 1st Quarter it is also about some odd Rs. 550 crores. But might be that industry might have done reasonably better on the gross flows normally because you will see traction of NFO is normally better, participation becomes healthier from all the grounds, but probably we do continuously do good work on the regular business also. So, I am just trying to address these two questions. I think I will just now ask Shirish to.....

Shirish Patel: So, basically if you look at the life insurance business, of course, the industry is seeing some growth in the premium, at the our stage I think we are flat in the life insurance business mainly because we are historically not selling the ULIP products in the life insurance business. The industry has seen the flows on the life insurance front from ULIP products. Product categories what currently we are selling, mig

ht change from October onwards. But till now I think we are continuously focusing on the products which we sell. Traditional plans are still getting sold very, very aggressively in our system, and then the annuity. So, these are the products we have been selling for last four, five years and still we are continuing selling. At least till September, Prudent Corporate Advisory Services Limited
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October onwards I think since the life insurance industry is getting changed in terms of various product, that's time what we need to look at it.

Secondly, in addition to that, I can tell you that last few months we have already started looking at ULIPs in our system. Though aggressive selling has not yet started happening. But ULIP is a product category which we started accepting in our system in the last few months. Though I think the business is not that great in last few month. But yes, incrementally, ULIPs also might contribute to the life insurance business in our total premium. I hope I addressed your question for life insurance.

Swarnabh Mukherjee: And on the customer acquisition fees, if you can give some color. And also, sir, a follow-up on the life insurance business, do you have any clarity of how the commission payouts are going to happen in the second-half? Have you received any communication or any conversations going on? If you can give some color we can build in going forward. And yes, also the remaining question on the on-ground how the customers are....

Shirish Patel: So, basically, clarity about the life insurance payouts from October onwards has not emerged amongst distribution communities. Most of the insurance companies have not yet communicated it officially. Obviously, I think certain plans, I think, guarantee plans might see some kind of revision in the payouts, even that traditional non-guaranteed plans also might see some kind of cut in the payouts. But exact clarity about how and how much curtain will be back ended or not fully, all this clarity has not come out. I do not think clarity will come out even this month end as well.

My guess is that mid-September onwards we will start getting some clarity about the payouts from October. And obviously, I think most of the companies would like to see what others are doing. Obviously, they're not opening their cards as well. So, full clarity I think which we can communicate to you, that kind of clarity is not there yet.

Coming to the client acquisition side, obviously, I think in mutual funds, mainly our client acquisition happens through the mutual fund business. And month-on-month if you look at

new client acquisition momentum is very, very strong for Prudent as well as in the industry. If we give you the number of last year, I think the number of SIP reported already would be there. But last year I think similar time 1st Quarter we had around 1.55 lakh SIPs, and the similar time this quarter is almost 2.5 lakh plus, addition in the SIP value and SIP number which is that I think new client acquisition is very, very strong.

Moderator: Thank you. The next question is from the line of Darshan Shah from Multi-Act Equity Consultancy Private Limited. Please go ahead.

Darshan Shah: My question was related to the commissions that we are getting from the asset management company. So, a couple of quarters back, one of the AMCs cut down their commission passed on to all the distributors in one of the schemes. And right now, we are hearing that a couple of large AMCs are talking about the same that they want to reduce the commission because of the Prudent Corporate Advisory Services Limited
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telescopic pricing, because of which they are facing the yield pressure. So, are we hearing any such discussions? And what are your thoughts on the same?

Shirish Patel: So, what you are referring the AMC which cut in one scheme last year, I think this month again

the same AMC same scheme is going to cut the historical commissions. What you are talking about, a few more other bigger AMCs have also started discussing the TER cut on the historical assets because they have a yield pressure. And that's true, because if you look at the last few years, the market has delivered very, very great returns, and mainly because of the mark-to-market gain the yield on the business what AMCs would be having I think is under pressure. Obviously, I think it started by few AMCs and many other AMCs might follow in future as well. And as and when the AUM becomes bigger for any schemes, this may become a practice incrementally.

But for us, I think as you know that our 90% business is the B2B business, whenever AMCs would cut the commission for distributors, they also cut for the MFDs. We also being primarily an MFD focused company, as I said, 90% of our business comes through the MFDs, so we are also able to pass it on the major chunk of our cut. So, as we know that almost two-thirds one-thirds is the kind of ratio we normally follow. So, obviously I think bare minimum you always can expect that whatever would be the cut, I think in the similar ratio it always can be passed on. So, the impact on us primarily definitely would be much, much lesser because we are the B2B platform. But yes, I think what you are saying is right, few other AMCs might also follow this.

Darshan Shah: And this is more on the book AUM and not on the incremental flows, is that correct?

Shirish Patel: The incremental flows is always adjusted in the new payout. Every month AMCs adjust their payout based on the latest TER. That gets adjusted for years. So, therefore, it is the routine practice. Now what you are referring is on the book, so historical trends which the incidences are very, very less in the industry in last four, five years. Now, last year few one or two AMCs have cut, and right now also few AMCs have cut.

Darshan Shah: And on the incremental flows, how has been the trend in last six to nine months, is the commission payout even on the incremental flows gradually coming down or they have remained steady?

Shirish Patel: Again, that depends on many things. I think one definitely becomes important thing is that schemes are getting the flows. Now, within the new flows also there are schemes with the higher AUM and with schemes which have lower AUM. Obviously, I think when the business comes in the higher AUM schemes, the yield is lesser, with the smaller AUM scheme the yield is higher. Even NFOs also try to improve some yield on the gross yield side. To give our experience, yields in probably last one year our yield on the new business is probably down by hardly around 1 basis point. We could be able to maintain our yield on the new flows.

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Moderator: Thank you. The next question is from the line of Sanketh Godha from Avendus Park. Please go ahead.

Sanketh Godha: Sir, we always guided that our SIP equity flow should be broadly in line or better than the net equity flows. But if you look at the data for the last two quarters, at least for 4Q FY'24 and 1Q FY'24, it has been 10%, 12% lower, in that sense. So, is it more to do that the demand for lump sum has increased because of the market value and that number has just got off track in last two quarters, and how do we see this playing out going here? That's my first question.

And the second question is with respect to that regulation which came in the month of April, that your ARN codes can change, and you can carry the trail after six months' cooling period. Just wanted to understand if any porting is happening and you as a company is meaningfully benefiting out of it, especially bank ARNs moving to you? Any color if you can give on that thing will be useful.

Shirish Patel: Giving the answer for the first question, you are saying

that the net sales is lesser, in terms of percentage of the sales the net sales is lower by 10, 12 basis points. Yes, one reason you can attribute to the higher lump sum flows as well. But we historically have said that in the medium to long term, we believe that our net sales would be equal to the SIP sales. Few years it could be higher, few years it could be lower but yes, I think that is what our historical experience of 10 years is that net sales equal to the SIP sales. And I believe I think in the current year, either experience is rather positive I would say, the net sales is little higher than the SIP sales. So, of course, I think sometimes the gross flows increase, sometimes gross flows comes down because of the sentiment and everything. But as of now, we are not seeing any trend wherein we can see that the net sales is going down, rather this year net sales is much higher than last year's net sales. So, I think the number says something different compared to what you are saying.

Second point what you said is that, yes, I think after change of ARN, I think 6 months onwards we start getting the commission. Of course, I think we already started getting few interest from the wealth RMs or the banking RMs. We also have acquired a few of them. But any major movement in movement, as of now we have not seen the great movement. But we are very bullish and I think this trend will become stronger and stronger over a period of time. So, getting more and more AUM by these guys joining Prudent kind of late, I strongly believe that he will become a trend.

Sanketh Godha: But do you have any strategy in place to take the advantage of this regulation?

Shirish Patel: We have a dedicated focus, but we do not incentivize anybody, can you join us and we will pay you extra or something like that, because that is what historically we have been believing that we will not incur a loss on the business of any business. But yes, I think our focus on this segment has increased drastically compared to what it used to be.

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Moderator: Thank you. The next question is on the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Sir, firstly on the employee, probably I might have missed this, your employee expenses have gone up sequentially while your other expenses have gone down, could you explain both the trajectories and how should we think about both these factors from a full year perspective?

Sanjay Shah: So, employee expenses, we already gave you the explanation that the major cost rise came due to the salary revision, which has happened at the end of last year. So, which is almost about 15%, 16%. And over and above that, we assume that in the full year you might see an additional 2%, 2.5% of incremental cost because of new branches which we have opened. As well as, as we add the manpower in the current branches. So, all in all, you can say that about 18%, 18.5% is likely to be the overall full year cost impact. I think I can tell you; this is the industry which is driven by manpower. So, you will not expect that the normal growth would be tad higher than the average. So, I assume that if it is a good year, you might see some amount of hike in the employee. So, on an average, if you look at last three, four years, our employee cost has, I mean, yearly cost on the revision has been in the range of about 10% to 12%. So, which probably I believe that will continue in the same range, about 12% to 12.5%.

Shirish Patel: Prayesh, the main reason additionally, I think what Sanjay bhai is talking about, it might increase little more in the year because we have opened 16 more branches in last one quarter. And I think the second strategy for us was to add more manpower in the existing branches than we have added in this year. And answering your second question about the decrease in other expenses, so dip in

other expenses is mainly on account of lower insurance business in the 1st Quarter.

Prayesh Jain: With the previous quarters as well, the run rate is lesser than even those. So, for example, even if you compare it with say Q3, it's still lower. So, is there any some cost savings that we have done or what kind of trajectory we should assume there?

Sanjay Shah: No, I think this is in line with our expectations. So, I think probably you just need to look at the other expenditures on an annualized way. So, probably if you look at the expenditure which you have provided, there are a couple of provisions also would be the other expenses, you just make it as an annualized cost. So, insurance is something which is, to an extent,

volatile. If you see good business, you will spend more. Otherwise, mutual fund will remain very, very static.

Prayesh Jain: Sir, what's the kind of trajectory you have seen on your alternate business, PMS and AIS, what is the kind of size we have achieved there?

Shirish Patel: You know that I think we started this business two and a half years back, and I think last month only we crossed the Rs. 1,000 crores even in alternate. So, what we are reporting Rs. 1 lakh crores mutual fund AUM in July end, that doesn't include the alternate assets income. So, 1 lakh crores is pure mutual funds and we just have crossed Rs. 1,000 crores in alternate.

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Prayesh Jain: And what is the kind of revenues you would have earned on those Rs. 1,000 crores?

Shirish Patel: See, you wanted to understand, I think 15%, 20% higher than mutual fund.

Prayesh Jain: The realization is 15%, 20% higher than other mutual funds?

Shirish Patel: Yes. The net yield if 15%-20% higher than mutual funds.

Prayesh Jain: And sir lastly, on the broking business you have kind of merged it with yourself now, what are the plans there? Do you want to get big in there? And what kind of investments are planned there?

Sanjay Shah: So, if you look at specifically the main reason for merger of broking is because, if you look at, initially broking was a standalone separate business and Prudent Corporate was not in the business of broking. But once we had a strong technology platform, there was a strong need for us to make it all product platform, and we started getting all the exchange. So, I think we became a broker with NSE, BSE everything. So, there is no point of maintaining two separate entities. So, major reason is the operating convenience for us to merge both under single arm, that was the main reason.

I think the strategy for the broking will continue to be providing this strong robust execution platform so that the customer and my partner should not go somewhere else for doing the broking business. Otherwise, I think as an organization, we continuously believe that I think mutual fund is going to be the significant wealth enhancer for the retail investors. But I think we will continue to concentrate on the broking from the point of view of providing strong execution capability. So, if somebody wanted to do any kind of activity, whether you wanted to trade on whether you want to do F&O. So, if you look at it, we have been trying to do a lot of fundamental thing by providing the long only call. We have tied up with a couple of small cases. We have been talking about providing stock SIP. So, I think we will cultivate the culture more towards cash segment rather than F&O.

Prayesh Jain: What is the contribution of broking today in terms of overall revenues?

Sanjay Shah: I think about 3.5%. So, I think broking has been more or less stagnant for us. But post merger I believe it should see some positive traction.

Moderator: Thank you. The next question is from the line of Abhijit Sahakare from Kotak Securities. Please go ahead.

Abhijit Sahakare: Sir, the first question is on the commission cuts from the AMC side.

If you could talk about,

how would you think about what's the new parity in terms of the right balance? Not asking for specific numbers, but how would you kind of balance the interest of the AMCs with your own during such negotiations? And the second question sir is, on the recent RIA guidelines, how do you think about that channel going forward? And would you want to kind of tap into it? Or

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philosophically you have a thought process around operating in a commission-oriented environment?

Shirish Patel: So, let me tell you about the second question about RIA. We already have RIA license in one of our company called PruTech Financial Services, which is a 100% subsidiary of Prudent Corporate. However, we continue to believe that collection of fees from retail is a very, very difficult process and we will continue to be I think a distribution house only. So, our major driver of collecting the revenue would through distributing the regular products. Regarding the negotiation and right balance, I think Shirish come into the picture. Shirish?

Shirish Patel: So, regarding the commission cut on the book side, mainly because AMCs margin is mainly mark-to-market and that is becoming a reality. Maintaining the balance in this particular thing, always I think on the new business it is adjusted. So, we always have a very, very strong and good relationship which is proper balancing between AMC and us, it is always maintained with everyone. When these kinds of cut come, on the book side, obviously, AMCs also try to

see the balance between their margin and their distributors impact. Here I think the bargaining power of distributor is always little lesser compared to the new businesses, obviously, because when the margins are under pressure AMC's will take a call. But we always believe that whenever AMC cuts the commission, they cut for the majority or every distributors. And that is where again we would reiterate that we being primarily 90-plus-percent business from B2B, whatever would be the cut from the AMC's side, since the AMC's also will cut for the mutual fund distributors, we also are able to pass it on in a similar fashion. Obviously, you might not be able to pass on in full, but major component of that we are able to pass it on. So, that is why the yield margin impact in our business would not be that big. If we would have been a B2C platform, obviously the margin impact would have been much higher.

Abhijit Sahakare: One follow-up on the RIA question? I think in the recent speech by the SEBI Director, I think there was a reference around creating some sort of a body or an association that would, looks like the intention is to aggregate the RIAs as well on one platform. So, my question really was that, at some point of time, do you think that also starts to become a meaningful channel and a sort of a source of disruption for our business?

Shirish Patel: So, historically also if you see, RIA platforms were available. I first used to go and also play as an RIA platform earlier. As of now we have not thought of, but yes in case if the requirement comes and if we believe that I think this business also makes sense, obviously we might think at that time. But as of now, as Sanjay bhai said that we are not looking at launching the platform in the RIA.

Moderator: Thank you. The next question is from the line of Arvind from Sundaram Alternate. Please go ahead.

Arvind: Can you give some color on the aspirations in the insurance distribution business for us? Like in the sense like either in terms of growth or in terms of market share or anything like that in three or five years, sir?

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Shirish Patel: We are not giving any kind of, I would say, numbers to the public. But yes, I think unlike mutual funds, we do not even track the market

share on insurance basis, because we are yet smaller on that particular side. But internally, yes, we always believe that I think this business is going to become bigger and bigger. This business is growing faster than the mutual funds. Obviously, it should grow faster because the base effect is less. Penetration of the insurance industry or insurance product is still very, very less in the country, so this industry has to grow. We have a network of more than 30,000 distributors, currently around 11,000-plus distributors are converted to POS. So, within Prudent system also we have got huge universe whom we can tap for distributing insurance business. So, we strongly believe that the insurance pie in Prudent is going to grow. But yes, I think we are reluctant to give any kind of guidance in the insurance business. Within insurance, our focus is more on health insurance, or rather I would say on retail products first, and within retail products mainly we focus on health insurance and life insurance. We might launch the insurance transactions on fundzbazar platform in the next few months. Once we launch the insurance on FundzBazar platform or other product categories also will come in like motor and personal accident and travel and everything. So, yes, I think we are very, very serious for the insurance business, but there is no specific guidance for that.

Arvind: And just one more question if you can address, like is there any, I mean, reluctance or how would you transition the distributors in terms of selling mutual funds to selling insurance?

Obviously you must be having some training programs and all, but is there any significant road block in terms of behavioral thing or any other thing like there, how are we addressing that?

Shirish Patel: Basically, 60%, 70% of our distributors are traditionally insurance agents, life Insurance, LIC agents, traditionally. Obviously, it is not like these guys are not selling insurance. Yes, I think there are 30%, 40% of the guys are not selling insurance. So, for us there are two set of problems, I would say. Convincing those guys who are not selling insurers to start the insurance business. And second is, convincing those guys who were doing insurance business directly with the LIC or other insurance companies to work with us. So, yes, over a period of time, every year you might have seen that the number of people, number of participants in insurance segment is increasing. Nowadays the trend has also become for distributors to do multiple products at a single umbrella. Obviously, the realization or the acceptance of multiple products in a single platform also is increasing and that is also helping. As I said that in next few months hoping to launch insurance business on a FundsBazar platform, that also could be the trigger for many other partners who are not selling insurance business till now. Since on the same platform insurance is available, they might look at selling insurance with us. So, I think these are the points.

Moderator: Thank you. The next question is from the line of Dipanjan Ghosh from Citibank. Please go ahead.

Dipanjan Ghosh: Just a few questions from my side. First, if you can kind of again elaborate on the commission regime in terms of manufacturers passing on some of the hit to you guys. I just wanted to
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understand, are these legacy assets which have been there in the system for, let's say, with vintage of more than five years? This would be on assets which let's have been originated post the regime change on the expense ratio side or these would be like on fresh assets? So, just if you can broadly elaborate on what the AMC's are kind of negotiating with you guys on the discussion table.

Second would be more on the insurance business and especially the general insurance business. It seems that your renewal ratio has kind of increased qui

te a bit. The ratio, basically

the renewal premiums of this year to the overall premiums of the base year. Just want to understand, is it reflecting the price hikes on health business that has been taken by the underlying manufacturers on their bank book? And lastly, in terms of, if I were to look at your net sales on the mutual fund business, can you break it down between lump sum and non lump sum portion?

Shirish Patel: So, first point, we already addressed before question that new business payouts are adjusted every month. So, every month AMCs gives us the commissions structure based on their latest TER. Majority of our assets are whenever the business was done, it was based on the latest TER. But here, mainly because of large few years growth in the market, obviously, the AMC margins have come in the pressure, that is here few of the AMC, and I am sure that all AMCs might not be able to do and will not do, mainly because those AMCs wherein the flows are very, very high and the historical AUM was very, very strong and mainly because of the mark-to-market that scheme has gone up drastically. A few of these AMCs might cut on the historical trail. Again, I would say that the trail cut would be all across the distribution community, so we are not affected. But again, new businesses are adjusted on a regular basis and hence the trail cut would not be there. So, that is what I would say on that first part. Second part you said that our renewal ratio has gone up. Historically, we have been focusing on the quality of the business, so we are not here to look at the growth of the business at compromising the quality. In terms of quality, probably we would be one of the best in the country in terms of persistency ratio and the quality of the business. And we are striving to achieve or maintain that kind of number. On the renewal side, our constant efforts are always there to renew the policies, that also helps us to improve our renewal numbers.

Third part you asked that the split between lump sum and the non lump sum in terms of net sales, I think it is very, very difficult and I do not think that anybody shouldn't and would be top tracking the net sales based on whether the SIP is getting redeemed, or the SIP flows are getting redeemed, or the lump sum is getting redeemed. For us, the simple formula for us net sales is, gross sales with SIP or fresh gross sales minus all the redemptions in the net sales. Because I think today if the Rs. 1000 SIP after 10 years becomes very, very big and the client redeems after his goal is achieved. And when he redeems, the redemption would definitely be huge. That time we cannot say that the money redeemed is the SIP money. So, redemption is redemption for us. So, net sales, we do not bifurcate between lump sum and SIP. For SIP net sales, we always track what is the net addition in the SIP book versus the addition of the gross
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SIP book. So, say for example my opening SIP book is Rs. 100 and we added, say for example, Rs. 30 in this year, and we end at around Rs. 120. So, obviously we look at that Rs. 30 SIP we have added and Rs. 10 SIP has been terminated. So, that is how we treat the SIP numbers, but not in the net sales. I hope I think I cleared all your points.

Moderator: Thank you. The next question is on the line of Alisha from Envision Capital. Please go ahead.

Alisha: Sir, two questions. One is on the MFD side. While you have been highlighting that the indirect mix has been going up and hence the payout ratio has also been increasing, we have also been saying that we were expecting it to settle around 62% and this quarter it is even higher. Where do we expect this to settle? And will it probably normalize to 62% for balance of the year?

Shirish Patel: This year it might not change, 62% on the total book because around 10%, 11% of the book wherein we are not pay

ing the commission. So, if you do the back of the hand calculation, annual calculation, obviously you get that number around 67%, 68%. This year this number we are not expecting to change drastically. Obviously, I think these kind of numbers might change, but over time it might change because as and when the commissions comes down, you cannot maintain the absolute basis point margin, but percentage terms still we believe that we should be able to maintain the similar kind of margin over here. It would not change in the near future drastically.

Alisha: So, what I am understanding is, what we have paid out in Q1, that should be a more sustainable number because now the mix is 88 and 11?

Sanjay Shah: So, tomorrow at times the mix changes, then obviously this ratio might, today we are around 89%, 90% in the B2B side. If after a few years this ratio becomes 95%, 5%, obviously this nine this number might change. Second could be, as I said, as and when the AMC size becomes bigger and bigger and bigger and the TER cut comes down, obviously, that also might impact either positively or negatively on the percentage sharing. And third, again on the book side, how AMCs cut to the distribution community and how we are able to pass it on to the distribution community, that also might impact this particular ratio. But as I said that this year we do not see the ratio changing.

Alisha: So, this 30 to 33 bps that we used to do net yield, will we be able to maintain that over the medium term? Or that can also be impacted because of the reasons that we have just been discussing?

Sanjay Shah: So, immediate future I think, yes, I think if you are talking after one year this yield might go down by 1 basis point, but it is not going to get impacted drastically.

Alisha: And my second question is, these other expenses in the standalone business have increased quite substantially on Y-o-Y basis, if you can just share what would this pertain to?

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Sanjay Shah: I think we have not provided the Prudent learning conclave expenditure which happens at the end of the year. So, I think last year we started providing only after the 2nd Quarter onwards. That's the only reason. So, what we did is, it is basically a Prudent training and recognition program where we will select the distributors based on internal parameters. And the cost has been projected and which has been provided in the current quarter also, which was not there in the 1st Quarter of last year. That's the reason you will see more numbers.

So, that is one thing. Another thing would be, you will see administrative cost also going up because of additional branches. So, these are the two reasons. And probably I think another cost will be the CSR cost also has gone up. There are a couple of things which is contributing. Plus, I think we were just looking at the electricity also is one factor because the branches have increased.

Alisha: And with the branch addition that you are talking about, can we expect the AUM mix to again change in favor of direct versus indirect?

Sanjay Shah: Yes, AUM mix improving in favor of direct is not likely, because I think the direct we are not growing on that particular front. So, what Shirish also was saying, and I am also trying to communicate that if at all if you look at directionally, today 88.8% is the mix of indirect in the 100% of my AUM. Gradually that has to go towards 90% rather than going towards 85%, because the business and the SIP book comes from the channel partner significantly. So, gradually you will see that tilting towards the 90% rather than 87%. So, I am just trying to communicate direct can never grow because we are not trying to concentrate and growing on that particular piece.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for the closing remark

s.

Sanjay Shah: Thank you. Thank you very much. And I hope we will be able to address all the queries. There was some turbulence while hearing the questions, Swarnabh or anybody who could not get proper clarification, Parth is all the time available so probably you can reach out to us for any information which you require additionally. Thank you very much to everybody. Thank you.

Moderator: On behalf of Equirus Securities Private Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Nov 2024

Date: 06.11.2024

To,
The National Stock Exchange of India
Ltd,
Exchange Plaza,
Bandra – Kurla Complex,
Bandra (E), Mumbai – 400 051
NSE EQUITY SYMBOL: PRUDENT To,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai- 400 001
SCRIPT CODE: 543527

ISIN: INE00F201020

Sub.: Transcript of the Conference Call for Un-Audited Financial Results for the
Quarter ended September 30, 2024

Dear Sir/Madam,

With reference to our earlier intimation dated October 24, 2024 and in terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of the Conference Call with analysts and investors held on October 31, 2024 in respect of the Un-Audited Financial Results for the Quarter ended September 30, 2024.

The same will also be available on the website of the Company at
www.prudentcorporate.com .

Please take the same into your records and do the needful.

Thanking you,

Yours Faithfully,

For, Prudent Corporate Advisory Services Limited

Kunal Chauhan
Company Secretary
Membership No: ACS- 60163

Encl.: As Above

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"Prudent Corporate Advisory Services Limited
Q2 FY '25 Earnings Conference Call"
October 31, 2024

MANAGEMENT : MR. SANJAY SHAH – CHAIRMAN AND MANAGING
DIRECTOR – PRUDENT CORPORATE ADVISORY
SERVICES LIMITED
M R. SHIRISH PATEL – CHIEF EXECUTIVE OFFICER

AND WHOLE TIME DIRECTOR – PRUDENT CORPORATE
ADVISORY SERVICES LIMITED
M R. CHIRAG SHAH – NON-EXECUTIVE DIRECTOR –
PRUDENT CORPORATE ADVISORY SERVICES LIMITED
M R. CHIRAG KOTHARI – CHIEF FINANCIAL OFFICER –
PRUDENT CORPORATE ADVISORY SERVICES LIMITED
M R. PARTH PAREKH – INVESTOR RELATIONS –
PRUDENT CORPORATE ADVISORY SERVICES LIMITED

MODERATOR : MR. LALIT DEO – EQUIRUS SECURITIES

Prudent Corporate Advisory Services Limited
October 31, 2024

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Moderator: Ladies and gentlemen, good day, and welcome to Prudent Corporate Advisory Services Limited 2Q FY '25 Earnings Conference Call hosted by Equirus Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Mr. Lalit Deo from Equirus Securities. Thank you, and over to you, sir.

Lalit Deo: Yes. Hi. Good morning, everyone. Wish you all a very happy Diwali. Welcome to the 2Q FY '25 Results Con Call of Prudent. So to give a brief update on the results and address investor questions, we have the management of Prudent Corporate Advisory Services Limited, represented by Mr. Sanjay Shah, Chairman and Managing Director; Mr. Shirish Patel, CEO and Whole-Time Director; Mr. Chirag Shah, Non-Executive Director; Mr. Chirag Kothari, CFO; and Mr. Parth Parekh from Investor Relations.

Now we would request the management to start with the opening comments, post which we can open the floor for Q&A. Thank you, and over to you, sir.

Sanjay Shah: Thank you. And first of all, let me wish Happy Diwali to everybody who has joined this call. I welcome all of you to this earnings call. I thank you all for sparing a valuable time to join us today. I hope you have the investor presentation handy, which we have uploaded on the exchange yesterday as we'll be giving references to the various slides of the presentation. So before I move to the discussion on quarter

ly numbers, I just wanted to update you on the key milestone which we achieved during the quarter.

Our assets under management crossed INR1 lakh crores on 26th of July, almost 1.5 years before our guidance. It's mainly due to significant mark-to-market movement by Indian markets. The next milestone, which we are working towards is reaching a SIP of INR1,000 crores by March 2025.

So with this introduction, now let me tell you to move to Page number 41, Slide number 41. So now coming to Prudent numbers, I would like to go to Slide number 41. This chart on the left-hand side indicates that the tailwind for growth in mutual fund business in second half of this fiscal. In the first half FY '25, we earned our revenue based on a daily average AUM of INR95,701 crores. We began the second half of FY '25 with an opening AUM of INR1.07 lakh crores, which is almost 12% higher than the first half's full year average.

Despite the correction post September till date, our current AUM is still above INR1.04 lakh crores. Hence, even if this number sustains for the second half, our revenue growth in second half compared to first half should be higher by 10% to 12%. As far as quarter is concerned, our

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October 31, 2024

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quarterly average AUM in June quarter has grown 53% Y-o-Y and 14% sequentially to

INR1.02 lakh crores.

Now please move to Slide 42. On this slide, we have shared the details of what moved our equity AUM on a year-on-year and quarter-on-quarter basis. As seen in the left-hand chart, closing equity AUM has moved higher by 59% year-on-year to around INR1.03 lakh crores with almost three fourth of the movement being contributed by mark-to-market gain. The mark-to-market gain for the trailing 12 months stood at a very strong INR28,600 crores. If you see the right-hand chart, which shows the movement in equity on a sequential basis and our equity AUM has also moved sequentially by 12%.

Net equity sales during the first half of FY '25 has been really very, very strong. In the FY '25 first half, our net equity sales stood at INR5,700 crores, which is almost or you can say equivalent to the net sales in the full year of full year of FY24. So that shows that how strong the first half was as far as accessibility of the mutual fund and participation of retail is concerned.

Now please move to Slide 43. Moving to Slide 43, wherein there is a detail of our market share in overall equity AUM and the SIP data. Our market share in equity AUM ex-ETFs has improved from 2.51% year before in September '23 to 2.52% in September '24. On the bottom left, we have given our data on monthly SIP flows and our market share in SIPs. During the month end, our monthly SIP book has touched INR870 crores. We have added INR280 crores to our SIP book during last 12 months, and we are confident to touch the mark of INR1,000 crores by March 2025.

In the month of September, we collected INR115 crores through STP Systematic Transfer Plan. This number is reported by us on the actual realized basis. The STP value of INR115 crores is not included in the SIP number. So if you look at SIP and STP numbers together, almost INR1,000 crores is invested systematically by Prudent's retail investors in equity and hybrid scheme's every month.

Now let me take you to the Slide number 46. So now let me turn to the current financials. So please move to Slide 46, which is the last slide of our presentation, which talks about our stand-alone number. Please note that we have merged Prudent Broking Services, a wholly owned subsidiary with Prudent Corporate and hence, stand-alone numbers are combined for mutual funds and the broking business and has been restated for all the periods which are reported in this presentation. It's an extremely satisfying quarter as far as revenue and the profits are concerned as both have grown by 53% and 73%, respectively.

Sequentially, mutual

fund revenue have grown in line with the growth in quarterly average

AUM. Last quarter, which was the April, May, June quarter, as we already communicated last time also, we had one-off revenue impact of INR4.41 crores, which was mainly due to the receipt of withheld brokerage released following the relaxation of KYC norm prescribed by the SEBI. As a result, our yield was higher by 2 basis points in the last quarter, which is April, May, June at 92 basis points. If we adjust for this one-off the item of the last quarter, our yield has remained steady sequentially at roughly about 90 to 91 basis points.

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Additionally, on the yield front, I just wanted to communicate about a couple of changes which has occurred, prominent being the HDFC AMC. And as all knew that HDFC AMC has revised rates on the back book, that means the existing book for most of the non-debt schemes. Nippon has also revised rates in one of their main scheme, Nippon India Small Cap Fund.

This back book rate revision were primarily due to significant rise in assets caused by a sharp mark-to-market movement in the last couple of years. We do not expect this to be a regular occurrence as it was mainly due to exceptional mark-to-market movement. Just to explain how significant the impact of mark-to-market movement is concerned, I'll just tell you that Prudent's total AUM in the March 2020 was less than INR20,000 crores. While as I explained you earlier, in last 12 months, our mark-to-market gain is about INR28,000 crores. So that shows that how significant mark-to-market gain has been in the last couple of years.

So now if I will explain about the impact of these changes, which has occurred, because of the HDFC and one big scheme of Nippon. The full year top line revenue impact for this change is estimated to be around INR6 crores, which is less than 0.5 basis point of our total revenue. So I think the -- even though it's a revision in the back book, overall, if you look at the impact may not be that meaningful.

This time, we also absorbed the part of rate cut and transferred partially to our sub-distributors. If you remember, we have been all the time otherwise saying that if there will be some change, we'll be able to transfer fully to the sub-distributor. However, in this particular time, we also absorbed certain amount of reduction in the revenue, which has been absorbed by us.

However, I'll just tell you that the overall impact on us because of this revision is neutral as far as impact on GP margins are concerned.

So now coming to the commission and fee expenses. If you look at commission and fee expense payout at 63.4% is looking a bit elevated compared to last quarter, largely on account of one-off as talked about pertaining to the receipt and payout of the partner related to relaxation of KYC norms.

Adjusting this, payout ratio has also increased by roughly about 60 basis points. This is mainly because of movement in the direct and the indirect mix wherein the indirect mix has -- indirect share has now again moved to 89.5%. So if I tell you about this quarter, the share of indirect has moved up by another 0.7 basis point. So I think that is broadly I'm just trying to explain.

Also, I'll take you to another expense item, which is the employee expenses. So you would have observed that the employee expenses also increased by 8% sequentially. There are various factors which has led to this increase, first being the net addition to the employee count. We added 58 new employees during this quarter. Also 78 employees were added in the first quarter of FY '25. Around 45 of those who were added in the first quarter were added in the June alone. Hence, the last quarter was having the additional salary expense for only 2 months.

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So second factor was increa

se in the variable provisioning. Given how the business is shaping up for the entire year, we expect variable pay to be at the higher end, hence, sequential increase in variable provisioning is around 25% more.

Third factor is leading to increase in employee cost in some extra provisioning taken for the leave compensation. So we have changed the policy of allowing the accumulation leave, which somebody can accumulate till the retirement. We have moved from 65 leave to 100 leave as an accumulation policy, and hence, the provisioning has increased. So all these 3 put together has led to sequential rise in the employee cost.

Overall, after considering all these things, operating profit grew by 60% Y-o-Y. There was a margin expansion of 110 basis points Y-o-Y and operating margin during the quarter stood at 23.2%. A strong operating profit -- operating performance, coupled with higher other income has led to a profit growing at a healthy pace of 73% on a Y-o-Y basis.

Now coming to Slide 45, one slide previous, which is providing the consolidated numbers. So if you look at the difference between consolidated numbers and the stand-alone, I think it is only the standout number would be the difference between these 2 would be the insurance only.

So if you look at on the insurance front, our insurance revenue grew by 35% Y-o-Y to INR34 crores. On account of changes in surrender value from 1st October, there might be changes to the life insurance commission structure post 1st October. The negotiations are going on with the insurance companies, and we are yet to get full clarity on the rate structure.

However, the broader indication is that the insurance company might resort to reduction of commission as well as clawback based on the persistency ratio. I'm just giving you the explanation. However, this has no impact in the second quarter because whatever impact which will come, which will come now as far as revenue on the insurance is concerned.

So overall, I think the only item which I wanted to explain the consolidation was the insurance number. So overall, consolidated profit grew by 73% to INR51.5 crores. So overall, it has been a very, very satisfactory quarter. For the first time on a quarterly number, we crossed INR50 crores of net profit, which is very, very satisfactory for all of us.

With this, I'll just keep the floor open for Q&A. Thank you.

Moderator: The first question is from the line of Lakshminarayanan KG from Tunga Investments.

Lakshminarayanan KG: Sir, if I just look at the total AUM, which we have -- which has gone through us, what's the mix of index fund and non-index fund?

Sanjay Shah: Sir, the index fund won't be more than even INR1,000 crores in my total AUM because we don't have any kind of passive book at all, because I think we believe our advisors are capable enough to identify quality fund managers and the quality funds. So I think the index is hardly about INR2,000 crores. Yes, it's roughly about INR2,000 crores. So it's less than 2%.

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Lakshminarayanan KG: Got it. And in terms of the top 10 AMCs, do we work with all the top 10 or we don't work with a couple of them?

Sanjay Shah: Shirish?

Shirish Patel: Yes. We work with all top 10 AMCs. So practically, if you see the AUM mix, more or less, it would be in line with what the industry is all about. So yes, I think -- because we being retail, we cannot ignore working with the bigger AMCs. So that does answer to your question. We

work with all 10 big AMCs.

Lakshminarayanan KG: Sir, and last question, if you can just give a split of your AUM by large cap, flexi cap and ex of large and flexi cap?

Sanjay Shah: So actually readily breakup may not be available, but I think the -- that also, Shirish, would be in line with market only, right?

Shirish Patel: Yes.

Lakshminarayanan KG: Okay. The reason we're asking this question is that

if you look at the last 1 month or maybe the

last few days, you see there is a marked decline in a particular segment of the mutual -- the indices, right? So I just want to understand the sensitivity for us on that account. Is it in line with the overall mix which you get from AMFI?

Shirish Patel: The mix of hybrid would be a little higher in our case compared to the industry. But otherwise, in the mix of equity that is large, mid and small, more or less, I think probably I would say that we would be following the industry.

Sanjay Shah: And another thing I just wanted to explain about the sensitivity of our AUM. As I told you, the last month, we ended at INR1,07,000 crores. And currently, after about 7.5% fall, yesterday, our AUM was INR1.04 lakh crores. So definitely, there will be a net sale also. But however, the impact on AUM is 3.5%, while the overall market has gone down by 7.5%. So what Shirish also said that our share in the multi-asset and the dynamic asset allocation or the hybrid category would be higher than the the market, plus you have regular flows also.

Lakshminarayanan KG: Got it, sir, if you can just give us what is the mix of multi-asset and hybrid in our incremental flows. For example, in the last 6 months, you would have got incremental flows. In that, what is this proportion of multi-asset and hybrid?

Shirish Patel: So, currently, I'm just talking about, let us say, first of the AUM. 18% of our AUM is in hybrid category, including the multi-asset, you can say. So 18% of our AUM is in this category. If you are talking about a business, I think we actually need to get the actual number, but let me check if I can provide you. I think Sanjay, we can take this question separately because I think the data is not handy right now.

Lakshminarayanan KG: Thank you so much, Happy Diwali.

Moderator: The next question is from the line of Niranjana Kumar from Equirus.

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Niranjana Kumar: Congratulations on a great set of numbers. Sir, I have a few questions. So, the first question is during the quarter, have you seen any impact on account of the broker code change regulation?

Shirish Patel: So already, we have started getting a few changes of broker code request in our books. At the same time, we also would have lost little. But net-net, the net addition is much, much higher compared to the loss of AUM. Revenue-wise, still the revenue recognition has not yet started because now from September onwards, we start getting the tail commission. So revenue front, there would not be any impact because of change of broker code but in terms of addition of the AUM, it would be positive. We have not started aggressively going after this. I think last call also, we said that we will be the beneficiary of this change in the rule, but we are not going very aggressive in the market to acquire the assets due to change of broker.

Niranjana Kumar: Okay, sir. Sir, my second question is, you have already mentioned that HDFC AMC and Nippon AMC have sorted to cutting of commission on the back books. So further, how should we see this in the overall context like in the industry or on the impact which we might have?

Shirish Patel: So as and when we see a huge mark-to-market gain in any AMC, in addition to that, if the same AMC or the same scheme is also attracting huge flows, the TER chargeability of that scheme or that AMC goes down. Now since a few of the AMCs have already passed on the TER cut to the distributors, I'm sure many others may follow as and when they start feeling the pain of the TER cut. So, this has started. Yes, I think a few AMCs might follow this. But as Sanjay bhai said in his call that we could be able to pass on the percentage sharing. So, I think on an overall basis, whatever we are passing on to our distributor, hopefully, in the future also, whenever any cut comes from the AMC, we'll be able to pass

on proportionately so that our

GP margins might not get impacted. But yes, many AMCs might follow this going forward.

Niranjana Kumar: Ok sir, thank you for the information. That's it from my side. Happy Diwali.

Moderator: Thank you. The next question is from the line of Dipanjan Ghosh from Citibank.

Dipanjan Ghosh: Just a few questions from my side. First, is a data keeping question. If you can give your market share in the new MFD addition. So let's say, if 100 or 1,000 new ARNs are getting created, let's say, in 2Q or 1H, what would be the proportion of your acquisition of this new MFD? Because you have added like 1,000-plus MFDs in the quarter, what would be the mix between, let's say, new ARN versus existing ARNs and the market share in new ARNs?

Second question is now on the flow part. If you can give some color on what would be the

breakup between NFO and non-NFO-led flows? And also, within the overall flows qualitatively over the next, let's say, last 2 to 3 years or over the last decade, how do you see the flow mix changing between, let's say, existing customers let's say, with a vintage of 1, 2 years' worth of new customers versus old customers?

Third question is now on this back book repricing that HDFC and Nippon have done and we have heard from two other competitors who have not done were also listed. I just wanted to get some sense, is it also a function of you mentioned that there has been strong traction in flows in select schemes of these AMC's and that has probably propelled them to kind of take this decision. So I want to get an understanding of how does this change the market dynamics in Prudent Corporate Advisory Services Limited
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terms of your ability to kind of swing flows towards other AMC's or in terms of the underlying distributor, the granular MFD, how is their mindset really changing? Because there are a lot of new AMC's also that is coming up, there will be new asset classes coming up. How does that dynamics change? Yes, those are the three questions.

Shirish Patel: So in terms of cut, few AMC's have cut it. We are sure that many other AMC's might follow as and when they start feeling the pain. As you said that how the dynamics would change in terms of flows towards the smaller or the mid-sized AMC or the mid-sized schemes? Now obviously, I think many of the distributors might start seeing where they can improve the revenue. So, you could see that in the industry also, a few of the AMC's or a few of the smaller schemes have started gaining some kind of traction. But having said that as a distributor, we also try to give the schemes which distributors believe that are consistent in performance. So though we would like to influence the flows, but most of the time still because of the scheme consistency in the performance, we might not be able to do. So overnight, you can't say that the flows will move from the bigger schemes or bigger AMC's to the smaller AMC. But over a period of time, some kind of flows we might see, but that might not change the yield immediately.

Coming to your second point that the flows between NFOs and non-NFOs, obviously, I think last 6 months, the number of NFOs came in the industry were many. We didn't participate in all the NFOs, but having said that, out of almost, you can say, around 10% to 12% of our business on these 6 months would be towards NFO. So our share in the NFOs would be a little lesser compared to the industry, mainly because of our SIP book. So percentage share of NFO in the gross share would be a little lesser than the industry. And second is we don't participate in all the NFOs. So that is another reason.

Third, you said that how the recruitment of MFDs is there in the system. To give you the perspective, last entire financial year, we added some 3,100 new ARN holders. While, till date we have added more than 2,900 ARN holders. So versus the entire year 12 months, 3,100, we added

2,900 this year. So practically, the AUM -- sorry, the ARN recruitment is getting momentum. Out of the industry, my guess is that last year, industry recruited, Sanjay bhai correct me if I'm wrong, I think some 21,000, 22,000 new ARN holders were added in the industry last year. And out of that, we added 3,100. So that is what the numbers are about.

Sanjay Shah: Yes. The precise number is 23,000, we added 3,100. Yes, you're right.

Shirish Patel: Yes.

Dipanjan Ghosh: Sir, just a follow-up on the last bit. For this first half, especially for 2Q because your MFD additions have been very strong. So has something really changed in the industry or how do you kind of -- your kind of expansionary plans have become more aggressive?

Shirish Patel: So one, we added a few branches in first quarter. So that has helped us in getting more number of MFDs. Second is, we also have increased some spend on social media to make Prudent as a brand and attracting MFDs to the Prudent platform. So that is another reason. And third, I would say that our focus for new MFD recruitment has gone up significantly compared to the last year.

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Dipanjan Ghosh: Sure. Sir, just a small question on the insurance business, the premium -- the fresh premium growth in both life and non-life has kind of moderated in terms of Y-o-Y when I compare with, let's say, FY '24 or 1Q '25 spend. So on the life side, would it be like slower non-par?

And on the non-par side, what would kind of explain this moderation in pace of growth?

Shirish Patel: So on the health side, the growth is decent. It's a good growth on the new premium on the health insurance side, that is the general insurance side. In the life insurance side, yes, you can say that the first 6 months business is a moderate growth, mainly obviously because of all the noise of the changing in the regulation. And obviously, I think our business, as you know that most of our POS we try to convert from our mutual fund distributors. So when the equity will

do better, maybe I think some impact in the insurance business is there when the equity market or the mutual fund business is doing great.

Dipanjan Ghosh: Sir, would it be fair to assume that within your non-life, almost 2/3 or more will be health?

Shirish Patel: It's almost, I would say, health in non-life. Motor we hardly do.

Moderator: The next question is from the line of Ajox Frederick from Sundaram Mutual Fund.

Ajox Frederick: Congrats on a very good set of numbers. Sir, one question. The INR6 crores impact you're talking about, that is on the current basis, right? Meaning if we are to assume a current AUM on INR234 crores, INR6 crores is the impact we are talking about in the subsequent quarters?

Sanjay Shah: No, INR6 crores, which I talked to you about the full year impact, assume that in my INR1 lakh crores, I think the HDFC is roughly about INR11,000 crores. And in INR11,000 crores, I think they have made changes based on certain formula. So based on those formulas, the overall impact on the HDFC AUM for the full year would be about INR6 crores. So I was just trying to explain you that on the INR1 lakh crores of AUM, if I'm going to earn let's say INR1,000 crores, I think my impact would be about INR6 crores. So I was saying that my total impact, even though 11% of my assets got repriced, I think the impact is less than half a basis point.

Ajox Frederick: Okay. Okay. This is for that INR11,000 crores, INR6 crores is the revenue impact. Okay. Got it.

Sanjay Shah: As far as other way, if I tell you, if you look at the numbers, I think the INR6 crores divided by 12, roughly about INR40 lakh, INR41 lakh is the impact for last 2 months. So I think the revenue -- so I think it implemented from 1st of August. So August and September, only 2 months got the impact in last quarter. We got the revenue less by about INR80 lakh and the payout has

also decreased. So, I think the GP margin has remained constant, but the revenue impact is about INR80 lakh in last quarter.

Ajox Frederick: Okay. Okay. You are talking about GP margins, right? It's being stable?

Sanjay Shah: Yes. Income has gone down by INR80 lakhs and GP margin has remained constant.

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Ajox Frederick: Got it, sir. Very helpful. And sir, number two, let me flip it. It's a hypothetical question.

Assuming that markets are correcting, any chance of this getting reversed, sir? Because we are talking about this cut because of markets being so buoyant. So when it's coming off, are we having that loss or this is just a one directional move?

Sanjay Shah: I think it's very difficult because I don't know, we have not gone into that domain. But ideally, what we believe is that they may not reprice the assets, whatever we have taken away because of increase in the TER to an extent whatever they have recovered, they can technically give back. But I think legal interpretation is something which will be difficult to tell because that might lead -- because on one side, the regulation doesn't allow you to reprice the assets upwards.

Upward revision is not allowed. However, what you are asking about the cut, which has been done by them because of significant rise in the AUM, if the same benefit goes to them because of significant fall in the AUM, to an extent they have recovered from us can be given back. I don't know. I'm just -- in my hypothesis.

Shirish Patel: One point to add at least -- sorry, one point to add, the yield on -- if you are saying that the market going down, the TER goes up, the yield on the new business at least might increase because normally, the new business commission or the pricing is linked to the TER. So those are historical -- historical yield might not change. If the market goes down and TER increases, then the yield on the new business can go up.

Ajox Frederick: Okay. Okay. And sir, secondly, my understanding was that the old book or the stock, usually, it doesn't get repriced. But is this the first time we are seeing the stock getting repriced?

Historically, has this been done?

Shirish Patel: What you are saying is right. Historically, this was not happening, but post 2019 TER guidelines, this is the time I think we can say that the market has seen this kind of rally. And at the same time, the flows are very, very great in a few of the AMCs. So that is where we said only those AMCs wherein the mark-to-market gain is huge and the flows are very, very high. These AMCs or those schemes are impacted severely. And maybe these AMC or these schemes might cut. I think it was, again, who will do the cut first. Now I don't see few AMCs they have already done this cut. Many other AMCs might think that others have done it, we might as well do it.

Moderator: The next question is from the line of Sanketh Godha from Avendus Spark.

Sanketh Godha: Sir, in this current quarter, we have seen that gross equity flows have been much higher than the equity SIP flow. So just wanted to understand that because markets have been doing well, there is a natural more demand for lump sum compared to SIP in the current half or NFO has played a role to see a little more growth in gross flows compared to the SIP flows?

Shirish Patel: Historically, if you see when the market sentiments are great, the lump sum flows increases. And when the sentiments are bad, the lump sum flows will come down. So there is no other reason there is no NFO impact. I don't see, as we said that we don't participate in all NFOs and
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our NFO percentage mix is not in line with the industry. So this is mainly and mainly because of the market sentiment and hence, the lump sum flows are higher than the last year.

Sanketh Godha: No, the reason I'm ask

ing is that our market share in the fixed flows has also marginally reduced from 3.7% in the Q1 to 3.6%. So the kind of customers we are trying to cater are a little more tweaked to lump sum is that reason? Or you believe this SIP market share will come back to better than 3.8% what we witnessed in fourth quarter of last year?

Shirish Patel: So you are talking about the SIP market share going down from September '23 to September '24. One reason, definitely, you can see that all these fintech are getting huge number of SIPs. So obviously, I think the growth of this fintech or the online SIPs has gone up and the percentage growth of online SIPs is much higher than the offline SIP. That is one reason. So mainly, I think we'll attribute this number to the fin-tech growth only. Sanjay, any other point if you want to add?

Sanjay Shah: No, no. I think the -- if you look at the growth -- absolutely right. If you take out about 30% is the market share, I think the market share of direct has gone up by about 8% to 10% in last 1 year. So if you take out the direct and if you look at only the regular, I think either we are constant or we would have improved a few basis points.

However, periodically, we don't get the regularly -- we do not get the numbers from AMFI about the direct and the regular otherwise, we can report that number also, but we are unable to get the numbers regularly. But overall, I think what Shirish is trying to tell you is mainly because of growing share of direct piece.

Sanketh Godha: Sir, are you seeing this as a structural challenge for the indirect business for mutual fund industry? If more and more young guy goes towards fintech way to procure the business, just wanted to understand any counter strategy we have to overcome this market share. Maybe today, the growth is there, but if the growth slows down a bit due to market correction and then how you want to overcome the challenge?

Shirish Patel: So one, definitely, I think earlier also, we have said that in near term, we believe that the growth of direct -- percentage growth of direct may be higher than the percentage growth of regular. Second, I would say that in last 3, 4 years, we have only seen the market going up. So obviously, I think these guys, those who have invested recently have not seen the negative returns and hence, they probably might not understand the need of an adviser or a distributor. So that may be another reason. Third, definitely, because of this fintech, because of this awareness about SIP, these guys have created this kind of awareness and new investors, probably I think we might not have reached the every small villages, which probably the fin-tech through direct plans has reached. So these are the only reasons.

But yes, the strategy for us, definitely, FundzBazar as a platform is becoming more and more popular. So in terms of technology, we are at par with these guys. In terms of reach, the number of distributors are definitely reaching to all these investors with the social media, as I earlier also I said that we have started using social media more compared to what we used to do 1 year back.

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So that also could be one of the strategy for us to compete with all these platforms. And again, I would say that when the market might see some kind of correction, I think we can see some kind of consolidation in the share of direct versus regular.

Sanketh Godha: Got it, sir. And the second question what I had was suppose most of the AMCs as the market remains buoyant and most of the AMCs follow the same thing what the HDFC AMC and Nippon has followed. Then again, it's a hypothetical question, then if that book -- entire back book gets re-priced in a similar way what HDFC or Nippon has re-priced, then the impact in your view for the entire INR1 lakh crores or more than INR1 lakh crores AUM would be how much?

Shiris

h Patel: First of all, I think taking an assumption that all the schemes, all the AMCs might cut the book, I think which is not logical because if the AUM size is small, the flows are not that big. If majority of the collection is with the new price, I don't think that all these things will make other AMCs to follow the same thing what HDFC has done. Yes, as we said that many others

might follow in specific schemes where there is a pain, assuming that even HDFC is not cut in all schemes.

So taking an assumption that the entire INR1 lakh crores will get impacted, I think, is a little aggressive. Second point, I would say that for us, what is more important is what AMCs are doing with other set of distributors. Now as we are B2B and if the AMCs are cutting for their MFDs as well, we will be able to pass it on. So I don't see a problem when the AMC will come and say that I will only cut for Prudent and not for the MFDs.

So whenever any AMC or any scheme will cut the commission on the book, obviously, they will cut for Prudent as well as other distributors. And hence, we'll be able to pass it on the way -- the AMCs will do for the MFDs.

Sanketh Godha: But our maybe top 5 AMCs consolidation which are a little big, who can probably follow HDFC AMC for, how much they contribute to our total INR1 lakh crores -- more than INR1 lakh crores AUM top 5 AMCs.

Shirish Patel: Top 5 AMCs, will be around 52%.

Sanketh Godha: And lastly, on this broker code, have you really seen the bigger MFDs, I mean you said that net addition is there to do the MFDs because people have left and the people have joined also.

So there is a net addition in MFDs because of the broker code. But any bigger MFDs, which were significant contributor or decent contributor to you have seen moving out because of this thing? And as you rightly highlighted that your AUM yield -- or the revenue accretion is not happening because 6 months cooling period is there.

So because of the net addition, any expected bump up will happen in revenue because of a 6-month cooling period revenue recognition?

Shirish Patel: That AUM acquisition because of change of broker is not that big. As I said that the number is not that big because we are not aggressively marketing, number one. Number two, as you said that the way I think money will come, is there a risk of bigger distributor going out?

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Theoretically, if you always say that is there a possibility, there is a possibility, but why we believe that it is less chance because the change of broker code theoretically should or will happen in a case when the distributor is not getting the commission on the existing assets.

So say, for example, my distributor come across any investor's investment, where he is not getting that trail probably he will do the change of broker code, but the distributor who himself is getting the tail commission from Prudent, I don't think that he will be motivated to move the asset somewhere else in expectations of earning and by compromising 6 months trail. So that is where we believe that the chances of bigger distributor or any distributor of Prudent moving out with change of broker code, I think is very, very low. Yes. Somebody else has -- some other distributor might take away Prudent distributors' AUM. That is a possibility, but distributor himself might not do it.

Sanketh Godha: Got it sir. Perfect. That's it from my side. Thank you for the answer.

Moderator: Thank you. Next question is from the line of Lakshminarayanan Kg from Tunga Investments. Please go ahead.

Lakshminarayanan Kg: Sir, I just want to understand what is the net cash on the books as on end of the first half?

Sanjay Shah: I think it's roughly about INR430 crores -- INR440 crores. So actually I think the cash on the balance sheet would be roughly about INR400 crores and because of the merger of Prudent Corporate wi

th Prudent Broking, what we did is we haven't provided a bank guarantee to the exchange, but we provided our additional cash in form of FD to that exchange. So I think that some INR40 crores, INR50 crores has been -- even though it is liquidity, but will not be visible in the liquidity. So all in all about INR450 crores. If I took away that FD to exchange, it's about INR400 crores.

Lakshminarayanan Kg: So what kind of income we generate on this cash because I see that the other income what we see in the top line seems to be a little underwhelming. So if you can just help me understand where the benefit of this holding this cash is captured in the income statement?

Sanjay Shah: No the entire cash is deployed in the liquid and liquid category. So it's -- either it will be in form of liquid or we might be holding some AAA-rated bonds. So it's definitely into the debt category. We have small SIP going on since years.

Lakshminarayanan Kg: What's the yield we get there, sir? I mean, what's the -- is it that -- what's the yield we are getting there?

Sanjay Shah: Yes, the average yield is roughly about 6.1%, 6.2% kind of thing on the overall liquid portfolio.

Lakshminarayanan Kg: Okay. So I mean, our cash is high, and we also would generate significant cash this year also. But our dividend distribution has been lower. Now what's the plan for the organization? What is your dividend distribution policy and why do you need to hold a lot of cash? How is the organization thinking about this?

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Sanjay Shah: So the cash generation has started happening since last year because previously we had the cash, which was used for acquiring Karvy. And we believe there will be some acquisitions which will be ongoing. So I think we have been telling consistently that we would like to preserve cash for at least next 1 year, 2 years. And we might see within 1 year, 2 years we might reach a war chest about INR800-900 crores. So I think we will try and we have been constantly looking for some acquisitions. However, if we are unable to identify something, then definitely we'll distribute, but at least for next 2 years we'd like to preserve this cash.

Lakshminarayanan Kg: Got it sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Krupanshu from Thinqwise Wealth. Please go ahead.

Krupanshu: Hi, thanks for the opportunity. I have one question on yield. So sir, you mentioned that last quarter we had a one-off which was to the tune of roughly 2 bps. And if we see this quarter, we've maintained our yield. And there was some rationalization because of B30 AUM in our yield, but I don't see any impact. In fact, we've got better yield. So I just wanted to understand what explains this? That's my first question.

Secondly, we have this line item of distribution of financial and nonfinancial assets. Sir, could you please give us a breakup as to what's the mix of say liquid loans, PMS, AIF unlisted share broadly? And my last question is more of -- if you can just explain like in the last 1 month, we've seen slight correction in the month of October. So when Nifty was significantly down say 1%, 2%. So what were the clients' reaction -- like just what I wanted to understand from you, -- like were they increasing their SIP amounts? Were they putting in more lump sum or something -- some industry trend as to how customer behaviour was, if you can give us some idea?

Sanjay Shah: So let me first of all address about the yield. So you said that in the first quarter our yield was a bit higher because of some prior period income which has been booked in the first quarter due to relaxation in KYC norms. That was about some INR4.4 crores which was roughly about 2 basis points of my revenue. So if you look at first quarter yield was roughly about 92 basis points. If you take away that 2 basis points our yield was in

the range of 90 basis points. In the

current quarter also, it is similarly the same range roughly about 90, 91 basis points.

Second, about B30, it's already out of the way since last February. So the B30 income was only there in the last year. But from February onwards, it was zero. So first quarter and the current year second quarter B30 is practically zero. Third, about the impact in the second quarter about the HDFC as I said you hardly about INR70 lakh, INR80 lakh is the lower income because of HDFC reduction in back book. So I think the impact is very, very less. So overall, I think we believe the yield would remain more or less constant in the range of 90 bps even after all the adjustments are concerned.

Krupanshu: Just a follow-up. This quarter yields are 91.8 bps if I'm not wrong?

Sanjay Shah: Yes. I think it's 91 basis points. So roughly I think it's if we adjust -- I think you're right, yield is showing the improvement of about some 70 basis points, 80 basis points, but still we need to

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look at the current quarter to get it validated. We have to look at whether it's a continuous improvement in the current quarter or it's the one-off item because of gross flows, just need to validate that.

Coming to the breakup of our other financial and non-financial products business. Yes. So mainly it comes from roughly about INR2.97 crores would be the revenue from liquiloans only in the first 6 months. I think the PMS/AIF we have would be about INR4.2 crores and the total -- then all the miscellaneous item would be LAS and your small case and everything will be less. Now regarding third question about -- you asked about the?

Krupanshu Shah: Market coming down, how the flows impacted?

Sanjay Shah: Yes. If you want to address.

Shirish Patel: Basically, we are assessing when the last few weeks, we can say that we have seen the market correction. And historically, we have seen that when the first correction comes, more and more people participate in the investments. And if this correction continues for a few months, then probably we see the moderation of the business.

Currently, if I look at my October business, probably I would say that in terms of new SIPs, we mostly will do much higher than my September number. So that itself, says that the new flows have not got impacted. Even if I look at my fresh purchase for October, I believe I think we'll be able to beat our September number. So that itself, says that this correction has not impacted

the flows. But yes, if this kind of correction continues for a few months, we might see some moderation in the flows.

Krupanshu Shah: Thank you, sir.

Moderator: Thank you. The next question is from the line of Dipanjan Ghosh from Citibank. Please go ahead.

Dipanjan Ghosh: Just a few follow-ups now, on this other financial products. This number has kind of stagnated at around that INR8 crores to INR9 crores per quarter. So just wanted to get some sense of can we kind of expect some traction on this number going ahead? And sir, second question is on the -- on basically this HDFC Nippon again.

So what -- correct me if I'm wrong, what I understood is the overall impact is around INR6 crores annually. But because we have been able to kind of pass it on a bit of it to the distributor, net-net, your 2Q impact was a few lakhs, like INR70 lakhs, INR80 lakhs. Is that a fair understanding?

Shirish Patel: No. Sanjay bhai spoke about the impact in the revenue in last quarter is around INR80 lakh. The annual impact would be around INR6 crores in the revenue. As we said that we will be able to pass it on to our distributor in the ratio of our sharing. So that is what we have spoken about. So INR6 crores is the annual impact. Quarterly revenue impact would be around INR1.5 crores. Out of that, we'll be able to pass it on in the ratio of what we normally pay to our distributo

rs. I hope I addressed your question.

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Dipanjan Ghosh: So in the ratio of like broadly like 70-30 or 65-35 something?

Shirish Patel: Yes. So in the similar ratio. So every time the ratio might not be followed exactly because we need to see that what AMCs are doing for other MFDs in the market. So that varies AMC to AMC. But in the recent cut we could manage to maintain our margin or the GP margin.

Dipanjan Ghosh: Got it. And sir, on the other financial products, the absolute revenue seems to have kind of stagnated around INR8 crores to INR9 crores?

Shirish Patel: So last quarter, because of this P2P guideline, there was certain reduction in the AUM we give the exit to the investor. Last 2 months, we didn't do any new business in P2P. So one, mainly in the P2P product, the revenue has come down mainly because of the regulation change. All other product revenue growth is still there.

Dipanjan Ghosh: So any -- I mean, do you continue to foresee this segment growing at let's say, 30%, 40% plus, which has been the historical run rate?

Shirish Patel: So except P2P products, yes, we can -- we can believe that this product revenue growth should be there. P2P, we are yet to evaluate the new avatar of the products, and then we'll take a call on the P2P otherwise excess P2P -- all other products we are comfortable with.

Dipanjan Ghosh: And sir, my last question in that case will be, could you quantify P2P in FY '24 revenue mix within this particular segment?

Sanjay Shah: So I think in FY '24, our revenue was about INR5.5 crores from P2P. In first 6 months, our revenue from P2P was about INR2.97 crores. And we started the year with about INR650 crores of AUM under P2P. When I'm talking to now that AUM has come down to INR340 crores. So you can say that there might be an impact of about INR3 crores, INR4 crores, INR3 crores, roughly, if I assume that INR300 crores remains stagnant, then my 50% income will come down.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Sanjay Shah: Thank you very much for, I think, all the questions and everybody who has joined on this call. If at all, if there is any question which has been unanswered, Parth Parekh, who handles our Investor Relationship as well as we all are available at the phone call away. So any time you can reach out. And I wish everybody a happy Diwali and a very, very prosperous New Year. Thank you.

Shirish Patel: Happy Diwali to everyone. Thank you.

Moderator: Thank you. On behalf of Equirus Securities Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Jan 2025

Date: 31.01.2025

To,
The National Stock Exchange of India
Ltd,
Exchange Plaza,
Bandra – Kurla Complex,
Bandra (E), Mumbai – 400 051
NSE EQUITY SYMBOL: PRUDENT To,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai- 400 001
SCRIPT CODE: 543527

ISIN: INE00F201020

Sub.: Transcript of the Conference Call for Un-Audited Financial Results for the quarter ended December 31, 2024

Dear Sir/Madam,

With reference to our earlier intimation dated January 22, 2025 and in terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of the Conference Call with analysts and investors held on January 28, 2025 in respect of the Un-Audited Financial Results for the quarter ended December 31, 2024.

The same will also be available on the website of the Company at www.prudentcorporate.com .

Please take the same into your records and do the needful.

Thanking you,

Yours Faithfully,

For, Prudent Corporate Advisory Services Limited

Kunal Chauhan
Company Secretary
Membership No: ACS- 60163

Encl.: As Above

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“Prudent Corporate Advisory Services Limited
Q3 FY '25 Results Update Conference Call”
January 28, 2025

MANAGEMENT : Mr. Sanjay Shah – Chairman and Managing Director
Mr. Shirish Patel – Chief Executive Officer and Whole-Time Director
Mr. Chirag Shah – Non-Executive Director
Mr. Chirag Kothari – Chief Financial Officer

MODERATOR : Mr. Shubham Prajapati – ICICI Securities

Moderator: Ladies and gentlemen, good day, and welcome to the Prudent Corporate Advisory Services Limited 3Q FY '25 Results Update Conference Call, hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Shubham Prajapati from ICICI Securities. Thank you, and over to you, sir.

Shubham Prajapati: Yes. Hi. Good morning, everyone, and welcome to the Q3 FY '25 results con-call of Prudent Corporate Advisory. We have with us management of Prudent Corporate Advisory Services Limited, represented by Mr. Sanjay Shah, Chairman and Managing Director; Mr. Shirish Patel, CEO and Whole-Time Director; Mr. Chirag Shah, Non-Executive Director; and Mr. Chirag Kothari, CFO.

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Now we would request the management to start with the opening comments, post which we can open the floor for Q&A. Thank you, and over to you, sir.

Sanjay Shah: Thank you, Shubham. Thank you and good morning to everybody. I welcome you all to the earnings call. I thank you all for spending your valuable time to join us today. I hope you have the investor presentation handy with you because, during the discussions, I'll be referring a lot of slides which have been given in the investor presentation.

So before I start discussing the current quarter number, please turn to Slide 20, where we have showcased a compelling story of how mutual fund distributors can exponentially scale their business by aligning with a platform like Prudent. Top 2 bar illustrates how Prudent's AUM has outpaced industry's regular AUM growth for last decade. While the industry has grown at a steady 18% CAGR, Prudent has achieved a remarkable 36% CAGR, growing at twice the pace of industry.

What is even more striking are the 2 charts at the bottom. Here we compare the growth of our top 1,000 MFDs with those of industry's top 1,000 distributors. To ensure a fair comparison, we have excluded banks from the industry data. The results are extraordinary. The industry's top 1

,000 distributors have grown their AUM at a CAGR of 18.6%, multiplying their AUM by 5.5x in last decade.

However, in comparison, our top 1,000 distributors have achieved an impressive 41.1% CAGR, multiplying their AUM by a staggering 31x. This data clearly demonstrates unparalleled growth potential of partnering with a platform like Prudent. It's evident that such an alignment is not just beneficial. Even it is essential for the mutual fund distributors who aspire to scale their business exponentially.

Now please turn to Slide 21. This slide highlights how leveraging technology within our platform has accelerated the growth for our top distributors. The slide segments our top 1,000 distributors into the group of 200 each, one in first 200, then 201 to 400 and 401 to 600 and likewise, based on the AUM. The first chart on the left-hand side shows the percentage of AUM on our technology platform FundzBazar by these subgroups.

So from top 200 distributors, you will see that, a significant 72% of AUMs, they have on our FundzBazar, while the 800 to 1,000 distributors group, this figure is only about 52%. The correlation is clear when we examine the 10-year growth rates. Top 200 distributors who use FundzBazar extensively have achieved a 45% CAGR in last 10 years.

In contrast, 801 to 1,000 distributors group has grown at a slower pace of 30%. Technology adoptions directly impact the number of clients a distributor can handle; the top 200 distributors managing an average of 730 clients vis-à-vis the category of 800 and 1,000 who manages 164 clients.

So these Slide number 20 and 21 collectively emphasizes a powerful message; partnering with a platform and adoption of technology are 2 critical driver for the exponential growth for the mutual fund distributors. So we thought we'll just try and tell you what are the growth drivers of people aligning their interests with Prudent.

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So now please move to Slide number 43. Coming to the Prudent numbers, I would like you to go to the Slide 43. The chart on the left-hand side of the slide states our AUM on a closing

AUM basis as of December end. And we are 7.4% higher compared to 9 months average AUM. However, I just wanted to tell you that in the current month, due to significant corrections, as of yesterday, our AUM is down by almost about 6.1% due to mark to market. So from INR1.06 lakh crores, we are now close to INR1 lakh crores.

However, I want to categorically call out that the retail sentiment is very much intact. Our net sales in first 9 months is 50% higher than what we did in last full fiscal of 2024. The redemption ratio at 44% within the last quarter is much lower than the 30-quarter historic average of 60%.

The gross new active investors added in first 9 months of our fiscal is already equal to the number of active investors we have added in last entire financial year of 2024. Our monthly run rate of adding 20 crores SIPs is still continuing, and we are continuing to add the same number in the current month also. So if you look at the chart on the right-hand side. Quarterly average AUM is up by 3.4% sequentially and 44.6% on a Y-o-Y basis.

Now come to Slide 44. We have shared the details of what moved our equity AUM on a Y-o-Y basis and quarter-on-quarter basis. As seen in the left-hand chart, closing equity AUM has moved higher by 38% Y-o-Y to around INR1.02 lakh crores, with 40% of the movement being contributed by net sales, and the balance by mark-to-market gains. Net equity sales, as stated, during the last 4 quarter has been really strong at INR11,654 crores.

If you see the right-hand chart, which shows the movement in equity on a sequential basis, equity AUM has declined by 1.2% mainly due to negative mark to market of 4.7% in last quarter. However, our M2M losses were lower than the Nifty 500 downfall of 7.7% in last quarter.

Now please move

to Slide 45, where in our bottom left we have given the data on monthly SIP flows and our market share in SIPs. During the month end, our monthly SIP book has touched INR935 crores. We have added INR280 crores to our SIP book in last 12 months, and we are confident to touch the mark of INR1,000 crores by March 2025.

In the month of September, we collected INR143 crores through systematic transfer plan. This number is reported by us on the actual realized basis. The STP value of INR143 crores is not included in the SIP number which I have talked about. Now let me turn to the current financials, so please move to Slide 48, which is the last slide of our presentation, which talks about the stand-alone number.

Now let us look at the revenue front. On the revenue front, you would have seen a sequential decline in other financial and non-financial product to the tune of 21%. This is mainly triggered by fall in the AUM of P2P product which we are distributing, called liquiloan. With the implementation of new regulations by RBI around August last year, there is no fresh inflow in this segment. And with no fresh inflow, existing AUM is going to run-down due to constrained maturity.

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In FY '24, we earned a gross revenue of INR13 crores from P2P distribution. And in first 9 months of the current fiscal, our revenue stands at INR6.6 crores. If you look at the bifurcation of first 9 months, the last quarter alone, which is the quarter period previous to this quarter, that means September quarter alone, we earned INR2.56 crores. And the December quarter, we earned INR43 lakhs only. So there was a significant drop of INR2.1 crores in the P2P segment in this quarter alone.

However, on the other side, there is a strong growth in the PMS, AIF as well as fixed deposit vertical. Our average AUM PMS, AIF in first 9 months of the current fiscal has doubled to INR1,060 crores from full year average of INR605 crores of last year. Our closing AUM in the PMS, AIF segment as on 31st December was INR1,270 crore, so this reflect a significant growth from previous year in the PMS and AIF. And we believe PMS and AIF is a pure, pure trail-driven product which is very, very aligned with the mutual fund business for us.

Now coming to another line item, which is the stock broking. So on the stock broking too, sequentially, revenue has fallen by a third. Large part of this fall is attributed to a fall in transactional revenue owing to a heightened volatility and fall in the market. Also there are some teething issues which we have faced in the last quarter due to the merger of Prudent Broking with the Prudent Corporate, which also led to an incremental revenue fall in the particular segment.

However, in the -- particularly in the broking segment, let me tell you that, in the current quarter, very soon we are going to go live with margin trading facility. A large part of our broking revenue comes from cash segment. And we believe this will be a good value-added product for our broking clients.

Now trying to address another revenue item, which is our treasury income classified as the other income. And if you look at there on a standalone number, our other revenue has also

fallen by 26% from INR5.8 crores to INR4.3 crores. It's mainly because of mark-to-market losses on our small portion of money which we have invested into equity. So I'll just tell you that we have roughly about INR15 lakhs, INR16 lakhs of SIP going on per month. And we have hardly about INR10 crores, INR12 crores of exposure in the equity book. I think in that mark-to-market losses came in the last quarter. So that is also, I think, one of the reasons for fall in the -- so I think there are a lot of things which has impacted the revenue item. And that's the reason you will see that revenue has -- came under pressure in spite of there being an almost 3.4% growth in th

e average AUM. And mutual fund revenue has grown in the same line.

Now another major change you will see is in the commission and the fee expense item. Sequentially, the payout ratio has increased from 63.4% to 64.6%, so let me just try and address this also. So by end of second quarter, that is the end of September quarter, we rolled out a scheme of additional trail for our partners based on the net sales did by them in the current financial year.

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So the partial cost of that based on certain projections was provided by in -- for 6 months. However, when we were preparing the result for the December number, we reassessed the possible costs because of the additional trail. And as I've already told you, that there is a significant higher net sales which is done by us or our distributors in the current quarter. And so I think we realize that there is a need to make higher provision for the same due to strong net sales which we are witnessing.

Hence, we need to provide additional 6 crore towards this. And out of the 6 crore, we have done an extra provision of 3 crore in this quarter. And balance, we will be providing based on the actual number in the March quarter. So this was on the payout front. So despite the challenges, our stand-alone revenue and profit in the quarter grew by 42% and 43%, respectively, on a Y-o-Y basis.

Now let me take you to the consolidated number slides, so move to slide number 47. On the insurance front also -- I think the insurance revenue de-grew by 15.6% sequentially to INR28.6 crores, which was led by a fall in the life insurance fresh premium. So if you look at industry as a whole also, if you look at the data for individual new business premium for LI, industry also has de-grew by about 10%.

On account of changes in the surrender value which have been implemented by the regulator from 1st of October, the rate structure were not clear. And because of no clarity which has emerged from the manufacturers in the first month, I think the October month was significantly impacted. So that has led to a fresh premium at a very low level in the month of October and mid of November.

So however, business is much better in January when I'm talking about to you compared to December. We are expecting the business is likely to be reasonably okay in this quarter. So now finally looking at the consolidated profit for the entire quarter, which grew by 35% Y-o-Y to INR48.2 crore. Additionally, our treasury book has reached INR330 crores, which is also giving us a war chest to grow inorganically.

So to summarize the result. Slower growth in revenue is mainly because of non-mutual fund product like P2P, broking, insurance and the treasury book. The dip in margin was mainly led by the management call to announce additional trail based on the net sales to our distributors. Despite challenges during the quarter, our profit grew by 43% Y-o-Y. Our growth is driven by flow through retail investors which is predominantly coming through SIP, which -- with an average ticket size of INR2,900.

This reflect the strength and the resilience of our retail base. The SIP are ingrained as a disciplined habit rather than a discretionary investment, so this solid foundation reinforces our belief in the structural shift towards mutual fund and positions us for the sustainable growth.

So I think, with this, I'll keep the floor open for question-and-answers.

Moderator: The first question comes from the line of Swarnabha Mukherjee with B&K Securities.

Swarnabha Mukherjee: Sir, first question is on the flow part of the business. So just wanted to understand that in -- I mean, till the -- December, the number looks fairly strong, but -- and you have given some

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qualitative idea also in your opening remarks, but if you could give some c

larity in terms of

quantitatively, like, the INR935 crore SIP flow number that was there in monthly in December.

What it will be broadly in case of January because we are almost closing January now. And in terms of net sales, how it is panning out, again, in January; and given the mark-to-market impact that is there in the market, how much de-growth broadly we should expect here in the 2 particular months in terms of the -- in terms of our overall AUM. So that is the first question. Incrementally, sir, in terms of the MFD activation and getting new business, I just wanted to know from you what is the situation right now.

Because the kind of correction that is there in the market would have occurred after a good amount of time. So wanted to understand how you were seeing in terms of MFD activation in that space. And again, in the -- in terms of the distribution of financial products, we are also seeing a lot of players like fin-techs and entities who were in broking earlier now starting to focus on this line of business both through a digital medium as well as, I think, through an intermediated medium.

So wanted to understand how you are gauging the scenario. Would the competitive intensity go up further in the space? How you are seeing that. So that is on the mutual fund business. On the life insurance business, I just wanted to understand that the blended commission rate has come off this quarter, I guess, because of the surrender value change in the commission structure.

So has it kind of stabilized? Or should we see any further compression going forward also?

Your view on that, yes. So these will be my questions.

Sanjay Shah: I'll -- I think -- Shirish to address with -- about the SIP net flows, which is about the MFD additions and the new business, yes. Shirish?

Shirish Patel: So yes. Because of the market correction, I think, last 7, 8 days, we have seen some drop in the new business, but we are confident that we should be able to achieve the new SIP numbers which will be higher than my November and December number. So January till date also, whatever we have done and what remaining days we are anticipating. Probably January business would be higher than what we did in the month of November, December.

Similar would be the case in case of fresh sales as well. So fresh sales also, last, though, 4, 5 days, I think I will say that volumes have dropped significantly, but January month, still we are hopeful that we should do better fresh sales compared to what we did in the month of November and December. Coming to the net sales side, I think we are very, very confident that net sales also will be higher than what we did in November.

We were anticipating January to be a very great month compared to what we used to do in last 1, 2 quarters. Because of the correction, we could not deliver the extraordinary number in the month of January, but surely we'll be able to do much higher than what we did in the month of November, December. So that, we are very, very confident on.

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Second point was the MFD activation. So yes, new business has come down. The volume has come down in last 5, 7, 10 days, but MFD activation in current month also is the same like what we used to do in the previous months. There is no drop in the number of MFDs participating in this particular month. MFD acquisition, new MFD acquisition is rather a little higher than what we did in last 2, 3 months, so that parameter also, we are on track, so we are not much worried about it.

The another point, the blended yield because of the surrender value. Blended yield has come down mainly because of 2 reasons. One definitely is the surrender value changes post October. And second is some business mix, mainly because in this quarter our new business in life insurance has dropped. So that has attributed some drop. And secondly, product mix also has

changed.

So earlier, we never used to do the ULIP product. Now at least 7% of our business is contributed in the ULIP product. And that also has brought down a little bit of the blended yield. Hopeful that the blended yield should stabilize to the current level. I don't think that I think it should change mainly, but yes, I think it should stabilize at the current level. Your another point was the other product with the new competition, fin-techs and all these companies have started selling.

Mainly we talk about 5 products apart from mutual funds. One is the P2P. Our growth in P2P was very high, but mainly because of this rule change or the RBI new guidelines, we stopped selling the P2P products from August, onwards. And hence, there is a drop. So, I think we are not hoping that the P2P revenue will come back. So that could be the major loss in the near future unless we replace it by some other product.

Coming to the PMS side, PMS and AIF side: We have grown that pie, so that is helping us to compensate some loss from the P2P business. FD is a new vertical, new business. Historically the revenue was not great in the fixed deposit business, but incrementally we are doing a better volume in the fixed deposit business, so that is a positive thing. Stock broking, earlier also, we

used to contribute around 3% to 4% of our revenue. We don't see a major movement on the stock broking business side.

And insurance, we are very, very hopeful that the numbers should come back. And one positive things which we would like to highlight now, till date, we used to do the broking -- and the subsidiary called Gennext Insurance as a broker. We also have started doing insurance business in the name of Prudent with a corporate agency. And recently we have launched insurance business on our same portal, FundzBazar, where we distribute mutual funds.

So that could be a positive trigger, so we are hoping that the insurance also should become stronger over a period of time. I hope, I think, I addressed all your questions.

Swarnabha Mukherjee: Yes. Understood, sir. I just had some follow-ups on this. So in terms of the product distribution by competitors also, I just wanted to ask that. I mean many -- I think a couple of large companies have also announced getting into mutual fund distribution as well. So is that a risk to our model in any way? I just wanted to understand that.

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And second thing, in terms of the chart that you have shared that is very insightful -- but I wanted to understand that, among the 1,000 distributors in the industry, top 1,000 distributors in the industry, how many of our distributors would broadly figure out there? And what would be their growth rate vis-à-vis the remaining in the top...

Shirish Patel: So first part, I think, let me answer second part, Sanjay Bhai will come in. what I understood, I think you are trying to ask that there are a few other platforms who enter in the B2B mutual fund distribution business. Is my understanding right?

Swarnabha Mukherjee: Sir, even B2C also. There have been intend which has been shown.

Shirish Patel: Mainly if you look at -- when you are talking about B2C. Historically all of them -- or majority of them are mainly on the direct plan side. Obviously, if you have seen the number, definitely the direct plan is growing faster than the regular plan, but within regular plan, I think we are very, very confident that we should be able to maintain our market share. Or rather we should be able to increase the market share on regular side.

Direct plans may grow faster than the regular, but that does not mean that the regular plans or the regular distributors might not grow. That is our view which we are holding for last many years, and still we are holding on that particular view. Second part, I think let Sanjay Bhai come in and answer. Sanjay Bhai, are you there?

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Swarnabha Mukherjee: Yes, yes, yes. If you can highlight on the top 1,000 distributors part?

Sanjay Shah: Yes, yes. So the top 1,000, what we did is that any -- so what we did is we took the current list of top distributors. We strike off all the banks. And those who are occupying the top league or the top table today, they should be in the business before 10 years. And those are the lists we have compiled, so which includes NJ & Prudent also. Because all the banks has been removed. But I don't think that none of my distributor would be a part of industry because, anybody who is working with me, that ARN would not be there in the industry. Because that ARN would not be forming part of at least top 1,000.

Swarnabha Mukherjee: Okay, okay. So the top 1,000 is not necessarily individual, but includes NDs also?

Sanjay Shah: Yes because that was very difficult because ND, RD and other is a very difficult thing for you to classify. And we got this number audited by a chartered accountant. So it was very difficult for you to classify because it's always based on your own perception. So we just removed the bank and all non-bank top 1,000 players have been taken.

Swarnabha Mukherjee: Okay sir. Understood. Very helpful. Thank you so much and all the best.

Moderator: Thank you. The next question comes from the line of Dhaval from DSP Asset Managers.

Please go ahead.

Dhaval: Congrats on good quarter. Just had a couple of questions. First was relating to where we are in terms of AUM and where we closed in December. So assuming the 27th Jan number holds for the rest of the quarter: So from an earnings perspective, it should be like a 5% kind of decline

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from where we were last quarter. Is that how one should think about it or like just trying to understand mark-to-market it has how much impact from where we are?

Sanjay Shah: No. So if you look at, I think, the -- you look at the average AUM to closing AUM chart which we have provided. So last 9 months average AUM and last quarter average AUM is roughly about -- close to INR1 lakh crores. And today, we are at INR1 lakh crores. So actually if you look at from INR1,06,000 crores to INR1 lakh crores. I think average would be in the range of INR1,02,000 crores.

There should not be any pain if we got closed around that, but if you fall from here then you

have to keep in mind that there is a strong what Shirish also said and I am also telling you. There is strong sales. Still I think the retail is not hugely impacted. So if you assume that my INR950 crores, INR1,000 crores kind of a SIP which I have been getting. If that money stays in, then -- which is almost about a percent.

And if in coming times you don't see too much correction then I should be reasonably with a couple of percentage variation. So frankly Dhaval you need to do a projection of what is going to be impact of mark-to-market and if it remains here then we don't see much impact.

Dhaval: Understood. Sanjay, what I was referring to was the third quarter number, but I understand your point that 9-month average is by and large almost similar, so it should not be too much different. So that point, I understand. The other bit which I wanted to clarify was on the non-MF side.

Directionally, how -- what is the kind of growth that one should expect in next couple of years from this? From a net revenue perspective, what kind of growth you are budgeting in for the non-MF revenues?

Shirish Patel: Yes. Non-MF insurance is our biggest pie. In insurance mainly it is life insurance and health insurance. Life insurance main revenue comes from the fresh business. Health insurance main revenue comes from fresh as well as the renewal business. If you look at our health insurance growth as a book side also, we are growing far better. Our entire focus mainly to grow the total book of the health insurance.

And we are ver

y hopeful and confident that the business is growing and surely it's going to grow faster, mainly after Prudent launching the insurance business under FundzBazar. So till now also the 9 months number in the health insurance business is...

Dhaval: Shirish, we lost you.

Chirag Shah: Yes. Sanjay bhai, I will just come in here. So what we wanted to say was that till 9 months health insurance business has been much better. In fact, we almost also crossed the last full year fresh business of health insurance in the first nine months.

Dhaval: Yes.

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Chirag Shah: Yes. And another part was life. In case of life insurance, there may be some kind of a slowdown, but overall health insurance will compensate for the same.

Sanjay Shah: So Dhaval there are three parts. One is the major revenue comes from the insurance and probably what Shirish and Chirag is trying to say then. Overall, we feel that it should be reasonably better. We don't see a lot of pressure on that particular part once things get stabilized on the revenue part.

On the broking and the PMS AIF. So if you look at the non-mutual fund, non-insurance: We do a distribution of all the financial product out of that P2P has been removed and P2P to a large extent in last quarter has been already replaced by the PMS, AIF because the book has almost doubled. From INR600 crores of book which we had in the last full year, this year now that book is about INR1,060 crores and with a closing AUM of INR1,200 crores.

So we believe that revenues generated on INR1,200 crores AUM will definitely compensate the fall of P2P next year. Rather, it will give you more better revenue. I think, the FD business which we started in last 6 months, 9 months that also should better over a period of time and broking, which was the transitory phase. Now broking is also with the M2M and everything. I think it should do because they are very small base.

Except insurance remaining small products are of small base and they should do definitely much better, but we do not have any projection that by which percentage it will grow .

Dhaval: Understood. So Sanjay, just to complete this point. So if you look at 9-month net revenue growth of the non-MF side, that is about 25% roughly INR124 crores versus INR99 crores. So that growth trajectory by and large should continue is what I was trying to get through. That you're very confident, net-net with these new changes that we've made?

Sanjay Shah: Yes.

Dhaval: Okay, got it. And just last bit is on the opex side. Any thoughts in terms of what kind of opex growth one should assume for next couple of years like what kind of growth? Assuming AUM again -- I mean I'm just trying to think on its own, how much should be the opex growth isolated?

Sanjay Shah: So actually the opex also, if you look at the current fiscal we added almost 16 branches.

Incremental cost is visible on the opex side, mainly because of rent, electricity, conveyance because this is all related to branch expansion. I don't think today we are at 135. I think Shirish will definitely come in and say, but I don't see significant rise from here onwards.

So you can look at the inflation plus kind of about 8%, 10%, 12% kind of growth on the opex side without assuming significant addition on the branches. On the manpower front, I think the salary growth will still continue to be a little bit elevated than the normal because of the

competition which is emerging. So I think salary growth will be there, but overall I think it will be -- overall opex should be within the range of 12% to 14%.

Dhaval: Understood. Perfect. Those were the questions. Thank you Sanjay and all the best.

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Moderator: Thank you. The next question comes from the line of Prayesh Jain with Motilal Oswal. Please go ahead.

Prayesh Jain:

Sir, just a few questions. Firstly, your SIP market share has been falling: 3.7, 3.6; 3.5 now. So is it because of the competition that is emerging from the discount brokers or the direct route? And how do you see this trajectory going ahead? Second question is on the new arrangement that you have done with MFDs of giving a higher trail.

Now on the other side you have your AMC who were kind of linking their commissions to the TER. And in a growing AUMs times probably we'll see a decline in TER. And that would lead to decline in commissions, so in that period we are increasing the sharing. So is it because there's a -- structurally, does this business change towards much higher sharing now?

And we should assume that this sharing ratio that we've reached in this quarter or probably slightly less than in the current quarter because some of the effect would have come in on the previous quarter and this in 3Q. So do you think that structurally we could assume a higher sharing going ahead for the next couple of years?

Sanjay Shah: Shirish?

Shirish Patel: Yes. So coming to your first point, that SIP share is reduced by around 10 basis point or something. Here, obviously, I think the market share of all these Fintechs in the direct plan is growing. I think that today if you look at the direct plan contributes significantly in the SIP growth. More and more SIPs are coming through the Fintech and directly through the AMCs. When you look at the total industries also, direct will grow faster than the regular.

So obviously, I think, when you look at the total market share on the industry, we might be similar or a little lower, but when you isolate into the only regular we are gaining the market share. On -- in terms of regular, I think definitely the growth rate is much higher than the industry's regular growth, so there I think you -- we are very, very confident on.

Your second point is that when AMCs are talking about pressure on the margins and why Prudent has increased the cost by offering the higher additional trail. Obviously, I think we believe that this is the time when the sentiment was really good. I think if you exclude last 1, 2, 3 months, if you see that -- we believe that I think this is the time to pedal up to the growth on the business.

So obviously and that actually has helped us, if you look at our net sales-to-gross sales ratio has improvised. Obviously the more and more contribution is also coming in last few quarters. If you add in the total costing, the new business what we have done in the last quarter also will increase some kind of costing. Third important and the most important point I would say that more and more -- as you know, that our commission structures are the tiered structures.

So as the distributor becomes bigger and bigger and bigger, obviously they get a little higher share. In terms of AUM share. Now I think more and more people have migrated from the smallest to the little higher structures. So that also has contributed a very little thing on the

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higher sharing, but I don't see that incrementally it is going to be very costly affair or it will impact the margin in a big way.

Obviously, percentage margins, we'll be able to maintain. Absolute margin might come down because as the size of the scheme grows, the receivable comes down. We'll not be able to maintain the absolute margin, but obviously I think the percentage margins, we should be able to maintain. So we are not seeing any big problem in that.

Prayesh Jain: So the current level should sustain, right?

Shirish Patel: Yes, it is sustainable at least for the near future.

Prayesh Jain: Okay, got it. And just the clarification: If -- you mentioned you have 1,200 crores of AUM in AIFs and PMS together?

Shirish Patel: Right.

Prayesh Jain: And what kind of revenues would you have earned out of that product in the quarter?

Sanjay Shah: So it's about INR4.31 crores in the current quarter, so if you annualize that it's roughly about INR16 crores. Based on the current quarter, I think the yield will be in the range of 1.3, 1.4.

Prayesh Jain: Got that. And sharing is similar as mutual funds or other products?

Sanjay Shah: No, it's much better than the mutual fund. Because mutual fund blended yield which we report is 90, 91 basis point. Here I am talking about 1.3 basis point because here you get the GST over and above your regular yield while in case of mutual fund, whatever you receive GST has to be paid out of pocket.

Prayesh Jain: Okay.

Shirish Patel: Same absolute margin is higher.

Prayesh Jain: Absolute margin is higher. Okay, got that. Thank you so much sir and all the best.

Moderator: Thank you. The next question comes from Lalit Deo with Equirus Securities. Please go ahead.

Lalit Deo: Yes. Sir, just two questions actually. One -- so right now we are hearing that a lot of AMCs has been rationalizing their distributor commissions. So just wanted to get a sense like how should we see our commission yields, gross yields, for the next couple of years going ahead? And what would be the impact of the same on the top line as well as the bottom line?

And secondly, like, when we look at the insurance business. So just wanted to know like how is this business trading, doing in the month of January? Are we back to the normal volumes in the life insurance or is it still lower than what we have envisaged?

Sanjay Shah: Shirish?

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Shirish Patel: So yes. I think few AMCs have cut their commission in last few quarters. We believe that the bigger ones already have started or they already cut. This is mainly because -- if you see the AUM growth in last 2 years, 3 years and that has impacted AMCs' margins severely. And hence they have cut commission. Whether this kind of cut will continue or will go to all the AMCs, I think the opinion might be a little different compared to what you might be thinking. Yes, I think few AMCs might come in to cut historical assets. Obviously, when the historical assets on certain schemes is reduced, it might impact the gross yield, gross revenue at the aggregate level, but the impact might not be that great. Because, last 2 years as and when the sizes become bigger and bigger, the AMCs have already reduced the commissions on the new business.

That depends on how many AMCs do come in to cut the commission and which all schemes they cut the commission. So today, if you see, I think hardly four, five AMCs have cut the commission on the historical assets and that too on -- not on all schemes. So only time will say that I think which all AMCs and which all schemes they cut the commission, but till now whatever they have cut is already absorbed in the system. And you can see that, I think, we could be able to maintain the margins on the gross side.

Coming to the net side, net yield side also because we believe that as and when the AMCs cut the commission for us, simultaneously they also will cut the commission for the MFD community or other distributors as well. So whenever they cut our commission, we are also able to pass it on the commission in the -- almost the sharing ratio to our distribution, so we don't see that, that might impact our net margin in a big way.

Shirish Patel: Insurance business, I think, still now -- so I'll answer 2 ways. One is the health and life. As I said that health insurance, we are very, very bullish & aggressive. And definitely, I think, last few quarters, we have improved our health insurance business, and that we believe it is most sustainable and long term in revenue.

Health insurance, probably, January, we have done the highest-ever number with a huge margin. So that is a very, very strong message we would like to give. Life insurance side, yes, we might not be a

ble to see the numbers what we did in 2023, but compared to the last quarter, definitely we have done the better number till now in the month of January. And we are hoping to continue similar kind of number in the next 2, 3 months.

Lalit Deo: Sure, sir. And sir, just 2 data-keeping questions. So one was just a confirmation. Like, in the MF commission payout ratio, that has increased to about 54.6%. Is that right?

Sanjay Shah: So Lalit, I think, the payout ratio which I just gave you, there is some additional provisioning of about INR3 crores, INR3.5 crores in the current quarter because of additional trail linked to net sales which we announced at the end of last quarter. And that's the reason there is additional provisioning of INR3 crores.

So if you adjust that -- so I think we -- there is additional cost of INR6 crores in these 2 quarter -- this and next quarter. If you rationalize to full year, I think the impact will be about 1 basis point.

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Moderator: The next question comes from the line of Dipanjan Ghosh with Citi. Please go ahead.

Dipanjan Ghosh: Just a few questions, first on the mutual fund business, if you can kind of give a qualitative

understanding of how do the commission yields really get restructured. For example, when you -- when the AUMs have declined at such a sharp pace, I had assumed that the absolute quantum that you will be getting from your asset management partners would also go down. So in terms of the commission yields, are they on a daily basis of AUM? So how does it really work, both from what you get from the asset managers and what you pay out to your underlying agents on an absolute basis? How does it kind of -- how does the construct really behave?

Second, you mentioned that your December-to-yesterday AUMs are down 6.1%, but if I look at Nifty mid-cap, small cap, mid-cap is down like 9%, small cap more than 10%. So I just wanted to get some sense of is it the underlying scheme mix or asset management mix? Or what is really driving this relatively better AUM movement compared to what we are seeing in the broader market?

Lastly, on the MF yield part, while you've already answered. One of the asset management companies seemed to be suggesting that, on incremental flows, they are moving to more of a mirror pricing -- or rather linear pricing of the expense ratio with the distributor commission bill? Do you see that more of a structural trend, or is that specific to 1 or 2 asset management companies? So these are the questions on the mutual fund side. I have 1 or 2 questions on the insurance also?

Shirish Patel: AMC's are adjusting their payouts based on the latest TER. I think, last few years, AMC's are repricing the new business every month. So every month, we are getting the commission based on the latest DTR or the latest marginal TER of the AMC. So I don't see that -- any changes in the AMC's business in the new pricing.

The only new thing which is happening in last few quarters is the repricing the older assets. That has been done by few AMC's. And mainly I think those schemes wherein the AUM has grown very, very significantly. And that is where few AMC's have done it. We don't see that all the AMC's will follow to cut the historical AUM, but on the new business, all AMC's are doing. And they are doing for last many years. It is already in routine, daily routine, daily pricing, so we don't see any impact on that.

Second point you said, that -- the average AUM. So if you look at last quarter's, average AUM was around INR1,02,000 crores. And today -- this month, our average AUM till now is around INR1,02,000 crores, around. As on right now our average -- our AUM is INR1,01,000 crores, around. So as of now our average AUM in the month of January is almost similar to the average AUM of last quarter, but as of now we don't see any big change in the commission. Your t

hird question was the -- I could not understood your first question, but it was, I believe, the absolute commission, what we should be or will be getting from the AMC, and the absolute commission, what we'll be passing on to the distributors. Is that the question? I couldn't understand first question right. Dipanjan?

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Sanjay Shah: No. He wanted to understand how you get. So it's basically based on the daily average AUM...

Shirish Patel: So it's an industry norm that the commission is based on the daily average AUM. Same is the rule for what we distribute.

Sanjay Shah: And Dipanjan, your question regarding our ability to do better than the industry -- than the Nifty 500 is you are very, very true. Because if you look at -- we said in our commentary also last quarter our AUM, due to mark-to-market, has fallen by 4.5%, while Nifty 500 had fallen by 7.7%. Similar is the case in the current quarter also.

Overall broader market, and the small cap, mid-cap has fallen at a pace more than what we have fallen. So if you look at -- if you add the net sales, roughly about INR800 crores to INR900 crore, then our fall is definitely better than -- we are able to control the losses of the investor because we are reasonably about 18%, 20% in the multi-asset allocations and the hybrid category.

And the exposure is definitely -- I think it's a -- we have the versatile book which is having an exposure to various category and that is the reason. And my belief is that even the fund management industry is also doing better in this fall, recent fall.

Dipanjan Ghosh: Sorry, as I got dropped off, but yes -- sorry. I have 1 or 2 questions on the insurance side. In the last participant's question, you mentioned that Retail Plus Life is doing well, but on the Life side, the volume should be lower than '23. Did I understand correctly, the '23? Or '24. I mean last year or the year prior to that. When I look at the life new business, let's say, this year, Jan '25, versus, let's say, Jan '24 -- how that is shaping up?

Second, in terms of now, let's say, competition from some of the other POSP players. Now incrementally you are also doing ULIPs. I would assume that some of them are also selling ULIPs and other products. So do you see a possibility that, over a period of time, some of the POSP partners can make a shift?

Then second question and last question is on the expense growth. When you mentioned that your expense growth will be like 12%, around, for the next year, that only includes core employee expense, other expense, depreciation and finance costs, right?

Sanjay Shah: So let me address the third question first. I was just giving a general expectation that, in the current year, the employee costs and the operation cost is a bit elevated because we have added a lot of branches in the current year. So if I consider that, next year, growth is not going to be as significant as what we did in the current year, then the operating costs of rent and others would remain more or less in the range of 8% to 10%.

And employee -- we still continue to believe that the cost of salary rise would be a little bit higher than an average, so I'm assuming that would be in the range of 12% to 14%. All in all, you can expect that 12% to 14% growth should come on the operating expenditure. I think the depreciation would be rock steady because we do not have any significant addition which will bring more cost from the depreciation side.

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I think finance cost is practically 0 so there will be no change in these two items. Overall, we expect that the next year growth -- looking at the current year base, then 12% to 14% should be the range for operating expenditure, which include the employee costs also. Shirish, now you can address the insurance and the ULIP.

Shirish P

atel: So the point what you asked that -- it was 2023 when this rule of INR5 lakh taxability has come in, so 2022, '23 was the best year for the life insurance business. So that is the reason why I said that, this quarter, we don't -- we will not be able to break what we did in '23. We are not talking about '24, but '23 was an exceptional year in the life insurance business. So that was the point.

Coming to the other POSP: Yes, I think -- the insurance business side, I think there are many other companies focusing on the POSP business, but we always have focused on the POSPs from the cross-selling perspective because we already have more than 34,000, 35,000 distributors; ARN holders working in mutual funds with us. We normally are not in the competition in the open market for the POSP business.

We always believe that all the mutual fund distributors or the ARN holders who are doing insurance business either somewhere outside with the manufacturer or the insurance companies directly or those who are not doing the insurance business -- I think we'd normally try to cater to that segment of distribution.

So there is no overlap with other companies focusing aggressively on the POSP market from the open market. They are in existence for last 4, 5 years in the similar business, so -- they are doing their own business. We are doing our own business, so there is no overlap, big overlap, between the POSPs.

Dipanjana Ghosh: Okay. Sir, just one small follow-up. I mean when I look at 4Q '23 insurance numbers. Obviously, I mean, across the industry, it was obnoxiously high, which I think many of the companies might not be able to -- or distributors might not be able to repeat in this year also, but if -- if you exclude the one-off sales that would have happened in 4Q '23 -- if I just look at 4Q '24 as a relatively normalized base.

On that, do you see a positive traction? I mean because I think the industry might still end up with a positive Y-o-Y in 4Q. So would you be in line with the industry? Or do you see the challenges of last quarter still persisting?

Shirish Patel: We might be in line with the industry, but obviously the impact of surrender value is visible, in this quarter, in the industry's number as well and probably our numbers as well. So probably our number also will be in line with by industry's number. We are not saying that we should be able to do the FY'23 number, but yes, it will be better than what we did in the previous quarter. Or think -- or the average number of the -- during the year in the life insurance side. Health insurance side, definitely our numbers will be far better than what we used to do in many years.

Moderator: The next question comes from Nikhil Suresh from Kotak Securities.
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Nikhil Suresh: Sir, can you give some color on what is the mix between NFO and non-NFO flows for this year, in the first quarter? And my second question would be is there any update on the back-book revision of commissions, in terms of is there any effect on swinging flows towards other AMCs incrementally, looking at the market dynamics? That's all.

Sanjay Shah: The first question, he was asking more the percentage of sales of NFO in our net sales. So I think that number, we normally used to talk to them. So last -- second quarter, it was roughly

about 30%. First quarter, it was roughly about 21%. Last quarter, Shirish it came down to 14%.

So last quarter NFO it was roughly on the total net sales, I think the contribution of NFO has come down to 14%. That was the first question. Second, Shirish, you can address.

Nikhil Suresh: Yes, is there an effect on swinging flows towards other AMCs incrementally because of the back-book revisions of commissions?

Shirish Patel: So distribution level. Lately, we have seen there is some movement but not significant, some movement, happening to the flows from the bigger

AMCs to mid-size AMCs, but that is not

going to impact the overall yield in a big way. Incrementally, yes, few percentage flows might go to the mid-size AMC, which can help us, distribution improving a little yield, but it is not going to impact the gross yield or the book level, so not impacting much.

Moderator: As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Sanjay Shah: Thank you. I think we could be able to answer all the queries of all the participants. At this time, the -our Investor Relations guy, Parth, is not part of this call. However, if you have any query, you can definitely come back to us or Shirish or anybody who is a part of this call. And even Parth, who handle our IR, he'll be available to address all your incremental queries.

Thank you.

Moderator: On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: May 2025

Date: 19.05.2025
ISIN: INE00F201020

Dear Sir / Ma'am,

Sub.: Transcript of the Conference Call for Audited Financial Results for the quarter and year ended March 31, 2025

With reference to our earlier intimation dated May 07, 2025 and in terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of the Conference Call with analysts and investors held on May 13, 2025 in respect of the Audited Financial Results for the quarter and year ended March 31, 2025.

The same will also be available on the website of the Company at www.prudentcorporate.com.

Please take the same into your records and do the needful.

For, Prudent Corporate Advisory Services Limited

Kunal Chauhan
Company Secretary
Membership No: FCS- 13492

Encl.: As above

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To,
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Q4 & FY '25 Earnings Conference Call"
May 13, 2025

MANAGEMENT : MR. SANJAY SHAH - CHAIRMAN AND MANAGING
DIRECTOR - PRUDENT CORPORATE ADVISORY
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M R. SHIRISH PATEL – CHIEF EXECUTIVE OFFICER
AND WHOLE-TIME DIRECTOR – PRUDENT CORPORATE
ADVISORY SERVICES LIMITED
M R. CHIRAG SHAH - NON-EXECUTIVE DIRECTOR –
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M R. CHIRAG KOTHARI – CHIEF FINANCIAL OFFICER –
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M R. PARTH PAREKH - INVESTOR RELATIONS –
PRUDENT CORPORATE ADVISORY SERVICES LIMITED

MODERATOR : MR. SAI ADITHYA MENON – AVENDUS SPARK

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Moderator: Ladies and gentlemen, good day, and welcome to Prudent Corporate Advisory Services Limited Q4 and FY '25 Earnings Conference Call, hosted by Avendus Spark. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sai Adithya Menon from Avendus Spark. Thank you.

And over to you, sir.

Sai Adithya Menon: Thank you. Good morning, and welcome to the 4Q and FY '25 Results Con Call of Prudent Corporate Advisory. We have with us the management of Prudent Corporate Advisory Services Limited, represented by Mr. Sanjay Shah, Chairman and Managing Director; Mr. Shirish Patel, Chief Executive Officer and Whole-Time Director; Mr. Chirag Shah, Non-Executive Director; Mr. Chirag Kothari, Chief Financial Officer; and Mr. Parth Parekh from Investor Relations.

We would request the management to start with the opening comments, post which we can open the floor for Q&A. Thank you, and over to you, sir.

Sanjay Shah: Thank you, Adithya. Thank you very much, and good morning to everybody. So, I welcome you all to the earnings call for the fourth quarter of FY '25. I thank you for sparing your valuable time to join us today. I hope you have the Investor Presentation handy, which we uploaded on the exchange yesterday. As when I'll start talking about the opening remarks, we'll be giving references to the various slides.

So to start with, I'll take all of you to -- go to Slide 27. So if you look at post recent market volatility, we thought of analyzing the volatility in our AUM vis-a-vis the market volatility. Our idea was to analyze our AUM and whether the AUM is as volatile as Nifty, or we are part of the cyclical? So, we have added a new Slide number 27. So, please come to that slide. Here, we have analyzed 12 months rolling return from April 2010 to March 2025, which covers about 168 observations. We bucketed these observations in 3 phases based on the Nifty 500 12-month rolling return. One is negative return where Nifty 500 has given a return less than 0%, which is a bear phase. Another is positive return, which is up to 15%, which we consider a range-bound period. And last one is above 15%, which is a bull phase. Now, look at the outcome in each of the 3 phases. So first, look at the top row where returns are less than 0%, that is the first row in the table. In this situation, there are 38 observations, which is roughly 23% of total 168 observations. Average Nifty 500 return during this period was negative by 8.4%, as mentioned in the fourth column.

During the same period, industry's equity AUM was roughly flat at about 0.2%, which is provided in the last column. But Prudent's equity AUM grew strongly by a positive 11.1%. This is mentioned in the second last column. This clearly shows that even in weak market, we Prudent Corporate Advisory Services Limited
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continue to grow, thanks to our granular SIP book, which drives steady flow during downturns. In fact, it is during this very phase that our granular SIP book becomes a true competitive advantage, delivering steady and scalable growth when others are facing net outflow or stagnation.

Now look at the second row, where returns of Nifty 500 were between 0% and 15%. This phase covers roughly 65 observations, which is 39% of the time. During this phase, Nifty 500 gave an average return of 7.5%. Industry equity AUM grew by 15.2%, while Prudent's equity AUM grew by 27.2%. So while the broad mutual fund industry saw moderate growth, our equity AUM grew nearly twice that of the industry.

So bot

tom line is 61% of the time, market conditions were challenging. Yet during this period, Prudent significantly outperformed both in absolute terms and relative to the industry, showing the power of our SIP engine and resilient distribution model.

So now let us come to Slide 44. So this slide talks about our numbers. So, we'll straight away move to our numbers now. So if you look at the Slide 44, starting with the chart on the left-hand side, it compares the daily average AUM for the FY '25 with the opening AUM of April 2025. In FY '25, we earn revenue on a daily average AUM of around INR99,678 crores. We entered FY '26 with an opening AUM of INR103,500 crores, which is roughly 3.8% higher than the FY '25 average. This gives us a headroom starting in FY '26. And as of now, our AUM has further improved to around INR109,000 crores, which is roughly about 9.2% higher than the full-year average of FY '25.

Now, moving to right-hand side of the slide. This shows the quarterly average AUM trend. For Q4 FY '25, our average AUM was INR101,764 crores, which is down by 3.6% sequentially compared to Q3. It is mainly due to mark-to-market losses driven by weakness in the broader equity market. That said, on a year-on-year basis, our Q4 AUM is still 26% higher than the same quarter last year.

Now please move to Slide 45, which shows the movement in our equity AUM on a both year-on-year and a quarter-on-quarter basis. Starting with the year-on-year perspective on the left-hand side, our equity AUM increased by 25% during FY '25, rising from around INR80,000 crores in March 2024 to INR100,061 crores by March '25, an increase of nearly INR19,900 crores. Of this, roughly 2/3 of increase came from the net sales.

We did an equity net sales of INR12,606 crores in FY '25, which is almost double than the growth over the previous year's number of INR6,164 crores. Of this, our gross SIP inflow stood at INR10,214 crores in the full year of FY '25. The remaining addition of INR7,226 crores was from mark-to-market gain, which is around 9% of our opening AUM.

Now if you look at the quarter-on-quarter AUM movement, our equity AUM declined marginally by 2.6% from INR102,000 crores in December 2024 to roughly INR100,061 crores in March 2025. This decline was primarily due to broader market correction, which led to a negative mark-to-market impact of INR5,900 crores, which is roughly about 5.8% of my AUM.

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Despite this market drag, we continue to have healthy positive net sales of INR3,296 crores during this quarter. Going into FY '26, we believe that we should do net equity sales equivalent to our gross inflow from SIP to the tune of INR11,000 crores, INR12,000 crores, which is roughly 11% or 12% of our opening equity AUM.

Now let me tell you, please move to Slide 46. On the bottom left, we have given the data on monthly SIP flow and our market share in SIP. As of March 2025, our monthly SIP book stood at INR981 crores, up from INR935 crores in the December month. While industry saw a slight dip in SIP number during this period, our SIP book continued to grow. Looking at the full-year fiscal, we have added INR255 crores to our SIP book, which is a solid 35% growth year-on-year basis.

Now let me tell you, please move to Slide 49. So now we'll turn to the current financials. So please move to Slide 49, which is the last slide of our presentation, which talks about the standalone number. Please look at our mutual fund revenue has declined by 5.1% in this quarter on a quarter-on-quarter basis, which is slightly more than 3.6% drop in our quarterly average AUM.

This is primarily due to 2 days lower in this quarter, that is 90 days in March quarter versus 92 days in December quarter, which reduces the revenue by approximately INR3.8 crores in this quarter because of that 2 days impact. If we adjust, then revenue would have decli

ned in line

with quarterly average AUM.

Our revenue from financial and non-financial product at INR7 crores has degrown by about 1.7% Y-o-Y. In FY '25, we earned INR31 crores from other financial and non-financial product segment, of which INR6.9 crores came from P2P lending. However, following RBI's new regulation introduced around August last year, there have been no fresh inflow in the P2P segment. As a result, existing P2P AUM is gradually coming down due to scheduled maturities, and we do not expect any revenue from this product in FY '26.

So while P2P revenue stream is expected to taper off, we see encouraging traction in our PMS, AIF and FD segment, which should help mitigate the overall impact, which might arise in next year due to withdrawal of P2P product from our system. Our average AUM of PMS and AIF in FY '25 stood at INR1,080 crores, which is a growth of 80% over the average AUM of FY '24. That is the first positive point.

Second, as of now, PMS, AIF book is close to INR1,200 crores, which is 10% higher than FY

'25 monthly average, reflecting strong momentum heading into FY '26. On the fixed deposit side, mobilizations in FY '25 was 43% higher than FY '24. We also on-boarded two additional bank FDs towards the end of FY '25, which gives us further confidence in continuing this growth into FY '26.

Now, let me turn to a very important data point related to commission payout expenses. On commission payout expenses, I'll address commission and fee expenses from a full-year FY '25 perspective. If you look at our payout ratio on a full-year basis rose by 300 basis points from 61.1% in FY '24 to 64.1% in FY '25. Now, this increase is mainly due to 3% shift in our AUM

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mix towards partner channel, which involves a payout to the partners. Based on 65% average pass-through rate, this mix change explains 180 basis points of our increase in the payout cost, number one.

The remaining 120 basis points is due to additional trail scheme launched by us to boost the net sales. Since additional trail scheme was launched in September '24, around 80% of our provisioning towards this expenditure was done in second half of FY '25, which makes the commission payout ratio in last 2 quarters appear on a higher side. A similar scheme for incentivizing distributors based on net sales will also be there in FY '26 as well.

However, Q4 payout ratio of 66% should not be seen as a new baseline since most of the provisioning has happened in H2. Going forward, full-year payout ratio, which is 64.1% in FY '25 gives a more realistic picture. And just to give you a guide, please keep in mind, for every 1% shift in our AUM mix towards partner channel, you can expect the payout ratio to increase by around 65 basis points.

As of now, when I'm talking, the partner channel contribute roughly about 90% in our system as far as our AUM is concerned and 10% comes from the direct channel and the old erstwhile Karvy AUM, which has not been assigned to anybody. So, this put together is roughly about 10% of our system.

So to close out the standalone business performance, for the full-year FY '25, our revenue grew by 40% and profit by 42%, reflecting underlying strength of our core model. While operating leverage is not fully visible in the profit growth, that's largely due to shift in AUM mix towards the partner channel, which carries a higher payout ratio.

To put this in proper context, let us assume if there had not been any change in the mix, assuming that mix remains stable, our profit growth would have been comfortably exceeded 55% against current growth of 41%, giving you a clear sense of operating strength. Beyond the numbers, we have also made strong strategic progress in FY '25, which I would like to address here. We added 4,900 new distributors in FY '25, a 56% growth, which deepens our market reach and reflects the gr

owing trust in Prudent platform.

On the FundzBazar platform, we have fully revamped that entire platform before a month both on the desktop and mobile to deliver a smoother, faster and more intuitive experience.

Most importantly, insurance is now integrated into the FundzBazar, transforming the entire FundzBazar platform into a holistic solution for both investment and the protection needs.

With this enhancement, FundzBazar is not just a transaction platform, it's evolving into a full-service ecosystem for our distributor and their client, supporting them across the entire spectrum of product basket.

Now, let me take you to the consolidated numbers slide, which is Slide #48. On the insurance front, our fresh premium grew by 67% during the quarter on a sequential basis. Consequently, insurance revenue grew by 40% sequentially. On GI front, which is predominantly a retail health business for us, is also picking up really well.

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Fresh business sourced on GI in FY '25 grew by 40%, and our total book has roughly touched INR150 crores. The GI yields are looking bit lower during the March quarter, mainly because of the fact that we recognize revenue in our books only based on the confirmation, which we received from the insurance company. Similar is the situation for the life also.

Due to March end, we will only get confirmation in the next quarter and some part of GI income might spill over into the next quarter. So, same issue was already there in the last year, Jan, Feb, March, where the GI yield has come down to 23%. On the LI front, last quarter was a bit subdued on the insurance front on account of surrender value change. On a low base, we have grown the fresh premium in LI by 88% during the quarter.

Now, important point I want to cover would be the employee cost. On the employee cost, the same has reduced by 19% during the quarter to INR24.3 crores. This is mainly on back of lower provisioning for variable expense cost in the fourth quarter. As far as our fixed employee cost for FY '26 is concerned, let me just tell you that our wage bill and the full-year review of our employee has been completed by us in the month of April.

And post review of all our employees, we just want to communicate that our salary bill in April has gone up by 14.5% compared to March '25 salary. So it's a cost escalation of about 14.5% on the fixed component side.

Additionally, as you all would have gotten access of, we have done a filing to the exchanges yesterday. So, we are in the process of introducing ESOP program for our employee in the current year, definitely subject to shareholder approval. Let me just tell you that it's a plan for next 10 years, wherein we are taking a total dilution over a 10 year roughly in the range of 4% of our current outstanding equity.

So our current share -- number of shares are 4.14 crores and the ESOP plan gives the power to give 16.5 lakh equity shares as an ESOP plan to our employees over next 10 years. So it's roughly about 4% dilution, which might happen over a period of next 10 years. And assuming on the cost side, this year, we might have a ESOP of, let's say, 120,000 or 150,000 shares between this range.

We assume that cost of this ESOP would be in the range of 2.5% to 2.75% of profit before tax. And this entire cost would be amortized over a period of 4 quarters after the announcement. So in the current quarter, I assume that first quarter, April, May, June may not have any cost. But then after, you'll see a regular cost, which is going to be a part of our P&L.

So now looking at the consolidated profit on a full-year basis. Profit have grown at 41% year-on-year to INR195.4 crores. Our average return on equity during the year stood at 34%. Our treasury book is close to INR500 crores, is giving us a war chest to grow inorganically.

Now let me end by drawing your attention

to Slide 16. Please move to Slide 16. So, this Slide

16 captures the extraordinary opportunity, which lies ahead for India's mutual fund industry. Back in 1980, United States saw its per capita GDP triple over 2 decades. But what was truly remarkable is that during the same period, mutual fund industry grew by 52x, an explosion of wealth creation and financial participation.

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Today, India stands at a similar inflection point. According to Viksit Bharat 2047 Report published by AMFI, India's per capita GDP is expected to grow by 9x over next 2 decades, a far steeper climb than what U.S. has experienced. And alongside this economic transformation, India's mutual fund industry is also projected to grow by 42x to nearly INR2,800 lakh crores by 2047.

That's a CAGR of 18% to 19%. We are not just witnessing incremental growth. We are also participating in a generational shift in financialization and wealth creation. At Prudent, we are deeply aligned with this vision, and we believe we are exceptionally well placed to benefit from this structural and long-term opportunity.

So with this, I would like to open the floor for Q&A. Thank you.

Moderator: Thank you sir. We have a first question from the line of Lalit Deo from Equirus Securities. Please go ahead.

Lalit Deo: Congratulations for a good set of numbers. Sir, I have 2 questions. So, firstly, like in the recent times in the last, how has been the trend in case of -- in the month of April and May in terms of net flows and the AUM growth? Just wanted to understand that.

And second, if we just back calculate the commissions in the other financial products, so there the payout seems to be much higher. So, I just wanted to understand what would be the steady state payout in the broking business as well as the other financial and non-financial products.

Sanjay Shah: So April, May, let Shirish address about how is the net flow and the movement. Movement in the AUM, I already told you, right? We are at INR109,000 crores I'm talking about. However, when you look at the commission payout in other businesses other than the mutual fund and the insurance, I think it is broadly in range because the payout ratio in broking is roughly about 55% and other products would be similarly in the range of 65%.

So, there hasn't been any significant change as far as our payout structure is concerned for the non-mutual fund non-insurance segment. Regarding the flow, Shirish?

Shirish Patel: So, April month net sales was in line with what it was in the last financial year, average net sales. In the month of May, initial 7 days number looks a little slow down in the net sales. But of course, I think the gross is also down a little bit in the month of May. We hope that, I think, after this market settling down on positive sentiment, I think it should come back. But barring last 7 days, 10 days, I think the net flows in the month of April is in line with the last year's

update.

Moderator: We have our next question from the line of Yash Mehta from Malabar Investments.

Yash Mehta: I wanted to understand the split of the book where the commission is paid out to you on an AUM basis versus a flow basis. That's question number one. And I'll ask my second question after that.

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Shirish Patel: Yes. So 100% of our AUM is based on the trail commission is on the AUM base. Flow basis, there is no revenue because mutual fund 100% business is the AUM-based only. PMS, AIF also nowadays is completely trail-based. So it is nothing on a flow-based commission. It is 100% on a AUM basis. If you really split the total income between the new business what we did in this financial year, almost around INR23,000 crores, INR24,000 crores of gross sales we have done, but there also the payout is in the base of the trail only. S

o, there is no upfront

revenue what we have received in this financial year on the mutual fund side or the PMS side.

Yash Mehta: Sir, my question was on the, let's say, when you do the commercial negotiations with the MF, I understand that it is done on a flow basis and it remains the same for the years to come. But what we have seen is we have seen some of the mutual funds, especially in the listed domain, kind of passing on the impact on an AUM basis with free flexible pricing. My question was relating to that, sir.

Shirish Patel: So basically, if you look at throughout the year, around 4 to 5 AMCs have cut the trail commission on a historical AUM that is on our book. Obviously, when they cut the trail commission, they also cut for us, as well as for the general MFDs in the market. So fortunately, we could pass on almost in a similar line.

So today, if my payout ratio is around 2/3, 2/3rd we are able to pass it on. If you look at the roughly impact on our yield, I think I would say that the total cut on a gross basis would have impacted our yield by around 1.2 basis points to 1.4 basis points. So, that is the total impact on a gross yield side. Having said that -- as we said that almost 2/3 of that cut, we are able to pass it on to our distributors. So the ratio is almost similar to our payout ratio. I hope this clarifies your question.

Yash Mehta: So, that basically would suggest that only less than 2% of the AUM has been repriced.

Shirish Patel: I said 2 basis point impact on my gross yield, 1.5 basis point impact on the gross yield.

Yash Mehta: We have 90 bps odd revenue. So, I was just trying to back work and try and see what share of the AUM was impacted.

Shirish Patel: As I said, the yield impact is around 1.3 basis points to 1.4 basis points. So on the gross yield of 90 basis points, you can see that the yield has come down by around 1.3 basis points, 1.4 basis points.

Yash Mehta: Okay. Understood. Fair.

Sanjay Shah: So, I think your question is what is the percentage of AUM, which has been repriced, right? So HDFC alone, I'm telling you, which is about 12% of our system and the equity was almost about 10% of my system, which has been repriced. So, you can't look at that the impact is about 1 basis point on 100 basis point is 1%, right?

So it's not that 1% AUM is repriced. Impact is 1%, but the AUM reprice might be about 10%, 12% or more than that. So I'm roughly, I'm just giving you. So you can't make out the percentage repricing of the book based on the percentage impact on the yield.

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Yash Mehta: Okay. Yes. And fair enough, sir. And the second question is essentially what share of the MFDs in the market today would be using a tech platform? And how do you kind of think about your share within those MFDs who are trying to use a tech platform to leverage their business?

Shirish Patel: So today, the acceptability of technology in MFD segment has gone up drastically post-COVID. Simply, if you put our numbers, we have got almost 33,000 MFDs registered with us.

If I assume that around 24,000, 25,000 MFDs are working with me out of around 2 lakh plus registered NISM certified MFDs in the market, so on 25,000 over 2 lakh, so you can say that, that percentage of MFDs are currently active with us.

The remaining MFDs, those who are not working with us, out of that, some may be working with other platforms on our technology side. Remaining are working directly with the MFDs.

Now here, definitely, you always can say that the acceptance of technology earlier in MFD segment was not there. Now, there are many software providers are available in the market last

few years or last 7 years, 10 years.

The acceptance of technology is improving. But understanding of platform, the benefit of platforms is changing over time. So, I think I can tell you before 5 years, 10 years, the acceptability of software or

the technology was not there. Now, I would say that the acceptability of platforms working every product in a single roof, single place, I think that is changing. But net-net if you can say, I think today, almost around 10%, 12% of the industry is working with us on the technology side.

Yash Mehta: Understood. And sir, if I can put in one question. As far as, let's say, the guidance on net sales is concerned, you mentioned that net sales will be equal to the SIP run rate that you currently have. But 40% of your customers do not actually participate in the SIP. So, I just want to understand that there is a significant amount of lump sum also that should come into that net sales number.

Shirish Patel: So, any net sales is the outcome of total gross sales minus the redemptions. If we look at long-term trend, I think year-on-year, the trend may change. Today, if you look at around INR980 crores of our SIP book, that gives us the confidence that this year, our net sales will be in the range of around INR12,000 crores, not necessarily that this year's net sales would be INR12,000 crores, that I think there are many other parameters as well.

But overall, I think 7 years, 10 years trend, what we have seen that the net sales is equivalent to SIP sales, and that is what we are trying to say. Of course, I think that doesn't mean that SIPs are not getting terminated or redeemed.

So when you are saying that 40% of our clients don't have SIPs, obviously, I think they don't do SIP. They only invest to lump sum. They also redeem. But the SIP clients also redeem. So net-net, what we are trying to say that the total gross flow is a combination of SIP flows, plus the fresh purchase and the redemption may happen from both the set of customers.

Net-net, our net sales comes in the range of SIP sales, and that is the trend of last 7 years, 10 years on an average. Year-on-year, it may change. If you look at, I think, 4 years before, the Prudent Corporate Advisory Services Limited
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entire net sales was completely flat for us and negative for the industry. At the same time, 1 or 2 years would be there wherein the net sales is much higher than the SIP sales. But long term - and that is where I think Sanjay bhai reflected that the long term, the net sales is equal to the SIP sales.

Moderator: We have our next question from the line of Dipanjan Ghosh from Citigroup.

Dipanjan Ghosh: So I have a few questions. Maybe I'll ask the first 3 initially. So one, if you can spell out the gross sales mix for the year from the top 5 or top 10 asset managers versus the others? And also in this line, if you can give the NFO-led sales that you have seen during the year? The second question is on the commissions. Now in the previous participant's question, you mentioned that the net yield impact because of back book repricing was probably around 0.4 to 0.5 bps on a net basis. But if I look at annually, your yields are flattish to marginally up.

So now what will explain this? Is it like better realization that you're getting on your new business? And if so, let's say, whatever you have AUM mix on your back book, if I were to replicate that on your new book, how -- what would be the differential between fresh realizations versus, let's say, this 91, 91.5 bps of overall realization that you have today? And 2 other questions from a long-term perspective.

One is you mentioned inorganic in your presentation. You're sitting on a decent cash pile. So what value additions or what sort of integrations or strategic expansions would you really want to have in the inorganic domain? And lastly, a theoretical question. I mean, how do you see the ARN registrations in the country really increasing from a long-term perspective? And do you see competition really kind of picking up in this segment and maybe that 20% sort of MFD market share increasing or tapering down from a medium to long-term perspective?

ive?

Shirish Patel: So I think first 2 questions, I think top 5 AMCs if you look at the kind of gross sales, what these top 5 AMCs contributed in our total gross sales was in the range of around 45%, 47% roughly. So top 5 AMCs gross sales was in this range. NFOs out of our total gross sales, what we did in the last financial year, I think roughly, I think we don't have the exact counted number.

But roughly, our NFO number would be in the range of 10% to 12% of our total gross sales during the year. So yes, I think we do participate in the NFOs, but we don't participate in all NFOs. So that is where -- and second, I think out of our total gross sales, significant component is contributed by SIP. So -- and hence, I think in total gross sales, NFO sales is always lesser than maybe you can say compared to the industry.

What you talk about the yield 91, 92 basis points, that is yield on the total book you are considering, some component of debt AUM is also there. So always when we compare the yield, it is always the yield on the equity or the full fees, equity hybrid combined on the book as well as on the new flows. While we are talking this year, our yield on the new book was -- new business was a little higher than the existing book.

So that is a comfortable situation currently. The trend on the ARN registration, I think we believe that incrementally more and more distributors or more and more people are entering in Prudent Corporate Advisory Services Limited

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the distribution business. The ARN registration trend should improve, even MFEs is focusing more on getting more and more MFDs or more and more people selling the mutual funds, and we are very, very confident that this number of new ARN registration will improve over a period of time.

You are asking that whether the share of around 30% of MFD will improve or not, I think if I understood your question correctly. That depends on 2 parameters, how the productivity or MFD segment do business. And second is how the banking segment and the fintech segment grow over time.

So the percentage contribution of MFD, difficult to say. But definitely, I think one trend is also visible that more and more wealth managers are also trying to become MFDs or the adviser. So my guess is that over time, the MFDs joining a platform like us, I think their share should improve. That is what our feeling is. Any other question if I missed, Sanjay bhai?

Dipanjana Ghosh: On the inorganic part...

Sanjay Shah: Yes. Inorganic, I'll just tell Dipanjana, I think on the inorganic side, we'll be -- we are definitely looking for somebody who is similar to our business in the industry, but there are very less opportunity because in B2B2C other than our largest competitor, is no one significant. So I think the opportunity in the mutual fund looks a little bit restricted. But we get a lot of opportunity, but still unable to conclude any of them.

Other than mutual fund insurance, we are seriously looking for on the POSP-driven business model. But even there is the same problem that when you look at the POSP-driven model, I think the comfort is not coming, but I think, these are the 2 segments which we are regularly scouting for and looking for. Nothing on the technology side because technology is reasonably significantly better for us. So we don't even see some acquisition on the technology side, which can be supplementary to our existing tech platform. But the current tech platform itself is better.

Dipanjana Ghosh: Sanjay, if I can just kind of expand this question. I mean obviously, as time progresses, your share of customers with a certain range of AUM more than INR5 crores, more than INR10 crores continues to go up because of natural mark-to-market accretion. And obviously, there are MFDs where vintage is also increasing.

So -- and your alternate business, which you mentioned, which has been growing at 80% plus in terms of

AUM, obviously on a low base. So don't you think, I mean, expanding capabilities on the pseudo-wealth or pseudo -- I mean, the overall B2B2C wealth segment, I mean, do you consider any opportunities in that space that you might be -- that you think might be worth it?

Sanjay Shah: So B2B2C in the wealth, I think we're already working in such a way that what Shirish already said that a lot of people from the wealth are leaving and starting the business. And I can tell you a lot of guys are joining our platform. We have seen a lot of success stories in the last couple of years who has come from a banking or wealth background and has done significantly better with us.

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So we try to provide all which is required by a quality wealth manager to be offered to their customer. And that is majority what you require is a significant quality product basket, research, information, execution capability and that we are having. So Shirish, if you want to add something on that, B2B2C for wealth?

Shirish Patel: Definitely, I think that if you look at last 4, 5 years, the product addition, we always thought that only on mutual fund focus or insurance focus, we cannot grow our business. And hence, last 4, 5 years, we have added more and more products.

We also added technological advantage offering multiproduct valuation report and many other features wherein we can offer the facility to all these wealth-focused distributors. I don't think that anything else is required on this. But as Sanjay bhai said that, yes, we are looking for any

acquisition is suitable to us. We are actively looking at it, but we are not desperate to have it. So let me put it this way.

Dipanjjan Ghosh: Sir, just one follow-up on the yield question, which I had asked. You mentioned that your incremental fresh yields are higher than the back book, which kind of benefited you in FY 2025. Just wanted to ask, is there a way you can kind of quantify this or at least give us a direction of what that number is? I mean, is it higher by 5, 10, 15, 20 basis points?

The reason I'm asking is because there has been -- I mean, obviously, you're a distributor to multiple partners. And obviously, there's a differential asset mix across all of these partners in terms of sub-segments of equity. So any direction in this regard, I think, will be really helpful.

Shirish Patel: So directionally, we cannot say that how long the incremental yield would be higher than the book yield. That depends on many other parameters, the kind of the scheme mix what we have sold during the year, the number of NFOs where we have participated. Third is what is the kind of cut what the AMCs are doing on a historical book.

Fourth is the new flows are coming to the mid-sized schemes, smaller schemes or the bigger schemes, which AMC is getting more flows during the year. So I think there are multiple parameters which can impact our yield on a new business as well as on a book business.

But one important thing I would like to highlight is definitely out of our total book, almost around 7%, 8% or 6%, 7% book is still the Karvy assets, acquired assets. The yield on that asset is much lower. As and when that money goes out and the same money is getting invested even in a new business, I think that also -- that itself is improving our yield.

So 7%, 8% of our book is still available at a lower yield, which we acquired from Karvy. So that is our sweet spot right now, whenever that money moves out and comes back with a better yield, I think that is one thing. But otherwise, I think we are not saying that what would be the exact difference between the yield of a new business and the old business.

Moderator: We have our next question from the line of Arjun Bagga from Baroda BNP Paribas.

Arjun Bagga: Yes. So just trying again to understand this decline in the net commissions that we get. I do understand

d the reasons that you gave, but just wanted to understand this number of INR160

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crores on the stand-alone side as commission and fee expenses, does that also include the other financial products?

Sanjay Shah: Yes. So commission and fee expense is a single line which we provide. When you look at the standalone number or you look at the consol, I think we do not provide the segment reporting on the commission expenditure. So you're absolutely right. On the standalone, it includes the payout on account of all non-mutual products which we distribute.

Arjun Bagga: But would you be able to give some guidance, sir, that how big would that number be?

Sanjay Shah: So I think more or less, it would be in line with the current setup because I think you look at the PMS, AIF or you look at the P2P product, which we used to sell or the FDs. So probably it could be a case where in FD, our payout might be a little bit higher than the mutual funds.

PMS, AIF would be in line with the mutual fund.

So broadly, you can probably take it as a similar, because I think it's not a very significant large number and the payout will remain -- because this business has been sourced from the MFD only. It's not a direct team which contributes significantly larger. So the payout cost would be similarly in line with the MF cost.

Arjun Bagga: Sure, sir. Sure.

Shirish Patel: So, you know this income from mutual fund and income from other financial products. As we say that our roughly average payout ratio is similar in almost all products. That doesn't vary usually. So the payout ratio is -- remains similar. I think we have already given the brokerage received from various products. So almost the cost is in the similar line.

Moderator: We have our next question from the line of Ajox Frederick from Sundaram Mutual Fund.

Ajox Frederick: A couple of questions from my side. One is on the employee cost. You mentioned it is going to go up by 15% on fixed costs. So can you help me understand how much was the fixed cost for the year FY '25?

Sanjay Shah: So fixed cost, I can tell you my March salary bill was roughly about INR6.05 crores or INR6.10 crores on a consol level, which is reset to about INR6.95 crores. So it's roughly about, I think, same, yes, about 14.5% increase in the March salary bill.

Ajox Frederick: This is your combined...

Sanjay Shah: Combined, I'm not talking about the standalone and the -- consol I am talking about, the fixed salary was INR6.1 crores or INR6.15 crores, which has come to now close to INR7 crores.

INR6.95 crores divided by INR6.10 crores yes. So roughly about, yes, 14.5%, 14%, yes.

Precisely, 14.5% is the growth and my fixed salary bill is roughly about INR7 crores in the month of April. So INR84 crores annualized fixed cost.

Ajox Frederick: Very clear, sir. Secondly, on the partner channels proportion, you mentioned it is 90%. So incrementally, how far can this go? Can it go to 95%? You mentioned 1 -- every 1 percentage
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point move will hit the payout by 60 basis points. So when do you think this will rationalize going forward?

Sanjay Shah: So directionally, if you look at in last 1 year, that ratio has moved in favor of MFD channel by 300 basis points, right? And if you look at the growth, growth is happening only on the MFD side because our traditional old B2C business which we had, we are not growing in that segment. That is number one.

Second is when we acquired Karvy, we got INR8,500 crores from Karvy. Roughly about INR4,000 crores was belonging to MFD and INR4,500 crores was not distributed to anybody. So these are the -- so the Karvy business is not growing at all. It's a steady business. And the B2C, we are not expanding.

So naturally, the -- incrementally, the share of MFD has to grow. To what extent grow, I think it

depends on how better the business growth comes from that segment. But ideally, I believe that in the current year itself, you can have a projection of 100 to 150 basis points tilt towards the MFD. So there might be -- because of that, let's assume 100 basis point tilt towards MFD would have a pressure on margin about 65 basis points.

Moderator: We have our next question from the line of Shrishti Jagati from Ambit Capital.

Shrishti Jagati: Congrats on a good set of numbers. I'll just take the previous participant's question ahead. You mentioned about 100, 150 basis points of impact with every 1% shift. Is that right?

Sanjay Shah: No, no, with every 1% shift, 65 basis point impact. So understand that if a rupee comes from mutual fund distributors, I have to pay a 65 basis point as a salary to them, right? So as a cost to them. If I earn a rupee, 65 basis points or 65% of that rupee will go as a brokerage payout cost. So today, my ratio of indirect versus direct is 90% and the 10%.

Now let's say this 90% becomes 91%. Today, my brokerage cost is 64.1%. You need to add another 65 basis points to there. So it will come down to 64.1% plus 65 basis points, it has to be 65.75% my pay-out.

Shrishti Jagati: Completely understood. So the 3% shift, because of the 3% shift, the 150 basis point impact has come in for the current -- in the current quarter. But sir, going ahead, as to when does this become -- the channel mix become a little margin dilutive and then starts to affect the profitability? At what point? Now we are at about a 90% through mutual fund distributors and 10% direct. At what point does it settle going ahead?

Sanjay Shah: So I think it's not going to be margin. So if you look at because this is linked to a growth in business, right? So incrementally, whatever you earn, you pay to them. And today let us assume that at INR1,10,000 crores, if my AUM goes to, let's say, INR150,000 crores, an additional INR40,000 crores, let us assume the 95% business comes from the indirect channel where I'll have payout.

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So I don't think it have an impact on the margin. If it comes from B2C, there will be a cost in form of variable and the incentive to the team. It comes from the indirect, then it will be a cost in form of commission payout to them.

But this 90% can -- it's very difficult to say where 90% will go. It can go to 92%, 93%, 94%.

But I believe that 2, 3 basis point change over the next 1 or 2 years is possible. So I'm saying in the current year, if somebody is trying to work on the model, you can assume that the -- by end of this year, indirect might be 91% or 92% roughly. I'm just giving my personal estimates.

Shirish Patel: 1% to 1.5%, the mix can shift.

Shrishti Jagati: That's right. Makes sense. Makes sense. Sir, in terms of the inflation and the ESOP-related costs that you've indicated, what sort of internal cost to income do we target over the next couple of years?

Sanjay Shah: I think there is nothing like the target on the cost to income because the salary inflation would depend on how the performance of each and every employee and the market trend on the things, right? So there are 2 major components of our employee cost. One is expansion and the new manpower, which you add, number one.

And number two would be natural salary inflation. Salary inflation is elevated for last 2 years, which I believe, because last 2 years has been significantly better on a business front. And there was a competition pressure was also there. So these are the things.

On the number of employee growth, I think in the current year also, we have, let's say, the overall strength of employee is 1,430 people. We are assuming that in the current year, we'll add about another 100, 115 people. So because of the additional employee which we'll add, I think there's an additional cost of about, let's say, INR40 lakh, INR50 l

akh a month, roughly

about INR4 crores, INR5 crores a year.

So that also will come. So it depends on how much employees you add and what is the -- and normal inflation should be -- my belief is you can assume in the range of 10% to 12%, 13%.

Yes.

Shrishti Jagati: Makes sense. And sir, under the ESOP program that you initiated, what number of employees would be covered under the ESOP program, if you can give us some indication?

Sanjay Shah: I think we just cleared the NRC as far as ESOP policy is concerned. I think the next step would be once it is approved by the shareholders, I think the management will sit and discuss. But it's

-- I think we roughly -- I think we have tried and look at what are the industry standards. And roughly, I assume that 10% to 15% of my employee strength might be covered into this, 10% to 12% of my current employee strength would be covered. So nothing has been still decided, but I'm just giving you rough indication.

Moderator: We have our next question from the line of Sanyam Shah from Solidarity Advisors.

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Sanyam Shah: So my first question was from a distributor's angle when for the distributor with, say, an AUM of INR100 crores, so how would his income differ if he's working for Prudent or another national distributor like an NJ or with a bank or independently if he is working with AMC?

Shirish Patel: Your voice is not clear, so couldn't understand your question.

Sanyam Shah: Sorry. Yes. Is it audible now?

Shirish Patel: Little better. Yes.

Sanyam Shah: So sir, my question was from a distributor's angle when for the distributor with an AUM of, say, INR100 crores. So how would his income differ, say, if he's working with Prudent or if he's working with another distributor like NJ or with a bank or if he's independently working with the AMC?

Shirish Patel: Okay. So you are saying that if the INR100 crores AUM guy working with Prudent, NJ and AMCs directly, what would be the difference in the income, right?

Sanyam Shah: Yes, sir, yes.

Shirish Patel: Basically, if you look at the platform like we or NJ, we never -- we never had a competition in terms of the pricing. So roughly a distributor working with Prudent or working with NJ would get almost the similar or Prudent maybe 1 or 2 basis points higher than NJ. When a distributor works with AMCs, what would be the difference versus brokerage in terms of AMC and the Prudent, we always communicate to our channel partners that when you work with a platform like us, the percentage commission may be lower by 5% to 10% versus what you work with the AMCs directly.

But at the same time, what they save on a technology development, what they can save on the terms of time -- back office management and everything, other things, definitely, we help them increase the productivity by 30% to 40%. So they compromise on 10% of the revenue, but at the same time, they gain the productivity of 30%, 40% and totality, they gain. So giving the answer, roughly, you can assume 8% to 10% lower commission compared to working with the AMCs.

Sanyam Shah: Got it, sir. And first, if you were to answer this for bank RM, so we have seen many employees shifting from banks and wealth management firms and starting their own firms, right? So how would their income broadly look like if you trust to manage a INR100 crores AUM?

Shirish Patel: Yes. So as you said that if any bank wealth RM is intending to start on his own, where should he work? I think in initial phase, what they need is that I think their entire focus should be on sales. They should not be worried about the back office and the client management. If they spend time in client -- the back office thing and servicing aspect, they will not be able to give more time on the sales side.

So obviously, when anybody starts on their own, I think the platform is the best solution for them. Because they need n

ot to invest on a technology, they can -- they are not worried about

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their back office management. So obviously for any wealth RM starting on their own by compromising 10% around revenue versus AMCs, but they save a lot of cost also and they can save a lot of time. So obviously I think the platforms are always better.

Sanyam Shah: Got it, sir. Sir, do you think is there a scale at which once a distributor reaches after which for him, it might just make sense to hire 1 or 2 guys to take care of his back office work and just independently work with the AMC. As you said, he might get 10%, 15% extra income if he works directly with AMC.

Shirish Patel: It is not only 1 or 2 persons can manage. I think many other technological advantages benefits multiple product reporting, many other things. It is not only back office management, which you can address with 1 or 2 guys. I think if you study what are the advantages working with AMCs, as I said, I think the 10% higher commission. But what are the advantages of working with Prudent platform, I think you will actually understand that what all things. It is not like I think the same work can be done by recruiting 1 or 2 back office guys.

Sanyam Shah: Okay, sir. Got it. This is helpful.

Sanjay Shah: Sorry, I just want to add one more point. You look at one slide -- we have provided one slide wherein top 1,000 distributor of the industry and top 1,000 distributors are working with Prudent, what growth they have achieved in the last 10 years, and that number is -- itself will give an indication that working with the platform is going to be super, super beneficial and very, very productive. You can have a look at part of my presentation. Yes.

Moderator: We have our next question from the line of Ranbeer Singh from Yashwi Securities Private Limited.

Ranbeer Singh: Yes. I was going to your financials. So in Q2 and Q3 FY '25, your employee benefit expenses were around INR30 crores. And in Q4 FY '25, it was INR25 crores. What was the reason for the difference?

Sanjay Shah: So I think we -- I just say in the early commentary also that we projected the variable cost for the full year and accordingly, we have provided in first 3 quarters. But however, finally, when the year was ended, the -- there was a higher provisioning in the first 3 quarters and the total amount was lower. And that's the reason the last quarter, it got adjusted and hence, the actual cost was lower by INR5 crores compared to previous quarter.

Ranbeer Singh: Okay. So around INR72 crores, you had said INR6.15 crores, approximately INR75 crores is the fixed pay and the rest of the part is the variable pay, which you pay to the employees, correct?

Sanjay Shah: I need to give you the exact number, but the March was INR6.5 crores -- what was the variable pay we have -- what was the total variable, we paid INR23 crores.

Shirish Patel: INR24 crores.

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Sanjay Shah: INR24 crores was the variable pay. So if you look at the total cost of INR110 crores, INR25 crores was the variable and rest was the fixed component.

Moderator: As there are no further participants for the questions, I now hand the conference over to the management for closing comments. Over to you, sir.

Sanjay Shah: Thank you very much for all who has joined. And if still you have any query, any questions, we are always available, including Parth, who takes care of our IR and would be happy to address any further questions which you have. Thank you very much. Thank you.

Moderator: Thank you, sir. On behalf of Avendus Spark, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility

of such errors, although an effort has been made to ensure high level of accuracy.

Call: Aug 2025

Date: 06.08.2025

To,
The National Stock Exchange of India
Ltd,
Exchange Plaza,
Bandra – Kurla Complex,
Bandra (E), Mumbai – 400 051
NSE EQUITY SYMBOL: PRUDENT To,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai- 400 001
SCRIPT CODE: 543527

ISIN: INE00F201020

Sub.: Transcript of the Conference Call for Un-Audited Financial Results for the
Quarter ended June 30, 2025 .

With reference to our earlier intimation dated July 25, 2025 and in terms of Regulation 30
of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we
are enclosing herewith the transcript of the Conference Call with analysts and investors
held on July 31, 2025 in respect of the Un-Audited Financial Results for the Quarter
ended June 30, 2025.

The same will also be available on the website of the Company at
www.prudentcorporate.com .
Please take the same into your records and do the needful.

For, Prudent Corporate Advisory Services Limited

Kunal Chauhan
Company Secretary
Membership No: FCS-13492

Encl.: As Stated

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"Prudent Corporate Advisory Services
Q1 & FY '26 Earnings Conference Call "
July 31, 2025

MANAGEMENT : MR. SANJAY SHAH – CHAIRMAN AND MANAGING
DIRECTOR – PRUDENT CORPORATE ADVISORY
SERVICES LIMITED
MR. SHIRISH PATEL – CHIEF EXECUTIVE OFFICER
AND WHOLE -TIME DIRECTOR – PRUDENT CORPORATE
ADVISORY SERVICES LIMITED
MR. CHIRAG SHAH – NON-EXECUTIVE DIRECTOR –
PRUDENT CORPORATE ADVISORY SERVICES LIMITED
MR. CHIRAG KOTHARI – CHIEF FINANCIAL OFFICER –
PRUDENT CORPORATE ADVISORY SERVICES LIMITED

MR. PARTH PAREKH – HEAD, INVESTOR RELATIONS –
PRUDENT CORPORATE ADVISORY SERVICES LIMITED

MODERATOR : MR. SWARNABHA MUKHERJEE – BATLIVALA &
KARANI SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to the Q1 FY '26 Earnings Conference Call of Prudent Corporate Advisory Services Limited, hosted by Batlivala & Karani Securities Private Limited, a 360 ONE company. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Swarnabha Mukherjee from Batlivala & Karani Securities. Thank you, and over to you, sir.

Swarnabha Mukherjee: Thank you, Anuja. Good afternoon, everyone, and welcome to the Q1 FY '26 earnings conference call of Prudent Corporate Advisory Services Limited to discuss the quarterly performance.

We have with us from the management, Mr. Sanjay Shah, Chairman and Managing Director; Mr. Shirish Patel, Executive Officer and Whole-Time Director; Mr. Chirag Shah, Non-Executive Director; Mr. Chirag Kothari, Chief Financial Officer; and Mr. Parth Parekh, Head, Investor Relations. We will now request the management to start with the opening comments, post which we can open the floor for Q&A. Thank you, and over to you, sir.

Sanjay Shah: Thank you, Swarnabha, and good afternoon to everyone. I extend a warm welcome to all of you for joining Prudent's quarter 1 FY '26 earnings call. Thank you for taking the time to be with us today. I hope you all have an access to the investor presentation, which has been uploaded on the exchange yesterday because I'll be referring and giving the commentary, I'll be referring to the slides for your references.

Starting with -- let us move to Slide 44, which talks about our first quarter's AUM data. So if you look at on the slide on the left-hand side, we have provided the comparison of daily average AUM of first quarter with the opening AUM of July 2025. So during the first quarter, we earned revenue on a daily average AUM of approximately INR110,194 crores. We entered Q2 with an opening AUM of INR1,17,897 crores. So it's a solid 7% jump over Q1's average, giving a strong tailwind for the remainder of FY '26.

On the right-hand side, we have provided quarterly average AUM trend. It's encouraging to know that our AUM continues to scale up sharply, growing 8.3% sequentially and 23.4% year-on-year. The momentum continues to build in a healthy and consistent manner.

Now please move to Slide 45, which talks about the equity AUM. So -- which illustrates the movement in equity AUM on both year-on-year as well quarter-on-quarter. Starting with Y-o-Y Prudent Corporate Advisory Services Limited
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Y, which is provided on the left-hand side, our equity AUM rose by almost 22% during the last 12 months, increasing from INR93,149 crores in June 2024 to INR113,950 crores in June 2025. That's an increase of about INR20,800 crores. Of this increase in AUM last 12 months, around 60% of it came from strong net equity sales of INR12,635 crores in the last 12 months. And the balance, INR8,166 crores, was contributed by mark-to-market gain, translating to about 8.8% of our opening AUM.

Just for your information, during the same period of last 12 months, NIFTY 500 and NIFTY 50 posted a modest gain of 4.7% and 6.3% versus that, our AUM grew by almost 23%. So just for the sake of reference, we are giving you this number. From a quarter-on-quarter perspective, our equity AUM grew by 13.9%, largely driven by strong mark-to-market gain of INR11,360 crores, which is almost 11.4% of our opening AUM.

Now please move to Slide 46, which is a very important slide related to our SIP. As far as SIP is concerned, I wanted

to just highlight one thing. In this particular -- from this particular quarter, we have started adding one more line item in the SIP data. So if you look at bottom left, apart from the live SIP book, we have also provided how much money we have collected from our live SIP book.

And the reason being that -- and there are 2 things which we have done. One is we have revised our market share from our SIP book to the SIP realization number because the industry has also moved to reporting of SIP realization since last 4, 5 months. And it was very important that we also should provide our market share on the actual money realized by the industry versus realized by us.

Now if you look at -- I'll just give you an example of June 2025 where we ended the quarter with our SIP -- live SIP book of INR996 crores while the actual money, which has been realized and came to the, let's say, which is debited to investors' bank account is INR948 crores. So it's, on an average, difference about 4%, 4.5%.

If I look at last 6, 7 months, on an average, we have seen that the trend is about 3% to 4% deviation to my SIP book. One major reason is Prudent provides a facility called SIP pause facility on FundzBazar, which we have a platform for our investors. And on an average, we have seen that roughly about INR13 crores to INR15 crores is the SIP pause value, which is roughly about 1%, 1.5% and residual 2%, 2.5% could be the check being not cleared from investors' account maybe for any reason, right?

So I think these are the one change that we wanted to talk to you that we will be now providing 2 numbers. One is the SIP book, which is live book and the SIP realized, which is the money collected through those SIPs.

So if you look at, our monthly SIP book stood at INR996 crores. And I'm pleased to share you that when I'm talking to you now, I think we already crossed INR1,000 crore s milestone in the current month. So I think that was the important data I just wanted to share you.

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Now let me move to financial numbers, which is the Slide 48, which talks about the standalone financials of Prudent Corporate. I just wanted to give you a background that as a strategic initiative, Prudent has become a corporate agent for distribution of insurance products. This move enables us to seamlessly integrate insurance offering into the FundzBazar platform, enhancing our value proposition. Our aim is to deliver a comprehensive suite of investment and protection solutions to our client under one roof.

In the current quarter, you will notice there is a single line item called insurance income in the stand-alone item, wherein insurance income of INR11 crores under the stand-alone entity has been reported by us. This reflects the contribution from our insurance distribution business following an activation of our corporate agency model. We are encouraged by the positive early momentum we are seeing in the insurance distribution through our growing network of POSPs under Prudent umbrella.

On the mutual fund side, we continued to deliver a steady growth. For the quarter, both quarterly average AUM and the revenue increased by 8.3% and 8.4%, respectively, on a sequential basis. In terms of yield, we remain confident in our ability to sustain a yield within the guided range of 90 basis points for the full FY '26.

Now let me address about the payout. So on the payout, as you recall, we had introduced an additional trade last year to reward distributors for their net sales performance. The majority of the provisioning for additional trade was done in second half of FY '25. As a result, FY '25 full year payout ratio of 64% off a normalized base and probably that has to be the comparison, which you should look at from a -- comparing the payout ratio.

In fourth quarter of FY '26, the reported ratio has come even lower,

primarily due to the inclusion

of INR11 crores of insurance income in the total income. Now if you remove that INR11 crores of insurance income, then my payout ratio will come to about 64.7%, which is well in line with our normal trade. There might be a slight increase, which is visible because of there might be insurance-related payout, which would have been a part of my total expenditures on the commission side.

I just wanted to highlight that as far as revenue is concerned, we have provided the segment revenue or the revenue item has been shown separately from distribution of mutual fund income, insurance product or the other financial product. However, commission expenditure is a single line item, which has been provided by us.

Now coming to the -- another important point related to employee costs. If you look at employee costs show a sequential rise, which may appear elevated at the first glance. However, this is entirely in line with our expectations. As we discussed earlier, in last March quarter we were -- I think the provisioning on the variable side was a little bit lower compared to first 3 quarters whatever we have provided.

And because of some amount of reversal in the variable pay, I think the base was temporarily lower. So from April onwards, we have implemented annual fixed salary hike of about 15%, 16%. So keeping that thing in mind, I think the -- whatever is visible to you, which is 30% Prudent Corporate Advisory Services Limited
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sequential increase, that might come down to full year employee cost of roughly in the range of 20%, including variable pay.

Again, I want to reiterate as I think we moved -- we already told in the last quarter that this does not include ESOP -related costs because approval for ESOP policy has been moved to AGM, which is going to take place today, and I'm assuming that it will clear. And if -- once the ESOP policy is cleared by shareholders, we will probably announce the ESOP for our employees. Ballpark figure, which I assume that I think the -- for a 12 -month or for a fourth quarter from next quarter onwards, I think the cost could be in the range of 2.5% of, let's say, profit before tax.

So I think I just wanted to communicate that current employee cost, which we assume would be within the range of 20% on a full year basis. However, it doesn't include ESOPs. And whenever ESOP would be announced, my assumption is that the annual cost could be in the range of INR8 crores to INR8.5. So this is about the stand -alone.

I would love you to look at the consolidated numbers. When I am talking about the consolidated, I just wanted to tell everybody that because in the current quarter we have some amount of insurance business, which has been booked in the stand -alone entity. And the larger part of, let's say, some amount of fresh business and the entire renewal still continue to book as a business in the Gennext.

So I think the -- it will be difficult for you -- so from the point of all margins and expenditures of, let's say, employee and all of the costs, please look at the consolidated numbers for the proper reflection of the things. So if you look at -- on a consolidated basis, our revenue grew by 17.8% Y-o-Y. Our consolidated profit after tax also rose by 17.1% Y -o-Y to INR51.8 crores.

Insurance performance has been very encouraging for us. And if you look at insurance revenue, it went up by 12% Y -o-Y. Fresh premium on insurance side rose by 21% Y -o-Y, led by general insurance, where our focus is largely on health. This environment has been exceptional. Fresh general insurance business grew by almost more than 50% Y -o-Y. And our overall GI book is now about INR150 crores.

Finally, to talk about the treasury. Our treasury book now stands above INR500 crores, providing us with strong watch us to pursue inorganic growth opportunity wherever strategically we'll have

the opportunity.

So with this, I think I'll just end my opening speech, and we'll open floor for questions and answers. Thank you.

Moderator: Thank you very much. The first question is from the line of Prayesh Jain from Motilal Oswal. Please proceed.

Prayesh Jain: Sir, first, a broader question on how do you think that the industry of the distributors or the B2B2C business on mutual fund is shaping, whether there is an increased competitive intensity to acquire distributors or whether payouts are getting higher because we've heard that some of Prudent Corporate Advisory Services Limited
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the distributors are paying out as much as 85%, 90% as well. So is there a competitive intensity that is increasing? And structurally, we should see the spreads narrowing down for B2B2C business? Yes, that would be my first question.

Sanjay Shah: Shirish?

Shirish Patel: Yes, Prayesh, I think you can say that last few years, a few more B2B2C platforms have entered in the industry. And as you said that a few of them were private equity backed have made it more competitive in terms of paying the commercial and then they go up to 85%, 90%.

But the business of platforms or B2B2C, I would believe that -- of course, I think the biggest advantage of more competition is that the popularity and acceptance of the platform business will improve. So I think till date, only 2 players were talking about the advantage of platforms in the MFD community.

Now at least 6, 7 players will talk about the advantage of platforms in the MFD community. So in medium to long term, definitely, we are very, very optimistic that the increase in competition will overall help the B2B2C space.

In the near term, as you said that, yes, I think the payout levels have increased. Of course, I think

when any new player enters in the industry, they have to attract the existing distributors who are working in any other platforms or the AMCs, they might have to pay higher commercial. But unlike any other business, this business is -- I would say that is more service-oriented. Secondly, the remuneration or the revenue is the longer term.

So as a distributor, definitely, they also would look at not only the higher commission today, but the sustenance of payment capacity for the longer term. To be very honest, yes, I think you can say that more and more players have entered in various markets. That has created some pressure amongst the team. But amongst the distributors, I think we have not seen any major distributor moving to the competition platform.

Rather, I would like to highlight one number that in this quarter or rather, I would say, that YTD our distributor recruitment number is much higher than what we used to do in last 2, 3 years. So if that would have been the case, the number of distributors getting into Prudent platform should come down.

So here, I think 2 important data points, I would like to share that the number of new distributors joining Prudent has gone up, number one. And number two, across the country, we have not seen any significant movement or even any movement in terms of distributors leaving the platform and joining new competition -- a new platform. And we closely track their numbers as well, and we are not seeing any great improvement in their numbers as well. I hope I think I have addressed your question.

Prayesh Jain: Yes. Just an extension to that, do you think that your payout, which is at 64% would increase going ahead? Or how should we think that -- or this is the range that would say be -- is kind of - - we can model it for even next 1, 1.5 years or 2 years?

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Shirish Patel: I don't think that we are going to change our distributor sharing arrangement. Of course, over a time, with the changing in the TER commercials and changing in the commercial,

based on that,

whatever alignment needs to be done in terms of distributor payout, that would be done, but not because of any changing in competitive landscape.

Prayesh Jain: Okay. Another question is on your profitability. The EBITDA margins on a consol basis are much lower than what we have done in the past. And you've mentioned about ESOP cost that could start hitting from, say, Q2 onwards. How do we think about EBITDA margins from here on? And any guidance on costs, both employee and other expenses, how should we think about them?

Sanjay Shah: So I think let me address that question. So as far as the employee cost is concerned, I already told you that I think employee cost would -- I think full year cost will increase in line of about 20% to your last year cost, mainly because of 15% to 16% hike in the fixed component, which has happened at the beginning of the year.

So probably you can say that, as Shirish already highlighted, that some amount of pressure is there on the RM cost side. And probably you can assume that at least for next 1 or 2 years, you might see some amount of elevated cost pressure on the employee in the range of 15%, 16%, which used to be modest, about 12%, 13% previously. And I think because competition is becoming a little bit intense, you might see some amount of pressure there.

However, we are very comfortable that our full year guidance of 23% to 24% of operating profit margin should remain steady. I don't see significant pressure on that because overall if your payout remained within the range of 64%, 64.5%, what we are talking about on the partner payout, if your other administrative costs is reasonably okay, employee cost would be in the range of 20%. So 23% to 24% margin I'm talking about without ESOPs. As of now, the guidance which I'm giving you is without ESOP. ESOP is definitely about 2%, 2.5% -- 2.5% you have to factor in separately.

Prayesh Jain: Sir, 2%, 2.5% of employee cost.

Sanjay Shah: 2.5% of your PBT. 2.5% of PBT.

Prayesh Jain: Of the PBT.

Sanjay Shah: Yes, PBT. Yes. So roughly I would -- I'm assuming ballpark number based on the formula, I think the cost could be INR8 crores, let's say, for example.

Prayesh Jain: INR8 crores for...

Sanjay Shah: For this current year. Nothing has been announced. I was just looking at my personal as a -- so it's not -- yes, I'm not giving any number to you, but I'm saying because it's also dependent on the volatility and the current price. If the price -- yes, at INR3,000, that cost was in the range INR8 crores to INR8.25 crores.

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Prayesh Jain: Got that. Just last question. What is the kind of AUM that you have on AIF, PMS? What is the kind of size that we have built in versus, say, last year?

Sanjay Shah: So I think AIF, PMS AUM is roughly about INR1,500 crores -- INR1,400 crores, INR1,500 crores. So this has gone up by -- if you look at last full year average was about INR1,180 crores on which we booked the revenue. And this year average would be about INR1,400 crores. So this has gone up by 30%, 35%. So definitely, there is a lot of scope for us to improve that segment. But yes, total about INR1,400 crores, INR1,500 crores.

Moderator: The next question is from the line of Lalit Deo from Equirus Securities.

Lalit Deo: Congrats on good set of numbers. Sir, two questions. So one on the insurance business. So in the life insurance business -- segment, so we have -- on a Y -o-Y level, it seems like the fresh premium has been broadly muted. So could you tell us like how is the business momentum currently going on? And how should one see this segment for the whole FY '26?

Sanjay Shah: Shirish?

Shirish Patel: Yes. I think you can say that Y -o-Y growth in the life insurance business is muted. One reason, historically, we have been only and only selling the traditional plans. The l

ast 1.5, 2 years, as we

discussed earlier as well, that we have started learning. We started introducing new and new products in the system.

Obviously, I think the biggest advantage on the tax arbitrage, which was available to the life insurance, which is not available. So obviously, you can say that I think this could be the learning phase for us wherein we are reducing our dependency on the traditional product or the guaranteed product. And we are trying to increase some new segment of products in our system. I think TULIP is one category, which is getting accepted very, very aggressively in our system. ULIP was not getting sold at all in our system till 2 years prior.

So you can say that for us, we are migrating -- I'm not saying that completely, but earlier, the dependence used to be around 70%, 80% in the -- on the traditional plan, majority of that on guaranteed plans. Now if you look at our breakup, the traditional plan computes around 40%, 45%. And within that, the guaranteed plans around 30%, 35%.

So practically, yes, you can say that the main reason is the reduction in the business from guaranteed plan. But we are very, very confident that the sign what we are getting, the acceptance of the new products what we are getting in our system, I think we are very, very hopeful that we should be able to achieve our business plans for the year. So it should be a decent growth compared to the last year on the fresh premium in the life insurance.

Lalit Deo: And sir, just one data keeping question, of our over all AUM, what would be the share of the total direct AUM and the share of indirect AUM?

Sanjay Shah: So yes, I think the indirect AUM share in the current quarter has increased by 40 basis points.

So last quarter, fourth quarter, the share was 90.2%. Now this came to 90.6%. And same period

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last year, which is the Y -o-Y, it was 88.8%. So Y -o-Y, it has improved by 1.8% and Q -on-Q, it has improved by 40 basis points.

Moderator: The next question is from the line of Swarnabha Mukherjee from Batlivala & Karani Securities Pvt. Ltd.

Swarnabha Mukherjee: Sir, first question on the yields. So while we continue to be in our guided range, but I think on a quarter -on-quarter basis from the numbers from my calculation, there has been a slight dilution. So just wanted to understand that what could be the reason of that because our mix continues to look similar to what it was in prior quarters. So if you can throw some light on that.

Secondly, sir, in terms of the fees and commission expense, the growth that we have seen this quarter, is it because -- or at a consolidated level, I guess, then the insurance operations at the stand -alone starting, that will not make a difference. So is this because of the indirect mix going up? So if you could help us understand. And thirdly, sir, in terms of our geographical reach, so I think we had some targets previously. Just wanted to know from you how that is shaping up?

Sanjay Shah: So let me first of all address about your question on the margin front. If you look at as far as margin is concerned, between 2 quarters, which is last quarter of Q4 and the current quarter, last quarter, I think margin was roughly in the range of 91.2 basis points. And this quarter, margin is roughly in the range of 90.5 basis points.

So there are two things which have happened. In last quarter, which was the end of financial year last year, there were some about INR80 lakhs, INR85 lakh extra revenue, which we have booked, which has been -- which has come from the mutual fund. So that is something -- that is one adjustment point.

In the current quarter, the SBI has done a repricing on the existing book and the impact of that

was roughly about INR35 lakh, which has been there in the month of June. So if I adjust this about INR1,50,00,000 kind of a th

ing, then the difference will come down to some 4, 5 basis

points, which I'm unable to, I think -- 0.5 basis point. So I think that is something, which I think we were looking at the reasoning, but I think it might be a seasonal adjustment. So I was not able to come to the finance level of reconciliation.

Coming to another important question about your projection for the full year, I can tell you there are two things, which will happen. Let's say, for the same quarter because SBI has already implemented the ir change from June, assume per year key if that change would have come from April itself, then additional INR70 lakh of pressure would have come on the top line, number one.

Number two, from 1st July onwards, Kotak has also implemented repricing. And I think the actual result we'll come to know only when we get the July brokerage. But our internal calculation says that full year impact of Kotak's repricing would be in the region of INR2.68 crores.

So that is something about INR25 lakh, which will be -- if you look at for another -- so for next quarter, you might have additional impact of INR75 lakh because -- or INR67 lakh, INR70 lakh
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because of Kotak and INR70 lakh of SBI. So if you do pricing for all these. So my belief is that for the residual 9 months, you can easily take into consideration a yield of 90 basis points as far as top line is concerned. So that was your question on the yield, I hope I was able to address properly, right?

Swarnabha Mukherjee: Yes, sir. Sir, just a follow-up on that. So how would we be able to pass this on to our end MFDs? Would we have to absorb some part of this?

Sanjay Shah: So I think it doesn't have the impact on my margins. So I think Shirish would be able to address this.

Shirish Patel: Yes. So in both the cases, in case of SBI and Kotak, we are able to pass on the sharing percentage to the distribution. So in terms of margin percentage yield, there is no impact on our books. So practically, whatever is our sharing ratio accordingly on the same proportion, we are able to pass it on the same cut to the distributors.

Swarnabha Mukherjee: Okay, sir. Understood. And if you could kindly remind that last year, what you mentioned that there was some additional revenue booking, what was that on?

Sanjay Shah: Can you ask again?

Swarnabha Mukherjee: Can you state that last...

Sanjay Shah: INR80 lakh. INR80 lakh, INR85 lakh came extra.

Swarnabha Mukherjee: Sir, what was the reason for that?

Sanjay Shah: So must be a reconciliation or full year because that will be some of calculation. Like if you remember last year, first quarter, we got INR4.5 crores extra because of KYC hold. Last year, Q1, if you look at those, there was an additional revenue of INR4.4 crores, which was on hold because of KYC issues.

Swarnabha Mukherjee: Sure. If you can proceed with the remaining question.

Sanjay Shah: So I think the geographical reach is well addressed, and what was another question?

Swarnabha Mukherjee: Sir, it was on the fees and commission expense part, what are the dynamics of that because that has also grown, I think, this quarter. So is there an indirect mix increase has led to that or anything else to lead to that?

Sanjay Shah: No, I think Y-o-Y, the -- so overall I, I think the payout ratio remained more or less same. There has not been a significant change. I think what you rightly say that because Y-o-Y, my -- our indirect contribution has gone by 1.8%. And quarter-on-quarter, it has improved by 40 basis points. So this must be the only reason, which can be explained.

Swarnabha Mukherjee: Okay, sir. And on the geographical reach?

Sanjay Shah: Shirish?

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Shirish Patel: In terms of geographical reach, yes, the West contributes the highest

, but last 6, 7 years where

we started expanding new branches in the smaller locations and even outside the western part as well. I think that process continues. I think last year alone, we opened some 16, 17 branches in last financial year. And this year also, we plan to open -- or rather, I would say, we already

opened 7 branches, taking the count now to around 139, 140 branches.

Obviously, we cannot ignore West to grow the other parts of the country. But since the base in other parts are lesser for us, obviously, the incremental growth from eastern side or the southern side, I think, which is coming, which is in percentage, I mean, definitely would be a little higher than what we -- the way we grow in the western part. But still West contributes the major pie. We still believe that I think we should still become stronger on the western part because even on the industry also -- industry side as well, West contributes the highest. And within West, I think Gujarat is the hub.

So whatever I think the market share of Prudent in Gujarat, I think still we can think about increasing the market share in Gujarat and Maharashtra, and that also can help us becoming stronger. But having said that, the new branches, yes, we try and open more on outside the West side. And that plan is there, and we already opened 7 branches in this financial year.

Moderator: The next question is from the line of Dipanjan Ghosh from Citigroup.

Dipanjan Ghosh: So just a few questions from my side. First, on the mutual fund business, if you look at this quarter last year, maybe 3 or 4 years prior to the last year, so how the share of the top, let's say, 5 or 10 AMCs in terms of your net equity sales have changed over time? Or is it stagnant, I mean? Any broad color on that would be great.

Second question on the yield part. Now we have seen multiple AMCs obviously kind of repriced the back book. So I just wanted to get some understanding of how you kind of price the incremental sales on a monthly basis? Is it more of a marginal pricing? Or is it on a back book - led pricing? I mean what's the structure or construct on which you kind of price the new flows? Third, on the non-mutual fund, non-broking business, AIF, PMS and others. If I look at ex P2P, it seems that the growth rate is like around 30% -plus. So how should we think of the trajectory on that? And lastly, last question would be any inorganic activities in the pipeline? And if so, then on what directions are you thinking?

Sanjay Shah: So inorganic, let me address you because as far as inorganic acquisition is concerned, we'll be looking at something on the distribution side on the mutual funds or something on the insurance. Nothing is in pipeline, to be very frank. But definitely, we have been talking to a couple of players.

So I think the -- nothing is at the Board level and nothing is at the corporate level. So definitely, regularly exploring. Regarding all the three questions, I think movement of AMC in the last couple of years, I think Shirish would be able to address that. Shirish?

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Shirish Patel: Yes. So the question on the sharing on a book level or a marginal level on the new business or the net sales level. Obviously, the sharing is always on a new transaction level. I think majority of the AMCs with almost all distributors follow this model only, I think they negotiate the rate on a new transactions. So new transaction sharing could be based on the marginal DTR or the DTR. That depends on AMC's condition.

But our payout to our distributor is always on the basis of a new transaction payout rate. So whatever we would have announced 3 years before on that transaction, that continues to be paid today. And whatever the new transaction will come today, whatever rate we announced that will be continued to be paid in future till the time

historical transaction AUM is cut by the AMC.

And in last 2 years, 4 or 5 AMCs have reduced the historical transaction commission. So whenever they cut the commission on the historical transaction, proportionately whatever we are able to pass it on a historical transaction, we pass it on to the distributor. And that is how it operates.

It is not on our book. It is not like I think all my transactions are getting repriced at one level. So we don't operate on that way with none of the AMCs. So that is how it is. Coming to the share changes in net sales from top 5 AMCs. Yes, I think that depends on the performance, what -- how the AMCs are delivering during the period or the quarter.

Obviously, I think the top 5 AMCs net sales, what they were enjoying before, 3, 4 years, with the net sales share of these top 5 AMCs has come down. I think whenever any new AMCs, which is growing -- or mid-sized AMC, which is growing faster backed by the performance, obviously, the new flows will go to those AMCs aggressively.

And I'm sure I think you also would be aware that last few months, a few of the AMCs are taking a bigger market share in terms of the net sales. So similarly, in my system also, the top 5 AMCs net sales in last probably quarter has come down compared to what it used to be earlier.

Dipanjan Ghosh: Sure. Sir, if you can kind of quantify the dimensions of growth in the non-MF business, which is alternate and PMS. It seems that ex of P2P, you have grown at 30% -plus. So how should one think of the trajectory on that?

Shirish Patel: Basically, there is an incremental focus on -- if you look at the product basket-wise, the main

product becomes the PMS AIF. That is the main product you can consider after this liquiloan or P2P.

Deposit is another product which is growing very, very fast. As Sanjay bhai already said earlier that if you look at the last year, our average AUM would be in the range of around INR900-odd crores in terms of PMS AUM. Typically we are in the range of around INR1,300 crores, INR1,400 -plus in terms of average AUM in terms of PMS AIF.

So incremental focus on this product is very, very strong, I would say that. And we are very, very hopeful that this business will grow much higher. And the way I think we are -- I would say we are the late entrant in this particular product focus. But last 3 years, I think whatever we
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could build around INR1,400, INR1,500 crores kind of AUM I think we are happy and we are still pushing.

The new product what we entered, as I said, I think fixed deposit also, we started focusing on last few years. That business, of course, is completely miniscule right now, but the growth rate of that particular product is much higher than the PMS rate because of the lower base.

Another product, you can say that less, we don't call it exactly a product, but of course, it's a facility for us when we are able to protect our redemptions. At the same time, it helps us get some revenue. I think that is one focus we started increasingly pushing on that particular side last 8, 9 months and we are seeing some results there.

And hopefully, I think after a few years, I think we will have some sizable book on the left side, and that will give us the consistent regular additional revenue as well. So yes, I think other product focus is increasing and that will continue. Insurance and stock broking, definitely, I think, the second and the third biggest product, which is anyways there.

Dipanjana Ghosh: What would be your MFD penetration of PMS and alternates? I mean how many MFDs out of your 33,000 -plus would be selling this PMS and alternates?

Shirish Patel: As of now, number of distributors who are certified to sell PMS business is close to around 600 -plus. A number of people who have started doing the business is around -- I think I don't have

the exact number right now, but must be around 350, 400 kind of number.

Moderator: The next question is from the line of Sanketh Godha from Aventus Spark.

Sanketh Godha: Sir, just wanted to check that new MFD additions, which we have project to 920 -odd in the current quarter. Just wanted to check how much would have come from bank RMs as such or which would have brought the existing book to you? And on those lines, I just also want to check how much of AUM growth, what you have reported, is largely because of broker code change?

That's my first question.

Sanjay Shah: Shirish?

Shirish Patel: So tracking exactly that how many distributors have come mainly from the banking side is we don't track it completely so minutely that how many people have joined from the bank. But yes, the trend of banking RM joining the mutual fund industry is increasing and that is visible in our system as well. We don't have the exact number that out of, whatever, close to around 1,400, 15,00, whatever, we have recruited in the first quarter, how many from the banks, so we don't have that number.

Obviously, I think COB, the trend is positive. But the way I think COB in is there, COB out is also there. Some part you might see that I think there's some client who was dealing with X distributor earlier, now he started dealing with a Y distributor and he may move his assets out. But we are not seeing that there is a significant trend change in the COB in or COB out. We don't have the exact number in COB in, COB out for this particular quarter. But last -- what we
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saw last financial year was around 700 kind of number was mainly because of the COB in. So - - but there is no major trend. If you can see that, I think it is impacting the assets big time, I don't see any trend. Sanjay, if you have any more data available with you.

Sanjay Shah: Yes. So I think, Shirish, you're right, absolutely. We looked at the last year number, it was INR500 crores plus and roughly it was more or less the same -- INR500 crore coming in and INR500 crore going out.

Sanketh Godha: Yes, yes. Understood. And second question, which I wanted to check, sir, is that your SIP market share somehow got stuck at that 3.5, 3.6 percentage. So we believe the national distributors in general are doing very well. But the SIP market share being stuck at that range is predominantly that we are losing it to direct? Or is it we are losing out to the competition maybe?

Shirish Patel: We have to look at...

Sanjay Shah: I was just saying that you can address it...

Shirish Patel: Yes. So basically, we need to look at the growth rate in the direct space. So today, if you look at last 2, 3 years, the fintechs are growing much faster in terms of new SIP registration. So obviously, I think when -- that means the regular share of business in the new SIP registration is coming down.

Obviously, when you look at Prudent share, if you have maintained the share in the industry level, that says that on a regular plan side we have improved our market share. And hence, we are able to maintain the market share in an environment wherein the distribution as equity is losing the share.

We are not saying that this trend will continue or over time whether the market share will improve or will come down. If tomorrow any other new fintech platform comes and I think still the market share of the direct goes up, we might lose the book share in terms of SIP in the industry. But one should also additionally look at the share on the regular plan. And as long as the direct piece is growing much faster than a regular piece, obviously, I think the regular plans will lose that market share, but they can grow much faster than what historically they are growing. So that is what I would say.

Sanketh Godha: Okay. Understood, sir. And lastly, the point is that how easy is

for you to protect the yield

because you said in the call that SBI and Kotak have revisited the price on historical book, whether you can really nudge MFD to probably move the AUM to smaller AMCs and still protect the yields, whether it is really possible in a way, theoretically, maybe yes, but do you think it can play out to protect your overall yield at the company level?

Shirish Patel: Someone has asked the question some time back that top 5 AMCs have lost the market share in terms of net sales and is moving to some other mid-sized performing AMCs. That says that in industry some share is going to the mid-sized higher-performing AMCs. As and when the share is moving from the top 5 to, let us assume, 6 to 15, still there is a scope of the improvement in terms of yield.

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You, as a distributor community, simply, definitely, they are inclined for higher commercial, higher revenue. But obviously, they also would see the advantage or the benefit for the investors. So if they find that the mid-sized AMC or the new AMCs are performing better or likely to do better, they might move money from the bigger schemes to this kind of AMC.

But if the bigger AMCs are anyways doing good, consistently delivering the returns, I don't think that there is a motivation. Of course, I think commercial motivation would be there. But when the investor is happy with the investment, obviously, I think the distributor community might not move that money to the new or the mid-sized AMCs.

But yes, I think in the medium to long term, you always would see that the bigger AMCs might -- or top 5 AMCs might lose some market share to the mid-sized AMC. And accordingly, we also will behave. But there is no push from our side that most I think you move money from the bigger to the smaller ones. Distributors, I think, are wise enough to take their own call.

Sanketh Godha: Got it, sir. So basically, the reason I'm asking is that in future, if there is a yield pressure from the larger guys, then is it fair to assume that your yields still will be protected because the natural flow of equilibrium will happen in such a way that the smaller guys will grow faster and our yields invariably will be getting protected for medium term?

Shirish Patel: I think distributor is also worried about his own yield, right? When yield is in the existing AUM is dropping, obviously, he will make more attempt to move his yield better. So yes, that is a natural course.

Moderator: The next question is from the line of Prayesh Jain from Motilal Oswal. As there was no response from the participant's line we will proceed with the next question. The next question is from the line of Aditya Sharma from Shikhar Investment. Please proceed.

Aditya Sharma I just have one question. Want to understand the size of the RM team that we have, how that has grown in the last few years? And also, if you could highlight the kind of attrition that you're witnessing within the team and how that has moved in the last few months?

Shirish Patel: So obviously, I think as we are growing geographically, the RM pool definitely is increasing, but more on a ground level sales because the senior team remains the same, and we use the same team and we expand on the ground. Last -- so today, if you look at the sales team where we are growing maximum, that is on the mutual fund side, and secondly, on the insurance side.

If you look at the total sales put together on both these products combined would be in the range of around, you can say, 550 on -- which is already there. 30, 40 count, always, you will find that I'm yet to recruit. By the time you recruit then somebody might leave. So 30, 40, always you are short of manpower. That is the trend always continues. If you see this kind of trend in the last 3 years in terms of sales, I would say that our team in terms of

sales has gone up by 35% to 40%
in last 2, 3 years.

In terms of challenging, yes, I think earlier also we said that in the B2B2C space, last 2 years or specifically 1.5 years, we have seen that more players have entered in the industry. And
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obviously, I think when anybody, competition increases and they open the branches in the same city, the first level of target could be the existing B2B2C companies' relationship manager.

So yes, last year, specifically, I think during this we had a little more attrition. But to be specific, I would say that last 5, 6 months, the attrition numbers have come down drastically. Rather, we have started seeing the reversal of the team who has gone to the competition in last financial year, we started seeing some reversal there.

Having said that, now the attrition in last specifically 4, 5 months we have seen that now it has become a normal level. We have not seen any great movement of the team in the last 4, 5 months.

Moderator: The next question is from the line of Dipanjan Ghosh from Citigroup.

Dipanjan Ghosh: So just one follow-up. Hypothetically, let's say, whatever is your back book in terms of asset managers or different asset classes, let's say, in the next month, let's say, which is August, you end up -- your net sales appears to have a similar composition compared to your back book.

Everything similar, same schemes, same companies, everything. What will be the fresh realizations in that case? Maybe July or August. I mean, what's the quantum differential?

Because the large asset managers, they seem to kind of guide that the fresh flows are a drag on their yields. So how much of that is kind of benefiting you in a way? Probably for you, it would be the reverse, I would assume. So firstly, is the assumption correct? And secondly, if you can give some directional color on the number.

Shirish Patel: One assumption, what you are saying that if your sales -- net sales is exactly in line with your current AUM or current book sales. That doesn't happen in reality because today, if you look at my AUM share of top 5 AMC's and if you look at the new sales of top 5 AMC's, there would be a huge difference in the share. So when in reality, the share of top 5 AMC's in the new sales is always lower than the book share. So hence, the yield is not under pressure.

But if we -- assuming that we keep the same assumption what you are talking that whatever is your AUM share, whatever in whichever scheme, your AUM is there in exactly the same proportion. If you do the new business in the month of August, what would be the yield on the new business? In that particular case, the yield on the new business would be lower than the book yield. The reason being because AMC's would have paid me higher commission for the sales what I did 3 years prior. And on the same scheme that today because of the size, the commission would be lower.

Obviously, on the same scheme, the commission would be lower than my book yield. But in reality, the sales happens on the newer or the mid-sized or the small-sized AMC share is higher than their AUM share. Hence, currently, if you look at our yield on the new business is almost similar to our book yield. So that is how I think last few years we are able to maintain it.

Sanjay Shah: I want to add here because what Shirish is talking about before 3 years, let's say, we used to do a business at X pricing, that current business is less than X. However, since current yield and the new business, I think they are reasonably notch higher by about 1 or 2 basis points [inaudible 0:51:48].

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As far as the average current book is, let's say, is that 90 basis points, your new business happen current yield. So probably even if you assume same proportion, I think

the pressure in the immediate future should not be there on the existing book.

Moderator: As there are no further questions from the participants, I would now like to hand the conference over to the management for closing comments.

Sanjay Shah: Thank you. Thank you, everybody, for joining this call, and I hope we could be able to address all the questions which you have in your mind. However, if any follow-up questions if you have, I think Parth or the entire management is available. Whenever you have any questions, you can probably reach out to Parth or -- yes. Thank you.

Moderator: On behalf of Batlivala & Karani Securities Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Nov 2025

Date: 10.11.2025

To,
The National Stock Exchange of India
Ltd,
Exchange Plaza,
Bandra – Kurla Complex,
Bandra (E),
Mumbai – 400 051
NSE EQUITY SYMBOL: PRUDENT To,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai- 400 001
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Sub.: Transcript of the Conference Call for Un-Audited Financial Results for the quarter and half year ended September 30, 2025.

With reference to our earlier intimation dated October 30, 2025 and in terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of the Conference Call with analysts and investors held on November 06, 2025 in respect of the Un-Audited Financial Results for the quarter and half year ended September 30, 2025.

The same will also be available on the website of the Company at www.prudentcorporate.com .

Please take the same into your records and do the needful.

For, Prudent Corporate Advisory Services Limited

Kunal A. Chauhan
Company Secretary
Membership No: FCS-13492

Encl.: As Stated

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“Prudent Corporate Advisory Services Limited
Q2 FY '26 Earnings Conference Call”
November 06, 2025

MANAGEMENT : MR. SANJAY SHAH - CHAIRMAN AND MANAGING
DIRECTOR - PRUDENT CORPORATE ADVISORY
SERVICES LIMITED
M R. SHIRISH PATEL – CHIEF EXECUTIVE OFFICER
AND WHOLE-TIME DIRECTOR – PRUDENT CORPORATE
ADVISORY SERVICES LIMITED
M R. CHIRAG SHAH – NON EXECUTIVE DIRECTOR –

PRUDENT CORPORATE ADVISORY SERVICES LIMITED
M R. CHIRAG KOTHARI – CHIEF FINANCIAL OFFICER –
PRUDENT CORPORATE ADVISORY SERVICES LIMITED
M R. PARTH PAREKH – HEAD INVESTOR RELATIONS –
PRUDENT CORPORATE ADVISORY SERVICES LIMITED

MODERATOR : MR. LALIT DEO -- EQUIRUS SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to the Prudent Corporate Advisory Services Q2 FY '26 Earnings Conference Call hosted by Equirus Securities. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

This conference call may contain forward-looking statements about the company, which based on beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Mr. Lalit Deo from Equirus Securities. Thank you, and over to you, sir.

Lalit Deo: Yes. Thank you. Good morning, everyone, and thanks for joining the call. To give a brief update on the 2Q FY '26 results and address investor questions, we have with us from the management of Prudent Corporate Advisory Services Limited; Mr. Sanjay Shah, Chairman and Managing Director; Mr. Shirish Patel, CEO and Whole-Time Director; Mr. Chirag Shah, Non-Executive Director; Mr. Chirag Kothari, CFO; and Mr. Parth Parekh, Head, Investor Relations.

We would request management to start with the opening comments, post which we can open the floor for Q&A. Thank you, and over to you, sir.

Sanjay Shah: Thank you, dear. Thank you. Good morning, everyone. I extend a warm welcome to all of you joining us on Prudent's second quarter earnings call. Thank you for taking the time to be with us. I hope you would have the investor presentation ready with you, which has been uploaded on the exchange yesterday.

So please and I'll start talking about and we will give you the commentary. I'll refer to the various slides. So let us begin with the Slide 45. So this slide shows how our AUM has moved during the last quarter. So if you look at on this slide on the left-hand side, it's a comparison of daily average AUM for first half of FY '26 with our current AUM.

During the first half, we earned revenue on a daily average AUM of about INR114,600 crores, while our current AUM stands at about INR127,000 crores, when I'm talking to you. So that's an increase of about 11%, which gives us a strong momentum as we enter the second half of the current financial year.

On the right-hand side, we have quarterly average AUM trends. The average AUM for the quarter, was close to INR119,000 crores. This number excludes the Indus AUM, which was integrated in last week of September. We will start earning on that from October onwards. Our quarterly average AUM grew by 17% year-on-year and 8% quarter-on-quarter, reflecting steady business momentum.

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Now turn to Slide 46. This slide shows the momentum in our equity AUM on a both year-on-year and quarter-on-quarter basis. Starting with the year-on-year view on the left, our equity AUM grew by 13.2% during Q2 FY '26. It moved from about INR103,950 crores in September '24 to around 117,650 crores in September '25. That's an increase of nearly INR13,700 crores.

This growth was driven primarily by strong net sales. Despite a negative mark-to-market impact, our retail investor continued their systemic investments with consistency. This highlights the resilience and confidence of Indian retail households.

Another encouraging aspect we would like to highlight is our mark-to-market impact was negative by 1.4% compared to a 6.2% decline in Nifty 500 in the last 12 months. This reflects benefit of rupee cost averaging during the volatile but range-bound market as well as an important role played by our

distributor partners in fund selections and asset allocations.

Come to quarter-on-quarter view on the right-hand side, equity AUM grew by 3.3% during the quarter. This was driven by strong net sales of INR3,600 crores and the addition of Indus AUMs about INR2,050 crores. The key highlight here is that this was one of the strongest net equity sales quarter in Prudent's history.

So now please turn to Slide 47. So this slide highlights our SIP performance. As of September 2025, our monthly SIP books stood at INR1,085 crores. We added about INR210 crores over the last 12 months. This highlights the resilience and continued growth of our SIP franchise.

Our market share has improved by 10 basis points from 3.4% in September '24 to 3.5% in September '25. We aim to reach around INR1,200 crores in monthly SIP flow by March 2026.

Now let us move to an important slide, which is our Slide #49 of consolidated financials.

So Slide 49 outlines our consolidated financials. On the mutual fund side, our quarterly average AUM grew by 8% sequentially, while mutual fund revenue increased by 9%, it's driven by stable yield and the benefit of an additional 1 day in this quarter. So as you remember, because of 1 day, our revenue has gone up by roughly about INR3 crores. And that's the reason the revenue increased by 9%, while the average AUM grew by 8%.

The heartening aspect is that despite the range-bound market, our quarterly average AUM grew by 19.8% on a half yearly basis. During the same period, mutual fund revenue increased by 18.4%. Marginal difference between AUM and revenue growth on a half yearly basis is primarily due to impact of back book repricing, which has started happening from August of last year onwards.

Now I'll try and touch base the important aspect on insurance front. So on the insurance front, our revenue grew by 11.5% sequentially, driven by strong traction in fresh premiums. Retail health fresh premium grew 33% year-on-year, with the book now at INR162.5 crore.

You may notice a sequential dip in the insurance yields. However, as highlighted by us in our March quarter call, we had recognized the insurance revenue only upon confirmation from the Prudent Corporate Advisory Services Limited

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insurers. Consequently, around INR3.5 crore revenue of earlier period was recognized by us in Q1 of FY '26, leading to a temporary base effect.

Adjusting for this, yield remained stable sequentially, and the current quarter will provide a more representative view of future trends without expected impact due to GST-related changes. So now let me touch upon the impact of GST in the insurance segment.

To be very honest, clarity is not fully emerging. A lot of discussions are happening with the insurance companies. So I'll just share what the situation was during the month of October. November is not over yet and the discussion is still ongoing.

If you split the insurance business into life and health, GST impact has been quite different in both segments. In life insurance, out of, let us say, INR100 of premium, which we collect, almost INR30 of the business got impacted by GST. That means roughly 30% of our life business saw an 18% cut in revenue because of GST, which has been transferred to us. On the other hand, in health insurance, situation is exactly reverse. For every INR100 a premium, which we have collected, INR70 got impacted by GST, while remaining INR30 was not affected. But again, this was the position in the month of October. Final picture, the actual revenue impact and how arrangement will finally settle, we will be able to tell you only at the end of this quarter, which is after December is over.

However, I thought I'll try and address, which is an important part, which is, I think, the -- what is happening on the GST front. Now let me touch base another important point, which is regarding the revenue from nonfinancial products, and

that also grew sequentially. However,

on a year-on-year basis, decline was primarily due to the absence of liquiloan in the current fiscal.

In the previous fiscal, we earned INR6.9 crores on liquiloan, out of which INR6.2 crores was recognized in the first half itself. Consequently, this base effect will now taper off in the second half, and we expect a healthy year-on-year growth trend to resume on this line item.

Now I think let me try and address the commission and fee expenditure also. So on commission and fee expenses, we have seen an increase of 10% compared to 8.9% growth in the revenue, primarily due to an additional trail commission provision. This provisioning is made based on the net sales achieved by partners during the fiscal year.

This scheme was introduced by us in August, September last year. And as a result, provisioning in the first half of FY '25 was lower by INR4.1 crores with the majority of INR19.1 crores which was a full year provision was booked in the second half.

Now for the current fiscal, we expect a similar total provision with INR3 crores booked in Q1 and INR5.2 crore booked in Q2. The incremental INR2 crore provision in this quarter has temporarily restated the commission growth relative to the revenue. That said, we expect lower

commission provisioning in second half compared to last year as provisioning is now more evenly phased throughout the year.

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Now coming to other income, which is a treasury income. While our operational profit grew by 7.3% sequentially, it did not fully reflect in overall profit growth due to lower treasury income. Mark-to-market losses on equity portfolio and lower yields on bank term deposits during the quarter led to partial reversal of earlier gains, creating a temporary drag on the overall treasury income.

So during the quarter, there are 2 factors, which has impacted profitability, lower other income and the recognition of an additional trail commission provision this both put together is amounting to INR4.3 crores. If we adjust this, then our profit growth has been broadly in line with our revenue growth.

Now let me try and touch base the very important point, which is a recent announcement about the SEBI, which is a draft consultation paper. So touching up on the SEBI's recent consultation paper on mutual fund, particularly the proposed impact in the total expense ratio. The first point is about the revised expense ratio, which will now be exclusive of all statutory levies, including GST.

Earlier, only AMC's management fee attracted GST over and about TER, everything else was considered inclusive of GST. So if let us assume that I was earning 1% from the AMC that 1% was including GST, meaning my actual income was 85 basis points and 15 basis points went to GST.

Under new structure, my rate will be 85 basis points, excluding of GST. So I'll invoice GST on top of that and still effectively earn 1%. So it's a revenue neutral for those who are registered under the GST, but a big advantage is that it removes the earlier anomaly, where a GST registered distributor earned less than an unregistered one.

This creates a level playing field and help us attract smaller players to join the Prudent platform. So even though it's neutral in revenue terms, it's strategically a huge benefit for us. Second point is the removal of 5 basis point of exit load, benefit of which has been there since 2012 for all open ended schemes.

SEBI has compensated slightly by increasing TER in first 2 slabs up to INR750 crores by about 5 basis points. But overall, the industry impact will still be a reduction of around 4 to 4.5 basis points on the TER because of this 5 basis points which is removed.

Third point is on the brokerage cost. SEBI has proposed reduction on brokerage on cash transactions to 2 basis points and 1 on the derivative side. Currently, w

e are of the view that

AMC is paying roughly about 5 to 6 basis points. So this could mean an overall impact of 2 to 2.5 basis points assuming onetime portfolio turnover ratio for the entire industry.

So putting all this together, the exit load charge and brokerage reduction, total impact on the TER side should be in the range of 6 to 7 basis points. This impact, we assume that this could be shared by everybody in the value chain, be it the institutional brokers or RTAs or AMCs or even to the distributors also.

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And since it affects everyone, and whenever we always say that whenever the impact is transferred to the distributors, I'm sure it will be transferred to everybody. And in that situation, we'll also be in a position to share this pain with our distributors.

But just a quick reminder, this is just a draft paper. SEBI has invited feedback until 17th of November, and there is a good chance that some relaxation may come either on the exit load side or on the brokerage. But whatever happens, I think it will probably dilute the impact only. Therefore, I thought I'll try and touch with this point to highlight what is changing where the impact lies and how it could actually turn out to be positive for us. Now let me also talk about the ESOP plan, which has been announced by us very recently. So we have granted 130,945 options to 388 employees.

On the day of announcement, option value per share was approximately 542 as per CA certificate, which will be amortized over a period of next 12 months, equal each quarter. So we expect a P&L hit of about INR7.10 crores, which will be booked under the share-based payment expenditure under employee benefit expenses.

Finally, to conclude, we have successfully completed the merger of Indus acquisition. It's a very highly cash accretive addition to our platform, powered by 15 experienced relationship

managers under a seasoned business head. It is expected to deliver annualized mutual fund commission of about INR22 crores to INR23 crores and the cash profit before tax of approximately INR15 crores.

We continue to see a growing interest from distributors seeking alignment with scale and technology-driven platform to ensure business and service continuity for their clients. A space that Prudent is well positioned and open to explore strategic opportunities. Our treasury corpus currently stand at INR480 crores providing us to pursue select inorganic opportunities which are strategically relevant and value creative to us.

With that, I would now like to open the floor for Q&A.

Moderator: The first question comes from the line of Prayesh Jain from Motilal Oswal.

Prayesh Jain: Sir, firstly, a broader question rightly towards the end of your opening comments, you mentioned about distributor addition and you had almost about 1,000 distributors in this quarter. Now how is the landscape changing on the ground for adding distributors because what we are hearing is there is a high competitive intensity to acquire distributors from many players.

And therein, they are sharing a much higher number in the first year from a commission perspective. We are hearing numbers as high as 80%, 90% in the first year as well. So is that the landscape changing materially? And how do you see this going ahead?

Sanjay Shah: Shirish?

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Shirish Patel: So definitely, I think as we discussed earlier, I think there are a few more platforms entered in the industry, and there could be the competition to the distributor empanelment. But on a positive side, I would say that more and more people are working to get more distributors to the mutual fund industry. That is a positive thing.

But on existing mutual fund distributor, competition will increase that we also we have to accept. Two things I would say

here. One, more and more people communicate the advantage of platform. Earlier, only 2 major players on a platform side were communicating the advantage of working with platform versus AMC. Now at least 6, 7 people will communicate the advantage.

So more and more people will go towards the platform, so that is a positive thing and within platform we will compete. So I don't think that there is a big major impact on our recruitment side. To give you the number, I think last entire year, we recruited almost 4,800-plus new MFDs or ARN holders in our kitty and it was one of the highest in our history.

So that say, that in spite of increased competition, the number of ARN holders getting registered with Prudent and working with Prudent has not come down. Even if I talk about this financing year YTD, we already have recruited close to 3,100.

So proportionately, we are much ahead of what we did last year also. So in spite of increasing in the competition, more and more people are joining Prudent platform. Of course, I think competition will make the case of working with platform stronger. Yes, I think we are watching them. But as of now, I think we are not seeing any impact.

Prayesh Jain: And my main question around that was the sharing of commissions with the distributors whether you would have to kind of move towards what the new players are kind of giving the sharing commissions with the distributors? And would that mean some pressure on your profitability going ahead?

Shirish Patel: So if you see, they are there in the market for almost more than 1.5 years. Since beginning, their commercial sharing is higher than what we offer. Last 1.5 years, we have not changed our strategy to increase our pass out's. Of course, I think that might create pressure on a few smaller distributors getting attracted with the higher commission. But as of now because of the competition, we have not seen any impact on our pass out's currently. So that is it. As of now, we are not thinking of changing our strategy.

Prayesh Jain: And is it fair to assume that your sharing, which was like slightly elevated as you explained and there was some additional trail-related impact in this quarter, it will normalize to something like 60%, 60.5% to 60.5% from Q3 onwards.

Shirish Patel: Yes, Sanjay? No, no, I think share you're talking about 60%, 60.5% is not the truth. I think we are sharing roughly about -- our weighted average sharing is in the range of 67%, 68% in the indirect channel. And there is a direct channel also.

So probably, if you look at -- you just look at the mutual fund piece only, I'm talking because we do not provide the segment revenue. The mutual fund side, our sharing is in the range of

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65% to 67%. And that probably -- and then if you go to a probably higher band, I think that is significantly higher.

So probably Shirish has said that we have not changed the strategy. However, I can also tell you that on the topper end, I don't think there is -- we are very, very competitive. Only problem might happen at the initial level of the entry-level players. Otherwise, our sharing ratio probably will try to maintain the same, which is currently there.

Prayesh Jain: Got that. Sir, second question is on the insurance side, rightly you mentioned that the health insurance business is impacted more, but the communication from health insurance companies has been that the growth in the business particularly in the month of October, whatever growth we have seen, will it be more than enough to offset the impact of the commissions for the distributor?

Is that a trend that you've also seen in the month of October where the growth has been much stronger than what you would have seen in the first 6 months? So any colour that, that would help us understand how the Q3 kind of will pan out for us.

Shirish Patel: So definitely, one thing

for sure that because of the health insurance becoming cheaper, more and more people will try to go for the health insurance, really try to increase the coverage that also will help to get the higher premium. If you look at my October number, definitely, if I look at my premium growth over August and September, we can see the growth over August and September.

It's too early to communicate that month of October, the growth in the premium is just because of reduction in the GST. Maybe that will be the pent-up demand because many of the investor, many of the policyholder, many of the distributors would not have participated in the health insurance in the month of September, waiting for the GST cut.

So it's too early to communicate that the growth in the month of October is mainly because of GST cut only. I think probably, 3, 4 months down the line, we will be able to communicate that is there a genuine growth, but yes, October month, we have seen the growth.

Prayesh Jain: Okay. Last question is on employee expenses. How much of ESOP costs were there in this quarter? And how should we think about ESOP cost for FY '26 and FY '27?

Shirish Patel: So I think ESOP cost has not been part of a result, which has been announced. So I already said in the opening remarks that ESOP cost -- because I think ESOP valuation will be happening on every quarter. But however, the day when we announced the ESOP, I think the option premium price calculation, I think the cost was roughly about INR7.1 crores.

And we are assuming that INR7.1 crores, it will be cost for the next 12 months. Starting from current quarter, we'll amortize 7.1 divided by 4 every quarter. And now we'll, I think, make it a trend also that every October will announce the ESOP so that there should not be any, I think, overlay of write-offs.

Prayesh Jain: INR7.1 crores will be over a period of vesting period or it's 1 year cost?

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Shirish Patel: So vesting period is after 12 months. It's over a period of next 12 months. Yes.

Moderator: The next question comes from the line of Swarnabha Mukherjee from B&K Securities.

Swarnabha Mukherjee: A couple of questions from my side. First of all, in terms of the flow, so our net flows improved this quarter from the previous quarter. And I think if SIP run rate also is better. So in October, what is the trend? If you could give us some colour on that?

And the second question is in terms of these impacts on -- from GST-related the impact of the insurance side and the overall impact on the mutual fund side, a potential impact which might happen due to the SEBI paper. How much of that can we pass on to the distributor? Will it be in that same sharing ratio or you can be able to pass it on fully?

Shirish Patel: So the first point is October month net sales is higher than what we did in the month of August and September in spite of having the festive seasons. We could see that the momentum of mutual fund continues, the participation in equity funds continues and the gross flows and the SIP flows continued. So October month in terms of net sales is far better. Coming to the GST impact to the insurance side, first on the insurance side.

So mainly, we will be able to pass it on in proportion to our distributor. So whatever would be the impact on -- because of the GST, whatever will be passed on to us by the manufacturer of the insurance company, we are very, very confident that we'll be able to pass it on the proportionate sharing cost to our distributor. So we don't see any challenge there in terms of margins.

Swarnabha Mukherjee: Right, sir. And in terms of the potential impact of the SEBI paper, again same question, how much will you be able to pass on in the same sharing ratio?

Shirish Patel: So in mutual fund, assuming that the final impact comes the way the consultation paper is talking about, we rather believe that

we would be the beneficiary because today, our almost 1/3 of our AUM is contributed or rather I would say that the brokerage pay-out is contributed by those who are non-GST. so probably, I think today, they have got this tax arbitrage because of this, but they are not paying GST on that.

So we are very, very confident that we'll be able to pass it on to the hit to them in ratio of what the current sharing is. Probably it might benefit also.

Moderator: The next question comes from the line of Dipanjan Ghosh from Citibank.

Dipanjan Ghosh: Just a few questions from my side. First, in terms of going back to the previous participant question in terms of the mutual fund business. Obviously, you announced the circular which has come out, there was a previous portion of the circular somewhere around May 2023. And I would assume that at that point of time, you might have had some discussions with the manufacturers or the asset managers in terms of how the distribution of this burden will happen between various stakeholders in the ecosystem.

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So based on these prior discussions and maybe incremental discussions that you might have had in the last, let's say, 2 to 3 weeks. What do you think -- what do you sense would be a sharing ratio ballpark this time around versus, let's say, September 2019, where distributors were taking majority of burden. And that's the first question.

My second question is in terms of your MFD base, what would be the attrition rate, let's say, amongst your top 10% or the top 20% of the MFDs and maybe not for the quarter, but more from like, say, FY '25 versus '24 versus '23. I mean is that -- and even 1H '26, how is that attrition trend really changing? I mean that would give us some colour of the competition?

And third question is on the POSP business. And given the fact that we have seen surrender charges, now we are seeing GST, multiple headwinds in terms of realization. Just from a profitability perspective and from a more medium-term perspective, what do you think can be the growth trajectory of this business?

And is there a way you can really pass on a little bit more to the underlying POSP agents? And the reason I ask this is because there are multiple POSP platforms in the country, which obviously pay much higher realizations or much higher pass-through rates. So those would be my 3 questions.

Shirish Patel: To give the answer of your first question, comparing 2019 and comparing now, the 2019 AMCs have passed on majority of the hit. Currently, after the consultation paper, what kind of hit they will be able to pass it on. I think no AMC will currently communicate officially. But my guess is that whatever would be the impact this time to the AMC majority of the hit, AMC will pass it on to distributor. That is what my reading after discussion with them.

The reason being last 2 years, many of the AMCs have done the TER cut on the book when there were no regulatory changes in spite of that, I think AMCs have cut the book commission for major of the distributor to maintain their margin. This time is the regulatory change.

So my gut feeling or my discussion with them this time, they will be able to pass it on, they will pass it on majority of the cut to the distributor. That is what my reading is. I don't know how finally they will act but as of now, the reading is they will pass it on the major burden.

The second point is the attrition of top 20% partner because new and new platforms are paying higher commission and a lot of competition has emerged in the 1.5, 2 years. I would say that the trend in case even if there's an attrition, it would be on a smaller -- smaller AUM partner, not on a bigger AUM partner.

The reason being the bonding of the bigger AUM partner, involvement of our team with the bigger partner is much, much stronger historically also. The smaller AUM partner

s, their

engagement, their relationships probably, I think are building new or any I think the relationship that might not stronger because of the smaller scale.

Second point, I would say that all the new platforms are paying the flat commission which is on a higher side, mainly that would be a big difference to the smaller-size AUM partner. As you know that in Prudent, we already have a tiered structure.

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Smaller the AUM lowered the commission, higher the AUM, higher the commission. So

probably the commission impact or the commission difference would be seen by the smaller distributors versus with Prudent versus new platform. So that bigger AUM partners moving or joining other platform, I think that trend is not there.

So attrition, I would say that there is hardly any attrition rather I would say that there is a zero attrition among top 10% partners or our top 20% of our partners. If at all, there is some attrition, it would be on the smaller AUM partners. And again, it is not universal. It would be on a few branches where my team would have joined the competition platform and because of the relationship they would have gone there.

Again, that will be on a new business and not the full business. So attrition wise, we have not seen any meaningful attrition in the last 1, 2 years. Third point you said is the impact of insurance in insurance in GST due to the surrender charges guidelines, which impacted the revenue last year.

Definitely, I think this time, post GST, the impact will be much, much higher, mainly on the health insurance side because the revenue might come down by around 18%. Entire GST component might be transferred to the distributor community. The impact of revenue on the health insurance side definitely would be higher.

On a life insurance side, as of now, I think still insurance companies are discussing and negotiating. So we are not sure that how much percentage finally will be passed on to the distribution community.

As of now, the discussions are on. I would say that in the health insurance side, more than 70% of our business got impacted in the health insurance side. 30% is currently under negotiation under discussion, it is not impacted in the month of October. If I take the similar case for life insurance, 30% got impacted in the month of October, 70% still the discussions are on. So what will be the final impact.

I think once we finalize our discussion with the insurance companies, we'll be able to communicate. But yes, I think whatever would be the impact or pass on the impact to the distribution community.

I'm sure I think they will do for the agency channel also when they do with the agency channel than when the insurance company passing on to all the distributors, we will be able to pass it on to our distributor also at least in the proportion of our sharing ratio. We don't see a bigger challenge. At least we are very, very confident that we'll be able to pass it on the hit at least equal to the sharing ratio or a little higher in insurance segment.

Dipanjan Ghosh: Just one follow-up on the first part, if I understood correctly, what you said is that because mutual funds have demonstrated a capability to pass on to distributors even during absence of regulatory changes. You think that this time around also majority of the AMC will pass maximum portion of the impact to the distributors? Is your understanding of hypothesis or something? Is that the right understanding?

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Shirish Patel: Yes, yes. That is what I believe.

Moderator: The next question comes from the line of Sanketh Godha from Avendus Spark.

Sanketh Godha: Sir, my first question is on Indus, the 2,000 source of AUM. You could just add that how much yield you can we will get. And the INR124 crores cash PayOut of how long i

t will be

amortized over the period? So that's my first question.

Shirish Patel: So Sanketh, I think, INR2,000 crores is over 2% of our overall AUM. And more or less, my belief is that -- because if you look at whenever the merger happens, this merger formula says that you will get the rate whichever is lower between the two. So the -- it cannot be yield accretive in any case.

Let us say, for example, on a particular transaction, Indus is getting 1% and Prudent is getting 90 basis points, I'll get 90 basis points. Or, for example, in particular transaction, I would have got 1.10, but they are getting 1%, I'll get 1%.

So because of the merger rule, it has to be lower of my rate or their rate. So in that situation, it cannot be accretive to the yield as far as the overall my broad is concerned. Number two is, as far as amortization concerned, we are yet to talk to the auditor because to be very frank, we are of the view that this is an asset, which we have acquired, we have the precedence like Karvy and Ifast. We believe that these are very long term in nature as far as benefit is concerned, and we are able to demonstrate the benefit.

So we'll talk to auditor and yet we need to finalize, whether it should be amortized over a prior of 10 years or even more. So the question is at an open-ended stage.

Sanketh Godha: Sir, in Karvy, amortization period, what auditor ultimately decided was how many years?

Sanjay Shah: So I think at that time, we took 10 years as an amortization. So out of INR150 crores, we are writing of INR15 crores every year. But now almost 4.5 years complete, and we have a very

good track record to go and talk to them that should we continue with 10 years, the formula or we should make some changes. So I think that's why I'm just giving you a hint that we'll talk to auditor.

Sanketh Godha: Yes. Understood. And Indus yield, will trickle down to bottomline, right?

Sanjay Shah: Yes. So because it's pure B2C business. So as I already told in the opening remarks, we are expecting about INR22 crores to INR23 crores of top line. And we might -- I think the profit before tax -- before amortization would be about INR15 crore. So there is a cost of about INR5 crores, INR6 crores for running this business.

Sanketh Godha: Understood. Understood. Perfect, sir. And my second question is on your if I look at the number of MFDs who have become insurance POSPs. That number is stagnating around 13,000, that number has not grown. So sir, just wanted to understand the incremental addition of MFDs doing insurance is becoming difficult?

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Shirish Patel: So basically, I would say that last 1 year, we were migrating our insurance business from Gennext to Prudent. So earlier, whatever recruitment or the POSP registration, we did, it was in Gennext. From 1st of April, we started doing business, majority of the business in Prudent. So obviously, we had 2 challenges, we had to migrate -- we have to recruit the new POSP with Prudent.

And also those who are willing to keep their POSP registration from Gennext to Prudent, we also had to accommodate them. So obviously, last, I think, 6 to 8 months, our efforts were also converting or those who are willing to migrate their POSP license from Gennext to Prudent. Obviously, hence, I think the focus on new POSP registration was less. And that is where you were saying that it is stagnated. But still, I won't say it is stagnated. I still think there is a growth of new POSP, Month on month also, we are able to see the growth in the PSOP number.

Sanketh Godha: Understood. Understood, sir. And another question was on insurance, basically, you mentioned that in life insurance, 30% of the business we saw a commission cut. So when we say 30% unlike 70% in case of health, any particular product wherein you saw the highest cut whether on par or non-par.

Shirish Patel: See, I

ife insurance, I think 30% business what we have communicated that GST cut would be passed on. One, on the insurance company side. A few of the insurance companies has said entire business got repriced with 18%. That is one.

A few of the insurance companies have said that we are just waiting and watching, and we will -- we are just discussing with them for the entire product basket, 1 or 2 insurance companies have passed it on the ULIP side. So just I think it a mixed bag on the total side, I would say that around 30% business at impact.

Sanketh Godha: Okay. So there is no consistent trend like health insurance.

Shirish Patel: There is no consistent trend currently. No, no. Still it is under various discussion stage. Finally, I think we believe that I think final outcome would only be known by March quarter only. I think few more insurance companies give some clarity probably in this in this quarter. The final outcome probably would be known on 1st April only. That is what my belief is. But yes, I think we'll get more clarity during this quarter and see more companies confirm next quarter.

Sanketh Godha: Understood. Understood, sir. And then lastly, on your mix, can you wish to give and net flow number or gross flow number. Can you give a colour how the AUMs in small mid-cap hybrid or vis-a-vis to the SIP book or gross sales numbers?

Shirish Patel: So you are talking about the mix of AUM?

Sanketh Godha: Basically, I want to know the mix of AUM? And how different is incremental sales compared to the outstanding book?

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Shirish Patel: So mid and small contribution, in terms of asset, they are around 23%, 24% of all my equity assets. So there is no significant trend in terms of sales in gross and sales in mid and small probably the SIP registration or SIP, the contribution of small and mid will be much higher. This is our 1/3 of our new SIP registration is in small and mid. But historically also small and mid contributes around the similar kind of number in terms of new SIP registration.

Moderator: The next question comes from the line of Pranuj Shah from 3P Investment Managers.

Pranuj Shah: I just have 1 clarification on the insurance bit of it. So when you say that 70% in health and

30% in life is where you have seen the GST impact come in. So is this where your commissions have been negotiated down by 15%, so that whatever GST used to pay has been passed on to you?

Shirish Patel: Practically earlier, whatever my commission used to be, let us say, my commissions were 20%, we used to pay the GST. So 20% plus 18% of 20%. That is how the insurance company used to pay. When we say that 70% business got impacted in terms of health insurance, the 20% commission, the 20% commission has continued, but now communication is that 20% includes the GST component. So the commissions, for example, 20 plus GST, now it is 20% minus GST.

Moderator: The next question comes from the line of Lalit Deo from Equirus.

Lalit Deo: Just two questions. So firstly, on this new product with a new category, which is SIF, so we have seen 2 launches in the last 2 months. So just wanted to understand like what kind of an -- did we participate in those 2 products and whether we raised any amount? And what would be the yield and the sharing ratio as we have done this?

Sanjay Shah: So we are very, very bullish on this new category. Unfortunately, the number of certified MFDs in the country are yet very, very low. And hence, in our system also out of our 34,000, 35,000 ARN holders. Those who are certified to sell SIP are less. Hence, the participation of partners in SIF business is very, very less. While we are talking more than 200-plus partners are certified that the Industry numbers are around 3,000 plus somewhere. The industry around 3,000-plus ARM orders are certified for SIF. The same number for us is around 200 plus. We part

icipated in SIF, but obviously, we did not participate very, very actively or aggressively. Main reason was because this was a new product, the technical integration was not ready by RTA. So first two NFO, we missed because the integration did not happen in our fundzbazar portal -- but having said that still in first 2 NFOs, we did around INR9 crores to INR10 crores.

Lalit Deo: Got sir. And just on back book repricing -- so any other AMC, which -- where there are some active discussions on this back book repricing on the mutual fund side?

Shirish Patel: So currently, no AMC is right now talking, but as 1 or 2 AMCs have already communicated specifically in Nippon that they will revisit their TER sharing every quarter and every half year. If there is a big yield pressure, they might change on a back book side. As a process, only
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Nippon has communicated. Other AMCs occasionally as and when they feel the pressure, they will pass it on. But currently, there is no discussion with any AMC.

Moderator: As there are no further questions, I would like to hand the conference over to the management for closing comments.

Lalit Deo: Thank you. Thank you, everyone, for attending this call. And if there is any question, which has not been addressed if you have any query, I think the management, including parts who handles our IR is all the time available to you guys. Yes. Thank you.

Moderator: Thank you so much, sir. on the behalf of Equirus Securities Private Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Feb 2026

Date: 03.02.2026

To,
The National Stock Exchange of India Ltd,
Exchange Plaza,
Bandra – Kurla Complex,
Bandra (E),
Mumbai – 400 051
NSE EQUITY SYMBOL: PRUDENT To,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai- 400 001
SCRIPT CODE: 543527
ISIN: INE00F201020

Sub.: Transcript of the Conference Call for Un-Audited Financial Results for the quarter and nine months ended December 31, 2025.

In terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of the Conference Call with analysts and investors held on January 28, 2026 in respect of the Un-Audited Financial Results for the quarter and nine months ended December 31, 2025.

The same will also be available on the website of the Company at www.prudentcorporate.com.

Please take the same into your records and do the needful.

For, Prudent Corporate Advisory Services Limited

Kunal A. Chauhan
Company Secretary
Membership No: FCS-13492
Encl.: As Stated
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Q3 FY '26 Earnings Conference Call"
January 28, 2026

MANAGEMENT : MR. SANJAY SHAH – CHAIRMAN AND MANAGING
DIRECTOR – PRUDENT CORPORATE ADVISORY
SERVICES

M R. SHIRISH PATEL – CHIEF EXECUTIVE OFFICER
AND WHOLE-TIME DIRECTOR – PRUDENT CORPORATE
ADVISORY SERVICES

M R. CHIRAG SHAH – NON-EXECUTIVE DIRECTOR –
PRUDENT CORPORATE ADVISORY SERVICES

M R. CHIRAG KOTHARI – CHIEF FINANCIAL OFFICER –
PRUDENT CORPORATE ADVISORY SERVICES

M R. PARTH PAREKH – HEAD OF INVESTOR RELATIONS
– PRUDENT CORPORATE ADVISORY SERVICES

MODERATOR : MR. RUSHAD KAPADIA – ICICI SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Prudent Corporate Advisory Services Limited Q3 FY '26 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone

phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rushad Kapadia from ICICI Securities Limited. Thank you, and over to you, sir.

Rushad Kapadia: Thank you. Good evening, everybody, and welcome to the Q3 FY '26 results update call of Prudent Corporate Advisory Services Limited. We have with us from the management of Prudent Corporate Advisory Services Limited, Mr. Sanjay Shah, Chairman and Managing Director; Mr. Shirish Patel, CEO and Whole-Time Director; Mr. Chirag Shah, Non-Executive Director; Mr. Chirag Kothari, Chief Financial Officer; and Mr. Parth Parekh, Head of Investor Relations.

Now we would request the management to start with the opening comments, post which we can open the floor for Q&A. Thank you, and over to you, sir.

Sanjay Shah: Thank you. Thank you, dear, and good afternoon to everybody. I extend a warm welcome to all of you for joining the Prudent Q3 FY '26 Earnings Call. Thank you for taking time to be with us today. I hope you have the investor presentation handy as we'll be referring to it through the course of this discussion.

So now straight away, let us move to Slide 45, which talks about the momentum in our AUM growth. So if you look at the Slide 45, it shows how our AUM has moved during the quarter. On the left hand, you see a comparison of daily average AUM for first 9 months of FY '26 with an AUM as on 31st December 2025.

During the first 9 months, we earned revenue on a daily average AUM of INR119,000 crores. Our opening AUM for the current quarter stands at around INR130,000 crores. That's an increase of about 9.2%. This gives us a strong momentum as we enter into the last leg of FY '26 and FY '27.

In the current month, the broader Nifty500 Index has corrected by around 5%. And consequently, our current AUM stands at approximately INR126,000 crores. While the month was challenging from a mark-to-market perspective, we saw a strong resilience in net sales. Our equity net sales for the January have crossed INR1,200 crores as of yesterday, which has helped cushion the impact of market volatility.

SIP addition has also remained robust during the month, with our SIP book increased from INR1,170 crores compared to INR1,130 crores in December 2025. On the right-hand side, we have quarterly average AUM trend. The average AUM for the quarter was INR127,600 crores. Our quarterly average AUM grew by 21% year-on-year and 7.2% quarter-on-quarter, reflecting steady and sustained business momentum.

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Now please move to Slide 46, it talks about the equity AUM movement. So this slide shows the movement in our equity AUM on a both year-on-year and quarter-on-quarter basis.

Starting with year-on-year view on left, our equity AUM grew by 22.4% during Q3 of FY '26. It moved from INR102,700 crores in December '24 to INR125,700 crores in December '25. That's an increase of nearly INR23,000 crores.

Two-third of this growth was driven by strong net sales and acquisition of Indus. And the balance, one-third has been contributed from mark-to-market gains. Coming to quarter-on-quarter view on the right, equity AUM grew by 6.9% during the quarter. This was driven by mark-to-market gain and a strong net sales of INR3,444 crores.

Now please move to Slide 47. This slide highlights our SIP performance. As of December '25,

our monthly SIP book stood at INR1,135 crores. We have added almost about INR200 crores over last 12 months. Currently, as stated, this book has grown to INR1,170 crores. Our market share has improved by 20 basis points from 3.3% in December 2024 to 3.5% in December 2025. We aim to cross INR1,200 crores in monthly SIP flows by March 2026.

Now let me take you to the last slide, which is the consolidated financials. So Slide 49, which outlines our consolidated financials. So on the mutual fund side, our quarterly average AUM grew by 7.2% sequentially, while the mutual fund revenue has increased by 8.2%. The mutual funds revenue grew at a faster pace, led by an extra income to the tune of INR1.4 crores due to release of individual brokerage following some relaxation in KYC norms.

Excluding this one-off income, our yield were stable on a sequential basis. On a 9-month basis also, quarterly average AUM and mutual fund revenue grew hand-in-hand at a 20% and yield have remained more or less stable on a 9-month basis as well. On the insurance front, our premium grew by 13% sequentially, led by a good uptick in our LI vertical.

However, revenue grew at a slower pace of 3.6%, primarily driven by the rationalization of rate post GST changes in the retail health vertical. As stated in the last call, most of health insurance have reduced the rate by 18% from 1st October 2025 onwards following the reduction of GST to a nil rate.

So, overall the quarterly revenue from operations grew at a pace of 7.3% sequentially. On a 9-month basis, revenue were higher by 16.6%. Operating expenses also grew at a similar pace of 7.2% sequentially.

During the quarter, employee costs included one-off provision of INR1.49 crores related to implementation of new labor code. In addition, there was an ESOP charge of INR1.61 crores for this quarter, and it will remain the same for next 3 quarters as an annualized cost for ESOP would be in the range of INR7.2 crores.

After incorporating these items, operating profit for the quarter grew by 7.8% sequentially. On a 9-month basis, operating profit has also increased by 12.2%.

The increase in finance cost of INR92.32 lakh -- please look at the finance cost segment. So increase in finance cost of INR92.32 lakh is attributable to accounting treatment of deferred

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consideration payable to Indus capital. Deferred payout is recognized at its discounted present value and periodically recognized as the finance expense.

Accordingly, interest accretion of INR92.3 lakh has been charged to P&L. Please keep a note that these costs will continue to be recognized over the next 11 quarters until the full deferred consideration is paid to Indus capital. So this INR92.32 lakh every quarter will have to be added into the finance costs. You'll see that as an additional cost item.

Another change related to the depreciation. Since the acquisition of Karvy in November 2021, we have been depreciating the acquired assets over a 10-year period. Now that the acquisition has completed over 4 years, we were able to demonstrate based on operating experience that the assets are long term in nature. Accordingly, in consultation with our auditors, we have revised the useful life of these assets to 15 years, extending the depreciation period up to November 2036. That means from here onwards, now these assets will be amortized over the next 11 years.

Consequently, amortizing expense for the current quarter has reduced to an extent of INR1.7 crores, mainly on account of Karvy assets. Additionally, acquisition cost of Indus Capital will be amortized over a period of 15 years. So overall, reduction of Karvy depreciation and additional depreciation cost of Indus, overall depreciation figure has modestly increased from INR7.7 crores to INR8 crores.

Despite utilization of INR87.3 crores from the treasury book towa

rds the Indus Capital

acquisition, our other income grew by 16.4% sequentially. This was driven by positive mark-to-market gain on the equity-oriented treasury investment, supported by a 7% rise in Nifty50 during quarter ended on December '25.

A stable operating performance has led to a net profit growth of 7.6% sequentially and 19.6% on a year-on-year basis to INR57.6 crores. On a 9-month basis, net profit grew by 13.2% to INR162.9 crores.

Now I'll try and touch base the merger of Indus. So the merger of Indus acquisition is working very well for us. We now have completed two meetings with all the big clients, and there is a significant comfort regarding the integration with Prudent. It's a highly cash accretive addition to our platform, powered by 15 experienced relationship manager under a seasoned business head.

Given the successful integration and experience, we are in a lookout for similar opportunity in this space, wherein distributors are seeking alignment with scale, technology-driven platform to ensure business and service continuity for their clients. A space where Prudent is well positioned and open to exploring strategic opportunities. And our treasury corpus of INR537 crores provides a robust war chest to pursue such opportunities.

Finally, touching up on SEBI's recent changes in the total expense ratio. Now first point is about the revised expense ratio, which will now be exclusive of all statutory levies including GST. Earlier, only AMC's management fee attracted GST over and above TER. Everything else was considered inclusive of GST. So, let us assume if I was earning 1% from AMC, that Prudent Corporate Advisory Services Limited

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1% was inclusive of GST, meaning my actual income was 85 basis points and 15 basis points went to GST.

Under the new structure, my rate will be 85 basis points, exclusive of GST, so I'll invoice GST on top of that and still effectively earn 1%. So, more or less, we believe it's revenue neutral for those who are registered under the GST. But the big advantage which will accrue to Prudent is

that it removes the earlier anomaly, where a GST registered distributor used to earn less than an unregistered one.

This really creates a very strong level playing field for us, and it helps us attract smaller players to join Prudent platform. So, even though it's neutral in revenue terms, it's strategically very, very beneficial to us. Second point in the entire circular is removal of 5 basis point benefit, which was available in lieu of exit load since 2012.

This benefit was available over and above the regular TER, which has now been withdrawn. This represents -- these 5 basis points represents the cost for the entire industry. So, while a part of this impact will flow through to distributors like us, the exact sharing mechanism between AMC, distributor and other stakeholders will become clear only by April 2026. So I think with that, I'll just close my speech, and I'll open the floor for the questions.

Moderator: The first question is from the line of Niranjan Kumar from Avendus Spark.

Niranjan Kumar: Sir, first, on the recent changes in the TER. Like, I wanted to ask has any AMC initiated any negotiation on this yield cut? Also like, to go sometime in the past, like when upfront commissions were removed, around 6 years, 7 years back, so how you shared them? Like who took the major hit then, is it AMC or distributor like Prudent? That's the first question. Second question, sir, the MFD market share has been declining for a few quarters. Like even in this quarter, I think it declined around 200 basis points. So what's happening really there? Like are you facing any challenges internally? Or the competitive intensity in the industry has increased like where other players are giving aggressive payouts? So these are my broader set of questions, sir?

Shirish Patel: So, coming to the first point, whether AMCs have

started discussion about passing on the TER

cut, the answer is no. As of now, no AMC has started the discussion about passing on the TER cut. My guess is that, by mid of March, probably we will have a better clarity. We definitely will start discussion with the AMCs mid-February. But as of now, no AMCs have given an indication that what would be the behavior.

But what I understand that -- and I'm sure I think most of you would have done some kind of calculations. The GST out of the base expense ratio, probably that is neutral for many AMCs and for some other bigger AMCs, it could be, I think, a few basis point cut. And as Sanjay bhai said that 5 basis point of exit is also out.

This time, my belief is that the major of the AMC may pass on the cut to the distributor, and that is what's the feeling which we are getting, but no AMCs have communicated yet. So yes, Prudent Corporate Advisory Services Limited

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there is no discussion, but the gut feeling is that the AMCs may pass on the cut to the distributors..

The second point, what you asked that the way when this earlier TER cut was there, how Prudent could manage the passing on to the distribution community. So, we believe that when AMCs will pass it on to all their channels, including the MFD, and definitely, they might pass to Prudent -- for Prudent also. Prudent also will be able to pass it on to their distributors. So I don't think that this time we will not be able to pass it on. Definitely, it will be the same like what we did in past.

So -- but yes, I think, let us wait for a few more months to get a complete clarity. But this time, the experience would not be different compared to what it was last time. Second point, you talked about the indirect share in the Prudent system has come down. I think mainly it's because of Indus acquisition, because that INR 2,000 crores of AUM is added in B2C.

Hence, you might be seeing that the indirect share is down, otherwise, in the industry level, as Sanjay bhai would have shared in the presentation also, last 1 year, definitely, I think we have gained the market share. So, it is not that we have lost the market share. I hope we have addressed both your questions.

Sanjay Shah: No, Shirish, he's talking about number of MFDs joining the Prudent.

Shirish Patel: So, number of MFDs joining the Prudent platform is still the same. If you look at last year, we added close to around 4,700, 4,800 distributors in Prudent kitty. And this year, we will be able to add these many numbers in the Prudent platform. So, we don't see that, I think the number of distributors joining Prudent has come down. It's the same. So there is no change.,

Moderator: The next question is from the line of Lalit Mohan Deo from Equirus Securities.

Lalit Mohan Deo: Yes. Few questions. So firstly, like in the insurance segment, like as you have highlighted that most of the health insurance have passed on the GST pressure to us. So, like similarly in the last call, we mentioned that in -- within the life insurance only 30% was passed on. So is there any new communication from the other life insurers who have followed the similar suit and passed on the pressure to Prudent?

Second, just on this non-GST distributors, which you have talked about, can you please

elaborate it in a little better way the it's like -- whether there will be any benefit to Prudent or not? And lastly, on the non-MF products, so like on a sequential basis, we are seeing that, it's currently ranging between INR8 crores to INR9 crores on a revenue run rate. So how should we see this line item going ahead for the next 2 years?

Shirish Patel: So, coming to your question, the last call, what we spoke that in general insurance, most of the companies have passed on the GST cut to the brokers or Prudent. In life insurance, we said last time that around 30% of the business has seen the GST cut. I would say that I think there also,

we could negotiate some part of that. So the actual impact in the life insurance is not even 30%, it is lesser than 30% now.

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In the month of December, we could renegotiate that cut with the same manufacturer. So as of now, I think at least till March, the cut in the GST component from the life insurance business is not even 30%. I think it will be less than 10% now. So that way, yes, we could save on that part.

The second part -- but this is still till March. This arrangement, whatever we are -- right now we are talking about is only till March. From April, as of now, there is no discussion. So we don't know that what will be the scenario post April. But till March, we don't see any major impact or major change in the GST now.

Coming to the part, the non-GST partners or the GST cut, how it is going to impact Prudent or a little more explanation on what you sought. So, what used to happen that whenever Prudent or -- earlier as Sanjay bhai said that the commission used to be inclusive of GST. So whether the distributor was under the GST or out of the GST net, both of them were getting the commission rate, including GST.

So those who were out of the GST net, they were not paying the GST, but they were still getting the inclusive GST commission. So obviously, when Prudent has to pay the GST on a total brokerage and there are many distributors who need not have to pay the GST. Obviously, I think the competitiveness or the margin of Prudent may be lesser...

Now from 1st of April, all the commission rates would be exclusive of GST. Whether the person is under GST or not under GST, the commission rate will be exclusive of GST. So earlier, the person -- non-GST person used to get x commission.

From April, on the same business, he will get x minus 18%. So, by default, the competitiveness or the margins of Prudent on that particular partner or that particular MFD will increase. So yes, I think that is a very, very positive point. Third, I missed the point. So, I think, Sanjay bhai, you can take that point -- third point.

Sanjay Shah: We have a run rate of INR8 crores to INR9 crores on non-MF -- MF non-insurance revenue. So what is your view on that, which is basically all other products other than the mutual fund insurance?

Shirish Patel: So basically, if you see the other products, since the last few years, we have started focusing very aggressively. One important product, which was P2P. Now the revenue from P2P is almost zero. So, obviously, we replaced the revenue of P2P to other products without impacting the fall in the other revenue.

Here, I would say that, yes, I think, our PMS book is increasing steadily. So that also contributes a bigger pie. FD business, the momentum is picking up, and there also the revenue is there. Loan against mutual fund, which we added last year very aggressively. And while we are talking, our book is almost, I think, INR300 crores.

So that is one more, of course, the revenue would be a little less. But obviously, that is one more revenue item. I would say that, that is also contributing to our revenue. Broking side, as we communicated earlier that the Prudent broking is now merged with Prudent Corporate. So, Prudent Corporate Advisory Services Limited
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most of the clients, I think, who were in the FundzBazar, they were not able to trade on the stocks. Now they are able to trade on the stocks, though the seriousness of our system also on the broking side has gone up. Obviously, I think the revenue front, it is not visible yet, but we will strongly believe that broking also going forward will contribute better in our total pie. So non-mutual fund, non-insurance product wise, yes, PMS, AIF, the alternate products are growing. FD is really doing good. LAS, last year it was added & we are doing good, broking still will do better.

SIF i

s a new product in the kitty. As we categorize that in the mutual fund only, but we strongly believe that going forward, SIF is going to become a very big product line for us. So that also we are very, very positive. Yes, Sanjay bhai, if you want to add any point.

Sanjay Shah: Yes. No, no. Perfect. Perfect, Shirish.

Moderator: The next question is from the line of Dipanjan Ghosh from Citi Group.

Dipanjan Ghosh: A few questions from my side.

Moderator: I'm sorry to interrupt sir, there is some background...

Dipanjan Ghosh: Yes. So first question was on the commission payout part. If I look at the commission fee number to your revenues, that seems to be a little down compared to the normal run rate. So, I mean, what really happened out there? So that's the first question. Second, if I look at the life insurance yield, that you mentioned, the impact has been contained at 10%. But on a quarter-on-quarter, yields are actually up.

So is it a function of higher new business or some sort of product mix shift? If you can give some color on that. The third question is on the capital part. I mean, obviously, you have highlighted couple times that you use some inorganic opportunity if it comes under the scope.

So anything under the radar or what are you really focusing on this? And lastly, one data keeping question, number of employees as of 31st December?

Sanjay Shah: Yes. So number one, you are talking about the commission payout looks a little bit reduced. That's mainly because if you look at -- as Shirish also said, I also said, because of Indus, our ratio in favor of direct has improved by about 1%. And that's the reason, if you look at 60% or 65% of that must be the visibility of a reduced payout ratio. That's mainly because Indus has been added. And Indus is roughly about -- finally Indus, on an average basis has been about 1.2% or 1.2% something..

So 60% of that will be 70, 80 basis points. So, you will see a 70 to 80 basis point improvement in the payout ratio. So that is number one. Number two, regarding the capital opportunity, because that's something which we have been looking for Apple-to-Apple like Indus, I think the quality assets, with the team and everything. So definitely, we are looking for a lot of opportunity. Nothing is concrete as of now.

And we are also looking for the experience of Indus. And probably after 3 months now, we are very, very confident that we'll be able to look for the opportunity further. Third is, number of Prudent Corporate Advisory Services Limited

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employees are 1,539, 1-5-3-9 as on 31st December -- number of employees. And Shirish, if you can just touch base, he's saying that your LI yield has improved because of mix,, what is the reason?

Shirish Patel: Yes. So basically, if you see, I think what we said is the GST impact, which was around 30% of the business in the month of October. By December, we could cut it down to 10%. So obviously, but still there is a GST impact of 10% when you are comparing the yield compression. Second, I would say that the composition of business. So I think if you look at our composition, till last year, it was majorly skewed towards the traditional plan.

Last 1, 1.5, 2 years, it is increasingly it is moving towards the TULIP product, which is Term plus ULIP combined product, which is a new entrant in the industry last 3 years. In that segment, of course, the yield is a little lesser than the traditional plans. And today, TULIP is the biggest selling product in our system.

Second, historically, we were not selling ULIP at all. Now ULIP is also having some higher single-digit market share in our system. So mainly, I would say that the composition of the product has changed that has brought down the yield. Second, I would say that still compared to the September -- the yield, as I said that compared to that month, still there is some pressure of around 10%. So both the reason combined

, you can see that the yield is little less.

Dipanjan Ghosh: Sir, just one question. If I look at your net MFD addition and split it between gross and attrition. I mean, given the competitive nature of the industry, I mean, let's say, 5 years back versus now, are you seeing any shift between this -- shift between the attrition rate? That's all the question.

Sanjay Shah: Yes, sorry. So question is not clear, but I think you want to understand because of competition, are we seeing shifting of distributors from Prudent to other platforms? That is the question?

Dipanjan Ghosh: Yes, yes, absolutely.

Sanjay Shah: Dipanjan not able to understand your question.

Dipanjan Ghosh: Yes, on the attrition part. Exactly, I mean, what you pointed out.

Sanjay Shah: See, the attrition or behavior change in the MFD.

Dipanjan Ghosh: Attrition in MFD. Yes.

Sanjay Shah: So, basically, if you see I think in the last call, I think last to last call, probably we had said that there are many platforms have entered in the industry. Obviously, since they are expanding the branch the first target for their manpower requirement would be the existing platforms,

whether it is we or NJ.]. So, last year, definitely, we saw the highest churning I mean, I would say, in our system wherein the attrition was higher than our normal average in the last year. But I believe last few months or few quarters that attrition has come down, which has become now the average one. Obviously, by joining -- existing team members joining any competition platform, does it impact our momentum?

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Yes, I think for certain few months, I would say that in that particular branch, we get disturbed. But we have not seen any major attrition of our channel partners joining the platform. Yes, we can say that those who joined Prudent platform might be recently, that the joining was done by the RM, who has joined the competition platform. The person joined with us in last probably 1, 2 years or not scaled up the business, very, very small business. A few of them may have started experiencing some -- how the new platform works. But those guys, anyways, I think, never worked with us in aggressive way, because they joined recently, their AUM was not strong. So you can see that, yes, we have seen some small partners looking at these platforms because their commercial, definitely at a base level the commission would be higher. But can you say that we have seen the attrition of partners, the answer is clear cut no. And that is visible in our business also. Even the new addition of partners is increasing. At the same time, if you talk about the simple parameter of the net sales or the gross sales or the new SIP or even the new health insurance business or the life insurance business probably quarter-on-quarter, that number is becoming stronger and stronger. Probably this quarter was the highest ever net sales. This month, I will say the highest ever SIP business we have done this month, again, that is, I'm talking about the January. So, we are doing the highest ever SIP business, the highest-ever gross sales business, highest-ever net sales business, highest-ever health insurance, highest-ever -- second highest in terms of life insurance.

So, I would say that, if that would have been the impact our quarter-on-quarter business would not have grown. So -- but the answer is no. We have not seen the great attrition. But yes, small level of partners, we have seen a few guys joining them.

Moderator: The next question is from the line of Sanketh Godha from Avendus Spark.

Sanketh Godha: I have three questions. So the first question, Shirish, is to you to just check that out of the total AUM, maybe top 5 AUM where probably the TER will have an impact on their net yield and probably pass on the paying to the distributors, maybe the smaller ones might not. So I just wanted to understand

maybe from a mix point of view, top funds contribute how much to total AUM, maybe top 5 then -- next top 10 and then residue.

How much it contributes to total AUM? And if you think the larger ones pass on and smaller ones don't do anything to your payout, then if you have done your internal assessment, likely impact on the yield. If you can give a bit of color there, it will be useful.

Shirish Patel: So, top 5 AMCs contribute around 50% of our AUM. Whether they will pass it on that cut to the distribution community? The answer is definitely yes. They would pass on some cut or the entire cut to the distribution community. Will it impact our gross yield? Yes, it will impact the gross yield. Because when you are 50% of the AUM, I think if they see some kind of cut in the brokerage, so obviously, the gross yields may come down.

But whatever cut they pass it on to the distribution community, we assume that they will do the similar for all their channels, because it's a regulatory change. So if they are doing the similar way to all their channels, we also will be able to pass it on to our distributors. So yes, it may

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impact the gross yield. But when we talk about the net margin, we don't see a challenge in maintaining our net yield margin.

Sanketh Godha: But Shirish, on net yield, given even you pass on to 65 percentage to them, I assume your yields come up by 1% or 2% -- 1 or 2 bps. Then given 65 percentage is passed on to the MFD partners. Then is it, say that if it's 2 bps, then you will have an impact of 0.6, 0.7 bps on your net realization?

Shirish Patel: One important point, I think what we've already highlighted is the GST component. From 1st of April, all the rates are going to be net of GST. So, obviously on a historical book also what we were paying to maintain our competitiveness, obviously, we will see some benefit. I'm not saying the 100% benefit, but we will also see some benefit of those guys who are not paying the GST.

Today, I would say that almost -- more than 50% of our AUM is contributed by those guys who are non-GST. Whatever we will be able to save, that will definitely compensate the loss in the yield.

Sanketh Godha: Understood. Sir, basically, what you're trying to say that your payouts are a little competitive, because the individual guys who were not paying the GST, they were getting better yields. And now everyone gets net of GST, maybe you can change your payout in such a way that, your net yield will not change. That's a fair understanding?

Shirish Patel: Yes. Yes, yes. It is a fair understanding.

Sanketh Godha: Understood. Understood. Perfect. That clarifies my question. And second, I just wanted to understand, given the smaller guys will be better off in the new TER. Is it fair to say that you will negotiate with the smaller guys on the higher rates?

Shirish Patel: I think it's difficult to say that we will negotiate the higher rates from the smaller guys. But at the same time, I would say that our competitiveness in the industry has gone up substantially.

So, I think it's too early for me to tell you that we'll be able to negotiate more or not. But at least the gap between we and the non-GST MFDs in the industry, I think that will become wider and it will either help us improve the margin or it will help us improve the competitiveness.

So, which way, how the AMCs will behave, I think only will come to know by April. But in either ways, I think, we'll be able to increase our margin or I would say that we'll be able to increase our competitiveness. So in either way, I think it would be beneficial.

Sanketh Godha: Understood. Understood. Got it. And second question is that given in the current quarter, we had a benefit of some release of the withhold brokerage. Just wanted to understand maybe on the current outstanding book, there will be still some withhold of brokerage. I

f you can

quantify -- assume everything gets released eventually, how much is that number you're sitting on at the current juncture, whether it's a material number or it's meaningfully a very small number to see a benefit -- onetime benefit kind of recurring in the next subsequent quarters, too?

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Sanjay Shah: Sanketh, the outstanding amount must be very large, because the non-KYC cases, there are some five requirements for your KYC to be authenticated. And out of five, SEBI say that one which is related to proof can be waived off and you can continue to do the business in the existing AMC, not into the new AMC. So, already if you've invested in, let's say, ex-AMC, then we will allow you to continue investing there and they have converted that status from a hold to register where the brokerage has been released. So onetime, INR1.4 crores has been released.

There are many cases where probably still brokerage has not been released, because we are supposed to complete the KYC process by meeting the customer. And that's a very tedious job. There is a back-office team who has been regularly doing this exercise. But it is very difficult to tell me that how much will again come, but there is some amount. So probably either the rule has to change or we need to complete the KYC and that's a regular process. But this onetime is whatever we are supposed to receive, has been received.

Sanketh Godha: But I just wanted to check, given this is like a potential additional revenue or profit pool. I just wanted to understand that number is meaningfully very big, like maybe running in INR3 crores or something on that side?

Sanjay Shah: I can share the number afterwards. I think, let me just recheck number. We have been keeping that data with us. So I'll once check that number, and I'll probably let you know separately.

Sanketh Godha: Okay. Understood. And on this brokerage release part, you also share it with the MFDs or you retain completely with yourself?

Sanjay Shah: No, it is, I think, wherever -- so I think almost 50% was related of KYC of Karvy customer, which is not owned by anybody. So that has been our income. And rest 50% was for the MFD where regular sharing will definitely happen to them. It is their business. And any amount which accrue related to distributor business, definitely sharing will happen to them.

Sanketh Godha: Understood. This is useful. And second thing -- last question, on amortization cost, which you told in the initial part, period has been increased from 10 to 15 years, both for Karvy and Indus or rather Indus is 15 years, not like Karvy 10 years. Then is it fair to say that the incremental amortization, both from Karvy and Indus incrementally be INR18.33 crores every year, right?

Sanjay Shah: So, I think that's a fair assumption. You are right. Yes, exactly, you're absolutely right.

Previously, we used to amortize INR15 crores of Karvy every year. Now from that, I think this amount should go to INR18 crores. That is, you're talking about annualized number, right?

Sanketh Godha: INR18 crores including Indus and Karvy. Karvy will be INR10 crores and INR8.3 crores will be the Indus.

Sanjay Shah: Perfect. Perfect. Karvy would not be -- I think, your INR60 crores divided 10, roughly about INR6 crores, INR7 crores will be Karvy. And INR6 crores, INR7 crores should be in -- and there is another depreciation also. So I think the number will be about, say, Karvy and so -- I can tell you the, Sanketh, written down value, WDV of Karvy was roughly about INR90 crores.

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INR90 crores was Karvy and the INR106 crores -- INR107 crores of Indus the, what you call, Indus, because of the entire valuation mechanism. So, I think it's roughly the same amount and you amortize that over a period of -- Karvy would be 10 years from

now onwards and Indus
will be 15 years.

Another important point is that this INR92.32 lakhs, which I told you, which is a part of finance cost. That is probably will amortize we will take a P&L hit for next 12 quarters every year. So there's another about -- you can say about INR11 crores, INR12 crores, which is going to be the consistent cost on P&L, because of Indus.

Moderator: The next question is from the line of Ansuman from ICICI Securities.

Ansuman: So just to kind of what you said on the insurance side that life insurance has been only able to pass on around 10% to you while themselves taking the remaining 90% hit. But on the health side, you have -- they have been able to pass on 100% to the distributors. This understanding is right as of now, as of March?

Shirish Patel: As of March, the understanding is right.

Ansuman: Okay. And secondly, on this continued market correction, we know the SIP number are good, et cetera. But any sense which you can share in terms of the overall outlook you see on SIP demand? Or -- because now it has been some time that the returns have been not that great for investors, what is the sense that you get as one of the top mutual fund distributors in terms of consumer sentiment on SIP?

Shirish Patel: To be very honest, I think this time, the returns are not there, but SIP returns were there. So even last 1 year, SIP returns were there. If you exclude this last 1 month of volatility or the negativity, I think in SIP returns were there. To be very honest, this time, we have not seen any major termination coming from the SIP.

I think, yes, if you are comparing the termination ratio versus the last year, definitely, it is higher than the last year. But last few months, I don't think that it is alarming till now, even this month also where we have seen the major correction in the market. We are not seeing the increased termination.

But yes, I think if this kind of market continues for a few more months or a few more quarters, then definitely, we may see higher termination and lesser new registration. And that is a human behavior. But assuming this kind of market, I think market revival after a few months or few quarters, I think as of now, to be very honest, we are not much worried.

As I said, this month, our SIP numbers are the highest -- all the numbers are highest. We need to put more effort. We need to educate more to our investors and the distribution community in this kind of market. And that is what we are doing. So -- but it's too early for us to tell you that whether we'll see the negative net sales or negative SIP.

Ansuman: That is helpful. And in terms of our numbers in January?

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Shirish Patel: As I said, our numbers in January is the highest ever in new SIP registration. The highest ever in net SIP addition, the highest ever in net sales, the highest ever in health insurance. The second highest in life insurance. So that's what I said. I think in this kind of market, we need to up our action, and that is what we are doing. So -- but yes, we have not seen any worries -- worrisome signals in the market right now or in terms of business.

Moderator: The next question is from the line of Prayesh Jain from Motilal Oswal.

Prayesh Jain: Yes. Just extending on the previous question, generally, we have seen that the lump-sum flows used to see some pickup in market corrections in the last 5 years, whenever there has been some down cycle in the market -- correction in the market, we've seen lump-sum pick up. Are we seeing any such trend in the current downturn?

Shirish Patel: So historically, we have seen the lump-sum pickup comes when the market corrects immediately. That actually we saw last year. Right now, the market in a correction zone for almost last 12 months, so expecting that another new additional flow comes when -- in the month of January, I thin

k what the February market correction comes. As of now, it looks unlikely because there are so many negative news floating around.

But as such, we have not seen that more and more people participating in the market and industry trend also what we -- I understand, I don't have the industry number right now. But I don't see that, that kind of trend is visible in the industry when the investors sitting on side-lines are investing in equity, because of the market correction.

Prayesh Jain: Okay. The other question was in case the AMCs pass it on to you, the cut of 5 basis points. Given the competitive environment in the way, quite a few of the new B2B2C players coming in the market and are ready to share 90%, 100% of their first year -- at least the first-year commissions. Do you think that the competitive intensity will further increase and it will be challenged for you guys to pass it on to your distributors? Or you are pretty confident that the way you passed it on last time, you'll be able to pass it on this time also?

Shirish Patel: So I'm assuming that all these platforms also may have to pass it on if the AMCs cut their commission. That is one. Second is, even if they don't cut it, I think they have hardly anything to pass it on. Obviously, we can't take that kind of call that we are not able to pass it on. So, we are very confident that we will be able to pass it on at least in the percentage sharing ratio, at least.

Prayesh Jain: Okay. And the last question is on the, again, mutual funds market share. If you look at it, it's kind of stagnated now in the last few months or so. How do you think that whether this is the direct competition that's increasing? Or what is the real challenge out there to further increase our market share here?

Shirish Patel: So, when you compare with the industry's market share, so definitely you always can see that the numbers could be stagnated. And one thing is very, very clear that I think and we always believe that direct will command increase higher share than the regular. So, incrementally, direct is becoming more and more popular. When you look at the industry's number, industry's numbers are growing faster than regular plans growth. So that is very, very clear.

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So when you compare our numbers and the industry's number, definitely, I think we don't see that the growth in the percentage term when you compare including regular and direct that number will grow very, very fast. Even if we are able to maintain that particular number in a scenario wherein the direct is growing much faster than the industry's growth, then itself, I think it's it says that in our regular plan business, we have strengthened our position. But having said that also last 1 year, we have increased our SIP share by around 18 to 20 basis points. So yes, in this kind of scenario also, we could increase the share. But, as I said, I think direct will definitely grow faster than the industry. And in that scenario, even if we can maintain the share, I think that is good enough for us.

Prayesh Jain: What according to you would be the market share of direct SIPs in terms of monthly flows?

Shirish Patel: I don't have the actual number. Yes, Sanjay bhai, you can tell. Yes.

Sanjay Shah: I think, it's roughly about 35% of the total book. That was, I think, last cafe mutual article, if I remember. So, out of INR31,000 crore...

Shirish Patel: Anyways -- new SIP, the number is I believe is upward of 50% now. But it varies month-on-month. I think, Sanjay bhai is talking about our book. I think, I believe you are asking on incremental flow.

Prayesh Jain: I'm basically asking from the INR30,000 crores of SIP inflows that the industry is getting on a monthly basis, roughly, what would be the direct share of direct in it?

Sanjay Shah: That is what I say one-third of that is INR10,000 crores, so it's roughly about

t one-third, 35% is from direct. I can say the number, 35% comes from the direct.

Prayesh Jain: 35% comes from Direct. Okay. Okay.

Sanjay Shah: So, about 3.5%, you should look at what Shirish is saying, but you should look at the INR20,000 crores of -- if you look at our share in INR20,000 crores rather than INR30,000 crores.

Moderator: As there are no further questions from the participants, I will now hand the conference over to the management for the closing comments. Over to you, sir.

Sanjay Shah: Thank you. Thank you, everybody, for attending this call. And me, entire management and Parth is available for any further clarification which you require. Thank you.

Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: May 2026

Date: 13.05.2026

To,

The National Stock Exchange of India

Ltd,

Exchange Plaza,

Bandra – Kurla Complex,

Bandra (E), Mumbai – 400 051

NSE EQUITY SYMBOL: PRUDENT To,

BSE Limited,

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai- 400 001

SCRIPT CODE: 543527

ISIN: INE00F201020

Dear Sir/Madam,

Sub.: Transcript of the Conference Call for Audited Financial Results for the quarter and year ended March 31, 2026.

In terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of the Conference Call with analysts and investors held on May 08, 2026 in respect of the Audited Financial Results for the quarter and year ended March 31, 2026.

The same will also be available on the website of the Company at www.prudentcorporate.com.

Please take the same into your records.

Thanking you,

Yours Faithfully,

For, Prudent Corporate Advisory Services Limited

Kunal A. Chauhan

Company Secretary

Membership No: FCS-13492

Encl.: As Stated

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“Prudent Corporate Advisors Q4 FY '26 Earnings
Conference Call”

May 08, 2026

MANAGEMENT : MR. SANJAY SHAH – CHAIRMAN & MANAGING
DIRECTOR, PRUDENT CORPORATE ADVISORY
SERVICES LIMITED

MR. SHIRISH PATEL – CHIEF EXECUTIVE OFFICER
AND WHOLE-TIME DIRECTOR, PRUDENT CORPORATE
ADVISORY SERVICES LIMITED

MR. CHIRAG SHAH – NON-EXECUTIVE DIRECTOR,
PRUDENT CORPORATE ADVISORY SERVICES LIMITED

MR. CHIRAG KOTHARI – CHIEF FINANCIAL OFFICER,
PRUDENT CORPORATE ADVISORY SERVICES LIMITED

MR. PARTH PAREKH – HEAD (INVESTOR RELATIONS),
PRUDENT CORPORATE ADVISORY SERVICES LIMITED

MODERATOR : MR. SANKETH GODHA – AVENDUS SPARK
INSTITUTIONAL EQUITIES PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Prudent Corporate Advisors Q4 FY '26 Earnings Conference Call hosted by Avendus Spark Institutional Equities Private Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sanketh Godha. Thank you and over to you, sir.

Sanketh Godha: Thank you, Julius. Good morning, everyone, and welcome to Q4 FY '26 Earnings Call of Prudent Corporate Advisors Services Limited.

First of all, I would like to thank the management of Prudent Corporate Advisors for giving us the opportunity to host the call. We will have opening comments from the Management Team, post which we will open the floor for Q&A.

From the Management side, today we have Mr. Sanjay Shah, who is Chairman and the Managing Director; Mr. Shirish Patel – Chief Executive Officer and Whole-Time Director, Mr. Chirag Shah – Non-Executive Director, Mr. Chirag Kothari – Chief Financial Officer, Mr. Parth Parekh – Head (Investor Relations).

With this, I would hand over the call to Sanjay sir for his opening comments. Thank you, and over to you, sir.

Sanjay Shah: Thank you, Saket. Thank you very much. Good morning, everyone. Warm welcome to all of you for joining us on Prudent's Q4 FY '26 Earnings Call. Thank you for taking the time out with us today. I hope you have had access to the investor presentation handy with you because during the discussions, we will be referring to a lot of slides of the presentation.

So, before I move to the quarterly number, I would like to begin with what we believe is one of the most significant initiatives of Prudent. So, please turn to Slide 24 of the presentation which we have uploaded. So, this year marks the 10th year since we launched Fundzbazar in mid-2016, a platform that has been central to our growth and to the lead which we have built in the B2B2C segment.

Tech adoption has consistently been one of our key growth drivers and we are now taking the next step in that journey with the launch of very powerful AI-led platform called Prudent Edge for our mutual fund distribution partners and FundzEdge for our retail customers on the Fundzbazar.

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The platform is designed to transform the way distributors run their day-to-day business, be it goal-based planning or business analytics such as discontinued SIPs, AUM analysis, cross-sell gaps, ready-made email and WhatsApp communications, marketing support, research, and on-demand client reports. Activities that earlier required navigating multiple sections can now be completed with a single click or simply by voice, including in regional languages such as Gujarati, Marathi, Punjabi, etc.

We believe this meaningfully bridges the gap between technology and the usability for our partners. The platform has just gone live in beta mode. We will closely track partners' feedback over the next few months and refine the engine accordingly. We see this as a timely and ahead-of-the-curve step for the industry.

With that, now let me move to the quarterly performance:

Now please move to Slide #46. This slide talks about the movement in our overall AUM. So, if you look at this slide, it is talking about the movement in overall AUM and on the left-hand side of the slide, we are comparing three numbers. The average daily AUM for the full-year of FY '26, the closing AUM as on 31st March 2026, and our current AUM as on 5th May 2026. So, typically our AUM at the end of March tends to be higher than the fiscal year average,

but

this year the closing AUM of 1.19 trillion on 31st March came in lower than the full-year average AUM of 1.21 trillion. This was largely due to market correction in the month of March.

The good news is that we have bounced back strongly. Our AUM as of 5th May has already climbed to 1.33 trillion. This is 9.7% higher than the average AUM of full FY '26. This gives us a strong, healthy revenue tailwind for the remaining 11 months of FY '27.

On the right-hand side if you look at, it provides the trend of quarterly AUM, average AUM. Our average AUM for Q4 FY '26 was INR 1,28,000 crore, which grew by modestly 0.3% sequentially. This is particularly noteworthy because market fell by 14.5% during the same period.

We managed to grow sequentially due to two reasons. First, we recorded our highest-ever

equity net sales in a single quarter of INR 4,300 crore. Second, the market correction was largely concentrated in the month of March. So, on a year-on-year basis, our quarterly AUM grew by a healthy 26%.

Now please turn to Slide #47. This slide shows how our equity AUM has moved both on a year-on-year basis and on a quarter-on-quarter basis.

So, let us start with the year-on-year view on the left-hand side of our slide. Our equity AUM grew by 15.4% during FY '26. It moved from approximately INR 1,00,100 crore in March

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2025 to INR 1,15,480 crore in March 2026. This represents an increase of nearly INR 15,400 crore. Importantly, this entire growth has come from net new money driven by our SIP flows and acquisition of Indus.

Now coming to quarter-on-quarter view on the right-hand side:

Equity AUM declined by 8.2% during the quarter. This was primarily due to mark-to-market losses of INR 14,550 crore, reflecting sharp market correction during the period. However, the impact was partially cushioned by our highest-ever quarterly net sales of INR 4,300 crore. Notably, our mark-to-market loss of 11.6% was significantly lower than 14% correction seen in NIFTY 500 index, reflecting the resilience of our portfolio.

Let's move to Slide 48. This slide highlights our SIP performance.

As of March 2026, our monthly SIP book stood at ₹1188 crore. We have added about ₹209 crore to the SIP book over the last twelve months.

Our market share has improved by 20 basis points, from 3.45% in December 2025 to 3.65% in March 2026.

So, I am again starting with our consolidated financials slide, which is Slide #51. Before that, I explained about the SIP growth.

So, I think the last slide of our presentation, I think that is very important one. So, let me just again talk about the consolidated financials.

So, if you look at on a full-year basis, our mutual fund revenue growth at 21% is in line with our quarterly average AUM growth of about 21.7%. Despite impact of back book repricing, our yield has remained more or less stable at 91 basis point, not only for the year, but for last three years in a row.

So, if you look at on a full-year basis, our insurance revenue grew by 18%. This was on the back of a very strong growth in fresh premium with health insurance growing by 35% and life insurance by 28%. The revenue growth was a bit softer than the fresh premium growth led by rationalization of commission rates from 1st October 2025 in health insurance vertical on account of GST being reduced to nil rate and change in product mix on life insurance vertical. On account of strong growth in both these key verticals, total revenue from operation grew by 19.4% and our commission and fee expenses, has also grown in the same line and the same pace at 19.8% on a full-year basis. Excluding ESOPs, employee expenses during the entire year went up by 21.2%. This is a bit higher on back of Indus acquisition and the cost related to all the employees of Indus and one-time provision related to labor code changes which has come in last quarter.

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With our annual incremental cycle now complete and our entire team's review is also completed, we expect that the employee cost for the existing base will increase by approximately 14% in FY '27. If I give the indication that our salary bill has moved from INR 8.93 crore in March 2026 to INR 10.2 crore in April 2026.

Led by a healthy operational performance, operating profit grew by 18.2% and operating margin were stable at 23.6%. Profit after tax was lower at 13.5% compared to operating profit growth, mainly led by a dent in other income due to market correction in the month of March. Of INR 585 crore of our treasury investments, INR 200 crore is parked by us in the Balance Advantage Fund and Hybrid Specialized Investment Funds (SIFs).

On account of steep market correction during the quarter, other income turned negative by INR 4.7 crore as compared to positive income of INR 9.5 crore in the preceding quarter. This resulted in an overall drag on P&L for last quarter by approximately INR 13 crore to INR 14 crore.

However, all the losses on mutual fund portfolio have since reversed. Current gain on the mutual fund portfolio stand at approximately INR 11.5 crore and if market remained at current level, I think by 30th June we expect a very healthy income from other income side.

On a quarter-on-quarter basis, our revenue grew by 5.1% sequentially, led by a 69% growth in

insurance revenue. Operating profit grew by 19.5% sequentially, aided by lower employee costs. Employee costs were lower as variable pay provision required in the current quarter was lower compared to what was set aside in the preceding quarters. However, despite a very healthy operational performance, profit grew at a slower pace of 2.6% due to negative other income as stated in the commentary above.

Now, shifting from our financial performance to the regulatory landscape:

SEBI has recently made changes in the total expense ratio, and I would like to address few points on that matter. First point is that revised expense ratio which will now be inclusive of all statutory levies including GST. It is a revenue neutral for those who are registered under GST, but the big advantage is that it removes the earlier anomaly where a GST registered distributor earned less than an unregistered one. This creates a level playing field and helps us attract smaller players to join the Prudent platform.

So, even though it is a revenue neutral as far as impact is concerned, strategically it is very, very beneficial to us. We have aligned our payout structure in line with regulatory changes wherein rate will also be exclusive at our end and distributor who raised a GST invoice, we will be reimbursing him GST based on the invoice raised by them.

The second point relates to the removal of 5 basis point benefit in lieu of exit load which has been in place since 2012. This benefit which was available over and above regular TER has

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now been withdrawn by SEBI. While this represents a cost for the entire industry, we would like to highlight that broader implications are still being discussed and negotiated at the industry level. We expect greater clarity to emerge by end of this month and we will update our stakeholders accordingly once the picture is clearer.

So, to conclude our full-year performance:

FY '26 has been very, very satisfactory year for us despite two key headwinds mark-to-market pressure in the mutual fund segment and yield rationalization in the insurance segment following the reduction of GST to zero. Both our key business verticals delivered a close to 20% growth. This is a testament to underlying strength of our business model.

A few highlights that stand out for the year:

Our equity net sales at INR 13,900 crore were the highest ever in the history.

We added 5,100

new partner during the year reflecting strong and healthy distribution expansion and our health insurance vertical continued to deliver outstanding performance with fresh premium growing at a 35%. So, across the board, our key parameters and the performance indicators have remained robust, and we are well poised as we move into FY '27.

So, with that, I will open the floor for question-and-answer. Thank you.

Moderator: Thank you. We will now begin the question-and-answer session. The first question is from the line of Swarnabh Mukherjee from 360 ONE Capital. Please go ahead.

Swarnabh Mukherjee: Two questions from my side. Sir, as you highlighted on the five basis point exit load pass on, you are still awaiting clarity. I just wanted to understand, I mean, I think it seems like that the expectation from your side was that there will be a pass on. What are the factors, why this is taking time on the lack of clarity is there? If you could highlight, you know, as there will be deviation vis-a-vis what was your expectation previously in terms of the impact? So, that is the first question.

Second is, if I were to look at your standalone P&L, the fee & commission expenses, if we calculated the percentage of the fee & commission income, there is a drop in this ratio. Just wanted to understand is this a function of Indus acquisition and direct revenue? How should we think about it?

And on the life insurance side, I mean, what is driving the growth in this segment? Because as far as we understand that apart from retail protection, I think the other segments which we do at the industry level has been a bit tepid in 4Q. So, I wanted to understand that our growth has been steady. So, what is helping that?

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And also, given that our fresh to overall premium mix has, I think, improved, if I am not wrong. So, what is happening on the renewal side? Do we see any kind of persistency related impact playing out there if you could highlight?

Sanjay Shah: So, I think, let me first of all address the second question related to your, what you call the reduction in the, or probably overall, you are finding visibly reduction in the brokerage payout percentage.

So, I can tell you there are two important points as far as the revenue is concerned. So, if you

look at, as you knew that Prudent, we have an annual additional trail which we pay to the partner based on their full year net sales. And the provision which we have made based on our assumption in first three quarters was sufficient enough for us so that in the 4th Quarter, our provision was practically nil.

So, if you look at in the previous quarter, there was an additional trail provision of INR 5.5 crore. Finally, when the final number arrived in the Quarter 4, the provision for that was zero. So, there is a lower expenditure because of that. That is number one.

Number two, I think we have been all the time telling as far as insurance is concerned that we provide the revenue in our books only when we have absolute clarity. And there is a related to full-year revenue of additional about INR 4.5 crore has been recognized by us in the month of March. So, there is additional revenue of also about INR 4.5 crore. So, overall, there is a INR 10 crore of extra revenue. I think that is the one major item. And probably the insurance revenue is also bit higher because there is some contest related money would have come from the insurance.

So, all put together, I think that is the reason. But my belief is that when you look at the overall commission cost, you should look at the full year number, which is more representative from the point of view of your model rather than the last quarter. So, that is number one.

Number two, you are talking about regarding the clarity from the AMC side about five basis point is concerned. I think the large AMC has a

I already communicated and I think we assume

that. So, overall, we believe that as far as new business is concerned, our yield might remain neutral.

On the book, we are expecting about two, three basis point impact as far as exit load related pass on is TER rationalization is concerned. But still, a couple of AMCs are yet to communicate clearly. That is why I think we are not able to tell you exactly that what is going to be impact.

As far as sharing this with our distributor partners are concerned, consistently, we have been maintaining this standard. We will try to share as best as possible. And if not more, at least in Prudent Corporate Advisory Services Limited

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the existing ratio, which we are having as far as sharing I concerned, I think we will be able to share that.

So, these are the two questions. I think rest two questions, I will tell probably Shirish to address about the life insurance and the other question also. Shirish?

Swarnabh Mukherjee: Sir, just a follow up on this one if I may. So, I mean, in terms of this, you think that it will be relatively neutral in terms of the flow yield. So, how does that play out? I mean, in the flow yield also, would not there have been an impact at the individual scheme level?

Sanjay Shah: So, I think there are two things. One is AMC repricing on the existing book and their call on the new business. So, we believe, I think Shirish would be the right guy to also give you more clarity.

But I think based on the whatever indication we have till now, I think my new book pricing might remain more or less similar because GST component has already been adjusted. So, it was a very neutral for us. And 5 basis point impact is not on everybody. And somewhere, I think our impact would be might be more or less neutral as far as new rates are concerned. On the old book, I think still we will have some impact which is going to be repriced. So, that we need to pass.

So, there are two things. Old book, whenever the impact will come to us, we need to share with our distributor partners. As far as new business is concerned, our rate would be more or less neutral. So, I think we may not see a significant change as far as my payout is also concerned.

Swarnabh Mukherjee: Right, Sir. And this yield would be similar vis-a-vis say a national distributor like us and individual agent. I mean, just wanted to understand that post that, would we be at a similar competitive advantage vis-a-vis AMC passing on to their individual agent, individual distributors.

Sanjay Shah: So, I think probably for us, the biggest advantage from 1st of April is the GST rationalization itself because large players in the industry are less than Rs. 21 lakh as far as Rs. 20 lakh is concerned, as far as revenue is concerned. So, most of the players in the industry are non-registered, non-GST registered partners and they had a huge advantage of GST.

Now, with that advantage being gone away, we will be very, very competitive as far as what they used to get from AMC and what we used to offer. Now, their yield, their rate might remain the same but because of GST being taken out, I think their yield from AMC will come down by 15%. So, automatically, we are competitive by almost 15% compared to the rate of AMC.

Shirish Patel: Regarding the life insurance business, what you asked about that how we could grow better compared to the industry in the life insurance side, two reasons I would say. One, definitely,

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post-2023 our life insurance business was little muted because the higher ticket side flow, completely majority of the higher ticket side flows dried away. So, last two years, I think business growth was not there. Of course, we took some time to settle down and also to change the product mix what we used to sell.

If you look at in this financial year, the new category, I

think we were talking last few quarters

also, that tulip category, the term plus ulip category, I think we have been pushing this category very, very actively. So, whatever we lost in terms of life insurance business from the guaranteed plans, what we tried to recover through this particular product category.

And this year, that category is the biggest selling category in our system. Because historically, we have been trying to sell term plans as well as non-mutual funds as equity or SIP way. So, the tulip branch of the industry, I think, serves both the purpose which gives the higher life cover as well as the exposure to equity.

And this product goes very well in our system. And hence, I think we could navigate this particular business. And we are very, very confident that over time, the tulip category will do better in our system. And probably that will help us grow our life insurance business. So, that is the answer.

Sanjay Shah: He was saying that if you look at the persistency, probably he is finding that persistency is a bit lower. Could it be because of fresh and new composition or something else? That was the question, right?

Swarnabh Mukherjee: Yes. So, by my calculation, the renewal growth rate has come off. While last year, it was, I mean, the last year, fresh growth was also better than the renewal growth. So, I was just trying to understand that is there a persistency issue or any way to look at it in a different manner?

Sanjay Shah: No, no. Persistency is still the highest. I think still we are maintaining more than 94%-95% of persistency. So, there is no challenges on a persistency side. Still, we have maintained the same. So, there is no challenges on that side.

Swarnabh Mukherjee: So, would this be then more like product mix of ticket size blend?

Sanjay Shah: Chirag, can you take this question up? Chirag, are you there?

Chirag Shah: I think we need to also look at the data what you are referring. Maybe we can connect you offline and then take it

Swarnabh Mukherjee: Sure, sir, definitely. Thank you and all the best for FY '27.

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Moderator: The next question is from the line of Lalit Mohan Deo from Equirus Securities. Please go ahead.

Lalit Mohan Deo: Sir, just two questions. So, firstly, like as you mentioned that on the older book, like probably there will be an impact of around two, three basis points from the larger AMCs. So, just wanted to understand like on the non-GST distributors, like all the partners which we have, so are we aligning our distribution rates for them as well on the older book or are we continuing with the earlier rates itself?

And sir, secondly, can you give us the breakup of like the new of the non-financial, other non-financial, other financial products income which is like around INR 30-35 crores for the full year?

Sanjay Shah: So, I think as far as the rate alignment is concerned, definitely our payout will also get adjusted as per how the AMCs have adjusted. So, what we used to pay was the gross rate and now the rate would be aligned by net of GST on the book if I am talking about. So, I think that adjustment will definitely happen.

For the first time in our history, it is happening that our payout is going to be delayed by a few days this time because still a lot of clarity is required from the AMC and we have not calculated for the month of April. So, it will be difficult to give you any clear indication as far as numbers are concerned, but yes, the rate would be readjusted for. So, I think the same definition would be followed by us. We will reduce the GST component and we will probably pay the GST wherever GST invoice is raised.

Lalit Mohan Deo: And should we believe that because of this rate alignment or the GST, so then all the smaller distributors in the country, like they will be at a very disadvantaged state. So, probably the growth

h or the additions or the newer channel partners at an industry level might slow down like for the overall industry because of this.

Sanjay Shah: So, I think you look at in both the sides. I think probably they need to work a little bit harder because they had an advantage of GST component which was otherwise also not a part of your remuneration and you are making a little bit extra because of GST, but you are right.

For the non-GST partner, I think across the board, there is an impact of 15%-20% of the revenue. And so, we normally say that I think it is a one-year mark-to-market and you need to work a little bit harder, but you are right and probably for us that is the biggest advantage also this year.

You will see a lot of people getting consolidated under the platform because their competitive to sustain independently will become questionable and they will also want that all other expenditures should be borne by somebody. So, you are right. I think we will see more consolidation opportunity in the industry.

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Now, coming to your question about the bifurcation of our other financial product revenue of INR 33 crore, right? That is what you are asking about?

Lalit Mohan Deo: Yes, sir.

Sanjay Shah: So, I think INR 22 crore has come from PMS, INR 6 crore from FD, and rest is probably small case and LAS and everything. So, I think small, small product, but majority of the income is coming from mobilization through PMS AIF. This almost entire revenue other than FD, which is about INR 5-6 crore is recurring in nature.

And I can tell you if you look at current year, our revenue in the other product has not grown because last year there was about INR 6.7 crore revenue from liquiloans, which has probably discontinued as far as product is concerned. So, if you remove INR 6.7 crore from last year, my other product revenue growth is almost about 34%, which is visibly as of now only 5%.

But if you struck out, struck off the liquiloan from last year, that growth is almost 35%.

Moderator: The next question is from the line of Dipanjan Ghosh from Citi Capital. Please go ahead.

Dipanjan Ghosh: So, firstly, in your presentation, I see that there are around 1,000 plus MFDs who can basically sell SIF. So, just two questions on that front.

One is, what would be the SIF flows in fourth quarter? And if you can give some color on the yield construct for SIF versus, let's say, on the equity book that you have, how does it differ?

The second question is on the life insurance business. Now, if I look at your annual yield, they seem almost similar, maybe marginally lower compared to last year is despite 2H yields probably would have been lower because of the ITC impact. Now, you mentioned in your commentary that the term plus ULIP product has spiked up. So, is it just a function of exchange or is there something to read more into the numbers?

The third question is on the cash position. So, I mean, previously, you have deliberated multiple inorganic opportunities. You have also kind of ventured and gone ahead with a few of them. So, anything else that one can expect going into FY '27 or '28? Those are my three questions.

Sanjay Shah: So, let me answer about the third one first. First two Shirish will try and address. So, as far as acquisition is concerned, it is a work in process and continuously we have been exploring. So, nothing at a concrete state, but I am sure something, I think it is in the process. We will not say that something will happen in '27-'28, or '26-'27, but definitely, regularly, something or something will keep on coming and we have been trying and exploring that opportunity all the time. So, Shirish, about SIF and LI.

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Shirish Patel: So, you asked about the flows in SIF in last quarter. So, we did around INR 90 crores kind of

business in SIF in last quarter. So, currently, I think month-on-month, we believe that we have attained a run rate of around INR 25-30 crores now and we strongly believe that this is still a new category for us and incrementally every month, we strongly believe that this monthly flow will keep on increasing on SIF side.

So, today, I think the industry has got around 6,000 unique distributors who are certified to sell SIF and out of 6,000, almost 1,000 plus are done by Prudent and working with Prudent. So, that way we are very, very confident on SIF.

In the same line, the second question was, how is the margin in SIF versus other products? So, probably the SIF margins are in line with mutual funds. So, there is not much difference between SIF margin and the mutual fund margin. So, you can consider SIF as part of the mutual fund sales or mutual fund margin only going forward. So, the margin in SIF would be in line with mutual funds. So, that is the second point.

Third point you asked about the yield experience in the life insurance side. So, yield

experience in the life insurance side, I think few of the things would be positive, few of the things could be negative in the sense which can bring down or which has brought down yield. One is the ULIP category. Compared to the previous year, the ULIP sale has gone up by almost I think 5%-6%, I would say. So, you can see that the ULIP growth will bring down the yield in per se. So, that is one.

At the same time, I would say that the positive side, post-October, definitely because of our quality of the assets and the mix of the product, we could definitely maintain our commercials with most of the insurance companies. So, obviously, I think that is a positive sign. So, per se, I think we could maintain the life insurance yield. Of course, ULIP definitely will bring down some kind of yield. But otherwise, I think other categories, we could maintain the yield from the life insurance side.

Dipanjan Ghosh: Maybe just one small question which I will squeeze in. You mentioned that in any repricing that happens in the mutual fund yield, the impact on back-book might be in the range of 2-3 basis points as per your best estimate at this point of time. And you expect the incremental flows to largely be neutral.

Now, I just wanted to understand how the economics works for you. Let's say you generate around INR 100 crore of flows for a particular mutual fund, let's say in the month of May '26. Let's say that comes in at 90 basis points of gross realizations.

Now, let's say the customer stays in the ecosystem and the AUM compounds over the next 3 to 4 years. How are the trail commissions organized in this case? If you can give some color on the economics of the business after the initial money has come into the ecosystem.

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Sanjay Shah: So, actually, if you look at because the transaction level yield is always defined. So, for example, today I have brought somebody's Rs. 1 lakh, wherein I am earning, let's say, 90 basis points. So, one is your back-book.

The book as on 31st March, hypothetically, I am assuming that my entire book is going to be repriced by, let's say, lower than 2 basis points. So, when it is a question of income, right? Say, for example, Sanjay Shah has given me a crore before 5 years and my earning on that particular investment was, let's say, 50 basis points. Now, it will come down to 48 basis points. That is one part of the story as far as back-book is concerned.

Regarding the existing business, which I have told you that I don't see a significant change as far as my earning is concerned because one was repricing the back-book. Another was taking a call on the new business. And current indication is such that I might have an impact of 2-3 basis points in the back-book, but not into the new business. If you look at my book and the new bus

iness, I think probably if you look at gross to net ratio 50%, we are expecting that this year my gross sales has to be in the range of INR 30-35,000 crore on a total AUM of INR 1,30,000 crore.

So, my net new sales is always in the range of 20%. So, probably you might see that my book virtually would, a 20% book might get repriced by end of the year. But then as long as the money remains into the system, I think we will continue to enjoy the same rate unless there is a change in the back-book repricing. Otherwise, we will continue to have the same rate because the rate is mapped to a particular transaction, whether it is a Rs. 1,000 SIP or a INR 1 crore lump sum. Could I be able to explain?

Dipanjan Ghosh: No, I think I get that Sanjay. So, just to kind of close the argument, you are saying that if you get, let's say, Rs. 1,000 crore today at, let's say, 90 basis points gross yields and the money stays in your ecosystem for next 10 years, the yield will be 90 basis points as long as there is no one-off back-book repricing like some of the AMCs did last to last year or last year, right?

Sanjay Shah: Perfect. Perfect. Absolutely.

Moderator: The next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Hi. I joined in a bit late. I don't know whether this point has been discussed. So, one is the GST impact that is there and the second is the exit load impact, the 5 basis points going away. Now, whenever you consider the passing it on to your distributors, what is the thought process that Prudent has with respect to maintaining its margin, whether it is the absolute spread that you would be earning?

So, for example, if you are earning 90 bps and earlier you were giving 70 bps to the distributor, you were earning 20 bps. Now, that goes to 88 bps. You would maintain that 20 bps and give

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68 bps or would it be on a percentage basis? How does the company think about passing it on to the distributors?

Sanjay Shah: So, I think you are right. Before you joined, we tried to discuss about how are we going to manage the changes which are going to happen. So, one thing is we just wanted to communicate that whatever AMC has done for the distributors as far as changing the rate is concerned because previously your rate was, let's say, for example, 1% inclusive GST. The revised rate would be 85 basis points and whoever is a part of GST has to raise an invoice for that. So, the similar impact would be at our end also. However, we will not be able to crystallize anything in the monetary terms because here the April calculation is pending. So, that is, I think that is the answer to your question.

And second question you said about the exit load also, I think we are expecting roughly about, so then in case of exit load also, if you look at the back-book and the new business which will be mobilized, so, we assume that as far as book is concerned, there might be impact of 2 to 3 basis points on the entire AUM on a weighted average basis.

This is also a presumption because still a couple of AMCs are yet to be closed, but I am assuming it will be in the range of 2 to 3 basis points and that also we will try and share with our distribution partners the way we used to share either in absolute terms or in form of percentage sharing. So, I think that is about the exit load impact on the existing book.

I think in the new business, current indications are such that probably our yield would remain more or less similar and we do not see a significant change as far as my new yield is concerned and hence probably the overall my pricing strategy also would remain the same.

Prayesh Jain: Got that. And sir, the other part was the SIP run rate and SIP stickiness or SIP new generation. Now that the SIP returns have kind of been one year SIP returns have been very moderate for the last I think

many months now. And it is reflected in your numbers as well the SIP momentum has slowed down. What are the ground pillars that you are getting with respect to SIP momentum going ahead?

Sanjay Shah: Shirish?

Shirish Patel: So, in terms of new registration last financial year, we have done the highest gross registration in terms of new SIP. So, that way, yes, I think you can say that I think post-February mid and that time, I think, yes, we have seen some kind of low reduction in the new SIP registration. But annualized basis, we have done the highest ever SIP registration, new SIP registration. Regarding the termination or the cancellation, obviously, I think the last financial year, we have seen that higher termination compared to the previous year. Obviously, when the market returns are not that great, two years SIP are not delivering great returns, two things happen. The new registrations come down little bit and cancellation increases little bit.

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So, considering both these things, definitely the cancellation has gone up in last financial year compared to the previous year. But as I said that the gross has helped to grow. If the kind of returns continue for a longer time, definitely there could be some impact on the new SIP and the cancellation both.

Having said that experience of investors, the confidence level of investors is much, much different compared to what it used to be earlier. So, hence, we have seen the trend that the cancellations are low and still the investors are giving more money. But again, that depends how the market returns in next one year. As of now, we are very, very confident.

Prayesh Jain: Sir, my other question was on your overall revenue profile. How do you see that revenue profile between mutual fund insurance and other financial products? Obviously, that mix has gone through some changes over the last few years.

How do you see this changing in the, say, next three years? Do you think that all the new businesses can scale up materially from here on and what will be your dependence on mutual funds will go down? How do you see the mix panning out in the next two, three years?

Shirish Patel: So, currently, other product revenue is very, very significant if I exclude the insurance side. So, obviously, I think there is a lot of scope to grow the other product revenue. As Sanjay said earlier that if I exclude the liquid loan which product is not there now, last year other product revenue growth was around 34%-35% and PMS contributed the highest one.

Obviously, as we know that I think PMS business is also kind of cyclical. When the market returns are not that great, PMS sales also comes down. So, assuming in a normal scenario, we surely believe that the PMS, AIF and the FD which are the new products for us in the alternate side, definitely it is going to grow drastically in our system as well. SIF is a new product category though we consider or treat SIF as a part of mutual fund only, but incrementally SIF is definitely going to contribute a lot in our system.

Insurance, yes, we are very, very bullish on specifically health insurance side. So, that component also may grow. But this financial year, we may see some kind of yield reduction in insurance because the regulator is talking about rationalizing the commission or not.

But having said that, mutual fund business, we are very, very confident that we will grow it

though the base is very high, still it will grow. But all the products what we have introduced in last 4-5 years may grow faster than the mutual fund in terms of percentage. But there is no clear cut indication that what would be the percentage share of other products versus mutual fund because we want to grow mutual funds as well.

Prayesh Jain: Got that. And last question, sir, the MFD business has seen many players coming in. So, do you think that the competitive intensity to acquire MFDs as well as the rates that one needs to share with these MFDs, that could be a challenge going ahead?

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How you are seeing the competitive environment among different types of players, different types of national distributors? And because many players are getting into B2B2C mutual fund distribution now. So, do you think that the competitive intensity will be high in terms of sharing and that could impact, especially on the new flows front, because back-book takes almost a year to transfer, but at least on the new flow front, people can share significantly higher and take away some MFDs or the incremental share could be lower for us. How do you see the environment there?

Shirish Patel: Prayesh, now, these new competitions are not new. Last year, the same question definitely we could have said that they are new. Now, they are already two years old, the competition is there for last two years. We have experienced what they are doing and what we are doing in last two years.

Having said that, last, that is '25-'26, we have seen all these competitions, but if I tell you that my equity gross sales was the highest ever, equity net sales was the highest ever, equity gross new SIP registration was highest ever, my health insurance business was highest ever, my life insurance business was second highest ever.

So, obviously, the competition comes. We have to be mindful, but to be very honest, we have not seen any big impact or any impact in terms of business. We are very, very, I would say, alert what they are doing and what the competition can do.

But the other side of this coin, I would say that because of so many B2C platforms, I think more and more MFDs are becoming aware about the advantages of platform. So, we also get this indirect advantage of platforms being more popularized.

So, obviously, that is a bigger advantage than I think the worry about these guys will pay more brokerage and will take the distribution. And now, I think specifically from April onwards, I think the level playing field with the AMCs, I think especially for the smaller distribution, I think the market for the platform business is going to become very, very big. So, we are not worried about what this competition will take something, but rather I would say that the market has become bigger and bigger. I think how we can get the maximum pie out of the growth opportunity in the market. So, that is how we consider.

Moderator: The next question is from the line of Gaurav Jain from ICICI Prudential Mutual Fund. Please go ahead.

Gaurav Jain: Sir, thank you for taking my question. Just one question from my side. On Indus Capital acquisition, if you can highlight how much AUM we have been able to retain, if there is any attrition or outflow we have seen on that front is one.

And second, do you think there can be further such acquisition potential opportunities which we can find in the market? That is all from my side, sir.

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Sanjay Shah: Yes. No, I will just talk about the Indus, then probably you can discuss. I was talking about the Indus is an acquisition. So, I was just saying that industry, the experience has been very, very positive. We communicated that we acquired INR 2,085 crore was the AUM when we were supposed to acquire. And finally, I think INR 10-15 crore here and there, we got roughly about INR 2,060 crore in our quote by end of September.

And if I tell you the latest number, the AUM is INR 2,250 crore. It has grown in line with my overall AUM growth and the gross sales, net sales, SIP book, everything has been reasonably great. I think the retention of manpower is absolute. Everybody is there. Not a single person is left. The senior guy who is managing the business also very, very settled into the system. So, overall,

if you look at on all key parameters, I think the experience, adaptability, client adaptability, we have a couple of discussions with the client also. So, overall, it is a very, very satisfactory thing.

Regarding another acquisition, I think I already try and address that it is a work in process. We

regularly try and assess. So, nothing is concrete. So, I will not say that something is definitely going to happen in next three months, but it is always a regular agenda for us to scout and look for some good acquisition. Yes, Shirish.

Shirish Patel: I think you answered both.

Moderator: The next question is from the line of Abhijeet Sakhare from Kotak Securities. Please go ahead.

Abhijeet Sakhare: So, my first question is on Slide 32. Just wanted to check what is the AUM share of MFDs with more than INR 10 crores of AUM? I do not know if that number is disclosed anywhere else in the presentation.

Sanjay Shah: I think there is a slide if you look at more than INR 10 crores. where we say that we have 2,220 people as on 31st March who have crossed INR 10 crore AUM. So, I think we have not provided the AUM, but if you look at the average AUM. So, I probably can give the number.

Abhijeet Sakhare: And sir, just qualitatively, Sanjay sir, of the MFDs that you are acquiring, how has been the direction in terms of firstly at what AUM level they are joining the platform and has it changed materially in the last two to three years?

Sanjay Shah: Shirish?

Shirish Patel: Basically, MFDs joining are of two categories. One, new to industry and secondly, the existing distributors. Almost I would say that 40% to 50% of the MFDs joining us, I think we convert them from other and bring them in the mutual fund industry.

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So, practically, they start at zero AUM, zero mutual fund clientele and everything and that is what we build upon. As I said, I think other 50% who joins us from the industry, I think they vary from zero AUM to even INR 100 crore AUM or INR 200 crore AUM.

Many of the bigger MFDs do not join us for the mutual fund business. They join us for alternate product or the insurance business, this kind of product. And when their experience becomes better, they join us or they may start doing mutual fund. So, it would not be any single answer that at what AUM distributor joins. So, it is a different range.

Abhijeet Sakhare: And sir, alternatively, is there a leakage in terms of, let's say, somebody crossing, let's say, INR 100 crores or any such number after which they want to venture on their own or they are still not at that stage?

Shirish Patel: To be very honest, after INR 100 crore, till date, I don't remember any MFD who has left. But yes, with the leakage specifically in the range of INR 10 crores or INR 20 crores earlier and again that I would say, we have not seen in that kind of drastically.

It is very difficult for any MFD to move out after attaining a certain scale. All their customers are on fundzbazar, moving their all the x platform to y platform becomes very, very difficult.

Bigger the scale, it is very difficult for any MFD to move out of any platform.

Moderator: The next question is from the line of Dipanjan Ghosh from Citi. Please go ahead.

Dipanjan Ghosh: Sorry, just a few follow-ups from my side. One is if you can quantify the employee number as of March 31st. Second, given all the discussions around MF yields, would it be possible to give some color on what are the incremental yields currently?

Sanjay Shah: As of 31st March is concerned, the precise number is 1,540 people. And their new salary bill would be, I said about INR 10.2 crore. So, that is about the entire number of employees.

Regarding the new business yield, it will be difficult because still, as I told you that, and then the yield also vary based on the composition, which segment more money will come, which scheme

more money will come.

So, it is not a single answer that, because you knew, right? Because if the more money comes in largest scheme of BAF, or the smallest scheme of BEF, I think the yield difference will be almost about 30-40 basis points.

So, to give you an indication that what is likely to be the blended yield, it would be very, very difficult. And that probably, and normally, we are difficult to give you about the book yield and the existing business. Normally, it is very difficult for us. And normally, we do not communicate also that number.

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Moderator: The next question is from the line of Gaurav Jani from Prabhudas Lilladher. Please go ahead.

Gaurav Jani: So, just two questions. Just to simplify, I mean, your MF distribution yields would kind of probably go down a bit, right? But that would be offset by the fees and commission, right? So, is that correct to understand? And hence, would we be able to maintain our net yields is the first question.

Sanjay Shah: Overall, my yield should not come under any compression because on the book, other than GST, we might see a 2-3 basis point impact, which to a large extent we should be able to share

with our distribution partners. And the new business, I told you that I don't see any change as far as my yield is concerned. So, overall, my book yield should remain static.

I think whether my earnings, how it will get adjusted would be, I will be able to tell you only once the entire thing is implemented into the system. But somewhere, we should see an improvement in our yield as far as my overall yield is concerned.

Gaurav Jani: So, you mean the net yield?

Sanjay Shah: Yes, net yield should be positive. Overall yield should remain more or less static. The two things, my earning, let's say today, I am earning 91 basis points, for example, as on 31st March. My belief is that in April, on the total book, my yield might probably move by about 1-1.5 basis point on the total or 2 business points. But overall because I will be able to share this with my partner also. So, overall, my earnings should not go down in any case. I think I should be able to protect my overall earning yield.

Gaurav Jani: Which is what I was trying to get at, sir. I got your point. So, appreciate that. And lastly, what is the expected ESOP cost in the upcoming year? This year, it was, I think, INR 3.3 crore or so.

Sanjay Shah: So, last year, it was about INR 6.7 crores or let's say it was INR 7 crore on an annualized basis. I think I assume that it has to be linked to the stock price because at Rs. 2,600, I think the cost was roughly about INR 7 crore. So, probably, I don't know what will be the price of the share, but one thing is clear.

We have decided that every September or October, we are going to announce the ESOP now because so that we can have next four quarters continuous amortization and there should not be any spillover into the, so there should not be a double provisioning on a particular quarter. So, now, more or less, probably the number of shares might change by a few shares here and there, but so probably you can assume that the cost might go up by 15%-20%.

Gaurav Jani: So, you mean to say, yes, total ESOP cost will be?

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Sanjay Shah: So, if, let's say, this time the cost is likely to be INR 7 crore, next year it could be INR 8.5 crore. It is a year, and I have not gone to the board. It is a ballpark number. You cannot take it as a projection, but I am just giving you my thought.

Gaurav Jani: And sir, correct me if I am wrong. You mentioned that total employee cost would grow by 14% in FY '27, right?

Sanjay Shah: Yes. Existing, not the total cost. My existing employee salary, which used to be INR 8.93 in March, would be INR 10.1 crore in the April. Same people who were on the books. So,

I am

not talking about the April, maybe most of the people have joined. So, I am not talking about their salary. The guy who was with me on 31st March, his salary has been revised on 1st of April, and that growth is about 14%.

Gaurav Jani: Understood. Perfect, sir. Thanks a lot. I appreciate your inputs.

Moderator: The next question is from the line of Lalit Mohan Deo from Equirus Securities. Please go ahead.

Lalit Mohan Deo: Just two follow-up questions. So, like in the last quarter, we had mentioned that the AUM coming from the top five AMCs were in the range of around 50%-51%. Now I just wanted to understand, from a flow perspective, where could that number be? And also within that, a total AUM of around INR 1.33 lakh crores, could you just bifurcate it between the direct channel AUM and the AUM coming from the partner's level?

Sanjay Shah: Shirish?

Shirish Patel: Basically, top 5 AMCs, as you said, contribute around 50% of the AUM. And between direct and the regular channel, I think the ratio what we maintained earlier also, that still continues as it is. After Indus acquisition, it has changed a little. Right now, it is 90-10. So, 90% contribution comes from the AUM, while 90% of the contribution is from our B2B2C channel, and around 10% contribution is from the direct plus Indus channel. If you talk about the new flows, it would be around, you can say, 6% to 7% coming from the direct channel, and almost 93%-94% coming from the B2B2C channel.

Lalit Mohan Deo: And from the top five AMCs' contribution from a flow perspective?

Shirish Patel: It is the similar. There is hardly any change. There will be a change of 1% or 2%, because new AMCs coming in, they might eat into some kind of share from the bigger AMCs. But if you look at the share in the business and share in the AUM, of course, the new business share would be a little lesser than the AUM share. But it is not drastically difference, because as I said, new AMCs will eat into the existing assets of the bigger AMCs, but there is no meaningful difference you can highlight.

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Moderator: The next question is from the line of Sanketh Gowda from Avendus Spark Institutional Equities. Please go ahead, sir.

Sanketh Gowda: Sir, if I look at the gross flows numbers in the current quarter, it seems to be more driven by the lump sum number rather than the SIP, which has been pretty stable. So, I just wanted to understand whether this amount came predominantly when the market corrected? And is it fair to say that it might not repeat if the market comebacks? And therefore, we can go back to that lump sum number around INR 4,000-odd crore kind of figure instead of INR 5,300 crore figure what you experienced in the current quarter. And I just wanted to understand whether it came in the month of March or it was more uniformly distributed?

Shirish Patel: So, basically, I think whenever market corrects the initial phase, historically we have seen that the lump sum money takes the advantage of the market and hence the lump sum flows would be higher than the SIP flows during that period. Long term, I think always you would see that currently in our system almost it is 50%-50% kind of number. So, long term, I think 50% contribution comes from kind of SIPs and almost similar from the lumpsum number.

Overnight, SIP numbers cannot change. So, tomorrow market corrects, obviously, I think lump sum will take it over in terms of share. And longer term, if the market is not doing that great, that time we will see that the new flows or the fresh flows will come down significantly and that time you will see that the SIP sales is much-much higher than the new sales.

But long term, I think currently system is 50-50. Specifically, if you talk about whether the flow has come in the month of March or April, I would say that the difference in Jan-Feb-March, if I look at the

fresh flows, hardly any difference. I think, of course, there was a difference of around INR 100 crore, you can say around 10% deviation in the Jan-Feb-March number.

But you can't say that I think March number was 30%-40% higher than my Jan-Feb- number. So, it was hardly INR 100 crore difference in Jan and March number. So, yes, there was a difference but not much.

Sanketh Gowda: And the second question is predominantly on the SIP market share. That monthly SIP market share, if I see, it's been stuck in that zone of 3.5 to 3.7 kind of number. I just wanted to understand, I mean, this pain is coming from more other platform companies where we are not able to expand market share. It is not pain, but we are not able to expand the market share. Is it largely coming from the other platform companies or is it more and more people choosing to take direct, in your view, sir?

Shirish Patel: Definitely, I think you would see that more and more people in the industry market share of direct is increasing. So, when you are comparing the share only on a total SIP registration, if you are saying that we have maintained in a scenario wherein the overall share of direct is Prudent Corporate Advisory Services Limited

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increasing, that way you yourself is saying that I think we are gaining the markets in a regular plan.

So, that says that we are not losing the share to other competition platform or other regular plan platforms. On that particular space, we are gaining the market share. But when we are talking about the overall industry, yes, I think the share is maintained.

Sanketh Gowda: Absolutely correct. But any number you have in mind, sir, like this number should be at least 4% or 4.5% in medium term as a market share?

Shirish Patel: Practically, I think we don't target this kind of number. But of course, I think we keep on tracking the growth or the share month-on-month or quarter-on-quarter. And I think every month it is at least few basis point higher than the previous one.

So, I think we are on that zone that I think we are growing. But specifically if you say that are we targeting 4%, 5% of the market share that way, I think because direct I will not be able to control how the direct goes, how many platforms will become stronger on a direct side. I think it is anybody's guess to say. But yes, I think always there is a focus that we should be able to increase the market share to overall industry and specifically on a regular plan. But no number in mind.

Sanketh Gowda: And lastly, on this due to GST thing, the unorganized MFDs who probably don't pay GST, in your assessment, how big is that number or how much AUM is managed by them? And if they come on the platform and if we take a bit of market share, very similar to what we have today, maybe too early to tell, but just any numbers you have in your mind, how many people are there? How much of AUM is given by these guys and managed by these guys? And if they come to our platform, how much potentially bump up we can see in the AUM in that sense?

Shirish Patel: So, here definitely one thing is very clear that the competitiveness of platform has increased compared to what it was last year. Now, how this will play out, I think only the time would say. I don't have any exact number on the industry side that what percentage of the AUM is GST, non-GST guys were contributing.

But I think AMCs would be the right person or the RTAs would be the right person to give you the number. But I think what I understand, again, I think I would say that this is not an authentic number, but what I heard in the market, maybe around 15% to 16% of the AUM is contributed by non-GST registered partner. Now, whether this is the entire industry or only MFDs, even I am not too sure right now.

So, in terms of number of distributors would be much, much higher. But the contribution in terms of overall AUM definitely would be much

less than what it looks like. So, of course, it is an opportunity for all the platforms that these non-registered distributors may join them.
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But it is not only non-registered distributors. I think I would say that the entire industry for that particular matter, the platform competitiveness has increased, whether it is non-registered or the registered. So, only thing how it plays out, I think, let's see, I think after one year, we will be able to see that how it works.

Sanketh Gowda: That's it from my side.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to Mr. Sanjay Shah for closing comments.

Sanjay Shah: Thank you. Thank you, everyone. I think we probably tried to address all the queries.

However, if you have any question, you can definitely reach out to our IR guy, Parth Parekh.

We will be happy to answer all your questions. Thank you very much. Thank you.

Shirish Patel: Thank you.

Moderator: Thank you. On behalf of Avendus Spark Institutional Equities Private Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Jul 2026

Date: 31.07.2026

To,
The National Stock Exchange of India
Ltd,
Exchange Plaza,
Bandra – Kurla Complex,
Bandra (E),
Mumbai – 400 051
NSE EQUITY SYMBOL: PRUDENT To,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai- 400 001
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Sub.: Transcript of the Conference Call for Un-Audited Financial Results for the Quarter ended June 30, 2026.

With reference to our earlier intimation dated July 21, 2026 and in terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of the Conference Call with analysts and investors held on July 27, 2026 in respect of the Un-Audited Financial Results for the Quarter ended June 30, 2026.

The same will also be available on the website of the Company at www.prudentcorporate.com.

Please take the same into your records and do the needful.

For, Prudent Corporate Advisory Services Limited

Kunal Chauhan
Company Secretary
Membership No: FCS-13492

Encl.: As Stated

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Q1 FY27 Earnings Conference Call"

July 27, 2026

MANAGEMENT : MR. SANJAY SHAH – CHAIRMAN AND MANAGING
DIRECTOR – PRUDENT CORPORATE ADVISORY
SERVICES LIMITED

MR. SHIRISH PATEL – CHIEF EXECUTIVE OFFICER
AND WHOLE TIME DIRECTOR – PRUDENT CORPORATE
ADVISORY SERVICES LIMITED

MR. CHIRAG SHAH – NON-EXECUTIVE DIRECTOR –
PRUDENT CORPORATE ADVISORY SERVICES LIMITED

MR. CHIRAG KOTHARI – CHIEF FINANCIAL OFFICER –
PRUDENT CORPORATE ADVISORY SERVICES LIMITED

MR. PARTH PAREKH – HEAD, INVESTOR RELATIONS –
PRUDENT CORPORATE ADVISORY SERVICES LIMITED

MODERATOR : MR. LALIT DEO – EQUIRUS SECURITIES PRIVATE
LIMITED

Prudent Corporate Advisory Services Limited
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Moderator: Ladies and gentlemen, good day, and welcome to Prudent Corporate Advisory Services Q1 FY27 Earnings Conference Call, hosted by Equirus Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of the future performance and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Mr. Lalit Deo from Equirus Securities. Thank you, and over to you, Mr. Deo.

Lalit Deo: Yes. Good afternoon, everyone. Welcome to the 1Q FY27 results con-call of Prudent Corporate Advisory Services Limited. To give a brief update on the results and address investor questions, we have the management of Prudent Corporate Advisory Services Limited, represented by Mr. Sanjay Shah, Chairman and Managing Director; Mr. Shirish Patel, CEO and Whole Time Director; Mr. Chirag Shah, Non-Executive Director; Mr. Chirag Kothari, CFO; and Mr. Parth Parekh, Head, Investor Relations.

Now we would request the management to start with the opening comments, post which we can open the floor for Q&A. Thank you, and over to you, sir.

Sanjay Shah: Thank you, Lalit, and good afternoon, everyone. I extend a very warm welcome to all of you for joining Prudent's Q1 FY27 earnings call. Thank you for taking time to be with us today. I hope you have the investor presentation handy as we'll be referring to the investor presentation during the course of this discussion. So to start with, please move to Slide 49 which highlights the momentum in our AUM growth.

So if you look at on the left-hand side of the slide, you'll see there are 2 bars. The first bar shows our daily average AUM for entire FY26, while the second bar shows our current AUM. So during FY26, we earn our revenue on an average AUM of around INR1.21 lakh crores. While today, our AUM stands at roughly about INR1.4 lakh crores. So this represents a growth of nearly 16%. Since our current AUM is well above FY26 average AUM, it provides a healthy revenue tailwind for the rest of FY27.

On the right-hand side of the slide, if you see, it provides a trend in our quarterly average AUM. In first quarter of FY27, our average AUM stood at INR1.33 lakh crores. This represents a sequential growth of 4% and a healthy year-on-year growth of 21%. Now please move to Slide 50. This slide shows the movement in our equity AUM on both year-on-year and quarter-on-quarter basis. Now let us begin with year-on-year trends shown on the left-hand side of the slide.

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Our equity AUM grew by 18% from INR1.14 lakh crores in June 2025 to INR1.34 lakh crores in June 2026. This represents an increase of nearly INR20,000 crores. Importantly, a significant part of this growth came from new money. This was supported by strong SIP flows and the acquisition of Indus.

Another key takeaway is that despite a weak market environment, our equity AUM generated a positive mark-to-market gain of 2.9%, while during the same period, NIFTY 50 declined by 6.5% and NIFTY 500 declined by 2.6%. Major reason of our outperformance is due to consistent SIP flows, which helped investors benefit from market volatility, supported by thoughtful fund selection and portfolio construction by our distributors. Together, these factors demonstrate that our distributors are able to generate distributor alpha consistently

Now coming to quarter-on-quarter view on the right-hand side of the slide. Our equity AUM grew by 16.4% during the quarter. A significant part of this growth came from recovery in equity market, which resulted in a mark-to-market gain of INR15,175 crores. At the same time, our net sales remained resilient at INR3,790 crores. This represents a healthy 50% year-on-year growth.

Now please move to Slide 51. This slide highlights our SIP performance. As on June 2026, our monthly SIP book stood at INR1,203 crores. The momentum has continued in July. Our monthly SIP book has further increased to around INR1,240 crores when I'm talking to you. This gives us confidence that SIP accretion remains on a healthy trajectory. Coming to SIP collection numbers, which we started reporting.

In the March collection of INR1,170 crores, it included INR35 crores of SIP, which were originally due at the end of February. Since 28th February was on Saturday, all SIP scheduled on 28th to 31st of the month were processed on 2nd March. So excluding this impact, our March collection would have been INR1,135 crores. Against this adjusted base, our June SIP collections stood at INR1,147 crores. This reflects stable and the healthy collection momentum.

Now let me turn you to Slide 54, which talks about our consolidated financial numbers. So, our quarterly average AUM on a Y-o-Y basis grew by 20.8%. However, mutual fund revenue grew at a slower pace of 17.9%. This is mainly due to regulatory changes, which has been implemented from April 2026. These changes had an impact of around 2.8 basis points on our gross yield. As a result, our gross yield has now settled at around 88 basis points.

The yield on our new business is tad higher than our yield on the existing book. With the regulatory changes now behind us, we believe we are well poised to maintain our gross yield at around 88 basis points. Our insurance revenue grew by a healthy 20.6% on a year-on-year basis.

Within the life insurance, our fresh premium grew by 73.4% year-on-year. This was led by strong growth in participating plans, which grew by 100% and ULIP category, which grew by Prudent Corporate Advisory Services Limited

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82%. Our general insurance, specifically health insurance business continued to perform well with total premium growing by 36.8% year-on-year.

Now moving to our other financial and nonfinancial product revenue, which grew by 28.4% year-on-year. This growth was primarily driven by our PMS and bond distribution business. Average PMS AUM grew by 37% year-on-year, and now it stands at roughly about INR1,900 crores. And our income from bond distribution business has more than doubled compared to the same quarter last year. So given the strong performance across all our businesses, our revenue from operations grew by 18.3% year-on-year.

Coming to most important part, which is commission and fee expenses. So if you look at commission and fee expenses grew at a slower pace of 9.8%. This was primarily due to regulatory changes, which has been implemented from April 2026 related to GST treatment and removal of 5 basis points of exit load, which was part of TER earlier. Following these changes, commission rate across the industry are now structured exclusive of GST. That is, it has moved from TER, which was inclusive of GST to BER, which is now exclusive of GST. Accordingly, we have aligned our accounting and payout framework with the revised regulatory structure. Let me just tell you, as of June 2026, 60% of AUM is mobilized by GST partners, and they continue to get the reimbursement of applicable GST based on the raising of the invoices.

As a result of this regulatory reset, together with pass-through of TER changes on a proportionate basis on account of removal of 5 basis points of exit load, commission and fee expense growth was lower during the quarter. Please note, we view this as a one-time res

et.

With this transition now complete, the gross profit margin reported during the quarter reflects the economics of the business under the revised regulatory framework.

Let me now address the employee cost. So if you look at the employee cost, it has gone up by 19% on a sequential basis. This reflects the impact of annual wage revision cycle with the wage bill for our existing employee increased by around 14%. The balance increase was primarily driven by our continued investment in expanding our branch network, which has led to an increase in the employee headcount. As a result, we have also made a higher provision for variable employee expenses.

We plan to add around 30 new branches during the year, of which almost more than 12 branches have already been operationalized during the quarter. However, if you look at on a full year basis, including ESOP expenses, we expect that on a full year basis, employee cost growth can be in the range of 22% to 24%. Driven by strong business performance, our operating profit grew by 32.4% year-on-year to INR89.1 crores.

Other income was higher during the quarter, primarily driven by gain from our treasury portfolio. As a result, profit after tax grew by 44.4% year-on-year to INR74.8 crores. To Prudent Corporate Advisory Services Limited

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conclude on the numbers, both our mutual fund and insurance business have started the year on a strong footing, and we expect this momentum to continue.

The recent regulatory changes are also creating incremental opportunity for us from a distributor growth perspective. Non-GST registered distributors who are working directly with the AMC have seen a meaningful reduction in their net income under the new structure. Additionally, GST compliance requirement have increased significantly for the GST registered distributors as well. As a result, more distributors are looking to partner with platform that can support them with technology, compliance and operations. We have already seen this transition into the faster distribution addition.

During the first quarter of current year, which is FY27, we added around 600 partners per month compared to monthly run rate of 430 in FY26. In parallel, we continue to focus on scaling our SIF business. Of our MFD base, 1,323 distributors are now SIF certified. We expect this number to increase at a much faster pace following the recent changes of certification framework, which has simplified the process by introducing single examination covering both mutual fund, SIF distribution. And additionally, the major pain point was the currency, which has been removed from the entire examination curriculum.

Finally, with a treasury book of around INR650 crores, we continue to evaluate value-accretive acquisition opportunities that can further strengthen our distribution platform. Overall, we believe business is very well poised with multiple growth drivers and the levers in place, backed by healthy business momentum, a supportive regulatory environment and continued investment in the expansion of our distribution network, we remain very optimistic about the entire FY27.

With this, I think now I'll open the floor for questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Swarnabha Mukherjee from 360 ONE Capital.

Swarnabha Mukherjee: Congrats on a good set of numbers. Three questions from my side. First of all, I wanted to understand, you mentioned that on the gross margin in the mutual fund business, since I think even in our stand-alone businesses, there is -- there are other business apart from mutual fund business. So it is a bit difficult to calculate. If you could highlight what was the gross margin last quarter and how it has moved this quarter?

And also, if you can tell us that how much should we estimate mutual fund business contributing at the stand-alone level, give

n I think there is also stock broking and now

corporate agency license of insurance there? So some color on that would be helpful.

Second is the net flows number around, I think, INR3,700-odd crores for the quarter. So sir, I think over the last 5, 6 quarters or maybe even maybe 7, 8 quarters, this run rate has been broadly in and around this range. I understand that the market cycle was also not very Prudent Corporate Advisory Services Limited

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favorable at this standpoint and industry flows have also been in the range. But just wanted to understand that from a regular mode of distribution, how has flows moved in the industry?

And for us to take this to a higher level, what levers are we pressing? Yes, sir, if you could respond and then I'll maybe ask one smaller question.

Sanjay Shah: So first point, let me address about the gross margin. I can tell you, I already said that last quarter, my margin was about 91.2 basis points as far as mutual fund average AUM is concerned. And this quarter, I think the entire quarterly average is roughly about 88.4 basis points. So there is a reduction of about 2.8 basis points and this reduction has come mainly because as you are aware that there is an exit load of 5 basis points, which has been removed by SEBI from the TER of all the AMC. So I think this is the average of impact which we have on account of entire book, which has been repriced from 1st of April.

Swarnabha Mukherjee: Sanjay sir, sorry to interrupt. I mean, I meant like if I were to calculate a gross profit, so maybe the net yield, if you could highlight on that after -- as you highlighted that there has been some benefit in fees and commission expense. So if you could -- so I just wanted to understand the gross profit margin or if we calculate a gross profit, netting off the fee and commission expense, how it has ranged as a basis point of average AUM?

Sanjay Shah: Sorry, because we do not provide the segment reporting of the mutual fund margin and insurance margin. But however, I can tell you one thing. Broadly, you can look at the operating profit margin, which we have currently reported, that is more representative. So you can probably assume that as a good yardstick for you to do a forward calculation. But definitely, the individual segment-wise profitability margin report we do not do, so that will be difficult for me to give you the numbers.

Sanjay Shah: Now coming to your second question about the business, let me -- I think let Shirish address that because your question was since last -- since the question of last couple of quarters, our sales is broadly in the range of INR3,700 crores kind of a quarter. So what is the view on that? And is regular plan is growing better than direct plus or something like that? So that was the

question.

Shirish Patel: Basically, yes, what you said is absolutely right. If I compare my net sales number for last 3, 4 quarters, it is in the range of around INR 3700 crores net sales per quarter. But historically, if you compare our net sales in the first quarter, it is always subdued. If I simply compare my net sales versus last year's similar period, I think there is a significant jump in the net sales. That is point number one. So that says that I think the productivity of the partners or the new expansion is also playing out.

Second point, yes, because of these market conditions, industry level also, if you see the net sales number are subdued in last probably 1 year. Simply, when I compare how we are faring versus the industry, so at least you can compare that our net sales percentage, I would say, in the industry or the net sales versus industry, I think that share is increasing if I compare with Prudent Corporate Advisory Services Limited
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the last financial year total versus this quarter. So that means industry net sales numbers are also down. My net sales number are a

iso down, but still we are doing better than the industry.

Swarnabha Mukherjee: Right, sir. Understood. Just a couple of quick questions. One is on the other expenses side, I mean, that has seen, I think, a substantial drop quarter-on-quarter versus, I think historically, even 1Q versus 4Q always used to see an increase. So some color on that.

And on the SIF partner side, so how much headroom do we have considering that the ticket sizes are substantial. So would we -- I mean, should we think that this 1,500-odd number -- I mean, how much penetration within our own MFD base do we have in terms of when we have 1,500-odd MFDs doing this?

Shirish Patel: So basically, if you talk about -- I think I'll address the last question first and let I think Sanjay bhai take this question -- first question. Now today, if I talk about our SIF AUM has already crossed around INR500 crores. Now we already have around 1,400 around kind of SIF certified partners. And secondly, as Sanjay bhai has already said, that now when the SIF examination has become a little easier, I think common examination, I think this will gather the pace. But focus-wise, definitely, I think since the product was launched, we started focusing very, very actively and aggressively on the SIF product.

If I look at my monthly trend business in SIF, it is increasing month-on-month. So that says that more and more distributors are participating. The interest on distribution as well as our team is also increasing. And I think while we are speaking, I think more than INR500 crores of AUM is already crossed on the SIF side, which is a percentage and if I simply compare is much higher than my share in the mutual funds. So that says that I think we are contributing more in the SIF side compared to mutual funds. Yes, Sanjay bhai first question.

Sanjay Shah: Yes. And regarding the other expense, there is one component of expenditure which is based on the insurance mobilization because I think you would require to do certain marketing and then only the business follow through. So, I think there is some seasonality impact in the other expenses. So you cannot take it as a steady number. It will remain a little bit volatile compared to the businesses.

Moderator: The next question is from the line of Prayesh Jain from Motilal Oswal Financial Services.

Prayesh Jain: A few questions. Firstly, the gross realization for the quarter is post the adjustments from the AMCs for the full quarter? Or is there some adjustment which was part of the quarter and we can still see some drop in the coming quarter? And same question for the fees and commission expense also. Is it -- the Q1 is a steady-state number that we can think about and we can forecast that? That would be my first question.

Second is just recently, there is a new announcement. On the mutual fund only wealth management at a PMS ticket size of INR25 lakhs. Do you think that could be a great avenue for us to kind of go into? And third is on the alternate business, what is the size of AUM that Prudent Corporate Advisory Services Limited
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we manage on AIF, PMS and SIF today? And also, if you can tell us to how many clients of yours or how many distributors of yours have been distributing these products compared to the total base?

Sanjay Shah: So regarding the margin, I tell you, you can probably consider the current quarter as a representative of margin. And by and large, almost all AMC has transferred what is supposed to be transferred. And we have also -- whatever is proportionately we are supposed to transfer to our distribution partner has already been done. So yes, you can probably take the current margin as a margin, you can factor in from the sort of next 3 quarters, right, number one.

Number two, I think about these new changes, which is where the consultation paper is open about mutual fund only PMS for the first time because I think in the -- all comme

ntary, we

have been saying that we don't want to be a manufacturer and there will not be any backward integration.

But after looking to this INR25 lakh of ticket size and mutual fund only PMS, I think we are also finding it very, very important thing in our system because it might be very, very helpful for us to provide this kind of services to our retail -- because I think the INR25 lakhs is a good threshold to reach out to them. So we are very, very positive.

And yet we are not discussed at the Board level. But internally, when we are talking about, we find a lot of merits as far as this particular change is concerned from a Prudent perspective. So we will be open for some acquisition of PMS also or probably we might take our own license. Somewhere we'll -- probably once the entire consultation paper is over, we will probably take a call on our own.

Coming to alternatives, I think number is roughly about INR1,900 crores, which we have as of now. So overall mutual -- the PMS and AIF AUM, what we are managing at the end of this quarter is INR1,900 crores. And we already said that, that number has gone up by 37% on a Y-o-Y basis. So yes. And I think about the number of clients and the number of distributors, I think that number, I don't have handy, but probably the IR team will provide the data on a one-on-one basis.

Shirish Patel: I think SIF AUM is more than INR500-plus crores.

Prayesh Jain: Okay. What percentage of customers would have more than INR25 lakh in mutual fund today?

Shirish Patel: Number exact we don't track on that parameter. So definitely, it is not handy. But simply, if we assume that I think all 36,000 distributors having, I think, even 4, 5 clients, I think whom they can cater easily, I think that number goes to a very, very big number. So that way, I think the potential is huge. But yes, I think the number what specifically you were asking, we are not tracking.

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Prayesh Jain: And just last question, Sanjay bhai, you mentioned about other expenses being fluctuating. But on an annual basis, what is the kind of increase we should think about for the year?

Sanjay Shah: That's very difficult to tell you because it's virtually not linked to business. It is always effort based, and we do a lot of marketing and event based activity for generating the insurance revenue. So it's very difficult for me to quantify on a formula basis that how can you project that.

Moderator: The next question is from the line of Sanketh Godha from Avendus Spark.

Sanketh Godha: Sir, my first question is the same question probably. I mean if I look at your stand-alone P&L, commission cost as a percentage of the total revenue in 1Q FY26, it was some 62.7%. Now that number is 56.2% -- so given you passed on the GST impact to the MFDs, so this 56.2% what we see in stand-alone number is a steady-state number to hold up for subsequent quarters, just to understand the commission payout to the MFD guys?

Sanjay Shah: Yes. Broadly, you can because it might depend on the composition between insurance and the mutual fund. But however, I think on a margin basis, probably you can consider this as a good number for your projection purpose.

Sanketh Godha: So basically, the current quarter difference between gross and commission number, the spread broadly should hold up is the fair assumption to make, sir?

Sanjay Shah: Yes, because whatever changes came because of the changes in the regulatory regime and which has been on the entire book, which has been adjusted. So I don't see any reason it should change now.

Sanketh Godha: And this number has fallen largely because most because the GST thing, which was probably benefit you were not getting now, you are getting the benefit, and that's why the net commission -- commission as a percentage of the revenue has come off.

Sanjay Shah: Yes. So I think -- yes, it's implemented b

ased on whatever changes done by the regulator and the AMC has been implemented by us, yes.

Shirish Patel: And one more reason -- Y-o-Y reason is we acquired Indus in the month of September.

Sanketh Godha: Understood. Even if I compare, sir, from fourth quarter to 1Q because stand-alone numbers, I'm assuming doesn't have insurance numbers. So that's why I was comparing stand-alone from 57.3% to 56.2%. The difference is predominantly if I exclude Indus impact also, is largely because of the regulatory change and the spread has to be maintained. Just clarifying again, sorry.

Shirish Patel: Yes. That is one again, the contribution from the insurance business, I think that also one has

to address. Last quarter of financial year, the insurance component was much higher than this quarter. So that also, I think, one adjusting factor you can consider.
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Sanketh Godha: And sir, the payout difference between insurance and the mutual fund is how much means? I think if insurance is at, say, 60%, 65%, then insurance is much lower than that?

Shirish Patel: Again, I would say when you are saying that insurance is 60%, 65%, that is mainly because our 10% of the business is B2C where we don't pay anything. So I think you need to derive and insurance major business is B2B. So the ratio of payout ratio remains the same for mutual fund and insurance both. But in insurance, major business comes from B2B. In mutual funds, around 10% of the AUM is contributed by B2C. So that adjustment will be required.

Sanketh Godha: Understood. Got it, sir. Perfect. And second, sir, this question on...

Sanjay Shah: Yes. I just wanted to tell you now you should look at only consolidated because the business is also getting merged in the Prudent Corporate. So you should not look at the stand-alone number at all because a lot of business has already moved to Prudent Corporate. So I think just look at the consolidated when you look at any kind of projection.

Sanketh Godha: Okay. Understood, sir. And second point is that this PMS-MF which regulation which SEBI has spoken about. So suppose because we were not doing direct till date, and it probably opens an opportunity to do direct in PMS, MF. And if that happens and if you share the revenue in the same proportion because up to 2.5%, it is a fair probability, sir, that your overall yield realization, which is around 88 bps can be little -- means if you earn 2.5% and you pass on the net realization could be better relatively, sir?

Shirish Patel: So assuming that I think the PMS will be able to charge 2.25% over and above that base underlying cost, I think it is difficult to assume right now. I think let the product come, and I think we'll see the market conditions and market competitiveness. And then we'll be able to see. But I don't see that I think the overall yield should improve because of this particular product because I think this is also a very, very competitive space when you are charging to the investor on over and above that base underlying, I don't think that everybody or all the customers will be able to charge that 2.25%. But yes, only time would say. Currently, I think there is no assumption on that.

Sanketh Godha: Got it, sir. And -- but you don't see the risk other way around that given your MFDs on their own manage so many number of clients, they themselves become PMS/MF registered holders and move out the business from you and they do it on their own.

Shirish Patel: That risk is definitely not there. When we provide the platform, I think why should they go rather, I think there could be a possibility of consolidation as well. How many distributors or how many my MFDs can take this license. That also one to think.

Sanketh Godha: Okay, sir. Understood. And lastly, out of the total MFD distributor, probably I asked this question last time also. Out of the total MFD distributors, in y

our view, how many were GST

compliant in the past? And how many -- now naturally they are -- but just wanted to understand the mix, which benefited us in a way.

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Shirish Patel: Sanjay bhai already in the commentary that as of June, 60% of the payout was done to the GST partners.

Moderator: The next question is from the line of Lalit Deo from Equirus Securities.

Lalit Deo: Sir, just 2 questions. Firstly, when we mentioned that on a monthly basis, like the new MFD additions is close to around 600 as against 450. So just wanted to understand, are we seeing that this is like the new distributors who are entering the industry? Or is it like more like the distributors who are managing around INR10 crores, INR20 crores and then probably moving on to us? Could you just qualitatively highlight the nature of the new additions? Secondly, sir, one data keeping question, like could you break up the AUM between direct and indirect of the overall mutual fund?

Shirish Patel: So basically, when you ask the nature of new addition of our distribution, there is no change in the industry which says that more and more distributors should join the industry. So obviously, I think the new entrant to the industry remains the same. If I simply look at my number of registration, number of distributors joining Prudent platform is up by around 45%, 50% in the last 3.5 months. That mainly I believe that because of these regulatory changes, the existing distributors would like to work with the platform and hence, the incremental number has come majority from the existing distributors joining the platform.

Lalit Deo: Sure.

Sanjay Shah: Direct AUM roughly about -- and the direct-indirect split would be roughly about you can say 90-10 kind of a thing. 90% of the AUM is serviced by partners and 10% includes the Indus, Karvy, Prudent's old B2C and iFAST.

Moderator: The next question is from the line of Gaurav Jani from PL Capital.

Gaurav Jani: Congratulations. Sir, just to clarify, the benefit that you have received on the pass-through, is it safe to understand that this will largely be from the unregistered distributors, right? Because assuming that you would have passed on whatever is passed on by the AMC, that should have been technically cost neutral, right? Is that a fair assumption?

Shirish Patel: Yes. So yes, it is safe to assume that now this is a perpetual benefit. And as of June, almost 40% of our AUM belongs to non-GST registered partners.

Gaurav Jani: Sure. And sir, lastly, on the AUM growth, right? So we have been better than the industry. And I believe largely it would have been from the MTM. So in your view, how should we look at AUM growth? I mean, would we be better than the equity industry going forward or how should we do it?

Shirish Patel: So if I compare our net sales margin, I think officially, this data is not available. But when we compare our number with the industry's number, and we believe that the net sales market share is -- has increased in this quarter. Even if you are saying that it's a MTM gain, as per the Prudent Corporate Advisory Services Limited
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presentation, I think if you can see last financial year, the major growth actually has come from the net sales and not the MTM. So practically, for our growth, there are 2 levers. One is the MTM growth and second is the net sales growth. And historically, also, if you look at our net sales almost around 10%, 12% for AUM.

Moderator: The next question is from the line of [Yashvi Vora from Thingwise Wealth Managers

Yashvi Vora: So sir, with the recent SEBI changes that have begun to take effect, could you share your perspective on how the impact is being distributed across the value chain? If any particular stakeholders are being more affected? And how do you expect the industry to adapt over time?

Shirish Patel: I couldn't

understood the question completely. Sanjay bhai.

Sanjay Shah: She is talking about the recent regulatory changes that impacted I think that I already told you in the beginning of my commentary, the industry has a huge impact on all those people who are part of non-GST regime and the entire change has been impacting them. And probably that is the reason which Shirish has also said, I was also telling you that will bring to a lot of consolidation in the industry because previously, probably there was some arbitrage of them to work with AMC directly because there was a regulatory arbitrage on the GST front.

Now because the arbitrage has gone, the revenues came down, it makes sense for them to work with some platform who can help them in taking care of the all other expenditure and the management, and they can concentrate on the expanding their businesses. So these are the, I think I can tell you from that point of view.

Shirish Patel: This is from the non-GST registered partner and GST partners also got impacted, as Sanjay bhai said 2.8 basis points on a weighted average basis. This impact actually even depends on the composition of their AUM with different AMCs. I believe I think majority of the AMCs or almost all AMCs have passed on this impact to the distribution community.

Moderator: Your voice is not clear. You may return to the question queue. The next question is from the line of Arjun Bagga from DSP Mutual Fund.

Arjun Bagga: So I think you've explained that because of the regulatory changes is why we witnessed the changes in the yield. Just wanted to understand, sir, I think as per the calculation, I think the net revenue yield came out to be 31 basis points like deducting the commissions from the mutual fund income. So should we -- is it right to assume that going forward, this would be the new base? And maybe from here on, like this was not a one-off and like this is the number that we'll continue with going forward? Of course, whatever TER changes happen?

Shirish Patel: Yes. So currently, whatever is the yield on our assets, we believe that this kind of margins would continue in the near future. Of course, over time, with the size of down the commercial will come down, but that is mainly on a new business. Obviously, over medium to long term, it Prudent Corporate Advisory Services Limited
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may go down by 1, 2 basis points. But at least in this foreseeable future or the current yield or yield -- this year's yield, I would say that is more or less similar to what this quarter's yield.

Moderator: As there are no further questions, I would now like to hand the conference over to the

management for closing remarks.

Sanjay Shah: Thank you. Thank you, everyone, for participating in today's call. If still any of the queries are not resolved, please reach out to our IR, and we'll try and provide the information which we can. Thank you.

Shirish Patel: Thank you.

Moderator: On behalf of Equirus Securities Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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